بنك الاتحاد
Bank al Etihad

Annual Report 2021

Table of Content

03 Our profile

04 Who We Are

04 Our Values

04 Our Purpose

04 Our Promise

05 Our Journey

07 2021 at a Glance

08 Board of directors

11 Chairman's Statement

14 2021 Achievements and future plans

15 Our response to COVID-19 during 2021

18 Our business model and strategy

20 A look back at our performance in 2021

22 Risk Management

23 Compliance

23 Our Approach Toward our Team

24 Our Corporate Social Responsibility Program

28 Analysis of financial position and operating results of 2021

36 Corporate governance report for listed shareholding companies

48 Disclosures required by the Jordan securities commission and corporate governance instructions

72 Corporate governance manual

103 Control objectives for information and related technologies manual (COBIT)

114 Consolidated financial statements for the Year ended December 31, 2021

237 Network of branches, subsidiaries and exchange offices in the Hashemite Kingdom of Jordan

Our profile

Who We Are

We're Bank al Etihad, a financial institution proud to be Jordanian. Built on family values, we see every customer as one of our own and make it our business to help wherever we can.

For us, empowerment is everything. That's why we work with individuals, entrepreneurs, local and global businesses, and the next generation of female leaders, so they can succeed the way they want to. It will always be our goal to help people shape their future.

Our Values

Endlessly Entrepreneurial	Always Learning	Championing Creativity	Community Spirited

Our Purpose: To Empower and Engage

We exist to help our customers grow and achieve their ambitions by allowing them to bank on their terms, anywhere and anytime. Whether saving for a holiday, buying a house, or starting a new business, we're committed to supporting their success.

Our Promise: Shape Your Future

We empower our customers to shape their futures. By championing innovation, entrepreneurialism, and new technology, we develop progressive services that help people achieve their needs and ambitions. Life is full of challenges, but money management shouldn't be one of them. We always put our customers first and are committed to helping them build a bright future.

Our Journey

1978	Our journey began 42 years ago when we established a public shareholding company, known as the Arab Financial Corporation, where our focus was on corporate banking and customer relationship management.
1991	We decided to convert the corporation into a bank under the name Bank al Etihad for Savings and Investment and continued our journey in serving the corporate sector.
2007	We took a strategic decision to drive growth through diversification. We collaborated with one of the world's leading consulting firms to develop our new expansion strategy.
2011	We expanded to serve the retail sector and launched our new brand name, Bank al Etihad, while unveiling our promise, The Bright Choice, to our family and customers.
2013	We developed innovative savings products to address the needs of every customer. This contributed to an increase in brand awareness and market share in the retail sector.
2017	We acquired 62.4% of Safwa Islamic Bank, making it our arm in the Islamic banking sector. We also embarked on a digital transformation journey by adopting a 3-year plan that involved developing our technological infrastructure and automating our banking services and operations.
2018	We uplifted our brand in line with our digital transformation, in cooperation with a global branding company.

2019

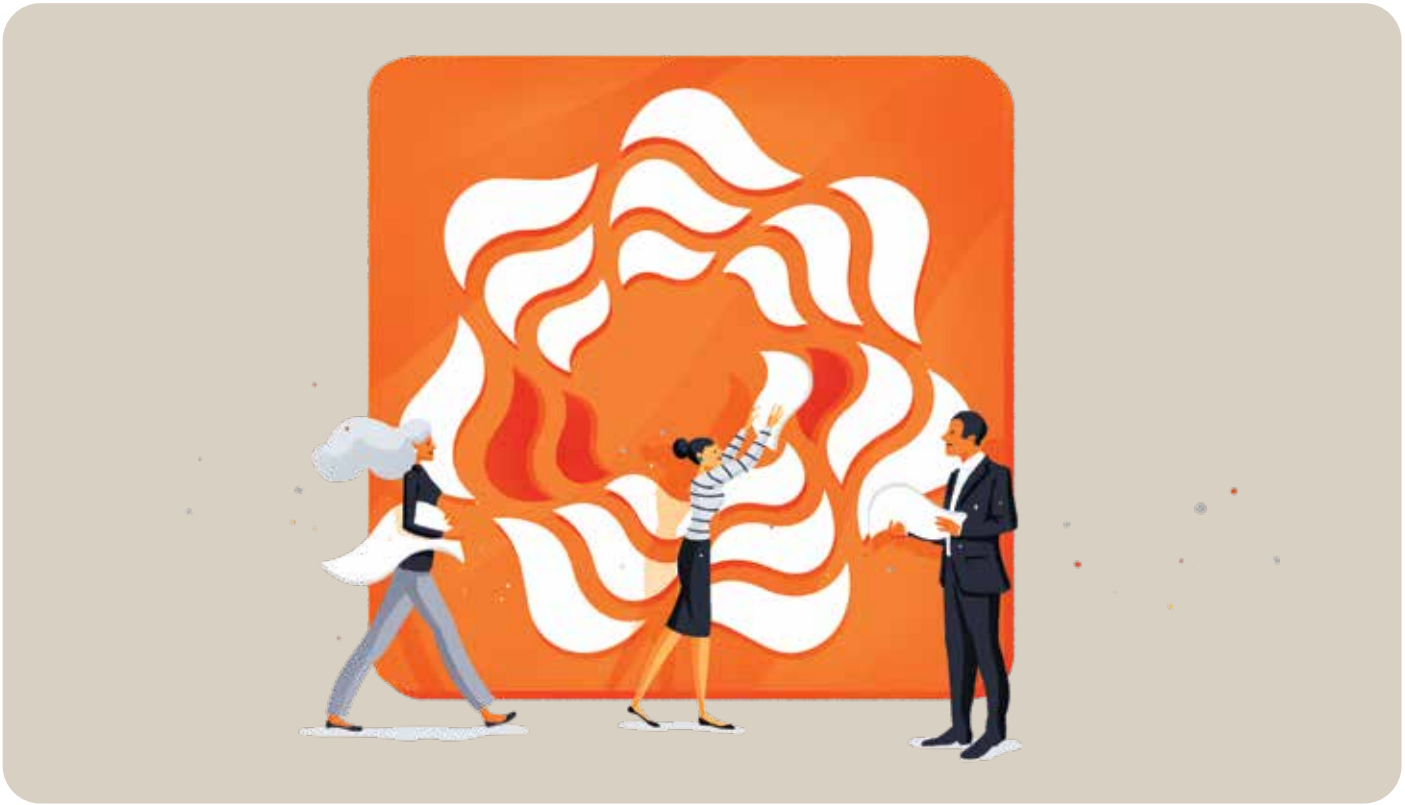
We launched our upgraded mobile banking app and developed a 5-year strategy and working plan to achieve our vision of becoming the leading digital bank in Jordan. We established the Etihad Financial Technology Company and became the third-largest bank in Jordan in terms of assets.

2020

It was a year unlike any other. Despite the pandemic, we managed to respond to COVID-19 through innovation. We were also awarded the "Best Digital Bank" in Jordan, the "Most Innovative Digital Bank" in Jordan and the Middle East by New York's Global Finance Magazine, and the "Best Socio-Economic Impact Bank" by Business Vision Magazine in London.

2021

We pursued further digital innovations to enhance customer experience, enabling us to reap 7 more awards in innovation and support for international trade operations.



2021 at a Glance

Despite the pandemic's impact, we managed to achieve remarkable financial results:

Deposits

Customer deposits increased by

23%

Assets

Total assets increased by

19%

Net income

Net income increased by

38%

Profit

Profit (before tax) increased by

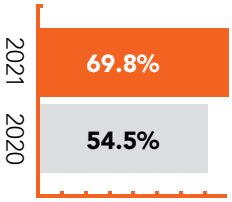
39%

We achieved an exceptional customer experience

Net Promoter Score (NPS)

Net Promoter Score (NPS) increased to

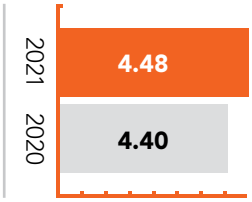
69.8%



Customer Satisfaction Index (CSAT)

Customer Satisfaction Index (CSAT) rose to 4.48

4.48



Customer complaints

Customer complaints decreased by

66.2%

Board of directors



Isam Halim Salfiti
Chairman



Basem Isam Salfiti
Vice Chairman

Social Security Corporation
Represented by Jalal Anwar Al Ajlouni

Libyan Arab Foreign Investment Company
Represented by: Amjad Samir Aburawi (first seat) and Fauzi Abo Khzam (second seat)

Imad Mohammad Abdel-Khaleq
Member

"Mohammed Nabil" Abdel-Hadi Hammoudeh
Member

Mughith Ghiath Sukhtian
Member

Rana Jamil Abbadi
Member

Riad Abdul-Mohsen Al-Dajani
Member

Jabra "Raja Yaqoub" Ghandour
Member



Nadia Helmi Hafez Al-Saeed
Chief Executive Officer



Deema Mefleh Mohammed Akel
Deputy Chief Executive Officer



"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh
Chief Corporate Banking Officer



Tarik "Mohammed Said" Hasan Badawi
Chief Credit and Credit Administration Officer



Mohamed Mahmoud Ahmed Burjak
Chief Operations Officer



Zaid Eyad Akram Kamal
Chief Finance Officer



Daniel Fawaz Odeh Al-Sharaiha
Chief Human Resources and Customer Experience Officer



Bashar "Mohammed Khair" Awad Ababneh
Chief Auditor



Mahmoud Tayseer Ahmad Badwan*
Chief SMEs Officer, and Chief Retail Banking Officer



Fadi "Ahmad Kamal" Marei
Chief Treasury, FI and Investment Officer



Amer "Mohammad Kheir" Zaki Abu Laila
Chief Technology Officer



Khaled Abdel-Malek Mohamed Abdel-Malek
Chief Risk Officer



Natalie Mazen Yousef Al-Naber
Senior Director, Corporate Communications and Marketing



Tamer Wasef "Mohamed Moussa" Barakat
Senior Director, Compliance

*Mr. Mahmoud Badwan assumed the role of "Chief Retail Banking Officer" on 26/10/2020, in addition to his duties as "Chief SMEs Officer", until 31/12/2021.



I write this year's statement with gratitude, knowing we persevered despite the challenging past 2 years. And to those who have lost loved ones, I extend my deepest condolences. I hope that this year is one of reconciliation. I wish for all of us to move forward and collectively recover while helping our economy overcome the effects of this pandemic.

The thoughts I am sharing today were inspired by the Bank al Etihad family, who made me proud of their hard work and resilience despite the pandemic. The past year was not an easy one. It was full of challenges, yet they remained committed to providing the best service to our customers.

Since the beginning of the year, we have achieved remarkable progress and growth, thanks to our agile business model and solid technology infrastructure, which enabled us to continue serving our customers without interruption. Our accelerated digitization enabled us to launch innovative digital banking solutions to fulfil the needs of our customers. Over the past years, we believed in the importance of investing in digitization, and that was a strategic decision.

I would be remiss if I did not commend the Central Bank of Jordan for its outstanding role in containing COVID-19's effects on the national economy. Their precautionary measures included allowing banks to restructure loans to affected individuals and businesses, introducing financing programs for SMEs, and supporting digital banking services (like digital payments), which made it easier for everyone to fulfil their financial needs.

Of course, I must also state that our achievements wouldn't have been possible without the vision and efforts of our team led by the CEO or the support of our executive management. Our leadership is enthusiastic and committed to the development and growth of our institution, which provides innovative and distinguished financial services to our customers and directs our efforts towards achieving a distinctive corporate culture.

I would like to extend my appreciation to our board of directors for their continuous support and for contributing their expertise towards our development and innovation.

I would also like to thank our customers for putting their trust in us, which drives us to work tirelessly to serve them in the best possible way.

An overview of 2021

The current economic situation highlighted the importance of resilience in overcoming challenges and achieving goals. We've put this into practice in 2021 by reimagining the way we design our products and services to achieve the best possible customer experience.

I'm pleased to see that we're making steady progress towards becoming the leading digital bank in Jordan. This was demonstrated in the recognition of our collective efforts with 7 international awards in 2021. These awards included 4 awards in innovation and leadership from Global Finance, an award in international trade operations from the European Bank for Reconstruction and Development, an award for supporting "diversity and inclusion of women in the labour market" from the Financial Alliance for Women, and another award for the success of our social responsibility programs in achieving a positive impact from Business Vision Magazine.

Keeping customer experience at the heart of our priorities, we redesigned our branch environment to enhance the customer journey and provide financial advice. We integrated technology in our branch operations to provide services to our clients. The outcome of these efforts was reflected in our customer satisfaction index score (CSAT), as we placed among the best banking institutions in Jordan.

We also launched a wealth management proposition to enable our customers through a range of investment and advisory products and services to achieve greater returns and build their wealth.

Solidifying our position and sustaining our growth

Despite the challenges we've experienced during the past year, we've become financially stronger, witnessing exceptional financial results. Our total assets observed a 19% increase to reach 6.26 billion JOD. As for shareholders' equity, it amounted to 428 million JOD with a capital adequacy ratio of 14.49%. Additionally, profit before tax increased by 39%.

Our market share at the level of consolidated financial statements became 12.1% in 2021 compared to 11.1% in 2020 with a growth rate of 14.7%. The total growth of facilities in the market for 2021 reached 4.9%. As for our market share of total deposits, it reached 12.4% in 2021 compared to 10.9% in 2020, with a growth rate of 23%, while the total growth of deposits in the market for 2021 reached 7.4%.

Our customer base rose by 30% since last year, indicating increasing trust in our bank. We extended our services through our digital channels and our expanding branch network, which now includes 57 locations and 135 ATMs across Jordan.

In light of our growth, we doubled our efforts to manage risks during the pandemic. We developed a framework for responding to emergencies of any kind, aiming to reduce their effects on our customers and our team.

The continuous development of our digital services was an integral part of last year's growth, and this was demonstrated by the introduction of several in-app services and features. We launched multi-currency prepaid cards, enabling our customers to save on foreign exchange fees when making online purchases. Additionally, we launched the "instant loan feature" to allow our customers to apply for a loan through our mobile app and get it instantly. We also launched the Savings Goals service, a digital vault that enables our customers to better manage their money by setting specific saving goals and working to achieve them.

Supporting entrepreneurs and businesses

We are aware of the contribution businesses make to the Jordanian economy, so we worked hard to provide them with solutions and ensure business continuity and positive outcomes for them during the pandemic.

The bank continued playing a key role in supporting large corporates and various economic sectors along with financing foreign trade, taking reasonable risk management measures, and availing regional and international risk-sharing programs.

During the pandemic, we supported businesses by understanding their unique needs and putting forward plans to aid those affected by the pandemic and avail the appropriate CBJ programs.

As for startups and entrepreneurs, we focused on providing them with financial, non-financial, and legal advisory services. All these efforts had a positive impact on the growth of our startup customer base by more than 200%.

We also re-launched our simplified online banking platform for businesses, Etihad for Business, to enable companies to manage their money anytime and anywhere, ensuring the continuity of their business through a seamless experience.

Our team is our most valuable asset

The mental and physical health of our employees was one of our most important priorities during the pandemic. Therefore, we were keen on developing flexible work policies and creating innovative ways to ensure efficiency and continuity of work. This included the launch of Spark in Sweifieh Village, a centre that offers training programs to equip our staff with the necessary tools they require to enhance their skills in favour of efficiently serving our customers and responding to the changes in the business landscape.

Our training program played an instrumental role in helping us build a more resilient workforce. It created 8,287 opportunities with an average of 25,520 training hours.

I am proud to see that our efforts are reflected in employee loyalty and satisfaction. Our Employee Net Promoter Score (E-NPS) increased from 49 degrees to 53, which places us among one of the best workplaces on a global level.

Diversified investments

We are always keen on diversifying our investments and managing risks to secure better returns for the bank, its shareholders, customers, and employees. Here, I would like to mention our main investment in Safwa Islamic Bank, which joined our family in 2017 when we acquired a controlling stake that currently stands at 62.4%, making it our arm in the Islamic banking sector.

Furthermore, our Etihad Leasing Company had an active role in serving various sectors. The company achieved an increase in the number of financial leasing contracts, retail, and corporate clients by more than 10% through products related to real estate, transportation, and production lines for all sectors. As a result of these efforts, the growth rate reached 20% in both the financial leasing investment portfolio and the company's net profit.

In addition to the above, we have our own Etihad Brokerage Company, our bonded services, and the Etihad Financial Technology Company.

Our vision for 2022

This year, we're focusing our efforts on providing a customer experience that reaffirms our commitment to transparency and earning our customers' trust. We are also taking concrete steps toward becoming Jordan's leading digital bank.

In conclusion,

Our customers, employees, shareholders, and community are our priority, as 2021 showed us we cannot succeed without them.

We got to where we are today by listening to our community and designing products and services that solve real problems for them. So that's what we'll continue to do.

Here, we recognise that not all returns can be found in financial statements and that our responsibility to shareholders is not complete without a commitment to sustainability. For that reason, we are collaborating with experts to develop initiatives and policies that will help us in addressing ESG factors and protect resources for the next generations. We are passionate about this issue, and we're committed to making meaningful progress in the years ahead.

I hope the new year brings you and our beloved Kingdom prosperity and success. And I look forward to sharing more accomplishments with you in 2022.

Isam Halim Salfiti
Chairman

2021 Achievements
and future plans

Our response to COVID-19 during 2021

2021 was a challenging year for all of us. However, we came out stronger, directing our efforts to deal with the pandemic's aftermath and ease its economic repercussions. Through our agile framework, which we set at the beginning of the pandemic, we were able to reduce its less favourable effects on our community.

Risk mitigation controls

Regarding our customers' trust as our main priority, we were able to develop effective controls to ensure our customers can easily and safely access our services without interruption.

We employed the latest technologies to keep pace with the highest security and protection standards to manage our risks and reduce fraud, especially with the rise in financial cybercrime. And because we want to be the safest bank for our customers, we have developed cybersecurity and financial crime prevention programs, which have put us at the forefront of financial institutions capable of detecting and preventing fraud.

Uninterrupted service throughout the pandemic

The pandemic was an opportunity to demonstrate our commitment to providing services without interruption. We implemented more innovative technological solutions, reduced service disruption, and automated 74% of our processes to meet our clients' growing and changing needs. We also upskilled our team's capabilities and provided them with the necessary knowledge to ensure their readiness for the present and the future.

COVID-19 response team

We are proud of our COVID-19 response team, who worked round the clock to ensure our employees' physical and mental health remained intact and maintained a work environment that would enable them to successfully implement our business continuity plan.

At a time when the COVID-19 vaccine was still limited, our response team prioritised launching a COVID-19 vaccination campaign that targeted our employees and their families and led to the vaccination of more than 800 people.

Despite the pandemic, we were keen to promote a safe and empathetic work culture. We introduced several initiatives to aid our team in adjusting to the "new normal". This included a work-from-home policy, knowledge and capacity building platforms, and mental wellbeing sessions.

Effective management of lending relationships

The bank's prudent credit policy successfully mitigated the effects and risks of the COVID-19 pandemic on the bank and customers. Our lending strategy was based on:

Portfolio diversification	Diversifying our loan portfolio to cover most economic sectors to mitigate risks.
Lending structure diversification	Ranging from big corporates, SMEs, and individuals working in the public and private sectors.
Responding to customers' needs	In partnership with the Central Bank of Jordan, we availed the COVID-19 relief program, which enabled SMEs affected by the pandemic to cover their operational expenses, including salaries and raw material, to ensure their business continuity. We also restructured loan payments to match customers' cash flows to maintain their financial health.

We supported the hardest-hit sectors

We dedicated our efforts to anticipating what SMEs, like startups, entrepreneurs, and women-led businesses, will need to recover from the pandemic.

We partnered with the Dutch Entrepreneurial Development Bank "FMO" through the NASIRA loan portfolio guarantee facility and capacity-building program to support affected entrepreneurs and SMEs to mitigate the socio-economic impact of the pandemic to allow them to stay afloat, stay competitive, and scale-up post-pandemic.

We also revamped our online banking services and launched the "Etihad for Business" banking platform, which gave our business clients a simplified experience that made it easier for them to conduct their banking transactions anytime, anywhere.

And because we believe in the role that startups and the youth play in advancing the national economy, we financed startups in cooperation with the National Self-Employment Program "Inhad" and the "Jordan Loan Guarantee Corporation", providing them with lending opportunities that have expanded the sector's growth by more than 200%.

Furthermore, coaching and mentorship were heavily employed to support the entrepreneurs. As we assessed their needs, we were able to provide them with several free capacity-building workshops to help them overcome the repercussions of the pandemic. We also partnered with a legal firm to provide legal introductory workshops and advice delivered by experts and specialized lawyers on several legal aspects, benefitting over 174 entrepreneurs.

Financial inclusion

We believe in the importance of financial inclusion, which is why we continuously strive to make our financial and non-financial products and services available to all members of our community.

At Bank al Etihad, we consider ourselves pioneers in supporting women in Jordan. In 2014, we launched our "Shorouq" program, which was designed to provide financial and non-financial solutions for women, emphasizing our belief in the importance of female economic participation. And during 2021, we organised and supported 51 events. Of which, 960 women directly benefited from mentorship, guidance, and networking.

In 2021, we also focused on creating new partnerships and nurturing existing ones to build an enabling ecosystem and co-create value. The most important were:

1. **Partnership with Amam Ventures:** We believe in the importance of providing non-financial services to entrepreneurs and SMEs to enhance the supportive environment around them, especially for women-owned companies and those committed to diversity and inclusion. We sponsored programs that aim to build capabilities and support businesses, enabling companies to grow and create jobs. In addition, we extended our support to a program that aims to prep women who are ready to serve on corporate boards.
2. **Partnership with "Endeavor" Jordan:** Together, we launched the "Unlocking markets with Bank al Etihad" program, which is designed to enable women-owned or led enterprises to expand to foreign markets.
3. **We worked with a specialized company to set up a training program for wealth management "MONEYSMART-Wealth Management":** The program is designed to enable women to take control of their finances and equip them with the tools and resources they need to start investing.

Our efforts to support women were recognised after renewing our commitment to the United Nations Women Empowerment Principles (WEPs), where we obtained a score that ranked higher than the average MENA score in terms of gender gap analysis.

Furthermore, our female customer base rose by 17% in 2021, representing a 9-fold increase since the launch of our Shorouq initiative in 2014. And the number of female depositors and borrowers increased by 8 times.

Our business model and strategy

We remain committed to becoming the leading digital bank in Jordan and providing the best banking experience to our customers.

Agility and passion for innovation

Our passion and enthusiasm for growth and innovation have an entrepreneurial spirit, which is why we take an agile approach to strike a balance between doing our business and continuing to innovate. We work to reimagine the way we do business to keep pace with all developments as we empower and encourage our team to create, implement, and experiment with their ideas to achieve desirable results. We continue to listen to our customers and utilize our technology infrastructure to serve them better.

We aim to be part of our customers' daily lives

We're keen on providing the best possible experience for our customers through our employees, digital channels, and automated banking services anytime and anywhere.

Enhance efficiency and productivity

We work to launch services and products that are up to date with the developments around us to serve our customers better, use all available resources optimally, reduce costs, and increase efficiency without affecting the customer experience.

Seeking steady growth

We grow strategically and take calculated risks. We have employed the latest technologies and control systems to protect our internal and external environment by complying with regulatory compliance, anti-money laundering, and anti-terrorist financing systems used in the best international banks.

Controlling our operational costs effectively

We work within a framework that aims to achieve growth and prosperity while maintaining cost-effectiveness:

Profit	We work together to achieve distinct revenues and profits, and we are aware of the ways that help us manage our operations to control the associated costs
People	We attract qualified talent to carry out work with high productivity and efficiency.
Efficiency	We automate our processes, develop our procedures, and optimise the use of available resources to reduce costs and increase efficiency without affecting our customers' experiences.

Making data-driven decisions

We always analyse our customers' data to understand what they need, to design products and services that meet their needs and expectations. We are keen on making continuous improvements to our current offerings to keep pace with market demands, working to improve our procedures and enhance our technological infrastructure.

Our goal is to provide our customers with unique services and experiences that gain their trust and meet their daily banking needs.

Building a culture that we love

We are an organisation that values diversity and respects individual differences and are known for fostering a safe, uplifting, and encouraging workplace. Last year, we received more than 100,000 applications, which always encourages us to create new jobs to attract talents.

We are keen to involve our team in our success journey to give them the freedom to innovate and reach their goals and fulfil their ambitions.

Taking meaningful steps toward sustainability

We hold ourselves to the highest standards when it concerns the sustainability of our environment and the community we operate in. We prioritise access to finance, support SMEs, champion entrepreneurship, and embed sustainability into every aspect of our business.

A look back at our performance in 2021

We have achieved a distinctive and unique customer experience, which is considered the best in Jordan

- The Net Promoter Score Index (NPS) increased by 28% to reach 69.8 out of 100. This index measures the probability of customers recommending the bank to others, where any score above 50 is considered "Excellent".
- The Customer Effort Score Index (CES) increased to 3.91 out of 5 compared to 3.59 in 2020. This index gauges ease of access to our products and services.
- The Customer Satisfaction Index (CSAT) increased to 4.48 out of 5 compared to 4.40 in 2020.
- Customer complaints decreased by 66.2% in 2021 compared to last year due to our implementation of several strategies, including:



Adopting a smart problem-solving approach, focusing efforts on identifying the root cause of the received complaints.



Boosting financial literacy by communicating procedures, terms, and conditions to our customers with clarity and transparency.



Enhancing policies and processes to address the root cause of complaints to ensure that the problems do not occur again.

Winning global awards

Our efforts in 2021 were recognised with seven international awards:



- The "Best Consumer Digital Bank" in Jordan award from New York's "Global Finance" magazine for our remarkable banking application.
- The "Most Innovative Digital Bank" in Jordan award from "Global Finance" magazine in recognition of our efforts in innovation and technology.
- The "Best Information Security and Fraud Management" in Jordan award from "Global Finance" magazine in appreciation of our efforts in implementing the highest standards of protection and security.
- The "Best Bill Payment and Presentment" in Jordan and the Middle East award from "Global Finance" magazine in recognition of our efforts to provide the best online payment experience.
- The "Access to Finance Champion" award from the Financial Alliance for Women (FAFW) in recognition of our distinguished efforts directed toward enhancing women's economic participation.
- The "Most Active Issuing Bank in Jordan" award, under the Trade Facilitation Programme of the European Bank for Reconstruction and Development (EBRD), in recognition of being the most active bank in issuing international trade transactions from Jordan for the fourth time.
- The "Best Socio-Economic Impact Bank" award from "Business Vision" magazine.

We have become our customers' everyday bank

We've spent the last few years focused on offering the best banking experience possible, aiming to earn our customers' trust and confidence so that we may become their go to bank. This resulted in a 23% increase in deposits and a 3x increase in external transfers since 2020. We also maintained our third-place position in Jordan in terms of the volume of bills paid, as customers continued to choose us as a trusted secure payment facilitator.

We're growing our network and evolving our branch operating model

We have adopted and launched a new operating model for our branches, aiming to enhance the efficiency of their work and make them a go-to destination for customers seeking the best possible financial advice, added-value services, and range of financial services to meet their individual as well as business banking needs.

This new model enabled us to reach 82% of the FCR (First Contact Resolution) index, which measures the ability to solve and meet any customer requirement from the first point of contact with any of the bank's employees.

We also redesigned our new branches, so that our customers can have an exceptional journey. Our branches meet the financial needs of our customers and act as advisory centres where our customers can also enjoy a cup of coffee while discussing all their financial needs and future aspirations with our employees. Additionally, we offer spaces in our branches to host local designers and businesses where they can showcase their work.

Risk Management

To keep pace with the highest standards of security and protection, we've continued to adopt the latest technologies in our operations. We continue to enhance our risk management, compliance, governance, and cybersecurity as they represent essential pillars in our line of work, enabling us to grow and expand our operation.

Our approach to risk management is based on five main pillars:

Sustainability

Promoting financial sustainability is at the heart of our corporate culture as we consider our customers and society part of our family. Bank al Etihad is committed to incorporating Environmental, Social and Governance factors into its financing and investing selections. We have laid a roadmap for addressing ESG issues in doing business and supporting renewable energy and green lending initiatives.

Recovery Plan

We developed a recovery plan to maintain the bank's financial position and reduce the negative impact that may arise in stress scenarios or market and economic instability, in line with the framework put forth by the Basel Committee for banking supervision related to dealing with "domestic systemically important banks" regulation.

Operational Risk Management

We continue to improve our operational risk tools to support the management of operational risk and actively monitor and assess the impacts of all potential risks. We introduced an operational resilience framework to enable the bank to identify and protect itself from threats and potential failures, to respond, adapt, recover, and learn from disruptive events to minimize their impact on the delivery of critical operations. The bank conducted a fraud risk assessment with a third party to build a landscape to detect and prevent any potential or emerging fraud risks from occurring.

External Assessment of ERM (Enterprise Risk Management Framework)

We underwent an assessment of our enterprise risk management framework by an external consultant that resulted in recommendations and methodologies for the overall risk management process and assisted the bank in aligning its objectives and articulating an effective risk appetite statement, limits, roles, and responsibilities with the risk appetite framework.

Information Security

The bank manages information security risk per international best practices and policies, which are designed to govern our comprehensive information security program and protect us through preventative and responsive measures to combat information and cybersecurity risks.

We continue to improve our cyber-control framework and cybersecurity capabilities, including cyber intelligence analysis of internal and external threats and alerting potentially suspicious security events and incidents.

Compliance

A number of internal and external control systems are applied to ensure compliance with the bank's internal environment and to combat money laundering and terrorist financing through the following:

- **Internal Control:** A regulatory compliance system is applied to ensure that our work team complies with all laws and instructions. The system is based on a long-term approach to identify internal loopholes with many links. A periodic evaluation of the bank's internal departments is also conducted to ensure that the bank's departments comply with the instructions issued by the authorities. Furthermore, we have not neglected the role of training our employees, as we have held training courses to combat money laundering and terrorist financing, among others. And today, many of our employees have earned the CAMS (Anti-Money Laundering Specialist) qualification.
- **External control:** The anti-money laundering and terrorist financing system is implemented to improve risk assessment and the monitoring of financial operations through the application of various scenarios in the areas of money laundering and terrorist financing, as per the instructions of the regulatory authorities and international best practices. We continuously formulate and review a due diligence methodology that fits with customer risks, and we enhance the efficiency of our system alerts in terms of quantity and quality.

Our Approach Toward our Team

We truly believe that our team is the main driver of our success. We carefully choose team members who share our values, fit our culture, and can contribute to our growth and success.

Our success and ability to attract talent is due to our principles, collaborative team spirit, and unique work environment. This is why our personnel count continues to rise, reaching 1,259 last year, with 140 new members joining our team.

We've also been working hard to improve inclusion and diversity. Female team members account for 45% of our entire workforce at the bank, with 21% of senior roles held by women.

Our Corporate Social Responsibility Program

Our culture and internal environment are built on the foundation of sustainable development. We regard our coworkers and community to be members of our extended family.

As such, we aim to support the next generation of entrepreneurs, contribute to the Jordanian cultural scene, and invest in education and training to empower members of our society.

We also ensure that our social and volunteering initiatives reflect our societal partnerships and address the UN Sustainable Development Goals:



Key Initiatives in 2021

Financial Inclusion and Economic Empowerment



As a financial institution, our commitment to improving the lives in our community leads us to focus on financial literacy and promote financial inclusion. To support this, we did the below:

- Continued working hand in hand with INJAZ and the Central Bank of Jordan to support the rollout of the Financial Education Program within the national curriculum in schools.
- Nominated 9 employees from various departments to become our financial literacy ambassadors and involved them in our financial literacy puppet show called "Dream Bank," which targets children aged 6-12 years, and provides them with the basic financial literacy concepts, such as saving and investing in simple ways suitable for their age.
- Supported, for the third year in a row, the Youth Entrepreneurship Program titled "Shabbek-wa-Ibtaker," in cooperation with "Wasel for Education and Awareness". The program targets 30 young jobseekers from all around Jordan, providing them with the necessary training to launch their own projects in partnership with business incubators. In 2021, 18 of the 30 ideas submitted by a number of youths participating in the program were developed by local incubators.

Community Wellbeing



We are built on family values and make it our business to help our community wherever and whenever it is possible. Our main initiatives in 2021 included:

- Funded the development of an online e-learning platform that provides education and rehabilitation services to beneficiaries with disabilities from the comfort of their homes, as part of our strategic partnership with the "Al-Hussein Society".
- Continued our partnership with "Accessible Jordan" to implement 4 training programs for the bank's employees to familiarize them with the best way to deal with customers with disabilities. In 2021, 7 online sessions were conducted, targeting 131 new employees.
- Launched two campaigns in cooperation with Careem and the Ministry of Health to facilitate the COVID-19 vaccination of the elderly and people with disabilities across the country in the comfort of their homes. As a result of the campaign, around 6000 people were given the vaccine.
- To show our appreciation to medical staff for their efforts during the spread of COVID-19, we launched a "Thank You" campaign in public hospitals across Jordan.
- Launched 3 campaigns through the bank's social media pages to collect food parcels, winter necessities, and used/new clothes and toys, which our team and customers participated in. These campaigns were carried out in cooperation with the Jordan Hashemite Charity Organisation and Naua. Thanks to the generous donations of our staff and the Jordanian public, we were able to reach around 6000 families across the Kingdom.
- Sponsored the "Run for Life" program implemented by the King Hussein Cancer Foundation. Run for Life is a charitable race organised for school students in Jordan to spread awareness about cancer and the importance of adopting a healthy lifestyle. About 33 schools and 7000 students participated in the race in 2021, and the total donations by students and teachers in the schools amounted to 72,021 JOD.
- Continued supporting the newly established Training Academy of the King Hussein Cancer Foundation, which aims to enhance the knowledge and skills of workers in the field of cancer care and build the capabilities of the workforce in the institution. The academy also works on developing and updating content related to oncology in medical colleges in Jordan. As a result of this partnership, more than 900 medical and administrative staff joined the centre for training through 12 online and face-to-face courses.
- We sponsored the 6th Health Care Accreditation Council Quality Care Conference, a medical conference targeting physicians and pharmacists from all over the Middle East.
- We renewed our partnership with the Medical Aid for Palestinians to purchase medical supplies for the health centres in Gaza camp.
- We maintained our strategic partnership with Naua, one of the Crown Prince Foundation's initiatives, by using their platform to reach out to various local community institutions, providing support, and encouraging youth volunteering through their "Nahno" platform. Through the platform, we also implemented seven community projects that benefited around 3,553 people around the Kingdom.
- In partnership with the Jordanian Hashemite Charity Organisation, we launched a donation campaign via our banking application and social media channels to collect donations from our customers and employees to purchase medical supplies and equipment for hospitals in Gaza and the West Bank. We also matched the donations from our clients to reach an amount of 140,620 JOD.
- Supported the "Himmetna'' initiative that aimed at rehabilitating 25 health centres from different areas in Jordan to raise the level and quality of healthcare available to Jordanian citizens. The bank assisted the initiative by launching the campaign on all social media platforms, bridges, radio stations, and official and national channels.

Environment



Our main environmental initiatives in 2021:

- Funded the development and design of the "I Can" environmental awareness program targeting women and youth in collaboration with the environmental initiative "Himmeh w Lammeh". The program aims to educate youth and women on concepts of belonging, protecting the environment, anti-littering, and waste management through sports, dance, music, and team building. The bank also funded the execution of the program in three governorates (Amman, Karak, and Madaba) via the Jordanian Hashemite Fund's innovation centres with 540 adolescents and women targeted.
- Continued implementing the environmentally friendly initiative "Plastiqua," which aims to empower underprivileged local women by using their artisanal skills to upcycle expired bank cards and crafting them into art pieces and jewellery. In 2021, 15,000 plastic bank cards were recycled and turned into more than 2,000 pieces of art and accessories, where all proceeds went to the women who made them.
- Signed an agreement with the Ahliyyah School for Girls and Bishop's School for Boys to adopt and renovate a public park in the Jabal Amman area. This partnership aims to enhance and deepen community participation in all phases of the project, whether in the design, implementation, evaluation, or development stage.
- The Solar PV Systems project we implemented in three locations (Wadi El-Eis, Sukhna, and the roof of our main administration building) resulted in:
  - Cash savings of 4,530,092.64 JOD
  - Reducing CO2 emissions by 26,169,486 kg
  - Producing energy totalling 17,153,443 kWh
  - Connecting 47 Bank al Etihad buildings and branches to our solar energy system

Access to Knowledge



Education is the most crucial factor in shaping the future of the next generation. As a result, we are committed to ensuring that young men and women have equal access to education, information, and skills, as they are the builders of the future. In 2021, we sponsored education through:

- Granting 25 scholarships to outstanding students in Jordan and Palestine.
- With the return to face-to-face education in 2021, we launched the "Back to School" campaign in which our employees donated new school bags to 222 disadvantaged students in the Al-Wehdat refugee camp.
- Continuing to support the Queen Rania Foundation for Education and Development through contributing to 3 of their initiatives: Madrasati, Al-Aman Fund, and the Children's Museum.

Arts and Culture

Over the past year, we have supported the cultural and artistic scene in Jordan, through:

- Sponsoring the second edition of the Amman International Film Festival "Awal Film", where 51 new films from 26 Arab and non-Arab countries were screened.
- Sponsoring the Dar Art exhibition in Sweifieh Village with the participation of approximately 160 Jordanian artists. The exhibition included art collections from 13 galleries and more than 70 independent artists under one umbrella.
- Continuing to support the Petra National Trust in order to protect Jordan's archaeological, cultural, and natural legacy, particularly in the city of Petra, which is listed on the UNESCO World Heritage List.
- Sponsoring the thirty-fifth season of the Jerash Festival of Culture and Arts, which was held in the ancient city of Jerash.

Volunteering

We believe that our volunteer culture fosters a sense of belonging in our employees toward their workplace and community. This is why we were keen to encourage that culture and implement hybrid volunteer activities during the past year.

- Approximately 12,000 children and young men and women have been reached
- Our team contributed 282 volunteer hours

Donations, grants, and contributions to community service

Access to knowledge	155,483 JOD
Financial inclusion and economic empowerment	114,884 JOD
Entrepreneurship, Fintech, and Innovation	11,000 JOD
Community wellbeing	360,912 JOD
Environment	24,962 JOD
Arts and culture	71,791 JOD
Other	3,000 JOD
Total	**742,032 JOD**

Analysis of financial position and operating results of 2021

First: Financial position for 2021

Total assets

The Total Assets at the end of 2021 rose to JOD 6.263 billion with an increase of JOD 989 million or a rate of 18.7% over the year 2020. The annual growth rate of Total Assets over the past five years was 11.9% with a 0.7% rate of return compared with 0.6% at the end of 2020.

The main reason for the increase in Assets was due to the growth in the net direct credit facilities at a rate of 13.5% compared with the end of the previous year over and above the growth in cash assets at a rate of 32.3%.

The table and graph below show the growth of the main asset items during the years 2017 – 2021.

Description	2017	2018	2019	2020	2021	Growth Rate 2021-2020
Cash assets	672,713	585,729	897,673	1,122,293	1,484,678	32.3%
Financial assets portfolio	656,083	807,702	814,423	950,878	1,161,552	22.2%
Net credit facilities	2,084,328	2,217,918	2,635,851	2,951,628	3,351,124	13.5%
Property, equipment and intangible assets	91,913	96,672	96,549	95,829	93,877	(2.0%)
Other assets	67,238	100,048	135,180	152,777	171,290	12.1%
Total assets	**3,572,275**	**3,868,069**	**4,579,676**	**5,273,705**	**6,262,521**	**18.7%**

(Rounded to JOD 1.000)

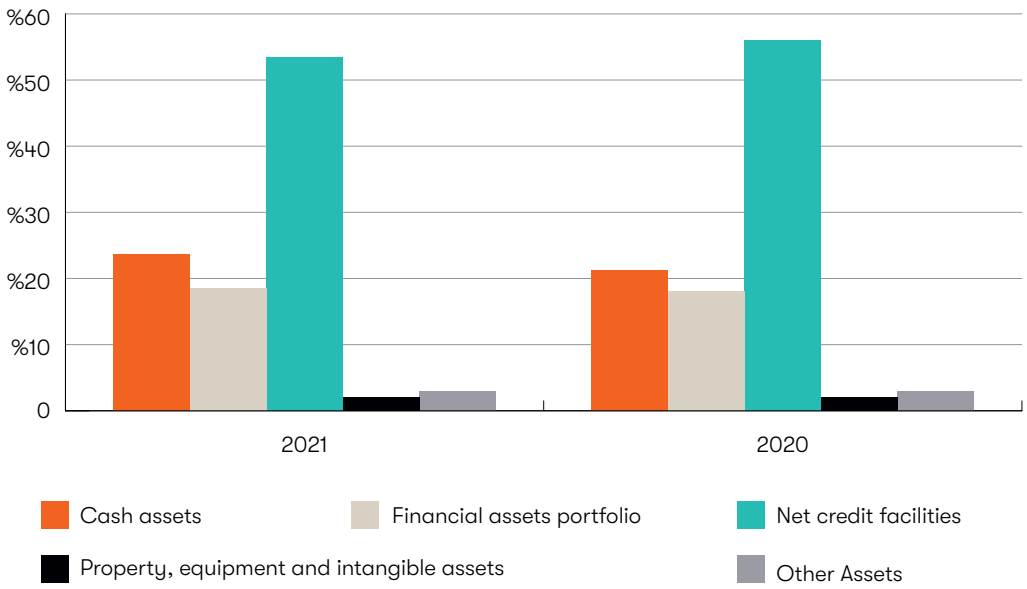


(Rounded to JOD 1,000)

By considering the income generating asset items, these indicate the Bank's ability to properly and effectively manage its assets and utilize its sources of funds in maximizing income taking into account the policies and procedures followed and the risks associated with each of such asset items.

The relative importance of the net direct credit facilities constituted 53.5% compared to 56.0% at the end of last year. The Financial Assets constituted 23.7% compared to 21.3% in 2020, while the relative importance of the Financial Assets constituted 18.5% compared to 18.0% in 2020.

Relative importance of total assets

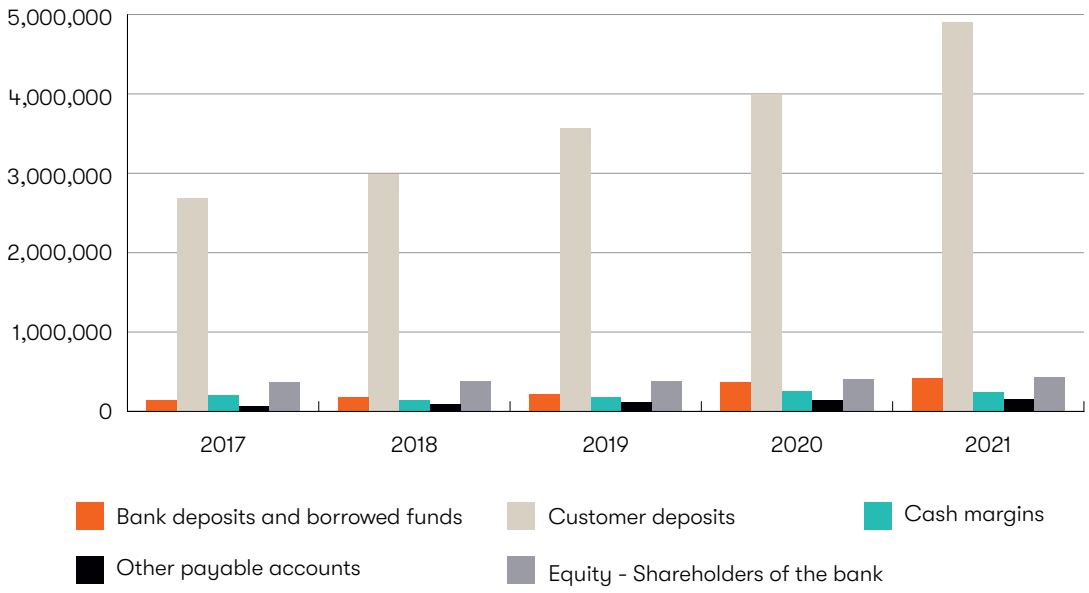


Liabilities and equity

The table and graph below show the growth in the main Liability and Equity items during the years (2017 – 2021)

Description	2017	2018	2019	2020	2021	Growth Rate 2021-2020
Bank deposits and borrowed funds	147,086	181,924	215,167	370,840	425,349	14.7%
Customer Deposits	2,961,336	2,988,950	3,575,967	4,003,011	4,910,374	22.7%
Cash margins	210,089	141,815	185,698	251,303	244,828	(2.6%)
Other payable accounts	65,253	88,134	123,599	142,148	152,502	7.3%
Shareholders' Equity	370,623	376,742	387,273	407,956	428,012	4.9%

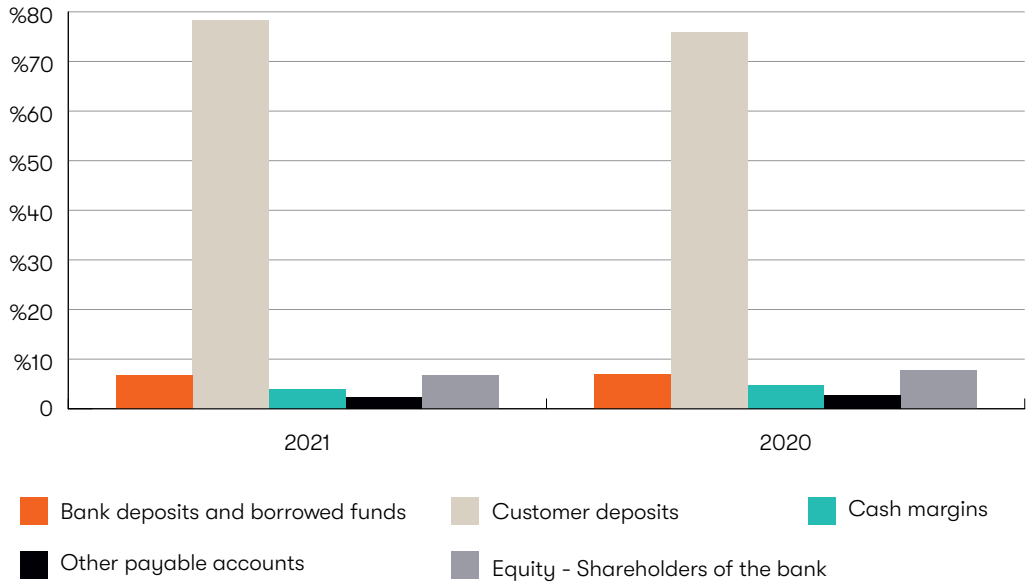
(Rounded to JOD 1.000)



(Rounded to JOD 1.000)

Regarding the relative importance of the Bank's Liability and Equity components as shown in the graph below, Customer Deposits accounted for 78.4% thereof compared to 75.9% at the end of 2020. Equity accounted for 6.8% compared to 7.7% followed by Bank Deposits and Borrowed Funds which accounted for 6.8% compared 7.0% at the end of the previous year. Cash Margins and Other Payable Accounts constituted 3.9% and 2.4% of the Total Liabilities and Equity compared to 4.8% and 2.7% respectively at the end of 2020.

Relative importance of total liabillities and equity



Financial Assets Portfolio:

- **Debentures:** The balance of the Debentures Portfolio amounted to JOD1,101 billion at the end of 2021 with an increase of JOD195 million, thus accounting for 94.8% of the Total Financial Assets Portfolio which is characterized by reduced risks and fixed returns. The balance of Debentures and Loan Bonds in Jordanian Dinars amounted to JOD785.2 million while the balance in foreign currencies amounted to JOD315.5 million at the end of 2021.
- **Portfolio of Local and International Shares:** In 2021, the Bank made investments in local and foreign shares which are characterized by a strong financial position and acceptable investment risk levels. As a result, the portfolio of shares increased by JOD15.5 million at a growth rate of 34.1% reaching a balance of JOD60.8 million at the end of the year compared to JOD43.3 million at the end of 2020.

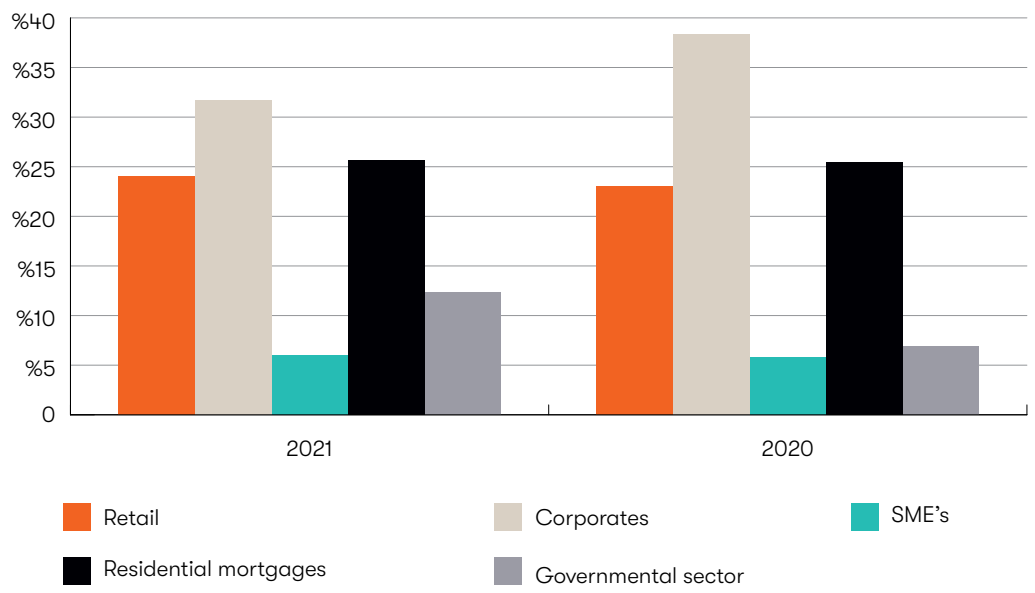
Total Direct Credit Facilities

The balance of the Total Net Credit Facilities at the end of 2021 amounted to JOD3.510 billion at a growth rate of 13.6% compared to the end of 2020, which contributed positively towards the return on assets. That increase was a result of the rise in the balance thereof in Jordanian Dinars by JOD443 million and a decrease thereof in foreign currencies by JOD22 million. The average annual growth rate of Net Direct Credit Facilities during the past five years (2017 - 2021) amounted to 10.1%.

As for the structure of the Total Direct Credit Facilities by Borrower, the Bank has achieved its strategic objectives of attracting retail and SME customers. The relative importance of the retail sector accounted for 24.0% of the Total Direct Credit Facilities compared to 23% at the end of last year. The SME sector recorded a rate of 6.0% in addition to the credit facilities extended to corporations amounting to 31.7% of the Total Credit Facilities compared to 38.3% at the end of last year.

In respect of the real estate sector, the credit facilities accounted to 25.6% at the end of 2021 of the Total Direct Credit Facilities compared to 25.4% at the end of last year and the credit facilities extended to the government and public sector accounted for 12.3% compared to 6.9% at the end of 2020.

Relative importance of total direct facilities by borrower



Provision for Impairment of Facilities

The Bank continued with pursuing a strict hedging policy by taking a provision for impairment in respect of any facilities that may be below the standard inorder to strengthen the Bank's financial position in line with CBJ instructions and IFRS9 requirements. The balance of the provision for the impairment of direct credit facilities amounted to JOD141.5 million compared to JOD119.5 million at the end of 2020. It is worth mentioning that the coverage ratio of the provision for impairment of direct credit facilities to total facilities within Stage III amounted to 77.4% compared to 75.1% in 2020. The facilities ratio within Stage III net of interest in suspense to the balance of the direct credit facilities net of interest in suspense amounted to 3.26% compared to 3.30% in 2020.

Customer Deposits

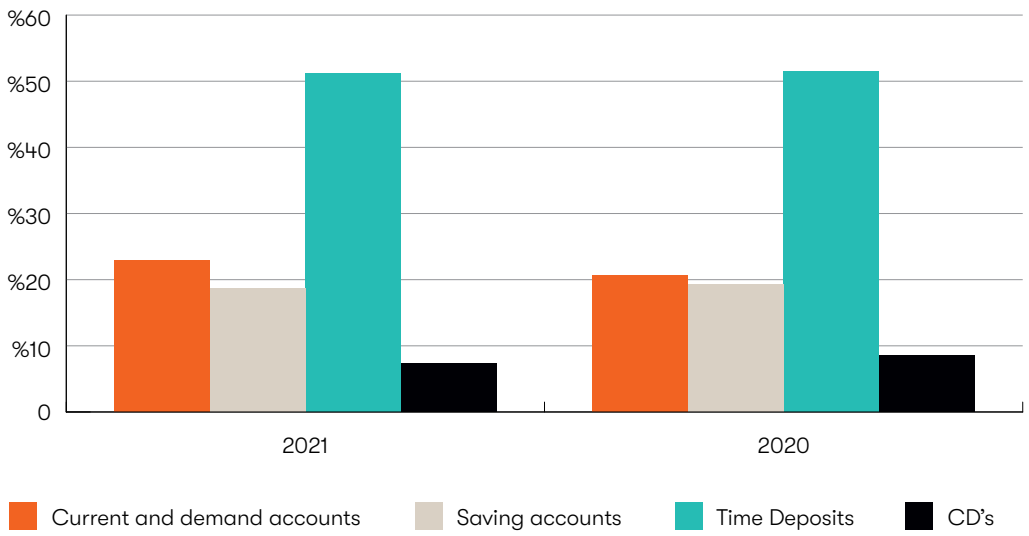
The Coronavirus Pandemic still has ramifications on the global economy and particularly on the local economy, not to mention the severe competition witnessed within the Jordanian Banking Sector for attracting customer deposits from various segments of the society. The Bank has demonstrated its ability to achieve positive growth in the volume of deposits through the distinguished banking services and products, whereby the average annual growth for the past five years (2017 – 2021) reached 12.8%.

The volume of deposits has also increased by JOD907.4 million at a growth rate of 22.7% compared with 2020, thus the total balance of Customer Deposits reached JOD4.910 billion at the end of the year. The Bank's market share of total Customer Deposits within the Kingdom reached 12.4% at the end of 2021 compared to 10.9% for last year.

Regarding the total Customer Deposits by Depositor Type, deposits in the retail sector increased by 15.0%, SME's by 59.4% and major corporations by 25.2%, while the government and public sector deposits recorded an increase of 58.7%.

As for the structure of Customer Deposits by Type of Deposit, "Time and Notice Deposits" accounted for 51.2% of the total deposits compared to 51.5% at the end of 2020. The "Current and Demand Accounts" accounted for 22.9% compared to 20.6% at the end of last year. Savings Deposits accounted for 18.6% compared to 19.3% in 2020. As for the Certificates of Deposit, these amounted to 7.3% of the total deposits compared to 8.6% in 2020 as shown in the graph below.

Relative importance of total deposits by type



Shareholders' Equity

Net Shareholders' Equity increased by JOD20.1 million with a growth rate of 4.9% reaching JOD428 million at the end of 2021. The annual growth rate for the past five years was 2.9%. It is also worth noting that the Return on Equity was 7.8% reflecting the outstanding performance achieved for 2021.

Level of Financial Solvency and Capital Adequacy

The Capital Adequacy Ratio amounted to 14.49% compared to 14.48% at the end of 2020 which is higher than the minimum required under Basel III which is 8% as well as higher than the Central Bank's requirements of 12.5%. We also point out that the ratio of the core capital to risk weighted assets amounted to 12.70% compared to 12.62% in 2020, thus reflecting the Bank's ability to address potential banking risks as well as the Bank's ability to expand and grow within the Capital Adequacy Determinants.

The Bank's Competitive Position

The comparative table below shows, according to the CBJ's Statistical Bulletin, the growth rates achieved in the Jordanian Banking Sector compared with those achieved by Bank al Etihad.

By comparing the Sector's Balance within the Kingdom with the balances of the Balance Sheet Items at the Bank, it is shown that the growth rate for the Direct Credit Facilities extended by the Banking Sector amounted to 4.85% as for Bank al Etihad, the growth rate of its facilities amounted to 14.7%. Regarding Customer Deposits, the Banking Sector achieved a growth rate of 7.43% while Bank al Etihad achieved a growth rate of 22.7%.

	Growth rate			
	Banking sector		Bank al Etihad	
	2021	2020	2021	2020
Direct credit facilities	4.85%	5.75%	14.69%	9.93%
Customer deposits:	7.43%	4.20%	22.70%	11.83%
Current and demand	9.69%	10.64%	36.78%	26.78%
Savings	7.93%	6.72%	18.66%	7.68%
Time	6.81%	1.26%	21.74%	10.30%
Cash margins	6.42%	(2.01%)	(2.58%)	35.32%

Regarding the Bank's market share, the Direct Credit Facilities amounted to 12.1% in 2021 compared to 11.1% at the end of 2020. Moreover, the Bank's market share of the Customer Deposits amounted to 12.4% while it amounted to 10.9% in 2020.

Financial solvency indicators

Description	2017	2018	2019	2020	2021
Return On Total Average Assets	1.1%	1.1%	0.9%	0.6%	0.7%
Return On Average Equity	10.2%	9.6%	8.3%	5.9%	7.8%
Capital Adequacy	14.70%	14.12%	13.99%	14.48%	14.49%
Facilities within Stage III / Total Facilities	4.95%	4.93%	4.24%	3.83%	3.73%
Debt within Coverage Ratio – Coverage of Impairment of Total Facilities Stage III	81.4%	73.4%	77.7%	75.1%	77.4%
Total Statutory Liquidity	128.56%	118.58%	117.97%	122.77%	144.49%

Second: The bank's operating results

Interests and commissions received

The Bank's income from Interests, Returns and Commissions showed an increase during the past five years. The income rose from JOD209 million in 2017 to JOD289 million at the end of 2021 at an average growth rate of 6.7%. We also indicate that it has risen by 4.2% compared to 2020.

By considering the interest and returns items received, the interests resulting from Direct Credit Facilities accounted for 82.7% of total interest at the end of 2021. The interest and returns earned on retail facilities achieved a growth rate of 10.3% compared to 2020 and the growth rate of real estate loans amounted to 4.1% over and above a growth rate of 83.7% in the facilities for government and public sector.

As for the commissions received, those increased by 16.2% compared to 2020, reaching JOD27.4 million.

Interest, expenses and commissions paid

This item recorded an increase of 1.7% compared to last year. The average annual growth over the past five years amounted to 7.7% whereby the interest, expenses and commissions paid increased from JOD72.9 million in 2017 to JOD105.6 million at the end of 2021.

Interest paid on Customer Deposits accounted for the largest share which amounted to 83.6% of the total interest and commission paid. As for the remaining interest, it came from bank deposits, cash margins, borrowed funds and deposit insurance fees.

Operational expenses

The operational expenses (administrative and general expenses, depreciation and amortization) increased at an annual average of 5.3% between 2017 – 2021 from JOD77.3 million to JOD100.3 million. By considering the details of this item, we find that the employees' expenses increased for the last five years from JOD40 million to JOD48.8 million and the administrative and general expenses amounted to JOD36.9 million at the end of the year compared to JOD27.0 million at the end of 2017, over and above the increase in the depreciation and amortization expenses during the same period

from JOD10.3 million to JOD14.6 million. It is worth mentioning that the increase in the operational expenses was due to expanding the Bank's network of branches throughout most parts of the Kingdom, whereby the number of branches reached 57 in 2021 compared to 44 branches in 2017. The Bank has also hired highly qualified and experienced employees; provided training and developing of its employees skills; with investment in the Bank's distinguished technological systems and launching multiple advertising campaigns for new services and products.

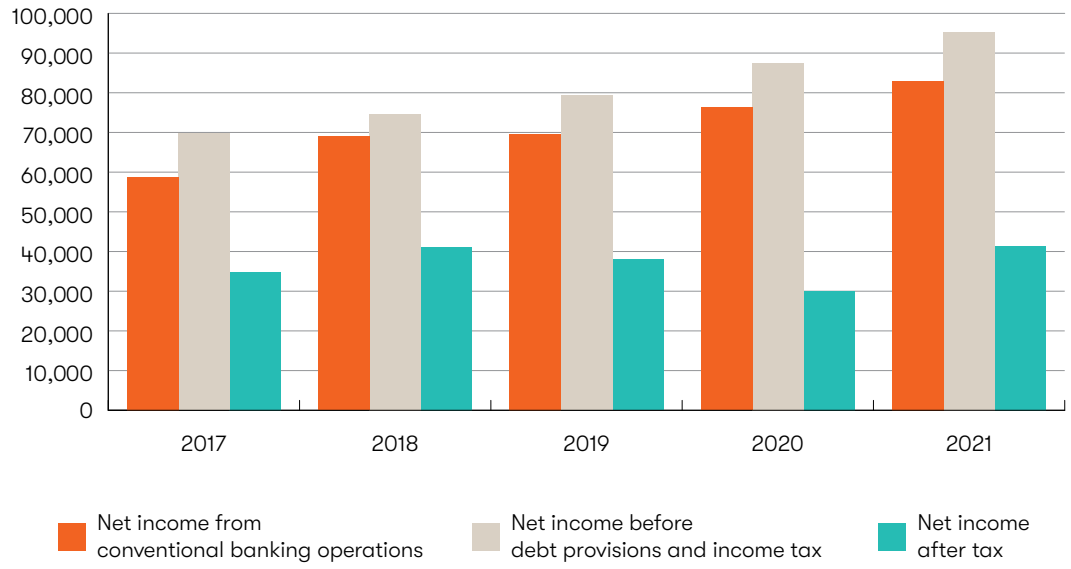
Net income

Net Income from conventional banking operations grew by 8.7% at the end of 2021 amounting to JOD82.9 million where the average annual growth rate for this item reached 7.1% over the past five years. Net Income before provisions and income tax also increased at the end of the year recording JOD95.3 million at a growth rate of 8.8%, therefore, the Net Income after tax amounted to JOD41.4 million at the end of 2021 achieving a growth rate of 37.9%.

The following table and graph show the development in income and expenses during the last five years (2017 – 2021)

Description	2017	2018	2019	2020	2021
Interest and commissions received	208,999	241,562	279,716	277,050	288,776
Interest and commissions paid	72,910	89,760	117,288	103,803	105,570
Net interest and commissions	136,089	151,802	162,429	173,247	183,206
Expenses, depreciation and amortization	77,348	82,854	92,863	96,987	100,297
Net income from conventional banking operations	58,741	68,948	69,566	76,260	82,909
Income from foreign exchange and gold trading	5,525	5,854	6,965	6,750	6,840
Income from investments	4,297	(1,433)	1,351	3,063	3,370
Other revenues	1,219	1,346	1,457	1,462	2,160
Net income before provisions and income tax	69,782	74,715	79,337	87,535	95,279
Provisions	17,638	12,185	17,991	40,628	30,096
Income tax	17,345	21,444	23,330	16,863	23,758
Net income after tax	**34,799**	**41,086**	**38,016**	**30,044**	**41,425**

(Rounded to JOD1,000)



(Rounded to JOD1,000)

Corporate governance report for listed shareholding companies



Bank al Etihad believes in the importance of corporate governance in furthering the principles of safety and security in the banking sector and increasing the confidence of depositors and investors in the bank, bringing about a positive impact on the bank's standing and providing a sound basis for our strategic growth plans. The Board of Directors has endorsed the Corporate Governance Manual incorporating the principles which shall be adopted for the management of our corporation and govern the relationships among all relevant stakeholders, including shareholders, depositors, the Board of Directors, executive management, employees and various regulatory authorities. This report was prepared in line with the requirements of the 2017 Corporate Governance Regulations for Listed Shareholding Companies issued by Jordan Securities Commission, requiring the preparation of a governance report and inclusion thereof in the bank's annual report as well as disclosing the extent of the bank's compliance in implementing the provisions of such regulations.

First: Information and details regarding the implementation of the corporate governance regulations for listed shareholding companies

The bank is committed to implementing all the provisions contained in the Corporate Governance Regulations for Listed Shareholding Companies.

Second: Information related to the board of directors and board committees

Profile of the board of directors members

1. Isam Halim Jiryes Salfiti
Chairman of the board (non-executive, non-independent director)

Chairman of the credit facilities committee and corporate governance committee

Year of Birth: 1944

Academic Qualifications: BA in Economics, American University of Beirut, 1967

Work Experience:

- Chairman of Bank al Etihad (6/1997 to date)
- General Manager of Bank al Etihad (7/1989-7/2008)
- Chairman of the Board of Directors of Etihad Financial Brokerage Co. (2/2006 to date)
- Deputy General Manager of the Arab Financial Corporation (Jordan) (10/1986-6/1989)
- Former Member of the Board of Trustees of the University of Jordan
- Chairman of the Jordanian Hotels and Tourism Co., PSC
- Former Chairman of Middle East & Commodore Hotels Company, PSC
- Board Member of Zara Investment Co., PSC
- Member of the Board of Trustees, King Hussein Foundation
- Member of the Board of Trustees, Jubilee School
- Member of the Board of Trustees, Baccalaureate School

2. Bassem Isam Halim Salfiti
Vice-Chairman of the Board (Non-Executive, Non-Independent Director)

Chairman of IT Governance Committee and Member of Management Committee, Credit Facilities Committee and Risk Management Committee

Year of Birth: 1972

Academic Qualifications:
- BA in Electrical Engineering from Brown University, the USA (1993)
- MA in Finance and Corporate Strategic Planning from Columbia University, the USA (2000)

Work Experience:
- Chairman of the Board of Trustees of Al Hussein Technical University (HTU)
- Board Member of Petra National Trust (PNT).
- Board Member of the Innovative Startups Fund (ISSF).
- Board Member of Delta Insurance Co., PSC
- Representative of the Etihad Islamic Investment Company on the Board of Directors of Safwa Islamic Bank, PSC.
- General Partner and Co-Director of Hummingbird Ventures London, UK (2013-2017)
- Head of Investment Banking Unit/European Technology at Perella Weinberg Partners in London, UK (2006 - 2013)
- Executive Manager of the Technological Investment Banking Unit at Morgan Stanley & Co., London, UK (2000 - 2006)
- Chief Executive Officer of Operations at Best Laboratories Inc., Sunnyvale, California (1994 - 1998)

3. "Mohammad Nabil" Abdel-Hadi Mohammad Hammoudeh
(Non-Executive, Non-Independent Director)

Chairman of Management Committee and Member of Nominations & Remuneration Committee and Credit Facilities Committee

Year of Birth: 1949

Academic Qualifications: BA in Business Administration from England, 1974

Work Experience:
- Chairman and General Manager of Hammoudeh Group
- Businessman and investor (1975 to date)
- Grindlays bank (until the end of 1974)
- Board Member at several public and private companies
- Board Member of Middle East Insurance Co., PSC
- Chairman of Jordan Poultry Processing and Marketing Company, PSC

4. Amjad Samir Abu Rawi
Representative of Libyan Foreign Investment Company (LAFICO) (Non-Executive, Non-Independent Director)

Chairman of IT Governance, member of management Committee, member of direct Facilities and Risk Committee

Year of Birth: 1986

Academic Qualifications: Accounting Certificate from the Arab Academy for Banking and Financial Sciences in Jordan, 2008.

Work Experience:

- Investment Director at the Long-Term Investment Portfolio to date.
- Head of Accounting and Budget Department at the Long-Term Investment Portfolio (2013- 2019).
- Accountant at the Long-Term Investment Portfolio (2008-2013).
- Board Member of OLA ENERGY (2017-2020).
- The said member is not a member of the board of any public shareholding company in Jordan.

5. Jalal Anwar Mousa Al-Ajlouni
Social Security Corporation's Representative (Non- Executive, Non-Independent Director)

Member of the Audit Committee and Compliance Committee

Year of Birth: 1981

Academic Qualifications:

- MA in Banking and Finance from Yarmouk University (2006)
- BA in Banking and Finance from Yarmouk University (2003)
- Certified Project Manager (CPM) (2011)
- Certified Credit Analyst (CCA) (2008)

Work Experience:

- Head of Treasury of the Social Security Investment Fund (to date)
- Former Vice-Chairman of the Board of Directors of Daman for Financial Leasing.
- Former Board Member of the Jordan Worsted Mills Co. Ltd.

6. Imad Mohammad Abdel Khaleq
(Non-Executive, Independent Director)

Chairman of Nominations & Remuneration Committee and Credit Facilities and Management Committee

Year of Birth: 1963

Academic Qualifications: BA in Mathematics from the University of Wisconsin, the USA (1987)

Work Experience:

- General Manager of Jordan Insurance Company (since 2005)
- Vice President of the Jordan Insurance Federation (2009-2010)
- Held several positions at the Munich Reinsurance Company, Germany, the last being Senior Regional Manager (1990-2005)
- Board Member of Asia Insurance Company, Kurdistan, Iraq
- Board Member of Al-Watania Insurance Company, Yemen
- Vice Chairman of the Executive Committee, AWRIS/Bahrain
- Member of the MENA Insurance CEO Club
- Former Board Member of the Jordan Insurance Federation

7. Mughith Ghiath Muneir Sukhtian (Non-Executive, Non-Independent Director)

Member of Credit Facilities Committee, IT Governance Committee and Management Committee

Year of Birth: 1973

Academic Qualifications:
- BA and MA in Industrial Systems Engineering, Rensselaer Polytechnic Institute - Troy, New York (1994)
- MBA from Columbia University, New York (2001)

Work Experience:
- Managing Director of GMS Specialized Services (2013 to date)
- Deputy Assistant Director at the Mergers and Acquisitions of Financial Institutions Group, JP Morgan USA (2000-2003)

Directorships:
- Board Member of Ghiath Munir Sukhtian Holdings (GMS)
- Board Member of Palestine Telecommunications
- Board Member of Munir Sukhtian International Group of companies (MSI)
- Board Member of VTEL Holdings and subsidiaries
- Member of the Board of Trustees at Columbia University Middle East Research Center
- Member of the Board of Trustees of Jordan Media Institute
- The said member is not a member of the board of any public shareholding company in Jordan.

8. Rana Jamil Said Abbadi (Non-Executive, Independent Director)

Chairman of Audit Committee, member of Compliance Committee and Corporate Governance Committee

Year of Birth: 1966

Academic Qualifications: BA in Accounting and Business Administration from the University of Jordan

Work Experience:
- • Financial advisor and digital transformation consultant at Ezz Al Arab Group
- • Board Member and Chairman of the Audit Committee of Orascom Financial Holding.
- • Held several positions at Orascom and Orange Group:
  - Deputy CEO, Government Relations and Wholesale Affairs
  - Deputy CEO, Quality and Institutional Support (4/2009-12/2011)
  - Deputy CEO, Development (1/2007-4/2009)
  - Chief Financial Officer (6/2002-12/2006)
- Finance Director at Fastlink (1995-1997)
- Senior Auditor at Saba & Co. (1988-1995)
- Board Member of International Company for Leasing, Egypt
- Board Member of International Company for Finance, Egypt
- Board Member of the Chamber of Information Technology & Communication - Egyptian Ministry of Industry and Trade
- The said member is not a member of the board of any public shareholding company in Jordan.

9. Riad Abdul Mohsen Taher Al Dajani (Non-Executive, Independent Director)

Chairman of the Compliance Committee and member of Corporate Governance Committee and Audit Committee

Year of Birth: 1940

Academic Qualifications:

- MA in Accounting from DePaul University in Chicago, USA
- Member of the American Institute of Certified Public Accountants
- Founder and member of the JCPA

Work Experience:

- Managing Partner at Arthur Andersen & Co.
- Managing Partner at Dajani & Alaa Eddine Company, Jordan
- Former Chairman of Al-Mashreq Insurance Company, Ramallah
- Chairman of Jericho Tourist Village Company, Jericho
- Former Trustee at the Saint John Eye Hospital, Jerusalem
- Former Trustee at the St. Joseph's Hospital, Jerusalem
- Former Member of the Palestinian Centre for Microfinance, Jerusalem
- The said member is not a member of the board of any public shareholding company in Jordan.

10. Jabra "Raja Yaqoub" Jabra Ghandour (Non-Executive, Independent Director)

Chairman of the Risk Committee and member of Audit Committee and Nominations and Remuneration Committee

Year of Birth: 1962

Academic Qualifications: MA in Architecture from University of Texas, USA, and BA in Civil Engineering from Arlington University, USA

Work Experience:

- CEO of Boubyan Capital Investment Company (7/2018 to date)
- Board Member of Bank of London and the Middle East (2015 to date)
- CEO of Bank of London and The Middle East (2015-2016)
- CEO and Board Member of Qatar International Bank (2012-2015)
- General Manager of National Bank of Kuwait (Jordan) (until 2012)
- The said member is not a member of the board of any public shareholding company in Jordan.

11. Fawzi Misbah Ali Abu Khozam

Representative of Libyan Foreign Investment Company (LAFICO) (as from 3/3/2021) (Non-Executive, Non-Independent Director)

Member of Compliance Committee and Information Technology Governance Committee

Year of Birth: 1965

Academic Qualifications:

- PhD Degree in Software Engineering from Brunswick University, Canada
- Master Degree in Software Engineering, Acadia University, Canada and BA Mechanical Engineering from University of Benghazi, Libya.

Work Experience:

- Director of Payments and Settlements Department at the Central Bank of Libya
- Board Member of Arab Banking Corporation, Egypt (Part time)
- Vice-chairman of Sahara Bank (part time)
- Assistant General Manager of Operational Activities at the National Commercial Bank
- Project Manager of the Total Development at the National Commercial Bank in cooperation with an international consultancy company
- Information Technology Department Manager at the National Commercial Bank
- Associate Faculty Member at the Higher Studies Academy in Tripoli
- Faculty Member at Sabha University

Technical Committees

- VP of the Strategic Committee at the Central Bank
- President of the Higher Technical Committee at the Central Bank of Libya
- President of Electronic Transaction Development Committee at the Libyan Banking Market
- M ember of Training and Development of Human Resources at the Central Bank of Libya
- Member of the Arab Committee for Payment and Settlement Systems
- Member of Information Committee at the Libyan Banks Association
- The said member is not a member of the board of any public shareholding company in Jordan.

Names of resigned board members in 2021

No members submitted their resignations during the said year.

Board committees:

- Audit Committee
- Corporate Governance Committee
- Risk Committee
- Compliance Committee
- Nominations and Remuneration Committee
- IT Governance Committee
- Management Committee
- Credit Facilities Committee

Number of board and board committee meetings during 2021:

1. Board meetings: 8 meetings

Member's name	Attendance Information							
	7/2	28/3	29/4	28/6	22/8	26/9	31/10	16/12
Isam Halim Salfiti	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance
Bassem Isam Salfiti	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance
Mohammad Nabil Abdul Hadi Hammoudeh	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance
Jabra "Raja Yaqoub" Jabra Ghandour	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance
Mughith Ghiath Sukhtian	Attendance	Attendance	Absence	Absence	Attendance	Attendance	Attendance	Attendance
Riad Abdul Mohsen Taher Al Dajani	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Absence
Social Security Corporation / Jalal Al Ajlouni	Attendance	Attendance	Absence	Absence	Attendance	Attendance	Attendance	Attendance
Rana Jamil Said Abbadi	Attendance	Attendance	Attendance	Attendance	Absence	Attendance	Attendance	Attendance
Imad Mohammad Abdel Khaleq	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance
LAFICO / Fawzi Misbah Ali Abu Khozam as from 3/3/2021	-	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance
LAFICO / Amjad Samir Amjad Abu Rawi	Attendance	Absence	Attendance	Attendance	Attendance	Attendance	Attendance	Attendance

2. Audit committee: 11 meetings

Member's name	Attendance Information										
	3/2	7/2	29/3	28/4	27/6	26/7	28/7	6/9	23/9	24/10	15/12
Rana Jamil Said Abbadi	attendance	attendance	absence	attendance	attendance	attendance	attendance	attendance	attendance	attendance	attendance
Riad Abdul Mohsen Taher Al Dajani	attendance	attendance	attendance	attendance	attendance	attendance	attendance	attendance	absence	attendance	attendance
Jabra "Raja Yaqoub" Jabra Ghandour from 1/4/2021	-	-	-	attendance	absence	attendance	attendance	attendance	attendance	attendance	attendance
Social Security Corporation / Jalal Al Ajlouni	attendance	attendance	attendance	attendance	attendance	attendance	attendance	attendance	attendance	attendance	attendance
LAFICO / Amjad Samir Amjad Abu Rawi	attendance	attendance	attendance	attendance	absence	attendance	attendance	attendance	attendance	attendance	attendance
Imad Mohammad Abdel Khaleq – up to 1/4/2021	attendance	attended	attendance	-	-	-	-	-	-	-	-

3. Corporate governance committee: 2 meetings

Member's name	Attendance Information	
	04/07	13/12
Isam Halim Jiryes Salfiti	Attendance	Attendance
Riad Abdul-Mohsen Taher Al-Dajani	Attendance	Attendance
Rana Jamil Said Abbadi	Attendance	Attendance

4. Risk management committee: 7 meetings

Member's name	Attendance Information						
	16/03	24/03	26/04	24/06	29/07	22/09	14/12
Bassem Isam Salfiti	attendance	attendance	attendance	attendance	attendance	attendance	attendance
Imad Mohammad Abdel Khaleq – up to 1/4/2021	attendance	attendance	-	-	-	-	-
Mughith Ghiath Munir Sukhtian up to 1/4/2021	attendance	attendance	-	-	-	-	-
LAFICO / Amjad Abu Rawi since 28/6/2021	-	-	-	-	attendance	attendance	attendance
Jabra "Raja Yaqoub" Jabra Ghandour since 1/4/2021	-	-	absence	attendance	attendance	attendance	attendance
Social Security Corporation/ Jalal Al Ajlouni since 1/4/2021	-	-	attendance	attendance	attendance	attendance	attendance

5. Compliance committee: 5 meetings

Member's name	Attendance Information				
	18/01	16/03	05/05	15/07	24/10
Rana Jamil Said Abbadi	attendance	attendance	attendance	attendance	attendance
Jabra "Raja Yaqoub" Jabra Ghandour until 1/4/2021	attendance	attendance	-	-	-
Social Security Corporation/ Jalal Al Ajlouni until 1/4/2021	attendance	attendance	-	-	-
Riad Abdul Mohsen Taher Al Dajani since 1/4/2021	-	-	attendance	attendance	attendance
LAFICO/ Fawzi Misbah Ali Abu Khozam since 1/4/2021	-	-	attendance	attendance	attendance

6. Nominations and remuneration committee: 6 meetings

Member's name	Attendance Information					
	07/01	04/02	25/03	22/06	21/09	07/12
Imad Mohammad Abdel Khaleq/ Ithmar Supply Company	attendance	attendance	attendance	attendance	attendance	Attendance
Mohammad Nabil Abdel- Hadi Hammoudeh	attendance	attendance	attendance	attendance	attendance	attendance
Jabra Raja Yaqoub Jabra Ghandour	attendance	attendance	attendance	attendance	attendance	attendance

7. IT governance committee: 4 meetings

Member's name	Attendance Information			
	16/01	06/28	28/09	01/12
Bassem Isam Salfiti	attendance	attendance	attendance	attendance
Mughith Ghiath Munir Sukhtian	attendance	attendance	attendance	attendance
Jabra Raja Yaqoub Jabra Ghandour up to 1/4/2021	attendance	-	-	-
LAFICO / Fawzi Misbah Ali Abu Khozam since 1/4/2021	-	attendance	absence	attendance

8. Management committee: 18 meetings

Attendance Information	Member's name			
	Mohammad Nabil Abdul Hadi Hammoudeh	Mughith Ghiath Munir Sukhtian	Bassem Isam Halim Salfiti	Imad Mohammad Abdel Khaleq since 1/4/2021
07/01	Attendance	Attendance	Attendance	-
28/01	Attendance	Attendance	Attendance	-
25/02	Attendance	Attendance	Attendance	-
07/03	Attendance	Attendance	Attendance	-
11/03	Attendance	Attendance	Absence	-
25/03	Attendance	Attendance	Attendance	-
06/05	Attendance	Attendance	Absence	Attendance
27/05	Attendance	Attendance	Attendance	Attendance
24/06	Attendance	Attendance	Attendance	Attendance
01/07	Attendance	Absence	Attendance	Attendance
29/07	Absence	Attendance	Attendance	Attendance
05/08	Absence	Attendance	Attendance	Attendance
23/09	Attendance	Attendance	Attendance	Attendance
14/10	Attendance	Absence	Attendance	Attendance
24/10	Attendance	Absence	Attendance	Attendance
11/11	Attendance	Attendance	Attendance	Attendance
25/11	Attendance	Attendance	Attendance	Attendance
30/12	Attendance	Attendance	Attendance	Attendance

9. Credit facilities committee: 37 meetings

Attendance Information	Member's name				
	Isam Halim Jiryes Salfiti	Mohammad Nabil Abdul Hadi Hammoudeh	Mughith Ghiath Munir Sukhtian	Bassem Isam Halim Salfiti	Imad Mohammad Abdel Khaleq since 1/4/2021
07/01	Attendance	Attendance	Attendance	Attendance	-
28/01	Attendance	Attendance	Attendance	Attendance	-
04/02	Attendance	Attendance	Attendance	Attendance	-
25/02	Attendance	Attendance	Attendance	Attendance	-
07/03	Attendance	Attendance	Attendance	Attendance	-
11/03	Attendance	Attendance	Attendance	Attendance	-
25/03	Attendance	Attendance	Attendance	Attendance	-
12/04	Attendance	Attendance	Attendance	Attendance	Attendance
22/04	Attendance	Attendance	Attendance	Attendance	Attendance
06/05	Attendance	Attendance	Attendance	Absence	Attendance
27/05	Attendance	Attendance	Attendance	Attendance	Attendance
06/06	Attendance	Attendance	Attendance	Attendance	Attendance
14/06	Attendance	Attendance	Absence	Attendance	Attendance
24/06	Attendance	Attendance	Absence	Attendance	Attendance
01/07	Attendance	Attendance	Absence	Attendance	Attendance
08/07	Absence	Attendance	Attendance	Attendance	Attendance
29/07	Attendance	Absence	Attendance	Attendance	Attendance
05/08	Attendance	Absence	Attendance	Attendance	Attendance
12/08	Attendance	Attendance	Attendance	Attendance	Attendance
19/08	Attendance	Absence	Attendance	Attendance	Attendance
26/08	Attendance	Absence	Attendance	Attendance	Attendance
02/09	Attendance	Absence	Attendance	Attendance	Attendance
09/09	Attendance	Absence	Attendance	Attendance	Attendance
16/09	Attendance	Attendance	Attendance	Attendance	Attendance
23/09	Attendance	Attendance	Attendance	Attendance	Attendance
29/09	Attendance	Attendance	Attendance	Attendance	Attendance
07/10	Absence	Attendance	Attendance	Attendance	Attendance
14/10	Attendance	Attendance	Absence	Attendance	Attendance
24/10	Attendance	Attendance	Absence	Attendance	Attendance
28/10	Attendance	Attendance	Attendance	Attendance	Attendance
04/11	Attendance	Attendance	Absence	Attendance	Attendance
11/11	Attendance	Attendance	Attendance	Attendance	Attendance
21/11	Absence	Attendance	Attendance	Attendance	Attendance
25/11	Attendance	Attendance	Attendance	Attendance	Attendance
02/12	Attendance	Attendance	Absence	Attendance	Attendance
09/12	Attendance	Absence	Attendance	Attendance	Attendance
30/12	Attendance	Attendance	Attendance	Attendance	Attendance

- The number of the Audit Committee's meetings with the External Auditor during 2021 was five Meetings
- The Executive Director of the Compliance Department shall be the Governance Liaison Officer at the Bank
- The Committees shall exercise their assigned functions in accordance with the Corporate Governance Guide

Fourth: Names and titles of senior executive management-related information

Executive Title	Name
Chief Executive Officer (CEO)	Nadia Helmi Hafez Al-Saeed
Deputy CEO	Deema Mefleh Mohammed Akel
Head of Corporate Banking	"Mohammed Ghasseb" Abdullah Abdel- Majeed Hatamleh
Head of Credit & Credit Management	Tarik "Mohammed Said" Hasan Badawi
Head of Central Operations	Mohamed Mahmoud Ahmed Burjak
Head of Finance	Zaid Eyad Akram Kamal
Head of Human Resources and Customer Experience	Daniel Fawaz Odeh Al-Sharaiha
Head of Audit	Bashar "Mohammed Khair" Awad Ababneh
Head of Retail Banking	Mahmoud Tayseer Ahmad Badwan*
Head of SME Department	Mahmoud Tayseer Ahmad Badwan
Head of Treasury	Fadi "Ahmad Kamal" Marei Marei
Head of Technology	Amer "Mohammad Kheir" Zaki Abu Laila
Head of Risk Management	Khaled Abdel-Malek Mohamed Abdel- Malek
Head of Corporate Communications & Marketing	Natalie Mazen Yousef Al-Naber
Executive Manager of Compliance	Tamer Wasef "Mohamed Moussa" Barakat

*Mr. Mahmoud Tayseer Ahmad Badwan has been assigned the position of Head of Retail Banking as of 26/10/2020 in addition to his duties as Head of SME's until 31/12/2021

Isam Halim Salfiti
Chairman

Disclosures required by the Jordan securities commission and corporate governance instructions

Main activities of the bank:

The bank provides all banking, credit and financial services and products for individuals, SME's and large companies, opens outward and inward documentary LC's and issues local and foreign letters of guarantee to all customers.

The bank also accepts deposits of all types (demand, savings, time and certificates of deposit).

Geographical locations of the bank and the number of employees in each of them:

The number of the Bank's branches spread throughout the Kingdom was 57 branches in 2021 in addition to the Central Exchange Unit, Boulevard Exchange Unit, Jabal Al Weibdeh, Bonded Warehouses, Etihad Leasing Company, Etihad Financial Brokerage Company, Islamic Investment Company and Etihad Financial Technology Company.

The addresses of each of them are detailed at the end of the report under the (Network of Branches, Subsidiaries and Exchange Offices in the Hashemite Kingdom of Jordan):

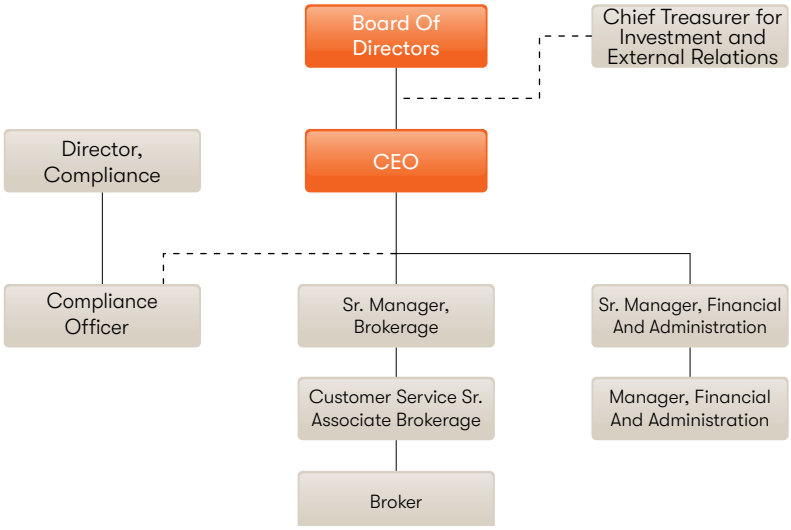
Branch Name/Location	No. of Employees	Branch Name/Location	No. of Employees
Head Office	643	Shmeisani	22
Jabal Amman	5	Dabuq	12
Gardens	14	Sweifieh	10
Mecca Street	11	Jubaiha	9
City Mall	20	Dahiyat al Yasmin	7
Marj Al-Hamam	9	Wasat al-Balad	6
Wihdat	6	Marka Al-Shamaliyeh	10
Taj Mall	15	Abdoun	15
North Abdoun	5	Um Uthaina	12
JoPark	8	Jabal Hussein	6
Rainbow Street	4	Irbid University	6
Bayader	7	Rabieh	5
Karak	8	Khalda	12
Sahab	5	Tabarbour	7
Al-Hashimi Al-Shamali	5	Madaba	8
Zarqa	5	New Zarqa	7
Ramtha	5	Irbid	7
Huson	6	Aqaba	8
Mahes	5	Abdali Mall	13
Mafreq	7	New Amman Center / Irbid	12
Moqabalein	7	Highway Mall	5
Dahiyat Al-Rasheed	8	Sweileh	5
Abu-Alanda	5	Sports City	5
Business Center	4	Salt	6
Shafa Badran	8	Bonded Warehouses	7
Sweifieh Village	6	Dabuq 2	5
Jerash	6	Zarqa Free Zone	8
Al Weibdeh	5	Mecca Mall	11
Al Nakhil District	5	Rusaifeh	6
Zarqa Mall	13	Direct Sales Unit	44
Contact Center	66	Central Exchange Unit / Shmeisani	18
Boulevard Exchange Unit	2	Etihad Financial Brokerage Company	4
Etihad Leasing Company	9	Etihad Financial Technology Co	4
Etihad Islamic Investment Company	-		
Total			**1,259**

Capital investment size

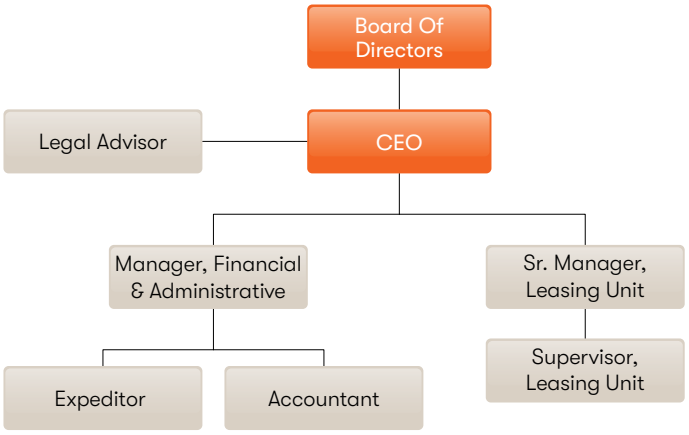
Capital investment as at 31/12/2021 amounted to JOD11.5 million.

Subsidiaries of the bank:

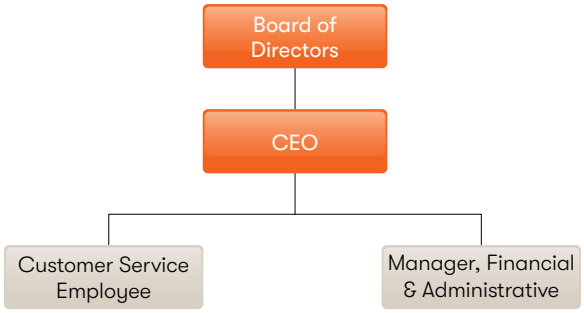
1. **Etihad Financial Brokerage Company:** It is a wholly owned subsidiary established in 2006. It exercises and offers services in financial brokerage, acts as a financial dealer, investment trustee and financial consultant, and engages in investment management and margin trading.



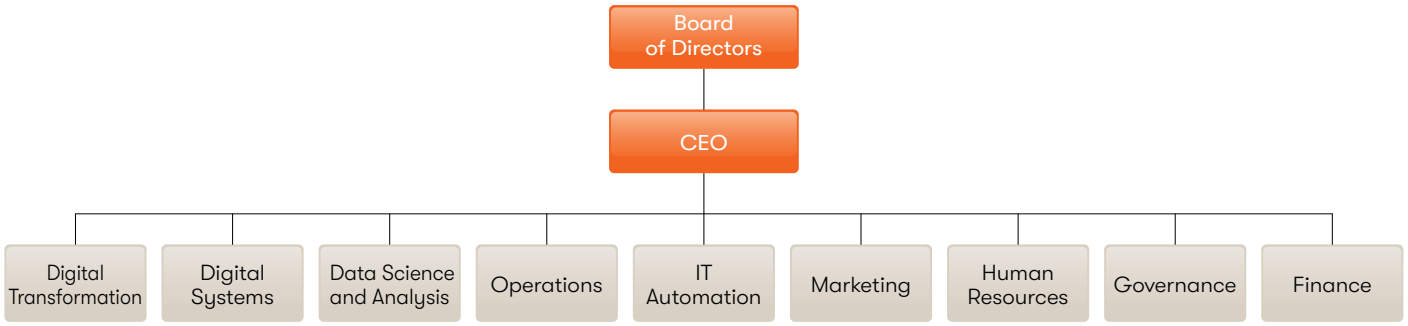
2. **Etihad Leasing Company:** It is a wholly owned subsidiary, established in 2015. It engages in financing the purchase of vehicles and automobiles; renting and acquisition of movable and immovable property for the purpose of conducting financial leasing; borrowing the necessary funds from banks and mortgaging property for the purpose of conducting financial leasing; buying, selling, trading in, importing and exporting materials and fixed goods including machinery and equipment and selling them in cash or in installments or through financial leasing; opening accounts for the Company at banks and financial companies inside and outside Jordan for the purpose of conducting financial leasing; and partnering with individuals and commercial, industrial and financial companies as well as financial institutions and companies and banks inside and outside Jordan.



3. **Islamic Investment Company:** It was established by the bank on 30 November 2016, and the bank owns 58% of its capital. The Company was primarily founded to acquire a controlling stake (62.4%) in Jordan Dubai Islamic bank (Safwa Islamic Bank).



4. **Etihad Financial Technology Company:** It is a wholly owned subsidiary established in 2019. It engages in investing in the areas of financial technology, financial education and financial inclusion; manufacturing and selling electronic and electrical communication devices related to financial technology; and manufacturing, programming, developing and supplying programs, systems or applications related to financial technology and their supplies.



Names and profiles of former and present board members:

This item was included in detail in the report under the "Corporate Governance Report for Listed Shareholding Companies".

Names and titles of senior executive management:

Nadia Helmi Hafez Al-Saeed

Chief Executive Officer (CEO)

Year of Birth: 1965

Academic Qualifications:

- MBA in Finance and Management Information Systems from the American University in Cairo, 1992
- BA in Economics and Business Administration from the University of Jordan

Work Experience:

- CEO of Bank al Etihad
- Strategic Development Consultant at Bank al Etihad
- CEO of Dead Sea Development Company
- Minister of Information and Communications Technology
- Secretary General of the Ministry of Information and Communications Technology
- Economic Advisor to Minister of Information and Communications Technology
- 10 years of banking experience at Bank al Etihad, holding several key positions, the last being: Director of the Corporate Banking Department
- Jordanian Group for Technology
- Najjar Group, Cairo

Memberships:

- Vice Chairperson of the Board of Directors of Etihad Financial Brokerage Co.
- Vice Chairperson of the Board of Directors of Etihad Leasing Co.
- Vice Chairperson, Etihad Financial Technology Company
- Board Member, Etihad Islamic Investment Company
- Board Member, Jordan Payment Systems Co.
- Chairperson of Endeavor Jordan
- Jordan Loan Insurance Corporation

Deema Mefleh Mohammed Akel

Deputy CEO

Year of Birth: 1968

Academic Qualifications:

- MBA from Imperial College London, UK, 2001
- MA in Financial Markets, 1998
- BA in Electrical Engineering, 1990

Work Experience:

- Deputy General Manager at Bank al Etihad (since 1/2012)
- Assistant General Manager of Risk Management and Compliance at Bank al Etihad (until 1/2012).
- Assistant General Manager/Head of Risk Management and Compliance at Ahli Bank (2005 - 2007)
- Head of Risk Management and Credit Policy at Housing Bank for Trade and Finance (2004 - 2005)
- Credit Risk Manager at Arab Bank (1990 - 2004)
- Board Member of Etihad Financial Brokerage Co.
- Board Member of Etihad Leasing Co.
- Board Member of Safwa Islamic Bank

"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh

Head of Corporate Banking

Year of Birth: 1971

Academic Qualifications:
- MBA in Finance from NYIT/Jordan, 2007
- BA in Economics from Damascus University, 1993

Work Experience:
- Bank al Etihad (since 06/1999)
- Cairo Amman Bank (1994 - 1999)
- Board Member of Commercial Banks Company for shareholding in Companies
- Board Member of Commercial Banks for Investment
- Board Member, the National Company for Investment in Infrastructure Projects

Bashar "Mohammed Khair" Awad Ababneh

Head of Internal Audit Department

Year of Birth: 1970

Academic Qualifications:
- MBA in Finance from Birmingham City University, UK, 1999
- BA in Accounting from the University of Jordan, 1994
- CBA, ACPA, Passed Level I CFA

Work Experience:
- Bank al Etihad (08/2008)
- Executive Manager of Internal Audit at Arab Banking Corporation (2005 - 2008)
- Assistant Executive Manager - Senior Financial Analyst at Deposit Insurance Corporation (2002 - 2005)
- Banks' Inspector and Financial Analyst at the Central Bank of Jordan (1994 - 2002)
- Vice-Chairman, Chairman of the Executive Committee, Chairman of the Audit Committee, member of the Governance Committee and member of the Nominations and Remuneration Committee during his representation of Bank al Etihad at the Board of Directors of Daman Investment Company from (11/5/2010 - 5/10/2021)
- Chairman of Audit Committee/King Hussein Foundation

Tarik "Mohammed Said" Hasan Badawi

Head of Credit & Credit Management

Year of Birth: 1966

Academic Qualifications:
- MBA in Accounting from the University of Jordan, 1995
- BA in Accounting, sub-major in Economics from the University of Jordan,1987

Work Experience:
- Bank al Etihad since (10/2008)
- Credit Manager for the Eastern Province at Bank Al Jazira, Saudi Arabia (2007-2008)
- Arab Bank, Credit Supervisor in the Credit Facilities Department, Jordan and Palestine Branches (2005-2007)
- Credit Supervisor at Bank Audi, Amman, Jordan (2004-2005)
- Arab Bank, Credit Supervisor in the Credit Facilities Department, Jordan and Palestine Branches (1991-2004)

Mohamed Mahmoud Ahmed Burjak

Head of Operations Department

Year of Birth: 1972

Academic Qualifications:

- BA in Accounting from Al-Ahliyya Amman University, Jordan (1994)
- Certified Business Process Re-Engineering Practitioner (2005)from the Mountain Home Institute for Innovative Management - USA

Work Experience:

- Bank al Etihad since (08/2008)
- Expert in international trade operations with over 25 years of experience in trade finance and banking operations
- Commercial Operations Manager at Jordan Commercial Bank (Jordan) (2005-2008)
- Arab Bank (Jordan), Riyad Bank (Saudi Arabia), and Capital Bank of Jordan (Jordan) (1994-2005)
- Chairman of the National Banking Commission at the International Chamber of Commerce (Jordan)
- Member of the ICC Banking Commission – Paris, and member of the ICC Task Force on Guarantees – Paris
- Member of Paris ICC Uniform Customs and Practice for Documentary Credits (UCP 600) Consulting Group
- Arbitrator in numerous international documentary disputes in the field of international trade operations

Daniel Fawaz Odeh Al-Sharaiha

Head of Human Resources and Customer Experience Department

Year of Birth: 1977

Academic Qualifications:

- BA in Electrical Engineering from Al-Balqa Applied University, 2000
- Registered Lead Assessor of Quality Management Systems, 2005
- Project Management Program from Microsoft, 2007
- Conflict Resolution Management at Eastern Mennonite University, USA, 2009
- Certified Human Resources Executive Professional from the Human Resources Management Academy, Bahrain/ Kenya, 2010
- Certified Dialogue Education Practitioner and Teacher from Global Learning Partners, Canada, 2012
- Certified HR Strategic Management Professional, London Business School, London, 2014
- Certified Business Strategy Executive, INSEAD University, Singapore, 2017
- Institutional Change and Human Resource Management, University of London, 2018
- Advanced Certificate in Business Administration from IE and AUB, 2/2019-6/2019

Work Experience:

- Bank al Etihad since (09/2010)
- Consultant and certified trainer in the field of human resources and customer experience management at several international public and private companies and NGOs (2005-2010)
- Talent and Development Executive Manager, Human Resources Department, at Zain-Jordan (2002-2010)
- Electrical Engineer at Setelcom (2000-2002)

Fadi "Ahmad Kamal" Marei Marei

Head of Treasury Department

Year of Birth: 1978

Academic Qualifications:

- MBA from the University of Liverpool, UK, 2016
- BA in Banking and Finance from Yarmouk University, 2001
- ACI Dealing Certificate, 2007
- Underwriting license from the Securities Commission, 2013
- Investment management license from the Securities Commission, 2015
- Financial advisor license from the Securities Commission, 2015

Work Experience:

- Bank al Etihad since (08/2002)
- Board Member of Etihad Financial Brokerage Co.
- Vice-chairman of Al Tajamouat for Tourism Projects Co.
- Board Member of Union Metal Forming and Engineering Company WLL
- Board Member of Jordan Solar One (Cayman) / Jordan PSC
- Board Member of Al Ward Al Jouri for Energy Generation Co. PSC
- Board Member of Zahrat Al Salam for Energy Generation Co. PSC
- Board Member of Al Zambaq Power Generation Co PSC

Zaid Eyad Akram Kamal

Head of Finance Department

Year of Birth: 1980

Academic Qualifications:

- BA in Business Administration with a sub-major in Finance and Banking from Yarmouk University, 2001
- CPA from the American Accounting Association

Work Experience:

- Bank al Etihad since (04/2014)
- Financial Director at the Military Credit Fund (2011-2014)
- Financial Controller at Standard Chartered Jordan (2007-2011)
- Senior Accountant at Capital Bank of Jordan (2004-2007)
- Assistant Department Head at Cairo Amman Bank (2001-2004)

Amer "Mohammad Kheir" Zaki Abu Laila

Head of Technology Department

Year of Birth: 1982

Academic Qualifications:

- BA in Business Networking and Systems Management from Philadelphia University,2005

Work Experience:

- Bank al Etihad since (11/2016)
- Founder and Chief Technology Officer at Marka VIP (2010-2016)
- Chief Technology Officer at Aram Creative Productions (2007-2010)
- IT and Development Manager at Quality Management Systems, Resourcing Services Ltd. (2006-2007)

Mahmoud Tayseer Ahmad Badwan

Head of SME Department

Head of Retail Banking (acting) as of 26/10/2020

Year of Birth: 1982

Academic Qualifications:
- MSc in Accounting and Finance from Hashemite University, 2008
- BA in Accounting from Yarmouk University, 2004

Work Experience:
- Bank al Etihad since (07/2013)
- Financial Manager at Al Rashid Hospital (2012-2013)
- Head of SME Department at Jordan Ahli Bank (2007-2012)
- Customer Relationship Manager at Housing Bank for Trade and Finance (2004-2007)

Natalie Mazen Yousef Al-Naber

Head of Corporate Communications & Marketing Department

Year of Birth: 1985

Academic Qualifications:
- BA in Marketing from Franklin University, Switzerland, 2007

Work Experience:
- Bank al Etihad since (03/2013)
- Communications Manager at Saraya Aqaba (2011-2013)
- Market Research Analyst at Saraya Real Estate Development Co. (2010-2011)
- Communication Executive at Saraya Real Estate Development Co. (2007-2010)

Khaled Abdel-Malek Mohamed Abdel-Malek

Head of Risk Management Department

Year of Birth: 1982

Academic Qualifications:
- MBA in Corporate Risk Management from the University of Salford, UK, 2007
- BA in Finance from the University of Jordan, 2003

Work Experience:
- Bank al Etihad since (2010)
- Senior Executive Manager of Credit Risks (2011-2018)
- Manager of Risk Models and Management Information Systems, Bank al Etihad (2010- 2011)
- Market Risk Officer, Cairo Amman Bank (2007-2010)
- Credit Officer, Cairo Amman Bank (2003-2006)

Tamer Wasef "Mohamed Moussa" Barakat

Executive Manager, Compliance Department

Year of Birth: 1986

Academic Qualifications:

- MBA from the German Jordanian University, 2012
- BA in Finance from the University of Jordan, 2008
- Certified Anti-Money Laundering and Terrorism Financing Specialist (CAMS)
- Certified Financial Crime Specialist (CFCS)
- Certified Fraud Examiner (CFE)
- ICA Advanced Certificate in Managing Sanctions Risk
- COBIT Foundations Certificate, (COBIT 5 Foundation)
- COBIT Implementation Certificate (COBIT 5 Implementation)

Work Experience:

- Bank al Etihad since (2018)
- Compliance Department Director, Bank ABC (Jordan) (03/2016)
- Arab Bank - Jordan: Assistant Director of Compliance Department (08/2012)
- Jordan Ahli Bank: Commercial Services Officer (Credits) (04/2008)

Names of major shareholders with equity exceeding 5%

Shareholder's Name	No. of Shares as at 31/12/2021	%	Pledged Shares	Beneficiary	No. of Shares as at 31/12/2020	%	Pledged Shares	Beneficiary
Libyan Foreign Investment Co.	32,413,763	20.3	-	-	32,413,763	20.3	-	-
Banque Banorient France	27,435,967	17.14	-	-	27,435,967	17.14	-	-
RS Finance	24,171,599	15.1	16,429,000	SGBJ	24,156,723	15.1	16,429,000	SGBJ
Isam Halim Jiryes Salfiti	15,207,886	9.5	5,551,508 2,000,000 **7,551,508**	SGBJ National Bank of Kuwait, Bahrain Branch Total	15,207,886	9.5	6,276,508 2,000,000 **8,276,508**	SGBJ National Bank of Kuwait, Bahrain Branch Total
Social Security Corporation	13,645,358	8.52	-	-	13,549,074	8.5	-	-

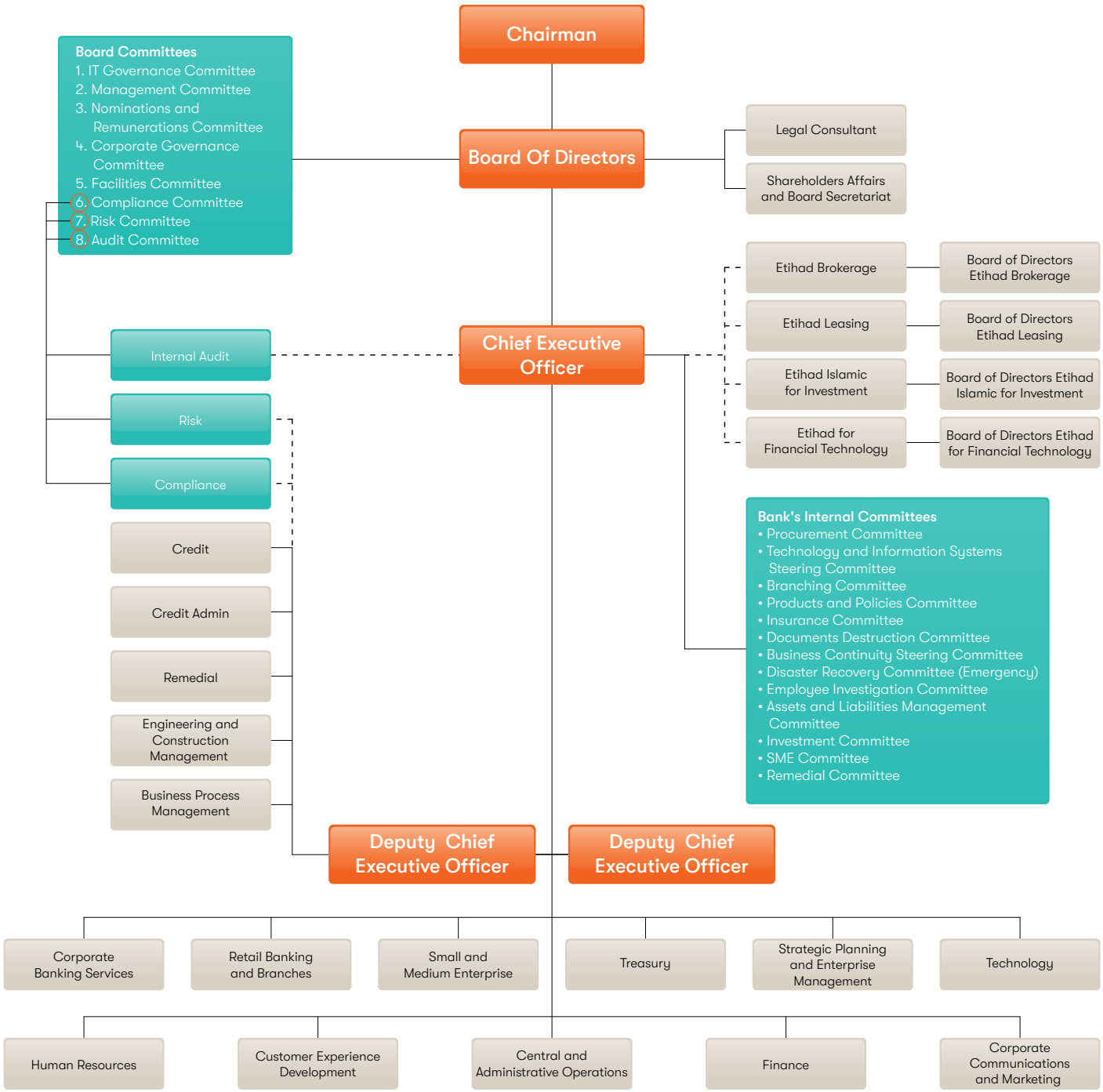
The bank's competitive position by business segment and market share:

This item is contained within the Analysis of Financial Position and Operating Results of 2021.

Additional declarations:

- The Bank does not rely on major suppliers or customers (locally and internationally) that account for 10% or more of its total purchases or earnings.
- The Bank and its products and services do not enjoy any government protection or privileges under laws. regulations or otherwise.
- The Bank has not obtained any patents or franchise rights.
- There are no decisions issued by the government or international organizations that have material effect on the
- Bank's business or competitiveness.
- The Bank obtained the ISO Information Security Management System Certificate (ISO/IEC 27001:2013).

Organizational structure of the bank



Number of employees

At the end of 2021, the number of the Bank's employees was 1259 employees:

- 1,242 employees at the Head Office and Branches in Jordan.
- 4 employees at the Etihad Financial Brokerage Company.
- 9 employees at Etihad Leasing Company.
- 4 employees at Etihad Financial Technology Company.

The Employees according to their Academic Qualifications

Academic Qualification	Head Office and Local Branches	Etihad Financial Brokerage Company	Etihad Leasing Company	Etihad Financial Technology Company
PhD	-	-	-	-
Master's Degree	64	-	1	-
Higher Diploma	-	-	-	-
Bachelor's Degree	1,059	4	8	4
Diploma	32	-	-	-
Tawjihi	40	-	-	-
Below Tawjihi (Messengers, Drivers, Guards)	47	-	-	-
Total	**1,242**	**4**	**9**	**4**

Training and development:

The Bank believes in the importance of developing employees' skills and knowledge. The Bank achieved its 2021 training objectives by enhancing the employees' academic and professional competence in the banking and financial sectors through upgrading and diversifying academic, scientific and training programs inside and outside the Kingdom.

The following table gives a breakdown of the number and type of training programs provided by the bank during 2021

Description	No. of Participants		Branches		Head Office	
	No.	%	No.	%	No.	%
Local training courses	148	1.79	71	1.62	77	1.98
Training courses abroad	-	-	-	-	-	-
The bank's Training Center	287	3.46	169	3.85	118	3.03
Online Training	7,784	93.93	4,124	93.36	3,660	94.01
Professional Certifications	68	0.82	30	0.68	38	0.98
Total	**8,287**	**100**	**4,394**	**100**	**3,893**	**100**

The Bank was keen on keeping pace with the latest scientific developments in specialized professional programs and certificates, 68 employees from various departments obtained professional certifications.

In line with the Bank's policy aimed at serving the local community and making use of future cadres to fill possible vacancies within the Bank if so required, the Bank provided training to 76 students from schools and universities as well as fresh university graduates.

Universities and Institutions	Number of Students Trained
Universities	63
Ashur International Bank	1
German Jordanian University	4
Schools	8
Total	**76**

Risks faced by the bank

Credit risk

These are the risks resulting from the borrower's (inability / unwillingness) to settle the amounts due thereon (principal of loans and/or associated interest and commissions).

To reduce and control the impact of credit risk, Bank al Etihad uses a variety of techniques to ensure the Bank's stability and safety such as the strategy of diversifying the credit portfolio as a tool to mitigate credit risk. To ensure this, the concentration risk department operates through credit limits across economic sectors, geographical areas, credit ratings and products.

The Bank also uses tools to measure credit risks to ensure that it is not exposed to uncalculated risks and to early detect any decline in the portfolio risks.

To identify future risks, the Bank regularly performs stress testing using adverse economic and commercial scenarios periodically to identify mechanisms that help avoid these risks or mitigate their impact.

Market risk

Market risk is identified as being the risks arising from changes in interest rates, exchange rates, and prices of securities and other instruments held by the Bank such as metals, where price fluctuations cause the Bank to incur losses as a result of on- or off-balance sheet positions.

The Bank adopts a conservative policy in the management of these risks and constantly monitors the market positions and the Bank's investment portfolio through an impartial and independent office to ensure compliance with the limits provided for under the market risk policies approved by the Central Bank and the Board of Directors of Bank al Etihad.

A conservative investment policy has been developed to protect the Bank against unacceptable levels of risk and to maintain its profitability.

Interest rate risk

Interest rate risk refers to losses arising from fluctuations in market interest rates, or from changes in the prices of products as a result of changes in interest rates, negatively impacting the Bank's revenues and equity.

These risks arise when there is a mismatch between the re-pricing dates of assets and liabilities, which may decrease revenues as a result of the time differences between the re-pricing dates.

Interest rate risk lies in debt instruments and derivatives that include debt instruments, in addition to other derivatives whose value is linked to market prices.

In general, long-term instruments are more sensitive to interest rate risk than short-term instruments.

The Assets and Liabilities Committee manages the interest rate risk. The committee receives reports on the interest rate re-pricing gap on a regular basis in addition to reports on sensitivity to changes in interest rates, which show that the impact of these risks is at the minimum level.

Liquidity risk

These are the risks that arise from the Bank's inability to meet its financial obligations to depositors within reasonable time and cost. In other words, liquidity risk refers to insufficient liquidity for regular operating requirements.

The bank plans liquidity at two levels:

1. Level I: It relates to the management of statutory and self-monetary reserves to ensure compliance with regulatory requirements and internal policies.
2. Level II: It relates to forecasting the Bank's cash needs in the coming periods.

Liquidity risk is managed through a liquidity strategy which is prepared by the Senior Management of the Bank.

This strategy takes into account diversifying the sources of funds, maintaining a reasonable balance of financial instruments readily realizable in the financial market, diversifying maturity dates of credit facilities, avoiding concentration of customer deposits and fund investments, and maintaining limits with correspondent banks and ensuring easy access to them within reasonable time and cost.

The Bank relies on a contingency plan for liquidity that is updated and reviewed periodically to ensure the availability of the necessary liquidity during emergencies.

Operational risk

Operational risk is defined as the risk of loss resulting from failed or inadequate internal processes, people or systems, or from external source (an event). This definition also includes legal risks and risks related to regulatory authorities.

The Bank's operational risk policy covers the role of Operational Risk Management in periodically identifying, assessing, following up on and controlling operational risks, as well as compliance with all relevant regulatory requirements to mitigate some or all of the negative effects of these risks. Multiple mechanisms are utilized to manage these risks, the first of which is the adoption of the Control Risk Self-Assessment (CRSA) system through identifying the risks of each department and/or unit and assess the control procedures to detect weaknesses and measure the effectiveness of the control procedures in place. Each of these procedures is self-examined periodically and the results are reported to the operating units and Senior Management of the Bank. The evaluation of the control procedures aims at verifying the effectiveness and efficiency of these procedures whereby the weak procedures are improved or set-up new control procedures to prevent or mitigate risks. Moreover, the Operational Risk Management develops key risk indicators that enhance the risk control mechanism, being an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

The Operational Risk Management also builds a database of the financial losses resulting from operational risks in order to evaluate the size of operational risks facing the Bank and the efficiency of control procedures applied. The Bank's operational risk management process does not aim to design systems that eliminate all potential operating risks, but to understand the financial and other potential impacts of such risks and develop regulatory procedures and systems that can, if sustained, keep such risks within acceptable levels.

Compliance risk

Compliance risk is also known as integrity and reputational risk. It is related to the risk of regulatory or legal sanctions (fines), material losses, or reputational risks faced by the Bank due to non-compliance with laws, regulations, instructions, orders, codes of conduct and sound banking practices.

The Executive Management assumes absolute responsibility for drawing up and implementing the compliance policy, getting it approved by the Board of Directors, and circulating it among the Bank's departments and employees. Management at all levels is responsible for ensuring that proper procedures and measures are implemented when violations resulting from non-compliance are discovered. In addition, the Management is responsible for employing competent and qualified staff and providing the necessary resources to establish an independent compliance monitoring unit to implement compliance policies.

Furthermore, to ensure the highest level of integrity and transparency, the Bank adopts internal policies and procedures as part of a sound and solid framework of internal controls, which are reviewed periodically.

Information security risk

Information security risk management relies on the use of methods, tools and procedures and adoption of international standards aimed to ensure the protection of information from internal and external risks and to prevent access to information by unauthorized users, to maintain the confidentiality, integrity and availability of information and the continuity of the related supporting systems.

To that end, Bank al Etihad employed the necessary qualified staff and resources in addition to contracting third parties to protect information security and cyber security from security breaches.

The department develops policies, standards and procedures for information and cyber-security in line with international best practices and standards to protect the Bank's assets. It also updates and develops the best plans to ensure business continuity during disasters and crises to ensure the continuity of the Bank's business and the provision of all services to all its customers over and above monitoring compliance with information security standards, by relying on the latest technologies and systems.



The bank's activities and achievements

The Bank's achievements are detailed under the (Analysis of Financial Position and Operating Results of 2021) and (Achievements of 2021 and Future Plans and Strategy).

Financial impact of non-recurring transactions as well as operations outside the bank's core business

There has been no financial impact of non-recurring operations that occurred during the fiscal year that are not within the Bank's core business. Moreover, the Bank has not carried out any operations outside its core business.

Realized profits/losses, distributed cash dividends and net shareholders' equity for the years (2017- 2021)

Year	2021	2020	2019	2018	2017
Realized Profits	41,425,295	30,044,044	38,016,223	41,085,911	34,799,083
Distributed Cash Dividends	-	16,000,000	-	22,400,000	16,000,000
Proposed Dividends	16,000,000	-	-	-	-
Shareholders' Equity	428,011,954	407,955,721	387,273,066	376,741,532	370,623,048

The Bank's Share Price for the Years (2017-2021)

Year	2021	2020	2019	2018	2017
Price	JOD 1.750	JOD 1.560	JOD 1.608	JOD 1.600	JOD 1.620

Analysis of financial position and operating results of 2021

This item is detailed under (Financial Position and Operating Results of 2021).

Key future developments of the bank

Future developments and Board's expectations for the results of the Bank's operations are shown within the Future Plans.

Amount of auditors' fees for the bank and its subsidiaries

The 2021 Auditors' fees amounted to JOD (150,800) including sales tax, as follows:

Description	Amount
Bank al Etihad	126,440
Etihad Financial Brokerage Company	6,960
Etihad Leasing Company	6,960
Islamic Investment Company	3,480
Etihad Financial Technology Company	6,960
Total	**150,800**

Bank shares owned by board members and their relatives

Name	Date of appointment	Nationality	As at 2021				As at 2020			
			Board Member	Representative	Relatives	Total	Board Member	Representative	Relatives	Total
Isam Halim Salfiti	20/02/2020	Jordanian	15,207,886				15,207,886			
Samia Suleiman Sukkar (wife)	-	Jordanian			3,004,125	18,212,011			3,004,125	18,212,011
Bassem Isam Salfiti	20/02/2020	Jordanian	875,245			875,245	805,245			805,245
Libyan Foreign Investment Company (LAFICO)	20/02/2020	Libyan	32,413,763	-	-		32,413,763	-	-	
Represented by Mr. Amjad Abu Rawi – First Seat	-	Libyan	-	-	-		-	-	-	
										32,413,763
And Mr. Fawzi Abu Khozam – Second Seat since 3/3/2021	-	Libyan	-	-	-	32,413,763	-	-	-	
Social Security Corporation represented by Mr. Jalal Al Ajlouni	20/02/2020	Jordanian	13,645,358				13,549,074			
Jalal Ajlouni	20/02/2020	Jordanian				13,645,358				13,549,074
Imad Mohammad Abdel Khaleq	20/02/2020	German	4,294	-	-	4,294	4,294	144		4,294
"Mohammad Nabil" Abdel Hadi Hammoudeh	20/02/2020	Jordanian	1,498,294			1,498,294	104,410			104,410
Mughith Ghiath Sukhtian	20/02/2020	Jordanian	16,657			16,657	16,657			16,657
Rana Jamil Abbadi	20/02/2020	Jordanian	5,120			5,120	5,120			5,120
Riad Abdul- Mohsen Al-Dajani	20/02/2020	Jordanian	28,040			28,040	28,040			28,040
Jabra "Raja Yaqoub" Ghandour	20/02/2020	Jordanian	51,120			51,120	51,120			51,120

- Members of the Board of Directors and their relatives do not own any shares in the bank except as indicated in the table above.
- Moreover, there is no controlling share by any company owned by any of the Board Members or by their relatives.

Shares owned by senior executive management and their relatives

Name	Nationality	Number of Shares as at 2021			Number of Shares as at 2020		
Nadia Helmi Al-Saeed	Jordanian	718,704	-	718,704	718,704	-	718,704
Daniel Fawaz Al-Sharaiha	Jordanian	103,147	-	103,147	83,000	-	83,000
Amer «Mohammad Khair» Abu Laila	Jordanian	102,572	-	102,572	74,447	-	74,447
Deema Mefleh Akel	Jordanian	36,800	-	36,800	26,253	-	26,253
Mohammad Ghasseb Hatamleh	Jordanian	30,000	-	30,000	21,062	-	21,062
Bashar "Mohammad Khair" Ababneh	Jordanian	16,273	-	16,273	10,789	-	10,789
Tarik «Mohammad Said» Badawi	Jordanian	16,055	-	16,055	10,641	-	10,641
Mohammad Mahmoud Burjak	Jordanian	16,787	-	16,787	11,162	-	11,162
Fadi «Ahmad Kamal» Marei	Jordanian	63,812	-	63,812	46,454	-	46,454
Zaid Eyad Kamal	Jordanian	13,076	-	13,076	8,576	-	8,576
Natalie Mazen Al-Naber	Jordanian	8,969	-	8,969	5,875	-	5,875
Mahmoud Tayseer Badwan	Jordanian	13,989	-	13,989	8,223	-	8,223
Khaled Abdel-Malek Mohammad Abdel-Malek	Jordanian	5,832	-	5,832	2,738	-	2,738
Tamer Wasef Barakat	Jordanian	4,064	-	4,064	1,955	-	1,955

- Members of the Senior Executive Management and their relatives do not own any shares in the bank except as indicated in the table above.
- Moreover, there is no controlling share by any company owned by any of the members of Senior Executive Management or by their relatives.

Benefits and remuneration of the chairman and members of the board of directors for the year 2021

Description	Board Members' Remunerations	Fees and Transportation Allowance	Travel and Accommodation
Mr. Isam Halim Salfiti	5,000	537,333	-
Mr. Bassem Isam Salfiti	5,000	54,500	-
Mr. «Mohammad Nabil» Hammoudeh	5,000	49,500	-
Social Security Corporation	5,000	35,750	-
Mr. Mughith Ghiath Sukhtian	5,000	48,500	-
Mr. Sami Mohammad Al-Mabrouk	2,000	-	-
Mr. Imad Mohammad Abdel-Khaleq	5,000	50,750	-
Mr. Riad Abdul-Mohsen Al-Dajani	5,000	34,000	-
Mr. Idris Mohammed Al-Warfali	2,000	-	-
Mrs. Rana Jamil Abbadi	5,000	35,000	2,386
Mr. Jabra «Raja Yaqoub» Ghandour	5,000	36,250	-
Mr. Amjad Samir Abu Rawi	2,000	33,000	-
Mr. Fawzi Misbah Abu Khozam	-	20,500	-
Total	**51,000**	**935,083**	**2,386**

* No financial or non-financial compensation/benefits were received by members of the Board except as indicated above.

Benefits and remuneration of the members of senior executive management for the year 2021

Description	Travel and Accommodation	Salaries, Allowances and Bonuses	2020 Financial Bonuses paid in 2021	2020 Non-financial Bonuses (Shares) paid in 2021
H.E. Mrs. Nadia Helmi Al-Saeed	-	314,000	-	-
Deema Mefleh Akel	-	203,200	58,125	16,875
«Mohammed Ghasseb» Abdullah Hatamleh	-	156,600	32,550	9,450
Bashar «Mohammad Khair» Ababneh	-	129,800	30,225	8,775
Tarik «Mohammad Said» Badawi	-	139,400	29,837	8,663
Mohammad Mahmoud Burjak	-	143,800	31,000	9,000
Fadi «Ahmad Kamal» Marei	-	140,400	42,625	12,375
Daniel Fawaz Al-Sharaiha	-	174,000	30,225	8,775
Zaid Eyad Kamal	-	125,000	24,800	7,200
Mahmoud Tayseer Badwan	-	129,000	31,775	9,225
Natalie Mazen Al-Naber	-	94,400	17,050	4,950
Amer «Mohammad Kheir» Abu Laila	-	218,000	155,000	45,000
Khaled Abdel-Malek [Mohammad] Abdel Malek	-	95,600	17,050	4,950
Tamer Wasef Barakat	-	70,200	11,625	3,375
Total	**-**	**2,133,400**	**511,887**	**148,613**

- The Bank allocated JOD (3,150,000) in bonuses for all employees, including the Executive Management for the year 2021, to be paid in 2022 pursuant to the approval of the Board of Directors and upon completion of the employees' performance evaluation.
- The Bank also provides the following benefits to members of the Executive Management (full- time Chairman of the Board of Directors, General Manager and Assistant General Managers):
  1) Fully-expensed car.
  2) mobile phone and line.
- No financial or non-financial remunerations were given to members of the Senior Executive Management except as indicated above.

Donations, grants and contribution to community service

This item was stated in the Pillars of Our Social Responsibility and Key Achievements of 2021.

Conformity of contracts with bank's internal regulations, CBJ instructions and the banking law

All contracts and dealings concluded by the Bank with the Chairman of the Board, Board Members, General Manager, bank employees and their relatives are consistent with Bank's internal regulations, CBJ instructions and the Banking Law. Details of these contracts and dealings appear in Note No. 42 within the Bank's financial statements.

The bank's contribution to environmental protection and community service

This item was stated in the Pillars of Our Social Responsibility and Key Achievements of 2021.

Additional information required by disclosure instructions

Names of major shareholders with equity exceeding 1%

Shareholders Name	Nationality	No. of Shares as at 31/12/2021	Capital Contribution %	Ultimate Beneficiary	Number of Pledged Shares	Percentage of Pledged Shares of Total Contribution	Pledging Agency
Libyan Foreign Investment Company	Libyan	32,413,763	20.26	Fully owned by the Libyan Government	-	-	-
Banque Banorient France	French	27,435,967	17.14	A branch of BLOM Bank in France participating in the management of BLOM Bank: - Bank of New York 34.37% - Rest Shareholders 26.68% - Banorabe SA SPF 17.55% - Azhari Family 7.53% - Shaker Family 4.83% - Saade Family 2.55% - Jaroudi Family 2.17% - Actionnaires – Unis 1.83% - Khoury Family 1.95%			
RS Finance	Cayman Islands	24,171,599	15.10	Rajai Salfiti Holding 100% - TRHS Holding 25% Ownership (Tareq Rajai Salfiti) 100% - ZRS Holding 25% Ownership (Zaid Rajai Salfiti) 100% - FRS Holding 25% Ownership (Faisal Rajai Salfiti) 100% - DRS Holding 12.5% ownership (Dina Rajai Salfiti) 100% - SRHS Holding 12.5% ownership (Samia Farah Issa Fraih)100%	16,429,000	68	SGBJ
Isam Halim Jiryes Salfiti	Jordanian	15,207,886	9.5	Himself	5,551,508 2,000,000 **7,551,508**	49.6	SGBJ NBK/ Bahrain Branch
Social Security Corporation	Jordanian	13,645,358	8.52	Itself	-	-	-
Jordan Valley Livestock Development Company	Jordanian	2,824,978	1.76	A Jordanian Company with partners representing it as shown below: 1) Hammoudeh Brothers for Trade and Investment Company (Sami 25%, Samir 25% Mohammad Nabil Abdel Hadi Hammoudeh 25%) 2) Jordan Chemicals Company 10% (Sami 25%, Maher 25%, Samir 25%, Mohammad Nabil Abdel Hadi Hammoudeh 25% 3) Sami Abdel Hadi Hammoudeh 20% 4) Maher Abdel Hadi Hammoudeh 20% 5) Samir Abdel Hadi Hammoudeh 20% 6) Mohammad Abdel Hadi Hammoudeh 20%	-	-	-
Central Trade and Auto Company	Jordanian	3,521,967	2.20	A Jordanian Company with partners representing it as shown below: 1) Ibrahim Emile Haddad 20% 2) Omar Moutasem Ismail Al Bilbisi 7.5% 3) Tareq Moutasem Ismail Al Bilbisi 7.5% 4) Nabil Emile Haddad 20% 5) Nehad Emile Haddad 20% 6) George Emile Haddad 25%	-	-	-
Samia Suleiman Yousef Sukkar	Jordanian	3,004,125	1.88	Herself	-	-	-
Provident Fund for Bank al Etihad Employees	Jordanian	3,404,574	2.12	Bank al Etihad Employees	-	-	-

Shareholders Name	Nationality	No. of Shares as at 31/12/2021	Capital Contribution %	Ultimate Beneficiary	Number of Pledged Shares	Percentage of Pledged Shares of Total Contribution	Pledging Agency
Samia Halim Jiryes Salfiti	Jordanian	1,887,763	1.17	Herself	-	-	-
Ramzi Raof Jiryes Salfiti	Jordanian	1,767,607	1.10	Himself			
Widad Ayoub Audatullah Al Khouri	Jordanian	4,472,300	2.79	Herself			
Mermaid Of Ocean for Investment	Jordanian	2,706,463	1.69	A Jordanian Company with partners representing it as shown below: 1) Tareq Rajai Halim Salfiti 25% 2) Faisal Rajai Halim Salfiti 25% 3) Zaid Rajai Halim Salfiti 25% 4) Dina Rajai Halim Salfiti 12.5% 5) Samia Farah Issa Fraih 12.5%			

Direct and indirect credit facilities granted to members of the board and related parties

Name of member/group	Credit facilities		Total
	Direct	Indirect	
Isam Halim Salfiti and Bassem Isam Halim Salfiti Group			
Abu Alanda Property Management Co	43,500	10,000	53,500
Ankaa Al-Maghrib Property Management Company	13,417,153	50,000	13,467,153
Matajer Amman Property Management Co.	62,335	10,000	72,335
Bassem Isam Halim Salfiti	316,624	-	316,624
Zaid Rajai Halim Salfiti, Faisal Rajai Halim Salfiti	8,574	-	8,574
Tareq Rajai Halim Salfiti	111,106	-	111,106
Faisal Rajai Halim Salfiti	367,483	-	367,483
Zaid Rajai Halim Salfiti	684,150	-	684,150
Omar Bulus Youssef Al-Za'mt, Faisal Rajai Halim Salfiti, and Usama Essam Jabir	-	1,914,300	1,914,300
Omar Osama Halim Salfiti	4,730	-	4,730
Jordan Hotels Tourism Company	425,188	-	425,188
Al Kasra for Trading Marketing Company	209,023	10,000	219,023
President Import and Export Company	-	2,375,150	2,375,150
Samia Farah Issa Fraih	344,732	-	344,732
Al Etihad Marketing Company	3,561,895	151,229	3,713,124
"Mohammad Nabil" Hammoudeh Group			
Al-Shafaq Beauty Company	33,263	-	33,263
Jordan Poultry Processing and Marketing Co.	6,451,329	115,000	6,566,329
Jordan Feed Co. Ltd.	46	-	46
Modern Paints & Chemical Industries Co	2,998,388	-	2,998,388
National Hatchery Co.	6,849	-	6,849
Jordan Chemicals Company	3,856,380	3,000	3,859,380
Al Etihad Foodstuff Trading Company	83	20,500	20,583
Hammoudeh Brothers for Trade and Investment Co	5,203,387	-	5,203,387
Mohammad Nabil Abdel Hadi Mohammad Hammoudeh	102,426	-	102,426
Al-Nubala'a Water / Hani Shukri Yousef Abdel Rahman	1,284,469	-	1,284,469
Nabila Abdel-Hadi Mohammad Hammoudeh	16,120	-	16,120
Hani Shukri Yousif Abdel-Rahman	21,774	-	21,774
Sharif Mohammad Nabil Abdel-Hadi Hammoudeh	67,951	-	67,951
Box Trading Company for Sports Equipment	542,214	-	542,214
Mughith Ghiath Sukhtian Group			
Central Gas Advanced Company	336,078	-	336,078
Mughith Ghiath Muneir Sukhtian	106,085	5,000	111,085
Arabian Office Automation Co.	-	2,836,000	2,836,000

Name of member/group	Credit facilities		Total
	Direct	Indirect	
MS Pharma Jordan	4,018,611	173,543	4,192,154
United Pharmaceuticals LLC	3,661,361	264,631	3,925,992
Sarmad Nimeh Abdullah Al Dulaimi	-	2,000	2,000
Jordan Media Education and Training Company	420	-	420
Sanadcom for SME Funding PSC	900,212	-	900,212
Imad Abdel Khaleq Group			
Imad Abdel-Khaleq	59,429		59,429
Ali Mohammad Ali Abdel Khaleq	29,471		29,471
Libyan Foreign Investment Company Group			
Iskan Co. for Tourism & Hotel Investment	14,606,972	625,800	15,232,772
Jabra Raja Yaqoub Ghandour Group			
Raja Jabra Raja Yaquoub Ghandour	50	-	50

Remuneration policy

The Bank's annual salary increases and remuneration policy reflects its objectives of ensuring fairness and equality, rewarding and retaining skilled employees and executive management members who demonstrate outstanding performance, and attracting the best skills in the market.

Employees hired on or before 30 June of the evaluation year are eligible for an annual increase and bonus. The annual increase and bonus shall be prorated for those who have not completed a full year with the Bank. Meanwhile, employees hired after 30 June shall not be eligible for an annual increase and bonus.

The percentage of the annual increase for employees (if any) depends on the Bank's annual profits and performance compared to the estimated budget, inflation rate, employees' performance, salary surveys and the results of the annual survey which compares salary increases in the banking sector. This percentage is approved by the Nominations and Remuneration Committee.

Annual bonus is determined based on the employee's productivity, performance, achievement of goals, and dealing with colleagues and customers in line with the general guidelines set by the Nominations and Remuneration Committee for all employees according to the performance of the Bank, the market and employees. The annual bonus may be a percentage of the monthly salary or a multiple of monthly salaries or lump sum amounts.

Annual salary increases and bonuses are awarded after the completion of the annual performance evaluation. Performance evaluation is carried out at the end of each year, and increases or amendments are effective starting as of April or as decided by the Senior Management.

In addition, performance-based remunerations are awarded to members of the Executive Management (including the CEO) in the form of deferred bonuses. This is carried out in accordance with the provisions of corporate governance relating to financial remunerations for executives.

Recruitment policy

- All appointments shall be made within the Bank's organizational structure and in line with the plans and the estimated budget after being approved by the Board of Directors which determines the number of employees in each department, including vacancies and the required qualifications for the jobs. In case of any exceptions, the necessary approvals shall be obtained.
- The Jordanian Labor Law, the Banking Law and the provisions of Bank al Etihad's Staff Regulations (and any amendment thereto), as well as any relevant laws, shall be adhered to in respect of the appointment procedures.
- The instructions of corporate governance of banks (and any amendments thereto) shall be complied with in respect of appointments, resignations and replacements.
- Upon appointment of any staff member at the Bank, the Human Resources Department, Recruitment Division, shall comply with the following:
  - Candidates should be Jordanian.
  - In case a candidate is not a Jordanian national and yet is needed by the Bank, the requirements of the applicable Labor Law and the Central Bank shall be met, and the Ministry of Labor's approval shall be obtained.
  - Candidates shall be 18 years of age or older.
  - To ensure that the employee is of good reputation and conduct and has not been convicted of a felony or a misdemeanor involving dishonesty.
  - To ensure that the employee is medically fit according to a medical examination approved by the Bank.
  - Candidates must hold a university degree from a university recognized by the Ministry of Higher Education and Scientific Research, with the exception of some unclassified jobs where the holders of Tawjihi and diploma can be appointed.
  - Candidates must successfully pass all the stages of appointment, including the admission tests prescribed by the Bank and personal interviews, as required by the position applied for and the rank thereof.
  - New employees must serve the required probationary period as stipulated by the Jordanian Labor Law. During that period, the employee's performance shall be monitored and evaluated by their seniors, according to the approved criteria, in order to take the appropriate decision whether to offer them permanent employment at the Bank.
  - The policy on the appointment of relatives in the Bank shall be implemented.
  - The best modern methods shall be adopted to attract and appoint qualified and experienced employees.

Customer complaints unit

Customer complaints allow us to improve the level of service delivery. We will be happy to solve customers' problems effectively, but our duty does not stop at this point, as we should learn from these complaints so that we can improve the level of our services. The distinct level of handling customer complaints is one of the main objectives of Bank al Etihad. The Bank seeks to consolidate and develop general concepts to serve complainants by educating them in respect of the banking policies and laws so that they are aware of their rights should they wish to file a complaint, and by helping them to know the procedures required to file a complaint, ensuring ease and quick response.

In line with the CBJ's instructions on dealing with customers fairly and transparently No. 56/2012, issued on 31/10/2012, a unit was established to manage and handle customer complaints and provided with qualified staff and automated systems. The Unit reports to the Compliance Department.

The Unit's staff shall be responsible for following up customers' complaints. The employee responsible for receiving complaints shall allow time to listen carefully to customers and do his/her utmost to effectively and accurately help them resolve their complaints, explaining the Bank's point of view in order to reach mutual objective satisfaction.

The following are the main functions of the Customer Complaints Unit:

1. Receiving and analyzing customer complaints and recording them on the complaints system/electronic log, and follow them up.
2. Responding to customer complaints within the specified time frame.
3. Preparing reports on customer complaints, which include the total number of complaints submitted and the actions taken thereon, along with a qualitative analysis of the nature of complaints and action plan adopted to prevent/minimize the recurrence of complaints. These reports shall be sent to the competent entities.

4. Submitting monthly reports to the Bank's senior management and department directors concerned, including details of the filed complaints.
5. Submitting "quarterly" reports to the Central Bank of Jordan, comprising as a minimum the aggregate number of filed complaints and actions taken in that respect in addition to a qualitative analysis of the nature of filed complaints.
6. Developing and adopting a mechanism for handling customer complaints, circulating it to all Bank's employees.
7. Providing multiple channels for customers to submit their complaints, such as:
   - Phone No.: +962 6 5600444
   - Email: customerscomplaint@bankaletihad.com
   - Fax: +(962) 6 5624231
   - Regular mail – Customer Complaints Unit – Head Office, P.O. Box 35104, Postal Code 11180, Amman, Jordan.
   - Personal attendance.
   - Complaints' boxes in branches.

Below is a statistic of the complaints received from customers during 2021 through different channels:

Category	Total Number of Complaints
Contracts and Terms of Work	175
Professional Behavior	126
Work Environment	119
Electronic Services	28
Transfers	24
Payment Cards	19
Commissions and Fees	13
Credit Inquiry	10
Interest/Return Rates	6
Guarantees and Guarantors	1
Account Category	1
Marketing of Services and Products	1
Total	**523**

These complaints were handled within the following framework:

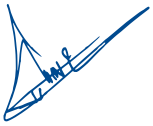
- Complaints were assigned reference numbers, which were given to customers for follow-up purposes.
- Complaints were examined, analyzed and responded to within the time frame determined by the category and
- nature of complaints.
- Actions were recommended to reduce the recurrence of these complaints in the future. These actions included
- the following:
  - Modifying work procedures if required.
  - Taking corrective measures.
  - Modifying the electronic services' infrastructure
  - Staff training

Acknowledgement by the board of directors

The Board of Directors of Bank al Etihad acknowledges its responsibility for the accurate and adequate financial statements and providing internal efficient and adequate control systems at the Bank. The Board also confirms that there are no material matters that may affect the Bank's continuity with efficient performance during the coming fiscal year of 2022. The Board acknowledges that none of its Board Members received any benefits from their work at the Bank which was not declared whether such benefits have been in cash or in kind and whether personally or to any related party thereto in respect of last year.

The Chairman, CEO and Director of Finance acknowledge the validity, accuracy and completeness of the information and data contained within the Annual Report.

The Chairman of the Board, the General Manager and the Chief Financial Officer acknowledge that the information contained in this Annual Report is correct, accurate, and complete.

Name	Position	Signature
Isam Halim Salfiti	Chairman	
Bassem Isam Salfiti	Vice Chairman	
“Mohammed Nabil” Abdel-Hadi Mohammed Hammoudeh	Board Member	
Riad Abdul-Mohsen Al-Dajani	Board Member	
Jabra “Raja Yaqoub” Ghandour	Board Member	
Emad Mohamed Ali Abdel Khaleq	Board Member	
Rana Jamil Abbad	Board Member	
Mughith Ghiath Sukhtian	Board Member	
Social Security Corporation	Board Member	
Libyan Foreign Investment Company Representative of the First Seat : Amjad Abu Rawi Representative of the Second Seat: Fawzi Abu Khozam	Board Member	
Nadia Helmi Hafez Al-Saeed	CEO	
Zaid Eyad Akram Kamal	CFO	

Corporate governance manual

First: introduction

Bank al Etihad believes in the importance of corporate governance in furthering the principles of safety and security in the banking sector and strengthening the confidence of depositors and investors in the Bank, thereby bringing about a positive impact on the Bank's integrity and providing the sound principles that support our strategic plans for growth. The Board of Directors has endorsed this (Corporate Governance Manual), incorporating the principles that guide the management of our corporation and govern the relationships among all relevant stakeholders, including shareholders, depositors, the Board of Directors, executive management, employees and various regulatory authorities.

This Manual was developed in light of the corporate governance instructions issued by the Central Bank of Jordan on 23/8/2007 and in line with the instructions of the Corporate Governance for Banks No. 58/2014 issued on 30/9/2014and the amended Corporate Governance Regulations for Banks No. 63/2016 issued by the CBJ on 1/9/2016 and subsequent amendments thereto on 25/9/2016, and the other relevant laws, as well as in line with the best international practices of corporate governance.

The Manual is based on the following four guidelines:

- The fair treatment of all stakeholders (e.g. shareholders, depositors, creditors, employees and regulatory authorities).
- Transparency and disclosure, whereby all financial, regulatory and administrative information that enables depositors and shareholders to assess the Bank's performance are disclosed whereby the disclosure policy endorsed by the Bank is fully complied with.
- Accountability in the relationships between the Bank's Executive Management and the Board; between the Board and shareholders; and between the Board and the other relevant stakeholders.
- Responsibility in terms of the clear separation of responsibilities and delegation of powers through the Bank's endorsed policies and procedures.

This Manual was adopted by the Board. It is updated annually by the Corporate Governance Committee to reflect the latest internal and external developments in this regard. The Board shall, through the Corporate Governance Committee, ensure the implementation of all provisions contained in this Manual.

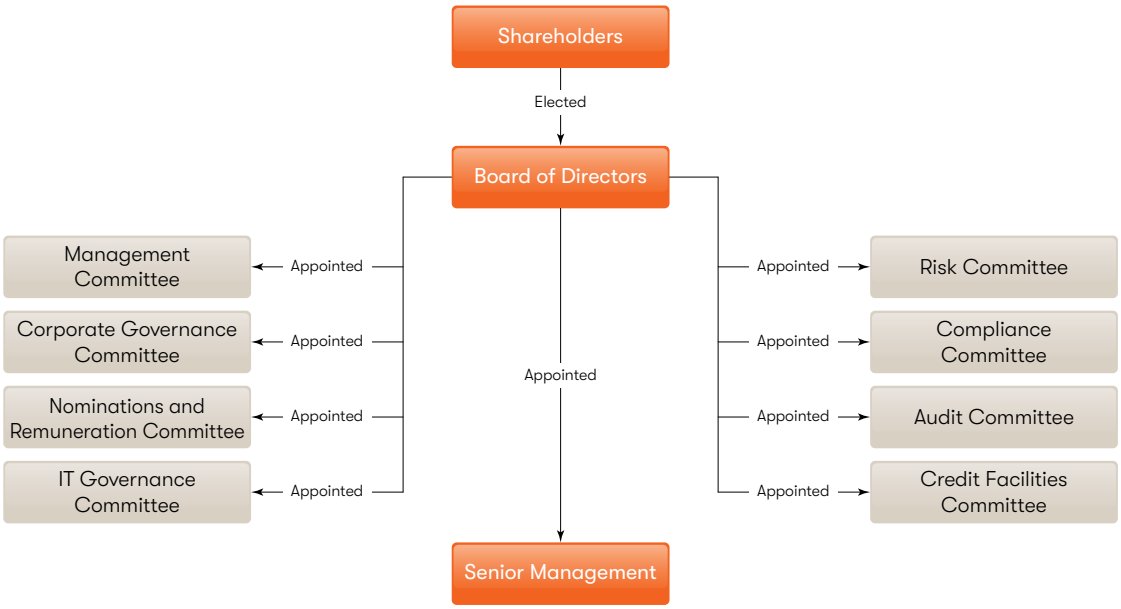
The Bank publishes this Manual within its annual report and on its website. Disclosures are included in the annual report regarding the extent of the Bank's compliance in implementing all aspects of this Manual. A copy of this Manual shall be provided to any shareholder upon request.

We at Bank al Etihad believe that the creative implementation of the principles of corporate governance also comprises:

- Regulating the relationship between all relevant stakeholders at the Bank;
- Ensuring the application of an organizational structure that guarantees efficiency, accountability, responsibility and internal control;
- Building a corporate culture that supports the Bank's institutional goals and strengthens the principles of responsibility, efficiency and effectiveness; and
- Providing a sound basis for developing and activating the internal control, audit, risk management and compliance functions.

Second: corporate governance structure

Bank al Etihad is managed under the directives of the Board, which, in turn, delegates management duties to the Bank's employees and executives under the supervision and direction of the Chief Executive Officer. This Manual describes the composition and responsibilities of the Board and its relationship with the Executive Management, employees and minority shareholders.



Third: composition of the board of directors

- The Board of Directors consists of 11 members.
- The Board appoints a Chairman from among its members.
- The Nominations and Remuneration Committee shall name members of the Board, taking into consideration the candidates' qualifications and past performance as Board Members.
- The Board has a-four-year term from the date of its election. To be re-elected for a new term, Board Members shall nominate themselves for re-election during the Bank's Annual General Assembly Meeting.
- The positions of Chairman of the Board and General Manager shall be separate, provided that the Chairman of the Board and the General Manager shall not be related up to the fourth kin and the separation of responsibilities shall be defined by written instructions approved by the Board and revised as needed.
- The selection of the General Manager shall observe that he/she enjoys a high level of technical and professional expertise, in addition to commendable personal traits, such as integrity, honesty and decision-making capabilities.
- The Board shall have a diverse mix of practical experience and specialized skills. All Board Members shall be non-executive members.
- A minimum of four Board Members shall be independent.
- The position of Chairman of the Board shall be non-executive.

The independent Board Member is defined as a person (whether in his/her personal capacity or as a representative of a legal person) who is not linked to the Bank in any relation other than his/her membership in the Board. This will ensure that his/her judgment is not influenced by any internal or external considerations or matters that may limit his/her ability to make objective decisions in favor of the Bank. The following requirements must be met by an independent Board Member:

1. To be of high qualifications or experience in finance or banking.
2. Neither the Board Member nor any of his/her relatives of the first kin has a direct or indirect interest in the contracts, projects and commitments made with the Bank, or any affiliate or subsidiary thereof, the value of which equals or exceeds JOD50,000.
3. Has not occupied the position of Board Member of the Bank or any of its subsidiaries or the position of management Board Member therein for more than eight consecutive years.
4. Has not been granted, either him/her or any company in which he/she is a Board Member, owner or major shareholder

any credit by the Bank exceeding 5% of the subscribed share capital of the Bank, and has not been a guarantor of a credit exceeding the same rate.

5. Is not a major shareholder in the Bank, or a representative of a major shareholder or affiliate of a major shareholder in the Bank, or his/her shareholding in concert with an affiliates constitutes a major shareholding; or a major shareholder of a subsidiary or affiliate of the Bank; or a major shareholder in the Bank's group owner.
6. Is not related to any other Board Members or with any of the Board Members of the Bank's subsidiaries or with one of the major shareholders of the Bank up to the second kin.
7. Neither the Board Member nor any of his/her relatives up to the second kin is, or has been, a member of the Bank's Board of Directors or Senior Executive Management, or any affiliate or subsidiary thereof during the past three years preceding his/her election.
8. Has not been an employee of the Bank or any subsidiary or affiliate thereof during the past three years preceding his/her election.
9. Is not related, up to the first kin, to the Bank's external auditor, and neither the member nor any of his/her relatives of the first kin is a partner or employee of the Bank's external auditor during the past three years preceding his/her election.

Fourth: qualifications and responsibilities of board members

In addition to the specified conditions pursuant to the Companies' Law relating to the specifications and qualifications of Board Members, the following conditions must be met by Board Members to ensure the effective performance of the Board's functions:

First: personal qualities

1. Independence in judgment and sound decision-making
2. Integrity and objectivity
3. Credibility and honesty
4. Transparency
5. Avoiding conflict of interest or exploitation of office and information accessible to him/her as a Board Member
6. Leadership skills

Second: technical qualifications and experience

1. Ability to understand and assess the financial performance of the Bank by reviewing the various reports and financial statements.
2. Academic qualifications and/or practical experience in accounting, finance or banking.
3. Adequate understanding and knowledge of banking operations and related risks.
4. Knowledge of the laws, legislation and regulations which the Bank is required to abide by.
5. Complete knowledge of the regulations issued by the CBJ and any concerned regulatory authorities and the ongoing familiarity with any amendments or additions thereto.
6. To be familiar with and follow-up on emerging topics in the finance sector.
7. Knowledge of the Bank's activities and be familiar with any amendments or additions that may impact the Bank, including the appointment requirements for senior executive management positions at the Bank.
8. Short-and long-term crisis management abilities.
9. Ability for strategic planning and clear future vision.

Third: duties and responsibilities

1. Personally attend and prepare for board meetings and perform all duties required of Board Members. In the event of inability to attend personally, the member may attend the meeting by video or phone conference with the Chairman's approval, he/she shall have the right to vote or sign the minutes of the meeting, provided that the Chairman and Secretary shall ratify the minutes of the meeting and the quorum thereof.
2. Abide by the membership of the required Board Committees and attend their meetings.
3. Attend General Assembly meetings.
4. Obtain all necessary information to ensure that all decisions are taken in the Bank's best interest.
5. Obtain objective advice from external sources if needed.
6. Put the Bank's interest first in all dealings with any other company in which he/she has a personal interest and avoid exploiting the Bank's business opportunities for his/her own benefit; avoid conflict of interest and disclosing to the Board, in detail, any conflict of interest if any.
7. Disclose regularly and in writing any personal interests in any dealing or contract entered into with the Bank in which the Board Member, his/her spouse or relative, up to the second kin, or any of the companies in which he/she has an influential interest. The Board Member shall not attend any meeting in which this dealing or contract is discussed and accordingly shall not vote on any decisions that may involve a potential conflict of interest. This disclosure must be recorded in the Board's minutes of meeting.
8. Not to disclose confidential information related to the Bank or use such information for his/her own benefit or for the benefit of others.
9. Evaluate the extent to which the other activities of Board Members affect their independence as members of the Board of Directors of the Bank.
10. No Board Member shall influence the decisions of the Executive Management in any way except through deliberations that take place in the meetings of the Board or Board Committees
11. Dedicate sufficient time and effort to the Bank.
12. Be familiar continuously with the developments in the banking field both at the local and international levels.
13. Each member shall devote sufficient time to assume his/her duties as a Board Member.
14. To be familiar with the legislation and principles pertaining to the banking activities and the Bank's operational environment, and keep pace with all developments therein as well as external developments related to its business, including requirements for the appointment of senior executive management positions at the Bank.

Fifth: board of directors' responsibilities

General framework

1. The Board shall oversee and follow up on the performance of the Executive Management and ensure the integrity financial position and solvency of the Bank. It shall adopt appropriate policies and procedures to oversee and monitor the performance of the Bank.
2. The Board shall identify the corporate values of the Bank and draw clear lines of responsibility and accountability for all the Bank's activities. It shall also instill a culture of high ethical standards, integrity and professional conduct for the Bank's executives.
3. The Board shall be fully responsible for the management of the Bank and the soundness, efficiency and profitability of its various operations. It shall also be responsible for fulfilling the requirements of the CBJ and other regulatory authorities in relation to its business, keeping in mind the interests of shareholders, depositors, creditors, and employees.
4. In order to carry out such responsibility effectively and to realize the Bank's strategic objectives, the Board grants the General Manager and the Executive Management the necessary authorities.
5. The Board shall ensure that the Bank is managed prudently within the framework of the laws and instructions in force and the Bank's internal policies. The Board shall be also responsible for monitoring the actions of the Executive Management to ensure effective control over the daily operations of the Bank including outsourced operations.
6. The Board shall strengthen the principle of commitment by each Board Member to the Bank and all of its shareholders rather than to a particular shareholder.
7. The Board shall ensure that no member of the Board or Executive Management or any of the Bank's employee obtains a personal gain at the expense of the Bank's interests.
8. The Board shall determine the banking operations that require its approval. However, in doing so, it shall seek to limit the

scope of such operations so as to maintain its supervisory role. The Board shall not grant executive powers, including the power to extend credit, to a single member of the Board, including the Chairman.

9. The Board shall verify that the Bank's credit policy comprises the evaluation of the quality of corporate governance for corporate customers, especially public shareholding companies, so that customer risks are evaluated for strengths and weaknesses based on their corporate governance practices.
10. The Board shall ensure that the Bank adopts appropriate social responsibility initiatives in the fields of environment protection, health and education, as well as provides financing to SMEs at appropriate interest rates and maturity dates.

Regarding risk management and regulatory requirements:

1. The Board shall adopt and oversee the implementation of a risk management strategy whereby it comprises risk appetite levels and ensures that the Bank is not exposed to high risks. The Board must be familiar with the Bank's operational work environment and its high risks. It must make sure that there are risk management tools and infrastructure in place at the Bank to identify, measure, control and monitor all types of risks faced by the Bank.
2. Ensure the Bank's compliance, in all of its activities, with all laws and regulations issued by the government and regulatory authorities. It shall also ensure that all employees, across all management levels, comply with these laws and regulations.
3. Ensure through the different board committees, the accuracy of the information provided to the regulatory authorities.
4. Ensure that all of the Bank's risks are being properly managed. To ascertain this, the Board shall regularly review qualitative and quantitative risk reports and statistics.
5. Ensure the regular rotation of the external auditor at least every seven years from the date of their election. In the first year after rotation, the new auditor shall work jointly with the old auditor. The old auditor may not be re-elected before the passage of at least two years from the date of its last election not including the joint audit assignment.
6. Ensure that the Bank shall make disclosures in accordance with the International Financial Reporting Standards (IFRS) and International Accounting Standards (IAS) in addition to the CBJ instructions in force issued pursuant to the relevant Banking Law in force and the relevant statutes.
7. Ensure abidance by full implementation of all amendments to the IFRS.
8. Ensure that the Bank is aware of the changes in international financial reporting practices and the scope of the transparency required from financial institutions.

Regarding appointments and succession:

1. The Board shall, based on the recommendation of the relevant committee, appoint a General Manager possessing integrity, technical competence and banking experience. The Board shall also accept the resignation or termination of the services of the General Manager upon obtaining the CBJ's Letter of No Objection regarding the resignation or termination of services.
2. The appointed General Manager must not be a relative of the Chairman, up to the fourth kin.
3. The Board shall approve the appointment of executive managers and make sure they possess the required expertise.
4. Based on the recommendation of the relevant committee, the Board appoints, dismisses and accepts the resignations of the heads of audit, risk management and compliance upon obtaining a No Objection Letter from the CBJ regarding their resignation or termination of services.
5. The Board shall approve the Executive Management succession plans, whereby it comprises the required qualifications and requirements which must be met for such positions.
6. Ensure the independence and objectivity of the Internal Audit Department. It shall also ensure that the Department is always staffed with qualified employees who are well-positioned in the Bank's organizational structure.

Regarding self-assessment and general manager's performance evaluation:

1. The Board shall, based on the recommendation of the Nominations and Remuneration Committee, evaluate the overall performance of the Board at least once a year.
2. The Nominations and Remuneration Committee shall also review and evaluate the performance of each Board Member on an annual basis.
3. The Board shall perform an evaluation of the General Manager's performance once a year
4. The Board shall adopt a policy to monitor and review the Executive Management's performance through the development of key performance indicators (KPIs) to identify, measure and monitor performance and progress towards the achievement of corporate objectives.

Regarding planning, code of conduct and conflict of interest:

1. The Board shall determine the Bank's strategic objectives and direct the Executive Management to draw up a strategy to achieve those objectives. The Board shall also adopt this strategy and, as well as business plans consistent with such strategy.
2. The Executive Management shall set-up the necessary business plans to implement the Bank's strategy through a planning process that encompasses the participation of all the Bank's departments. Estimate budgets shall be also prepared as part of short-term planning and performance measurement.
3. Quarterly reports shall be submitted to the Board, describing achievements, necessary revisions of plans, estimate budgets, and corrective measures applied where needed. Such revisions shall be used as the basis for assessing the performance of the Executive Management.
4. The Board shall ensure that the Bank practices the highest standards of integrity in all of its operations. This is achieved through availing policies and a code of professional conduct that set a definition for 'conflict of interest' and dealings conducted by the Bank's employees for their own personal interest based on inside information about the Bank acquired as a result of the authorities granted to them. These policies and code of conduct shall be circulated to all the Bank's employees, Board Members by obtaining the Board's approval thereon and disseminate same to the public.
5. The Board shall adopt a disclosure policy that covers all matters that should be made available to the public through the Bank's annual report, media or the Bank's website, etc.
6. The Board shall take adequate measures to ensure a clear separation of powers between influential shareholders and the Executive Management to strengthen good corporate governance while establishing adequate mechanisms to limit the influences of shareholders possessing influential interest through the following but not limited to:
   - None of the influential shareholders shall hold any senior executive management position.
   - The Executive Management shall derive its authority only from the Board and work within the framework of the authority granted to it by the Board.

Regarding control systems:

1. The Board shall adopt internal regulations, policies, procedures, instructions and systems that comprise specifying the authorities, duties and means of communication among all management levels, which guarantee administrative and financial control over the Bank's activities.
2. The Board shall ensure the availability of work policies, plans and procedures at the Bank covering all activities and that they are in line with the relevant statutes and shall be circulated at all management levels and are regularly reviewed.
3. The Board shall ensure that there are procedures in place to guarantee the continuous revision of these policies and procedures to ascertain that they cover any amendments or changes in the laws and regulations, economic conditions and any other issues concerning the Bank.
4. The Board shall adopt and annually review the internal control systems of the Bank and ensure that the internal and external auditors review the structure of these systems at least once a year.
5. The Board shall take appropriate measures to address weaknesses in the internal control systems and any other issues reported by the external auditor.
6. The Board shall ensure the independence of the external auditor at all times.
7. The Board shall ensure that there are adequate and reliable management information systems (MIS) in place covering all the Bank's operations.
8. The Board shall verify the compliance of the Bank's management and employees with the adopted policies and procedures through the various reports submitted to it.
9. To take the necessary measures to enhance the efficiency of internal audit by giving due importance to the audit function and consolidate this at the Bank through following up on the correction of the audit remarks.

Sixth: responsibilities of the chairman of the board

1. The Chairman shall promote a constructive relationship between the Bank's Board and the Executive Management.
2. In Board Meetings, the Chairman shall encourage a culture of constructive criticism about the issues being discussed in general, and on issues where there is a divergence of views among members as well as encourage discussions and voting on such issues
3. Shall ensure that Board Members and Shareholders receive sufficient information in a timely manner.
4. Provide each member with a summary of the Bank's business upon appointment or upon request.
5. Provide each Board Member, upon election, with the relevant banking laws and the CBJ instructions related to the Board's functions, including corporate governance instructions for banks in addition to a booklet describing the member's rights, responsibilities, duties and functions as well as the tasks and duties of the Board's Secretary.
6. With the assistance of the Bank's Legal Counsel, the Chairman shall discuss with any new Board Member the duties and responsibilities of the Board of Directors, particularly the legal and regulatory requirements to clarify the tasks, authorities and other matters relating to membership, including inter alia the membership term, meeting schedules, responsibilities of Board Committees, remuneration, and the possibility of obtaining independent and specialized technical advice when necessary.
7. To meet the Board Members' needs relating to their ongoing training and development, and that the new Board Member shall attend the orientation program that takes into account the member's banking background, provided that such program shall comprise the following topics at minimum:
   - The Bank's organizational structure, corporate governance manual and code of conduct
   - The bank's corporate objectives, strategic plan, and adopted policies
   - The Bank's financial position
   - The Bank's risk structure and risk management framework
8. Ensure that there is a charter that organizes and determines the Board's function.
9. Discuss the strategic and significant issues in detail during Board meetings.
10. Ensure that the Bank upholds high corporate governance standards.
11. Call for Board meetings and Board committees' meetings in a manner that ensures compliance with the instructions of this Manual and efficiency of the committees' functions.
12. Ascertain that all Board Members receive and sign the minutes of the previous meetings as well as the agenda of any meeting before being held by sufficient time, provided that the agenda shall comprise sufficient written information about the topics to be discussed during Board meetings whereby the delivery shall be through the Board's Secretary.
13. The Chairman shall invite the CBJ to attend the General Assembly meetings sufficiently in advance to allow it to name a representative.
14. The Chairman shall provide the CBJ with minutes of the General Assembly meetings within a period not exceeding five days from the date of endorsement thereof by the Companies General Controller or his/her representative.

Seventh: organization of the board's work:

1. The Board shall meet at least six times a year.
2. In order to ensure the inclusion of all topics presented at Board meetings, the Executive Management shall set forth the topics, that it deems significant, on the agenda of each meeting.
3. The Executive Management shall, at least one week before the Board meeting, provide Board Members with the meeting agenda along with complete and accurate information on the topics listed on the agenda to enable them to make the appropriate decisions and the Chairman shall so verify.
4. Board Members must always be aware of the latest developments taking place in the Bank and the local and international banking industry. The Bank shall provide Board Members with a proper summary of the Bank's operations and main developments in the banking sector on a regular basis and as needed or requested.
5. Board Members and its committees shall have the authority to directly contact the Executive Management and the Board's Secretary whenever necessary.
6. Board Members and its committees – if so needed – shall have the authority, in coordination with the Chairman to seek external assistance to carry out the tasks assigned to them optimally.
7. The Board and Board Committees meetings shall be recorded in official meeting minutes that provide an accurate and complete record of the actions and decisions taken by the Board and its committees. Meeting minutes are considered legal evidence of the actions taken by the Board and its committees as they record the events taking place during

meetings to avoid any confusion. Accordingly, attention and accuracy must be considered in writing meeting minutes to include an accurate record of any voting that took place or reservations raised by any Board Member during these meetings with the need to enclose or reference any documents referred to during the meetings. The Bank shall keep all these records in an appropriate manner.

Eighth: board secretary

1. The decision to appoint and dismiss the Board's Secretary shall be made unanimously by the Board.
2. The Board's Secretary shall be selected from among the Bank's employees who are known for their accuracy and high level of commitment.
3. The Board shall define the function and task of the Board's Secretary officially and in writing in line with the level of responsibilities referred to under this Manual.
4. The responsibilities of the Board's Secretary shall include at least the following:
   - Provide each Board Member, upon election, with a letter that clearly explains the member's rights, responsibilities and duties.
   - Ensure that Board Members follow the procedures determined by the Board as well as communicate information among Board Members, Board Committees and the Executive Management.
   - Attend all Board Meetings and record all deliberations, proposals, objections, reservations and method of voting on the Board's draft resolutions.
   - Ensure that Board Members sign the minutes of meetings and resolutions.
   - Follow up on the implementation of Board resolutions and the discussion of topics postponed at previous meetings.
   - Determine the dates of Board Meetings in coordination with the Chairman and write up the minutes of meetings as specified above.
   - Prepare the Board Meeting agenda and provide Board Members with all necessary information and documents related to the meeting sufficiently in advance.
   - Keep records and documents of the meetings of the Board.
   - Take the necessary measures to ensure that all draft resolutions to be rendered by the Board are in conformity with the statutes.
   - Prepare for General Assembly meetings and work in cooperation with Board Committees.
   - Provide the Central Bank with a copy of the declaration of suitability signed by each Board Member.
   - Facilitate Board Members' access to necessary information.
   - Manage relationships with shareholders and ensure they have easy access to all the necessary information to be able to follow up and evaluate the Bank's activities.

Ninth: Relationship with shareholders

1. The Bank shall take the necessary measures to ensure effective and continuous communication with shareholders through the relevant department.
2. A department concerned with shareholders' affairs shall be established to ensure effective communication and provision of information to shareholders through the Bank's website and other communication channels.
3. All necessary information shall be disclosed to the shareholders and grant them access to such information.
4. The Bank shall take steps to encourage all shareholders, especially minority shareholders, to attend the annual General Assembly meeting and to vote either in person or in their absence by proxy.
5. Representatives of the external auditors shall attend the annual General Assembly meeting to answer any questions raised about the audit and the auditor's report.
6. Voting shall take place on each separate issue that is raised at the annual General Assembly meeting.
7. Board Members shall be elected or re-elected at the annual General Assembly meeting and the Bank's external auditor shall be elected at the same meeting.
8. After the conclusion of the annual General Assembly meeting, a report shall be prepared to apprise shareholders about the remarks and results that took place during that meeting including the voting results and shareholders' questions as well as Executive Management's responses thereto.

Tenth: suitability

The Board and Nominations and Remuneration Committee shall assume the responsibility for ensuring that members of the Board and Senior Executive Management exhibit the highest level of credibility, integrity, competence and expertise and the ability for commitment and devotion of time for the Bank's business.

Suitability of Board Members

1. The Board shall adopt an effective policy to ensure the suitability of Board Members, provided that such policy shall comprise the minimum criteria, requirements and conditions that the candidate or elected member must meet. The Board shall revise the policy as required and set-up sufficient procedures and regulations to make sure that all members satisfy the suitability criteria at all times. A copy of such policy shall be provided to the Central Bank provided it shall be approved by the Board of Directors.
2. The Chairman and every member of the Board must meet the following requirements:
   - To be at least 25 years of age.
   - Not to be a Board Member, General Manager, Regional Manager or employee of another bank inside the Kingdom unless such bank is a subsidiary of the Bank.
   - Not to be a lawyer, legal counsel or auditor of the Bank.
   - Has a minimum of a Undergraduate University Degree in Economics, Finance, Accounting, Business Administration or any other similar majors. The Nominations and Remuneration Committee may consider adding other specialties if coupled with an experience related to banking business.
   - Not to be an employee of the government or any public institution unless being a representative thereof.
   - Neither the Board Member nor the representative thereof is a member or representing a member in the Board of another similar or competitor bank, and is not a member of the Board of directors of more than five public shareholding companies inside the Kingdom in his/her personal capacity in some and as a representative of a legal person in others.
   - Has at least five years of experience in banking, finance or similar fields.
   - Must be of good conduct and reputation.
3. The Chairman and each member of the Board must sign the declaration of suitability prescribed by the Corporate Governance Instructions for Banks No. 63/2016, which shall be kept with the Bank and a copy of which shall be sent to the Central Bank along with the member's CV.
4. The Chairman must ensure that the Central Bank is informed of any material information that may adversely affect the suitability of any of its Board Members.

Suitability of members of the senior executive management

1. The Board shall adopt a policy for the suitability of members of the Senior Executive Management, provided that such policy shall comprise the minimum criteria, requirements and conditions that the member of the Senior Executive Management must meet. The Board shall revise this policy from time to time and set-up sufficient procedures and regulations to make sure that all members of the Senior Executive Management satisfy the suitability criteria at all times. A copy of such policy shall be provided to the Central Bank provided it shall be approved by the Board of Directors.
2. The Board shall appoint a General Manager who has integrity, technical competence and banking experience and shall obtain a No Objection letter from the Central Bank prior to such appointment.
3. The Board's approval for the appointment, resignation, or termination of services of members of the bank's Senior Executive Management shall be obtained.
4. The Board shall adopt and review, at least once a year, the Succession Plan for members of the Senior Executive Management.
5. The Board shall inform the Central Bank of any material information that may adversely affect the suitability of any member of the Senior Executive Management.

6. A member of the Senior Executive Management must meet the following requirements:
   - Not to be a member of the Board of Directors of any other bank inside the Kingdom unless such bank is a subsidiary of the Bank.
   - Must be full-time dedicated to managing the Bank's business.
   - Has a minimum of Undergraduate University Degree in Economics, Finance, Accounting, Business Administration or any similar majors related to the Bank's business .
   - Has at least five years of experience in the banking business or related business save the position of General Manager or Regional Manager whose experience in banking business shall not be less than 10 years.
   - Must be of good conduct and reputation.
   - The appointment of the member shall not constitute a conflict of interest arising out of a relationship with the Chairman of the Board of Directors or any member thereof or with any major shareholder, including a relation up to the third kin in the case of the General Manager and up to the first kin in the case of holders of senior posts.
7. Prior to the appointment of Senior Executive Management members, the Bank must obtain a Letter of No Objection from the Central Bank. Therefore, the Bank shall, before appointing any member in the Senior Executive Management, whether by way of appointment/promotion/transfer (including temporary assignment), obtain the candidate's CV accompanied by academic certificates, experience certificates, good conduct certificates and other necessary supporting documents, along with a signed copy of the required declaration and provide the Central Bank with a copy of such declaration accompanied with the member's CV.

Eleventh: performance evaluation of executive officers

1. The Board shall create a system to evaluate its performance and the performance of its members. This system shall comprise the following minimum requirements:
   - Set-up specific objectives and defining the role of the Board in achieving these objectives in a measurable manner.
   - Determine and use the Key Performance Indicators (KPIs) that may be derived from strategic plans and objectives to measure the performance of the Board.
   - Communication between the Board and Shareholders and the periodicity of such communication.
   - Periodicity of Board Meetings with Senior Executive Management.
   - Role of a Board Member in Board Meetings, including an evaluation of their performance compared to other members. Feedback shall be obtained from the concerned Board Member to improve the evaluation process.
2. The Board shall carry out an annual evaluation of the General Manager's performance using an evaluation system prepared by the Nominations and Remuneration Committee, which includes setting up KPIs, whereby the General Manager's performance evaluation criteria include financial and managerial performance and achievement of the Bank's medium- and long-term plans and strategies. The Committee shall inform the Central Bank of the evaluation results.
3. The Board shall adopt a system to measure the performance of Executive Officers other than members of the Board and the General Manager. This system shall, at minimum, meet the following:
   - To give appropriate weighted average to measure the commitment performance with the risk management framework and implementation of internal controls and regulatory requirements.
   - Total income or profit should not be the only element for measuring the performance of Executive Officers; rather, other elements must be taken into account, such as the risks associated with the main operations, customer satisfaction, and others where applicable.
   - Not to take advantage of influence and conflict of interest

Twelfth: remuneration of executive officers

1. The Board shall set-up procedures to determine the remuneration of its members based on the adopted performance evaluation system.
2. The Bank's Nominations and Remuneration Committee must set-up the policy of granting remunerations, advantages, incentives and salaries at the Bank, including Executive Officers which shall be characterized by objectivity and transparency. The Central Bank shall be provided with a copy thereof within a maximum period of seven working days from the date of the approval thereof by Board. The said policy shall be reviewed on an annual basis.
3. The remuneration policy shall meet the following minimum requirements:
   - To be structured to recruit and retain qualified and experienced executives and to motivate them and promote their performance.
   - To be designed in a manner that ensures that it is not used in a way that may affect the Bank's solvency and reputation.
   - To take into consideration the risks, liquidity and profits position and their timing.
   - To ensure that remuneration is not only based on the performance of the current year, but also on his/her performance over the medium- and long-term performance (3-5 years).
   - To reflect the Bank's objectives, values and strategy.
   - To define the form of the remuneration, to be in the form of fees, salaries, allowances, bonuses, share options or any other form of advantages.
   - To comprise the possibility of postponing payment of a reasonable proportion of the remuneration. The amount of such proportion and the postponement period shall depend on the activities and nature of the work performed by the concerned executive and the risks associated therewith.
   - No remuneration shall be granted to the Executives of Supervisory Departments (Risk Management, Audit, Compliance, etc.) based on the performance of the departments which they supervise.

Thirteenth: conflict of interest

1. Executive officers shall avoid conflict of interest.
2. The Board shall adopt policies and procedures for related-party transactions, whereby they include the definition of these parties taking into consideration the legislation, terms of transactions, approval procedures and the method of monitoring these transactions so that such policies and procedures shall not be exceeded.
3. The supervisory departments in the Bank shall ensure that any transaction involving related parties has been carried out in accordance with the approved policy and procedures. The Audit Committee shall review and monitor all related-party transactions and apprise the Board of such transactions.
4. The Board shall ensure that the Senior Executive Management implements the adopted policies and procedures.
5. The Board shall adopt controls to manage the transfer of information within the various departments to prevent exploitation for personal gains.
6. The Board shall adopt and circulate policies and a code of professional conduct among Executive Officers, which shall include the following at minimum:
   - None of the Executive Officers shall exploit inside information for personal gain.
   - Rules and procedures regulating related-party transactions.
   - Situations that may result in conflict of interest.
7. The Board shall ensure that the Executive Management exhibits the highest level of integrity in exercising its Activities and shall avoid conflict of interest.

Fourteenth: general provisions:

1. The principle of transparency shall be observed when appointing members of the Board Committees. The Bank shall disclose the names of committee members and provide a summary of their tasks and responsibilities within the Bank's Annual Report.
2. Some committees may be merged when necessary provided that such merging shall not affect their responsibilities noting that the activities of any committee may not be merged with the activities of the Audit Committee.
3. The Bank shall inform the Central Bank at least 30 days prior to the General Assembly meeting of its intention to nominate the external auditor for election or re-election by the General Assembly.
4. The Bank shall provide the Central Bank with the number of shares pledged by the Bank's shareholders who own 1 % or more of the Bank's capital and the party for which the shares are pledged.
5. The Bank shall provide the Central Bank with information about members and committees of the Board as well as the members of the Senior Executive Management on a semi-annual basis and in the event of any amendment.
6. The Bank shall provide the Central Bank with information about members of the boards of directors, management committees and senior executive managements of the Bank's subsidiaries inside and outside the Kingdom in accordance with forms so designated on a semi-annual basis and in the event of any amendment.

Fifteenth: internal control environment

First: organizational structure

1. The Bank's organizational structure is developed and regularly revised by the Bank's Executive Management and the Board to ensure that such structure ensures the following:
   - That such structure Is consistent with the Bank's work requirements and strategic plans.
   - Establishes effective lines of communication.
   - Ensures the required level of internal control and separation of duties that constitute monitoring tools.
2. The Board shall adopt an organizational structure for the Bank that outlines the hierarchical organization including Board Committees and Executive Management.
3. The Board shall ensure that the organizational structure clearly reflects the lines of responsibility and authority, including at least the following supervisory levels:
   - The Board of Directors.
   - Separate departments for risk, compliance and audit that do not perform day-to-day executive functions.
   - Units/employees not involved in the day-to-day operations of the Bank (such as the credit review and the middle office officers)
4. The Board shall adopt clear lines of responsibility and accountability and enforce the same at all management levels.
5. The Board shall ensure that the Senior Executive Management carries out its responsibilities in relation to the day-to-day management of the Bank's operations and that it contributes to the corporate governance of the Bank. It shall also ensure that the Senior Executive Management delegates powers to employees, establishes an effective management structure that promotes accountability, and performs tasks in the various areas and activities in a manner consistent with the policies and procedures adopted by the Board.
6. The Board shall adopt appropriate controls to ensure the accountability of the Senior Executive Management.
7. Notwithstanding the provisions of the Companies' Law, the positions of Chairman of the Board and General Manager shall not be combined. There shall be no relation, up to the fourth kin, between the General Manager and the Chairman of the Board, any of the Board Members or major shareholders.
8. In addition to the provisions stipulated under the statutes, the General Manager shall act on the following:
   - Develop the strategic direction of the Bank
   - Implement the strategies and policies of the Bank
   - Implement the decisions of the Board
   - Provide the guidelines for the implementation of short- and long-term action plans
   - Convey the Bank's vision and strategic mission to the employees
   - Inform the Board on all significant aspects of the Bank's operations
   - Manage the day-to-day operations of the Bank

9. A charter, specific to each of the bank's departments shall be adopted and it shall clearly specify the responsibilities to avoid redundancy in performing the various tasks as well as ensure a high level of accountability and responsibility.
10. Job descriptions for all positions in the Bank are prepared to enforce the principles of accountability and responsibility and to ensure that there are objective bases for performance measurement.

Second: internal control systems

1. The structure of internal control systems shall be reviewed by the internal and external auditors at least once a year.
2. The Bank shall set-up procedures that enable the employees to report there and then, in confidence, concerns about possible violations in a manner that permits the investigation of and follow-up on such concerns independently, whereby the implementation of such procedures shall be monitored by the Audit Committee.

Third: activating the role of departments concerned with the bank's risk management and internal control

These departments include:

Internal audit:

1. To ensure the effectiveness and efficiency of internal audits, the Internal Audit Department shall be linked directly to the Board of Directors/Audit Committee and shall not be assigned any executive tasks to ensure its full independence. The Internal Audit Department shall report to the Chairman and members of the Audit Committee.
2. The Board must ensure and promote the independence of internal auditors. It shall grant them an appropriate position in the Bank's organizational structure and that they are qualified to carry out their duties including their right to access all records and information and contact any employee of the Bank in order to enable them to perform their assigned tasks and prepare their reports without external interference.
3. The Board must take the necessary steps to enhance the effectiveness of the internal audit through lending the necessary importance of the audit process and consolidate such at the Bank and follow-up the rectification of the audit remarks.
4. The Internal Audit Department shall develop its strategy and shall also determine an audit plan to be endorsed by the Audit Committee in addition to proposing the structure and scope of internal audit.
5. The Audit Committee must verify the availability of adequate resources, including a sufficient number of trained and qualified employees, to manage the internal audit activities.
6. The Audit Department shall have the right to access any information and to contact any Bank employee. It shall also be granted all authorities that enable it to adequately perform the duties assigned to it.
7. The Bank must document the tasks, authorities and responsibilities of the Audit Department in an Internal Audit Charter that is endorsed by the Board and circulate it within the Bank.
8. The Audit Department shall be responsible for notifying the Audit Committee of any possible conflict of interest.
9. The Internal Audit Department shall carry out its duties and prepare its reports without any external interference and shall be entitled to discuss its reports with the audited departments.
10. The primary responsibility of the Internal Audit Department – which must be based on risks – shall comprise reviewing the following at a minimum:
    - The Bank's financial reporting (ensuring that significant financial, administrative and operating information is accurate, reliable and timely).
    - Compliance with the Bank's internal policies and international standards and procedures as well as the relevant laws and instructions.
    - Verify the availability of and compliance with, adequate internal control systems for the Bank's activities and its subsidiaries.
    - Auditing of financial and administrative matters to ascertain that the significant information about financial and administrative matters are accurate, reliable and timely.
    - Review compliance with the Corporate Governance Manual.
    - Review the validity and comprehensiveness of the stress testing in line with the methodology adopted by the Board.
    - Ascertain the accuracy of the followed procedures in respect of the Internal Capital Adequacy Assessment Process (ICAAP).

Risk management department

1. The Risk Management Department shall be provided with qualified human resources and the necessary training to maintain the ongoing development of its performance.
2. The Board of Directors shall ensure the independence of the Risk Management Department by making sure that it reports to the Risk Management Committee and that it is granted the necessary powers to access information from the various departments and cooperate with other committees to perform its tasks.
3. Below are the minimum responsibilities of the Risk Management Department. The detailed functions and responsibilities of the Department are specified in full in the Risk Management Charter endorsed by the Risk Committee:
   - Recommend to the Board the level of risk appetite.
   - Submit recommendations to the Risk Management Committee on risk exposures and any exceptions to the risk management policy.
   - Monitor the compliance of the Bank's departments with the specified levels for the approved risk level.
   - Review the risk management framework before being approved by the Board.
   - Implement the risk management strategy and develop policies and procedures to manage all types of risks.
   - Develop various risk management policies.
   - Review and analyze all types of risks that the Bank may face including credit risks, market risks, liquidity risks and operational risks.
   - Develop methodologies to identify, measure, monitor and control all types of risks.
   - Submit recommendations to the Risk Management Committee on risk limits, approvals, reporting and exceptions to the risks management policy.
   - Provide the Board and Senior Executive Management with information about risk management and the actual risk profile for the entire Bank's activities in comparison with the risk appetite document and follow-up the correction of negative deviations. (The Board shall regularly review qualitative and quantitative risk statistics at each Board meeting).
   - Verify the compatibility of the risk measurement methodologies with the used management information systems.
   - Provide the necessary information on the Bank's risks for use in the Bank's disclosures and publications.
   - Participate in the membership of committees concerned with risk management such as the Credit Committee and the Assets and Liabilities Committee (ALCo).
   - The Board shall ensure that excesses over acceptable risk appetite levels are addressed by questioning the Senior Executive Management about such excesses.
   - The Board shall ensure that the Risk Management Department conducts periodic stress tests to gauge the bank's ability to absorb shocks and deal with high risks. The Board shall also have a fundamental role In approving the assumptions and scenarios used, discussing the stress tests' results and approving the measures to be taken based on these results.
   - The Board shall adopt a methodology for the internal assessment of capital adequacy, whereby such methodology shall be comprehensive, efficient and able to identify all risks that the Bank may face. It shall take into consideration the Bank's strategic plan and capital plan. The Board shall revise the methodology regularly and verify that it is duly implemented and ascertain that the bank retains an adequate capital to face all the risks it may face.
   - Before approving any expansion of the Bank's activities, the Board must consider the risks resulting from such expansion and the abilities and qualifications of the risk management staff.
   - The Board shall adopt a charter for the Bank's risk appetite.

Compliance department

1. The Board shall ensure that the Compliance Department is independent and is not entrusted with any executive tasks. It shall also ensure that the Department is always provided with an adequate number of trained and appropriately remunerated staff.
2. The functions, powers and responsibilities of the Compliance Department shall be documented and circulated within the Bank after being approved by the Board.
3. The Compliance Department shall draw-up an effective methodology to ensure the Bank's compliance with all The laws and statutes in force as well as any relevant instructions and guidelines.
4. The Compliance Department shall be responsible for developing anti-money laundering procedures and policies and taking the necessary measures to detect and report any suspicious activities to the relevant regulatory authorities.
5. The Board shall approve and monitor the compliance policy through the Compliance Committee, whereby such policy

shall be periodically reviewed and verify the implementation thereof. Its preparation and development at the Bank shall be within the powers of the Compliance Department.

6. The Compliance Department shall submit reports about the results of its activities and its monitoring of compliance to the Board through the Board's Compliance Committee, with a copy to the Executive Management in line with the Central Bank's instructions issued in that regard.

Fourth: activating the role of the external auditor

1. The Board shall ensure the regular rotation of external audit between auditing firms and their subsidiaries, affiliates or other related parties at least every seven years from the date of their election. The first 7-year period shall start as of 2010.
2. In the first year after rotation, the new auditor shall work jointly with the old auditor.
3. The old auditor may not be re-elected before the passage of at least two years from the date of its last election not including the joint audit assignment.
4. The external auditor shall provide the Audit Committee with a copy of its report.
5. The external auditor shall meet with the Audit Committee at least once a year without the presence of the Executive Management.

Fifth: policies and procedures

1. To ensure the integrity of the Bank's operations, certain policies and procedures shall be developed covering all the Bank's activities.
2. These policies and procedures shall be circulated at all administrative levels at the Bank.
3. All policies and procedures shall be revised regularly to ensure that they reflect any amendments or changes to the laws and instructions as well as economic conditions and any other issues concerning the Bank, in addition to any new policies that become required.
4. The Executive Management shall ensure that the Bank's policies determine the principle of dealing with the related-party in terms of loans control thereto, the procurement of equipment and services therefrom or any other dealing including specifying the authorized party in respect of all the foregoing.
5. The Bank's departments which are concerned with the internal control and monitoring regulations must ascertain that all related-party transactions are in compliance with these policies.
6. The Bank's written policies shall determine all executive transactions that require the approval of the Board. The Board shall decide internally the manner by which approval of such transactions shall take place.

Sixth: disclosure

1. The Board shall ensure that meaningful financial and non-financial information that is of interest to stakeholders is published and made available to the Central Bank, shareholders, depositors, other banks and the public with a focus on issues of concern to shareholders.
2. The Board shall adopt a disclosure policy that clearly defines all issues that need to be disclosed by the Bank as well as the frequency and methods of disclosure.
3. The Board must ascertain the Bank's compliance with the disclosures determined under Internal Financial Reporting Standards (IFRS) and International Accounting Standards (IAS) and the instructions of the Central Bank and other relevant statutes and to ensure that the Executive Management is aware of the changes that the IFRS undergo.
4. The Bank's management shall be responsible for ensuring the full implementation of all IFRS changes.
5. The Bank must be aware of any changes in international financial reporting practices and the scope of transparency required from financial institutions.
6. The Executive Management shall submit reports on disclosure developments to the Board and makes recommendations for the regular enhancement of the Bank's own disclosure practices beyond those required by the CBJ.
7. The Bank shall post its Corporate Governance Manual on its website and through any other suitable means to make it available to the public. The Bank must also disclose in its annual report the existence of its Corporate Governance Manual and also disclose the information of interest to stakeholders including the Manual and its compliance in the implementation of its contents.
8. The Bank's annual report must also comprise a statement to the effect that the Board is liable for the accuracy and completeness of the Bank's financial statements and other information contained in the report, as well as for the adequacy of the internal control systems.

9. The Board must ensure that the Bank's annual and quarterly reports include disclosures that allow current and potential shareholders to review the operating results and financial position of the Bank.
10. The Board must ensure that the annual report includes, at minimum, the following:
    - Summary of the organizational structure of the Bank.
    - Summary of the roles and responsibilities of board committees and any authorities delegated to such committees.
    - Information of interest to stakeholders as identified in the Bank's Corporate Governance Manual and the extent of its compliance with the Manual.
    - Information on each Board Member, including qualifications and experience, shareholding in the Bank's capital, whether independent or not, membership in board Committees, date of appointment and any other memberships in the boards of directors of other companies, remunerations of all forms received from the Bank for the previous year in addition to loans from the Bank and other transactions between the Bank and the Board Member or parties related thereto.
    - Information about the Risk Management Department, including its structure and nature of its operations, and developments it has undergone.
    - Number of meetings of the Board and board committees and the number of meetings attended by each member.
    - Names of Board and Senior Executives Management members who resigned during the year.
    - A summary of the Bank's remuneration policy and disclosure of all forms of remuneration to each individual member of the Board and all forms of remuneration granted to each individual member of the Senior Executive Management for the previous year.
    - A list of shareholders that own 1% or more of the Bank's capital with identification of the ultimate beneficial owners of such shareholdings or any part thereof, in addition to a clarification as to whether the shareholdings are wholly or partially pledged.
    - Declarations from all Board Members that the member did not get any benefits through working at the Bank and has not so declared whether such benefits have been in cash or in kind and whether personally to him/her or to any person related thereto for the previous year.

Seventh: Treatment of stakeholders

The principles of corporate governance require the treatment of all stakeholders with fairness, transparency and disclosure that enable the stakeholders to evaluate the Bank's position including its financial performance. These principles also require that the relationship between the management and stakeholders is governed by the accountability rules whereby the following shall be complied with:

1. 1. The Board must provide a specific method to ensure communication with stakeholders through the disclosure and provision of relevant information to stakeholders about the Bank's activities through the following:
    - General Assembly meetings.
    - Annual Report.
    - Quarterly reports containing financial information in addition to the Board's report on the Bank's stock trading and financial position during the year.
    - The Bank's website.
    - Shareholders Relationship Division.
2. The Board must ensure that a part of the Bank's website is designated to clarify shareholders' rights and encourage them to attend and vote at general assembly meetings. Also, documents of general assembly meetings, including the full text of invitation and minutes of meetings shall be posted on the website.

Sixteenth: board committees

The following committees shall emanate from the Board of Directors or any other committees the formation of which is deemed necessary by the Board, to guide, follow- up and monitor the work of the Bank and to submit periodic reports and recommendations to the Board in this regard:

1. Audit Committee
2. Management Committee
3. Risk Committee
4. Corporate Governance Committee
5. Nominations and Remuneration Committee
6. Compliance Committee
7. IT Governance Committee
8. Credit Facilities Committee

No Board Member may be appointed as chairman of more than one of the main committees (the Audit Committee / Risk Committee / Corporate Governance Committee / Nominations and Remuneration Committee). Moreover, the Board Member may not serve as President of more than two board committees. Following is a description of the tasks, authorities and memberships of each committee:

Audit committee

Objective:

To assist the board in performing its functions with regard to the supervision and monitoring of the preparation of financial reports, internal control systems, audit process and degree of compliance with the statutes that govern the Bank's work, as well as activate the role of the external auditor.

The Committee Charter shall be endorsed by the Board and shall be an integral part of the bank's Corporate Governance Manual. The Board shall specify the Audit Committee's authorities and supervisory responsibilities, which are to be exercised and implemented in the Bank and its subsidiaries.

Formation:

- The Committee shall be formed by a decision from the Board. The Board's Secretary shall act as secretary of the Committee. The work of any other committee may not be combined with the work of this Committee.
- The Committee consists of at least three Board Members, the majority of whom, including the Committee's President, are independent. The Committee shall elect one of its members as its President, provided that he/she shall not be the Chairman of the Board of Directors or any President of any other Board Committee.
- All Committee members must possess adequate academic qualifications and work experience in accounting, finance, or any other specialties or similar fields related to the Bank's business.

Meetings:

- The Committee shall meet by a call of its President at least once every three months or whenever the need arises, or upon a decision of the Board of Directors or at the request of its other members. The Committee shall also meet upon the request of the External Auditor or the Head of the Internal Audit Department if the Committee deems it necessary.
- The Head of the Internal Audit Department shall attend the meetings of the Committee.
- The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Authorities:

- The Committee shall work under the supervision of the Board of Directors and shall submit its reports and recommendations of the results of exercising its functions to the Board. The Committee's recommendations / decisions shall be taken by the majority of votes of those present and in the event of a tie, the Committee's President shall have the casting vote.
- The Audit Committee shall be entitled to request any information from the Executive Management and may seek the assistance of external resources and invite any executive in the Bank to attend its meetings.
- The Committee shall study any matter presented to its attention by the Board of Directors or any matter the Committee considers important to be discussed and decided upon.
- The Committee shall settle differences between the Executive Management and the internal and external auditors and other regulatory authorities regarding financial reports and the internal audit remarks and scope of its work.

Functions and responsibilities:

The Audit Committee's responsibility does not replace the Board's or the Executive Management's responsibilities with regard to overseeing the adequacy of the Bank's internal controls. It also does not affect the Board's ability to directly contact the Executive Management, internal auditors or external auditors.

The Committee's responsibilities are as follows:

Financial reporting and disclosure requirements:

- Review annual, semi-annual and quarterly financial statements for all branches in Jordan of the Bank as consolidated prior to submission to the Board of Directors and review their conformity with the statutes and international standards and submit recommendations in their respect, taking into account the following:
  - To obtain a certificate from the external auditor regarding the adequacy of the provisions /the expected credit loss (ECL), investments and contingent liabilities; the need for any additional provisions; the accuracy of the calculation of interest and earnings in suspense; the accuracy of the calculation of the provision for seized property and any shortage in provisions; and the validity of the valuation of goodwill impairment.
  - To give the opinion regarding the Bank's non-performing loans or those proposed to be classified as bad debts.
  - Accounting issues with a material impact on financial statements such as any change in the accounting policies, as well as any unusual transactions or any issues highly subject to personal judgment. This is in addition to ensuring the accuracy and integrity of accounting and control procedures and the level of compliance therewith, and obtaining the opinion of the external auditor on the validity of the accounting treatments concerning any amendments to financial statements.
- Ensure compliance with IFRS and IAS as well as the disclosures so determined by the Central Bank's instructions, the Securities Commission and other relevant statutes. The Committee shall also ensure that the Executive Management is aware of the changes that occur on these standards, and that reports thereon are submitted to the Board of Directors.

Internal audit:

- Review the Internal Audit Department's Charter and recommend to the Board of Directors the approval thereof whereby it shall comprise the functions, authorities and responsibilities of the Audit Department as well as ensure the circulation thereof within the Bank.
- Review and study the risk-based internal audit plan which is prepared based on major and significant risks including the audit plan for information systems and ascertain its comprehensiveness in terms of scope without any determinants together with its results and adequacy by incorporating the Bank's strategic objectives therein and shall adopt, follow-up and approve any material amendments thereon.
- Review the organizational structure and budget of the Internal Audit Department with the Head of the Internal Audit Department and ensure the provision of qualified employees, including the information systems audit staff and any other resources required, as well as the training thereof, to carry out the work of the Internal Audit Department effectively and efficiently.
- Verify the rotation of the internal audit employees in respect of auditing the Bank's activities every three years at most.
- Review the quarterly audit report, which includes key internal audit remarks, recommendations issued pursuant to the internal audit memoranda or the investigation findings, Audit Committee's recommendations, and emerging risks. The said report is itself the internal control system report required by the Central Bank, but on a quarterly instead of annual basis. It is updated annually with the corporate governance compliance results. The Committee also reviews progress in the approved audit plan, advisory tasks and regulatory authorities' requirements. It identifies any deviations or material changes to these plans, if any, and possible reasons behind them, such as limited resources and their impact

on the implementation of the plan and any external circumstances or reasons together with advising the Board of any material remarks.

- Ensure that the Central Bank is provided during the first quarter of each year with a report on the audit of the information and related technology issued by the Internal Audit, comprising the Executive Management's response and the Board's review and recommendations in accordance with the COBIT instructions.
- Ensure that the internal audit plans comprise the requirements of the Central Bank and the regulatory bodies, such as reviewing stress testing and conducting internal evaluation of the adequacy of the capital and report same to the Board of Directors.
- Meet with the Head of the Internal Audit Department at least once a year without the Executive Management being present.
- Ensure the independence and objectivity of the Internal Audit and that it is not assigned any executive work, and provide the employees thereof with an appropriate position in the Bank's organizational structure and ensure that they are qualified to carry out their duties and report the same to the Board of Directors.
- Take the necessary measures to enhance the efficiency of internal audit by giving due importance to the audit process and consolidate same in the Bank by following up on the rectification of the audit remarks and to be reported to the Board of Directors.
- Review the remarks contained in the reports of the Central Bank and the external auditor and follow up on measures taken in that regard.
- Submit recommendations to the Board regarding the appointment, resignation or dismissal of the Head of Internal Audit Department, provided that the Central Bank non-objection letter is obtained.
- Carry out an evaluation of the Internal Audit Head's annual performance and determine his/her salary, annual raise, remuneration and other privileges.
- Evaluate the performance of the Internal Audit's employees and determine their remuneration and annual raise, and ensure their ability to verify the availability of adequate internal audit control systems, audit financial and administrative matters, and comply with internal policies, international standards and the relevant statutes at the Bank.
- Review the performance evaluation results of the Internal Audit's activities and its compliance with the internal audit standards, principles of professional ethics, and the definition of internal audit.

External auditor:

- Ensure the independence and regular rotation of the external auditor and that it is nominated after ascertaining that it meets the nomination and assignment requirements of audit firms in accordance with the external audit instructions for banks issued by the Central Bank and recommend to the Board of Directors the external auditor's fees and termination of its services.
- Monitor the efficiency of the external auditor at all stages of audit, verify its commitment to the scope and action plan and submit semi-annual reports to the Board for discussion.
- Ensure that the external auditor provides the Central Bank, during the first quarter of each year, with a report on the audit of information and related technology, comprising the response of the Executive Management and the recommendations related to the report, in accordance with the COBIT instructions.
- Invite the managing partner of the external auditor's office to attend its meetings relating to the external auditing activities, with the exception of meetings related to the evaluation of the efficiency of external audit. The Committee shall also facilitate attendance of the said partner at meetings of other committees that are relevant to the audit if the Audit Committee deems it necessary.
- Discuss any reservations and impediments with the managing partner of the external auditor's office at least once a year without the presence of the Executive Management, and inform the Board of any remarks it deems significant.
- Recommend to the Board of Directors to approve, or not to approve, where the audit office is assigned with additional services that fall outside the scope of auditing of accounts after ascertaining the impact of such on its independence . In the event that additional services are requested from another audit office or any specialized entity, it should be ascertained that such services do not conflict with its independence and objectivity.
- The Committee shall execute the tasks of the Audit Committee specified in the approved external audit policy.

Compliance:

- The Committee shall meet with the Head of Compliance at least once a year without the presence of the Executive Management to ensure the Bank's compliance with the laws, policies and procedures. It shall also inform the Board of any remarks that it deems significant.
- The Committee shall obtain ongoing updates from the Compliance Department, Executive Management, and
- the Bank's Legal Counsel on any compliance issues.
- The Committee shall ensure that no conflict of interest may arise from dealings, contracts or projects with related parties, and review and monitor all related-party transactions and inform the Board of these transactions in accordance with the policies endorsed by the Board in this regard, and in coordination with the Compliance Department.
- The Committee shall review and monitor the policy and procedures for reporting possible violations whereby employees can confidentially report any irregularities in financial reports or any other matter. The Committee shall ensure that the necessary independent investigation arrangements are in place and make sure to follow up on the results of the investigation and address the matter objectively in coordination with the Compliance Department.
- The Committee shall monitor compliance with the Code of Conduct and work ethics.

Control system:

- The Committee shall ensure an internal audit is carried out at least once a year by reviewing the internal control system and corporate governance. The Board shall be informed of any remarks that it deems significant.
- The Committee shall ensure that the external auditor reviews, at least once a year, the internal control system by reviewing the remarks contained in its reports and correspondence This shall include the protection and security of the information and the corrective actions taken by the Executive Management in this regard. The Board shall be informed of any remarks that it deems significant.

Other responsibilities:

- The Committee shall review the results of official investigations in which the Internal Audit participates as well as the corrective actions taken by the Executive Management if needed and inform the Board of any remarks that it deems significant.
- The Committee shall verify that all of the Bank's activities are subject to auditing, including outsourced activities to ascertain that an independent and impartial entity confirm on at least an annual basis the availability of business continuity plans with third parties which are relied upon that guarantee the availability and confidentiality of the data and operations of banks in the event of any emergency.
- The Committee shall ensure that internal audit keeps abreast of the best sound practices in the event of any emergency, through emergency bulletins and others issued by professional or specialized audit bodies.
- The Committee shall revise its Charter annually and propose amendments to the Board for approval.
- The Committee shall ensure, at least once a year, that all the responsibilities referred to in the Charter are complied with.

Responsibilities of the committee's secretary:

- Provide each member with the Board-approved Audit Committee Charter.
- Coordinate with the President and members of the Committee and the Head of Internal Audit to specify the dates for Committee meetings.
- convey information among members of the Committee, board committees and the Management, and facilitate member access to all the necessary information.
- Prepare the agenda of the meeting and all relevant documents and information related to the meeting at the request of the Committee's President and send it with its contents to the members and the Head of the Audit Committee and the invited members of the Executive Management prior to the time of the meeting by sufficient time.
- Record the Committee's meetings in official minutes that comprise the actions taken by the Committee and follow-up the recommendations made by the Committee in addition to any topics postponed at previous meetings. The Committee's secretary must be able to write accurate meeting minutes and provide an accurate account of proceedings, including any voting that took place, reservations, suggestions, and enclose or reference any documents referred to during the meetings. The secretary shall also duly keep records and documents of Committee meetings.
- Prepare a proper draft minutes and having them signed by the President and members of the Committee.

Management committee

- The Management Committee Charter shall be approved by the Board and it shall be deemed to be an integral part of the Bank's Corporate Governance Manual.
- This Charter shall be reviewed on an annual basis by the Committee in cooperation with the Executive Management of the Bank. Proposed amendments shall be submitted to the Board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership:

- The Committee is formed by the Board's decision.
- The Committee consists of at least three Board Members.
- Members shall have sufficient banking knowledge and experience to enable them to make sound decisions.

Committee's presidency:

One of the Committee's members shall be the President thereof.

Quorum:

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting:

The Committee's decisions are taken by the majority of votes of the members present.

Committee's secretariat:

The Head of Credit Monitoring and Credit Control shall act as the Committee's secretary.

Committee meetings:

- The Committee shall work under the supervision of the Board. It shall submit its reports and recommendations on the results of its operations to the Board.
- The Committee shall meet by a call from its President whenever needed, upon a decision of the Bank's Board of Directors or at the request of one of its members.
- Members of the Senior Executive Management may participate in the meetings of the Committee to present their recommendations.

Committee's functions and responsibilities:

Investment

- Study the recommendations of the Treasury and Investment Department relating to the sale and purchase of investments and the approval thereof within the Committee's authorities.
- Study the recommendations of the Treasury and Investment Department in relation to the classification or reclassification of existing securities in the Bank's portfolios as held for trading, available for sale or held to maturity and the approval thereof within the Committee's authorities.
- Study the recommendations of the Treasury and Investment Department in relation to underwriting securities through an initial public offering in the primary market and the approval thereof within the Committee's authorities.

Expenditure and procurements

- Study the recommendations of the Expenditure and Procurement Committee in relation to the procurement of supplies, equipment and support services and ensure the conformity thereof with the appropriate procedures as per the expenditure and procurement regulations in terms of inviting proposals, studying and analyzing them, selecting the best offers and approving them within the Committee's authorities.
- Evaluate the studies for the purchase of property for the purposes of being utilized by the Bank and make the decisions in that regard.
- Any other relevant issues which the General Manager wishes to present to the Committee.

Management

- Amend and update the Articles and Memorandum of Association in line with the requirements of the Laws prevailing in the Hashemite Kingdom of Jordan and submit recommendations in that regard to the Bank's Board of Directors.
- Ay other administrative issues which the General Manager wishes to present to the Committee.

Risk management committee

- The Risk Committee Charter shall be adopted by the Board of Directors and it shall be an integral part of the Bank's Corporate Governance Manual.
- The Charter shall be reviewed annually by the Committee in collaboration with the Bank's Risk Management Department and any suggested amendments shall be submitted to the Board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership:

- The Committee consists of at least three Board Members provided that at least one of them is independent in addition to the Head of Risk Department in the Bank.
- Committee members should possess adequate knowledge and understanding of banking risk management principles.
- Members should have full knowledge of all instructions issued by the CBJ and regulatory authorities.
- Members should hold academic qualifications and/or practical experience in finance and banking management.

Committee's presidency:

The Committee's President shall be one of the independent Board Members.

Quorum:

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting:

The Committee's decisions shall be taken unanimously and the Head of the Risk Management Department shall not be entitled to vote.

Committee's secretary:

The Head of the Risk Management Department shall act as the Committee's secretary.

Committee's meetings:

- The Committee shall work under the supervision of the Board of Directors and shall submit its reports and recommendations on the results of its operations to the Board.
- The Risk Management Committee shall meet by a call of its President at least four times a year, whenever needed, upon a decision of the Bank's Board of Directors or at the request of one of its members.

Committee's functions and responsibilities:

1. Review and approve the risk management framework that comprises risk management governance, risk appetite and risk profile, in addition to the risk management strategy and general reporting framework.
2. Approve the annual risk management plan.
3. Approve risk management policies which comprise those related to credit risks, operational risks, market risks, liquidity risks, interest rate risks, in addition to the investment policy, business continuity plan, and emergency plan provided that such policies shall be reviewed annually by the Committee.
4. Follow-up and assess the various risks to which the Bank may be exposed.
5. Create the suitable environment to ensure identification of risks that have a material impact and any activities that may expose the Bank to risks greater than the risk appetite level and the Committee shall so report to the Board and follow-up on the treatment thereof.

6. Verify that there is no discrepancy between the actual risks that the Bank takes and the risk appetite level approved by the Board.
7. Review the remarks contained in the Central Bank's reports and the external auditor with regard to the Bank's risk management and follow up on measures taken in that regard.
8. Study any matter presented to it by the Board or any matter the Committee considers important to be discussed and provide an opinion in its regard..
9. Approve a methodology for internal assessment of capital adequacy process (ICAAP), taking into consideration the Bank's strategic plan and capital plan. It shall also review the methodology regularly and ensure that the Bank has adequate capital to face any potential risks.
10. Adopt a stress testing policy, regularly discuss the stress tests' results and approve the measures to be taken based on those results.
11. Submit periodic reports to the Board on the compatibility of existing risks with the policies and risk appetite to enable the Board to take appropriate decisions and follow-up on them.
12. Adopt an information security policy, including cyber-security policies.
13. Adopt a cyber-security program.

Corporate governance committee

- The Committee is formed by a decision of the Board and consists of at least three members, the majority of whom are independent, including the Chairman of the Board.
- The Board elects the members of the Committee from among its members. The Committee continues to perform its duties throughout the tenure of the Board.
- The Committee shall work under the supervision of the Board and shall submit its reports and recommendations on the results of its operations to the Board.

Committee's presidency:

The Chairman of the Board shall act as the Committee's President.

Quorum:

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting:

Committee decisions shall be taken by the majority of votes.

Committee's secretary:

The Head of the Compliance Department shall act as the Committee's Secretary.

Committee's meetings:

The Committee shall meet upon a call by its President at least twice a year, whenever needed, upon a decision of the Board of Directors or at the request of one of its members.

Committee's responsibilities:

1. Provide recommendations to the Board regarding the approval of the Corporate Governance Manual and conduct an annual review thereof and ascertain the conformity of such policy compliance with the Central Bank's Instructions, Companies' Law and Banking Law.
2. Ensure that the Manual is made available to all shareholders (particularly minority shareholders).
3. Review the Disclosure Policy and the Code of Conduct on an annual basis and recommend any amendments thereon to the Board.
4. Ensure the compliance of all stakeholders, starting from the Board of Directors to the Executive Management, with the adopted Corporate Governance Policy and the Code of Conduct.
5. Ensure that the Bank applies all Corporate Governance policies to all of its operations and activities.
6. Ensure the effectiveness of internal control systems related to monitoring corporate governance at the Bank.

Nominations and remuneration committee

Committee formation:

This Committee shall be constituted from at least three members, the majority of whom shall be independent including the Committee's President.

Committee's presidency:

The Committee shall elect a President from among its members provided he/she is independent.

Quorum:

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting:

The Nominations and Remuneration Committee's decisions and recommendations shall be taken by the absolute majority of the members. In the event of a tie, the President shall have the casting vote.

Committee's secretary:

The secretary of the Committee shall be the Head of Human Resources or as determined by the Committee.

Committee meetings:

- The Committee shall meet by a call from its President whenever needed upon the decision of the Board of Directors or at the request of one of its members. Its meetings shall not be less than two (2) meetings per year. The minutes of meetings shall be duly recorded.
- The Committee of Nomination and Remunerations shall present its reports and recommendations to the Board of Directors. A report on its work shall be presented at the annual ordinary general assembly meeting of the Bank.

Committee's Functions:

1. Ensure that the Board of Directors' composition is as per the instructions and laws in force as follows:
   - The number of members of the Board shall not be less than eleven and not more than thirteen, according to the provisions of the Bank's Articles of Association.
   - No Board Members shall be an executive member.
   - A minimum of one-third of Board Members shall be independent. In the event that there is a fraction, the number shall be rounded to the nearest integer without exceeding half of the total number of Board Members. At minimum, the following requirements and conditions must be met to ensure the independence of the Board Member:
     - To be of high qualifications or experience in finance or banking.
     - Neither the Board Member nor any of his/her relatives of the first kin has a direct or indirect interest in the

contracts, projects and commitments made with the Bank, or any affiliate or subsidiary thereof, the value of which equals or exceeds JOD50,000.

- Has not occupied the position of Board Member of the Bank or any of its subsidiaries or the position of management Board Member therein for more than eight consecutive years.
- Has not been granted, either him/her or any company in which he/she is a Board Member, owner or major shareholder any credit by the Bank exceeding 5% of the subscribed share capital of the Bank, and has not been a guarantor of a credit exceeding the same rate.
- Is not a major shareholder in the Bank, or a representative of a major shareholder or affiliate of a major shareholder in the Bank, or his/her shareholding in concert with an affiliates constitutes a major shareholding; or a major shareholder of a subsidiary or affiliate of the Bank; or a major shareholder in the Bank's group owner.
- Is not related to any other Board Members or with any of the Board Members of the Bank's subsidiaries or with one of the major shareholders of the Bank up to the second kin.
- Neither the Board Member nor any of his/her relatives up to the second kin is, or has been, a member of the
- Bank's Board of Directors or Senior Executive Management, or any affiliate or subsidiary thereof during the past three years preceding his/her election.
- Has not been an employee of the Bank or any subsidiary or affiliate thereof during the past three years preceding his/her election.
- Is not related, up to the first kin, to the Bank's external auditor, and neither the member nor any of his/her relatives of the first kin is a partner or employee of the Bank's external auditor during the past three years preceding his/her election.
- The Chairman must ensure that the Central Bank is informed of any material information that may adversely affect the suitability of any of its Board Members.

2. Ensure the suitability of Board Members, provided that the Chairman and members of the Board must meet the following conditions:
   - To be at least 25 years of age.
   - Not to be a Board Member, General Manager, Regional Manager or employee of another bank inside the Kingdom unless such bank is a subsidiary of the Bank.
   - Not to be a lawyer, legal counsel or auditor of the Bank.
   - Has a minimum of a Undergraduate University Degree in Economics, Finance, Accounting, Business Administration or any other similar majors. The Nominations and Remuneration Committee may consider adding other specialties if coupled with an experience related to banking business.
   - Not to be an employee of the government or any public institution unless being a representative thereof.
   - Neither the Board Member nor the representative thereof is a member or representing a member in the Board of another similar or competitor bank, and is not a member of the Board of directors of more than five public shareholding companies inside the Kingdom in his/her personal capacity in some and as a representative of a legal person in others.
   - Has at least five years of experience in banking, finance or similar fields.
   - Must be of good conduct and reputation.
   - The Chairman and each member of the Board must sign the declaration of suitability prescribed by the Corporate Governance Instructions for Banks No. 63/2016, which shall be kept with the Bank and a copy of which shall be sent to the Central Bank along with the member's CV.
   - The Chairman must ensure that the Central Bank is informed of any material information that may adversely affect the suitability of any of its Board Members.
3. Determine whether the independent Board Member continues to meet the attribute of an independent member; review this on an annual basis; and inform the Central Bank and the Securities Commission in the event that the independence status of any member of the Board of Directors ceases to exist.
4. Identify individuals who are qualified to become Board Members, taking into consideration candidates' abilities and qualifications, and in the case of re-election their effective performance and attendance of board meetings. The Committee shall also obtain the Central Bank's no objection regarding their election, at least two weeks before the date of the shareholders' general assembly meeting of the Bank.
5. Develop a clear methodology to ensure that all Board Members allocate sufficient time to carry out their board duties, including, for example, the member's affiliation with other boards of directors / committees / forums / etc.
6. Ensure that Board Members attend workshops or seminars on banking-related topics, particularly risk management,

corporate governance and the latest banking developments.

7. Provide Board Members with important background information and briefs on the Bank at their request and ensure they are always updated on the latest banking developments.
8. Evaluate the performance of the Board as a whole, as well as the performance of board committees and Board Members on an annual basis, provided that the Committee shall inform the Central Bank and the Securities Commission of the result of this evaluation.
9. Determine the Bank's needs of qualified individuals for Senior Executive Management positions and the basis of their selection and nominate the qualified individuals to the Board to join the Senior Executive Management, whether by way of appointment, promotion or transfer (including temporary assignment and obtain the Central Bank's no objection in that respect.
10. Set-up the policies related to human resources in the Bank, including succession and training policies, and monitor and review their implementation annually.
11. Follow specific and approved principles for the evaluation of the performance of the Board and the General Manager whereby the performance evaluation criterion shall be objective.
12. Draw-up a system for evaluating the performance of the General Manager, including setting up Key Performance Indicators, whereby the criteria for the General Manager's performance evaluation shall comprise the financial and managerial performance as well as achievement of the Bank's medium- and long-term plans and strategies and the Committee shall inform the Central Bank the result of such evaluation.
13. Ensure that a remuneration policy for executive officers is in place which shall be regularly revised and implemented. The Committee shall also recommend the determination of salaries, remunerations and other benefits of the General Manager and members of the Senior Executive Management.
14. Set-up the policy for remunerations, benefits, incentives and salaries in the Bank, including executive officers, whereby such policy shall be characterized with objectivity and transparency and provide the Central Bank with a copy thereof within a maximum period of seven working days from the date of the approval thereof by the Board whereby the said policy shall be reviewed on an annual basis.
15. Ensure the suitability of members of the Senior Executive Management, provided that the appointees at the Senior Executive Management shall satisfy the following conditions:
    - Not to be a member of the Board of Directors of any other bank inside the Kingdom unless such bank is a subsidiary of the Bank.
    - Must be full-time dedicated to managing the Bank's business.
    - Has a minimum of Undergraduate University Degree in Economics, Finance, Accounting, Business Administration or any similar majors related to the Bank's business .
    - Has at least five years of experience in the banking business or related business save the position of General Manager or Regional Manager whose experience in banking business shall not be less than 10 years.
    - Must be of good conduct and reputation.
    - The appointment of the member shall not constitute a conflict of interest arising out of a relationship with the Chairman of the Board of Directors or any member thereof or with any major shareholder, including a relation up to the third kin in the case of the General Manager and up to the first kin in the case of holders of senior posts.

Committee's authorities:

The Committee shall have the following authorities:

- Request any data or information from the Bank's personnel who shall, in turn, be cooperative and provide such information in a complete and accurate manner;
- Request legal, financial, administrative or technical advice from any external advisor; and
- Request the presence of any employee in the Bank to get the necessary clarifications.

Compliance committee

- The Compliance Committee Charter shall be approved by the Board and it shall be deemed to be an integral part of the Bank's Corporate Governance Manual.
- This Charter shall be reviewed on an annual basis by the Committee with the participation of the Compliance Department. Proposed amendments shall be submitted to the Board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership:

- The Committee consists of three Board Members including the Committee's President, provided that the majority of them shall be of independent members, in addition to the Head of the Compliance Department being the Committee's Secretary.
- Committee members must possess general banking experience in addition to full knowledge and understanding of the instructions issued by the CBJ and the instructions from other regulatory authorities, which govern the operations of the Bank and its subsidiaries.
- Committee members must possess adequate knowledge and understanding of compliance management principles at the banks.
- All Committee members must possess adequate academic qualifications and appropriate work experience in financial and banking management or any other similar specialties or areas related to the Bank's business.
- The chairman of the Compliance Committee shall attend the annual general assembly meeting.

Committee's presidency:

The Committee shall elect its President that from among its members provided that he/she shall be an independent member.

Quorum:

The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting:

Committee decisions shall be taken by the majority of votes. The Head of the Compliance Department shall not be entitled to vote.

Committee meetings:

The Compliance Committee shall meet by a call from its President at least four times a year, whenever needed, upon a decision of the Board of Directors or at the request of one of its members.

Committee's secretary:

The Head of the Compliance Department shall act as the Committee's Secretary.

Secretary's responsibilities:

- Prepare a proper draft minutes and having them signed by the President and members of the Committee
- Provide each member with the Board-approved Compliance Committee Charter.
- Convey information among members of the Committee, board committees and the Executive Management, and facilitate member access to all the necessary information.
- Record the Committee's meetings in official minutes that comprise the actions taken by the Committee and follow-up the recommendations made by the Committee in addition to any topics postponed at previous meetings. The Committee's secretary must be able to write accurate meeting minutes and provide an accurate account of proceedings, including any voting that took place, reservations, suggestions, and enclose or reference any documents referred to during the meetings. The secretary shall also duly keep records and documents of Committee meetings.
- Prepare the agenda of the meeting and all relevant documents and information related to the meeting at the request of the Committee's President and send it with its contents to the members and the Head of the Audit Committee and the invited members of the Executive Management prior to the time of the meeting by sufficient time.
- Duly keeping records and documents of meetings of the Committee

Committee's functions and responsibilities:

- Review the remarks contained in the reports of the Compliance Unit, the Central Bank, the External Auditor and Internal Audit on compliance and AML/CFT monitoring at the Bank, and follow up on the actions taken thereon.
- Recommend to the Board the adoption of the compliance policies or any amendments thereon.
- Ensure the accuracy and soundness of the compliance monitoring procedures, as well as abidance thereby.
- Receive annual reports from the Compliance Unit on the compliance of all the Bank's policies, procedures and work programs with the relevant laws and instructions.
- Ensure full compliance with the laws, regulations and instructions governing the Bank's business.
- Receive statistical reports on suspicious transactions of which the AML/CFT Unit is notified.
- Provide reports to the Board on the results of the Bank's compliance function.
- Study any matter presented to it by the Board or any matter the Committee considers important to be discussed and decided upon.
- Approve the implementation of any recommendations issued by any of the Board committees or the Executive
- Management regarding the assignment of any tasks to the Compliance Department and any other matters in this respect.

It should be noted that the Compliance Committee's responsibility does not replace the responsibilities of the Board or Executive Management with regard to the Bank's compliance with the instructions and directives of the various regulatory authorities or affect the Board's ability to contact the Executive Management directly.

IT governance committee

Committee formation:

- The Committee shall be formed by a decision of the Board of Directors.
- The Committee shall be constituted of at least three members of the Board of Directors. It is preferred to include in its membership persons with expertise and strategic knowledge in IT.
- The Committee shall elect one of its members as President.
- The Board shall determine the Committee's objectives and shall assign it with authorities in accordance with a Charter to that effect.

Committee's authorities:

- The Committee may, when necessary and at the Bank's expense and in coordination with the Chairman of the Board, seek the assistance of external experts in the field of IT governance and strategic knowledge to enhance objective opinions.
- The Committee may invite any of the Bank's executive officers to attend its meetings for their opinions, including those in internal audit and members of the Senior Executive Management (such as the Head of Risk Management and Compliance) or those concerned with external audit.

Committee meetings:

- The Committee shall work under the supervision of the Board. It shall submit its periodic reports and recommendations to the Board on the results of exercising its functions.
- The Committee shall meet by a call of its President at least quarterly, whenever needed, upon a decision of the board or at the request of any of its members.
- The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.
- Committee recommendations / decisions shall be taken by the majority of votes of those present. In the event of a tie, the President shall have the casting vote. The Committee shall maintain documented minutes of meetings.

Committee's secretary:

The CTO shall act as the Committee's Secretary.

Committee's functions and responsibilities:

The delegation of powers by the Board to the Committee or any other committee does not relieve the Board of its responsibilities in this regard. The Committee shall undertake the following functions:

1. Approve the IT strategic objectives and appropriate organizational structures, including the Steering Committees at the level of Senior Executive Management (particularly the IT Steering Committee). This is to be done in a manner that guarantees the realization and fulfillment of the Bank's strategic objectives and achievement of the best added value from the projects and investments in IT resources, and the utilization of the necessary tools and standards to monitor and confirm the achievement of same, such as the use of IT Balanced Scorecards, calculation of the return on investment, and measurement of the impact of contribution to increasing the financial and operating effectiveness.
2. Approve the general framework for the management and control of IT resources and projects, which simulates the best international standards in this regard, specifically COBIT. This should be done in a manner that ensures the achievement of the objectives and requirements of the IT governance instructions issued by the Central Bank through the sustainable fulfillment of the corporate objectives, IT matrix objectives, and IT governance processes.
3. Approve the corporate objectives matrix and IT objectives, while detailing the secondary objectives required for the fulfillment thereof.
4. Approve the responsibility assignment matrix (RACI Chart) for the main and sub-processes of IT governance as regards the Responsible, Accountable, Consulted and Informed entity, person or parties.
5. Ensure the existence of a general framework for IT risk management, which conforms and integrates with the bank's risk management framework and takes into account and fulfills all IT governance processes.
6. Approve the IT resources and projects budget in accordance with the Bank's strategic objectives.
7. General supervision and observance over IT work flow, resources and projects to ensure their adequacy and efficient contribution to fulfilling the Bank's requirements and business activities.
8. View IT audit reports and acting as necessary to rectify any deviation thereof.
9. Recommend to the Board of Directors the adoption of the necessary procedures for rectifying any deviations.

Credit facilities committee

- The Credit Facilities Committee Charter shall be endorsed by the Board, and it shall be deemed to be an integral part of the Bank's Corporate Governance Manual.
- This Charter shall be reviewed whenever needed by the Committee in cooperation with the Executive Management of the Bank. Proposed amendments shall be submitted to the Board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the Bank's Annual Report.

Committee's membership:

- The Committee shall be formed by the Board's decision.
- The Committee consists of at least five Board Members. A member of the Committee may be independent, provided that he/she is not a member of the Audit Committee.
- Members shall have sufficient banking knowledge and experience to enable them to make sound decisions.
- The Board may delegate some or all of the authorities of the Committee in respect of amending the conditions or structuring the credit facilities for the concerned credit committees (the highest committee in Executive Management according to the instructions). The Credit Facilities Committee should be informed of the decisions taken within these authorities. It is also necessary to amend the structure of authorities in line with what has already been stated in this regard.

Committee's presidency:

The Chairman of the Bank's Board of Directors shall be the President of the Committee.

Quorum:

The Committee's meeting is considered legal when attended by at least four members, provided that attendance shall be in person. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.

Voting:

Committee decisions are taken by the majority of votes regardless of the number of members in attendance. In the event of a tie, the President shall have the casting vote.

Committee's secretariat:

The Head of Credit Monitoring and Control shall act as the Committee's secretary.

Committee meetings:

- The Committee shall work under the supervision of the Board of Directors. It shall submit its reports and recommendations on the results of exercising its functions to the board.
- The Committee shall meet by a call from its President whenever needed.
- Members of the Senior Executive Management may participate in the meetings of the Committee to present their recommendations.

Committee's functions and responsibilities:

1. Study and approve the recommendations of the concerned credit committees to take the appropriate decision in respect of granting, renewing, modifying and/or cancellation of the credit facilities that fall within the scope of the Committee's authority or present its recommendations to the Board. The upper limits of the powers vested in this Committee regarding the granting, modification, renewal or restructuring of credit facilities whereby there shall be clear authorities to the Board in that regard.
2. Approve special credit programs and exceptions submitted to it with respect to these programs.
3. Review reports prepared by the Follow-up and Legal departments related to the follow up of bad debts and debts being prosecuted legally, and take appropriate decisions in their regard within the committee's authorities or submit to the Board recommendations in that regard.
4. Approve any amendments to the policies for granting credit facilities to employees.
5. Approve the granting of any credit facilities to employees, which are beyond the authority of the CEO.
6. Any other issues related to credit matters that the General Manager wishes to present to the Committee.
7. Periodically submit to the Board details of the credit facilities approved by it.
8. Review the credit policy and any amendments thereon, which should include, at minimum, the following:
   - Different credit limits
   - Risk-weighted pricing policy
   - Different lending approval authorities
   - Risk appetite policy
   - Different credit products

For the purpose of ensuring compliance at all levels.

Decisions related to Board Members and persons related to them: The necessary approvals for decisions related to Board Members and persons related to them are obtained by e-mail, and sent to all Board Members, except for related members.

Statement of compliance with the corporate governance manual

The Bank complies with the Corporate Governance Manual issued by its Board of Directors.

Control objectives for information and related technologies manual (COBIT)



I. Introduction

The information and related technologies governance is defined as the process of distributing roles and responsibilities and characterizing relationships between parties, various entities and stakeholders (e.g. the Board and Executive Management) with the aim of maximizing the Bank's added-value. In so doing, an ideal approach is adopted for maintaining a balance between risks and anticipated revenues by implementing the regulations, principles and mechanisms required to ensure sound decision-making and determine the Bank's strategic direction and objectives as well as the mechanisms for controlling and examining the compliance of the extent of realization thereof to guarantee the sustainability and development of the Bank.

In view of the importance of IT resources in terms of relative size and impact on the Bank's ability to conduct its operations and thus achieve its objectives, not to mention its sensitive role in impacting the competitiveness of the Bank's products and services on the one hand and the decision-making and risk management mechanisms on the other. All that justifies the huge size of investments in the IT sector by banking institutions.

Accordingly, the Bank had to adopt the sound criteria and principles in the management of IT resources in line with the acceptable international practices in this regard to minimize risks and avoid engaging in unfeasible investments and accruing unjustified expenditure, which ultimately translates into significant losses extending over a number of years that may, sometimes, vitiate the Bank's reputation.

Whereas the topic of IT Governance has witnessed a positive development across the world, resulting in the emergence of general frameworks of a set of highly mature principles and bases, particularly the COBIT (Control Objective for Information and Related Technology) framework. The IT governance framework consists of a set of primary principles and bases, the first of which is the Strategic Alignment that is required to be achieved through the IT strategic objectives, leading to achieving the Bank's strategic objectives. The Bank shall also ensure IT Resource Optimization as part of the available options aiming to maximize added-value, i.e. Benefit Realization, which is mainly measured by the IT contribution in achieving the Bank's strategic objectives. Moreover, the Bank shall ensure IT Risk Optimization in an integrated manner that is consistent with the overall risk management processes of the Bank as well as the sound procedures and practices that lead to sound risk-based decision-making mechanisms, ensuring the realization of added value with minimal costs and reduced losses and risks, reflecting the Bank's vision in this regard, and within acceptable risk limits. In addition, the Senior Management (the Board and Executive Management) shall undertake the corporate planning and organization processes through the development of strategies, policies and action plans. It shall also build and implement hierarchical and cyclical organizational structures (in the form of committees), leading to the achievement of the strategic objectives and

formulation of mechanisms, tools and standards that measure the IT added value to enable the Board and Senior Executive Management to monitor the Bank's operations to ensure the integrity of the planning, organization and employment mechanisms of IT resources in order to take feedback that contributes to continuous improvement and development in the Bank. All that should be based on the principle of separation of functions and roles and proper distribution thereof between the Board and the Executive Management.

Based on Bank al Etihad's belief in the importance of IT governance and management and its positive impact on the Bank's integrity, the Board of Directors has decided to adopt this Manual ("COBIT Manual"). The COBIT Manual has been developed in accordance with the Central Bank of Jordan's COBIT Manual. It complies with and complements the Bank's Corporate Governance Manual and the Central Bank's Corporate Governance Regulations for Banks and conforms to international best practices regarding IT governance and management. This Manual has been adopted by the Board and will be reviewed and updated by the Board's IT Governance Committee whenever the need arises.

II. Definitions

The words and terms in this Manual shall have the meanings assigned to them below unless the context indicates otherwise. The Banking Law shall be referred to regarding any other definitions not set forth in this Manual:

1. **IT Governance:** the process of distributing roles and responsibilities and characterizing relationships between parties, various entities and stakeholders (e.g. the Board and Executive Management) with the aim of maximizing the Bank's added-value. In so doing, an ideal approach is adopted for maintaining a balance between risks and anticipated revenues by implementing the regulations, principles and mechanisms required to ensure sound decision-making and determine the Bank's strategic direction and objectives as well as the mechanisms for controlling and examining the compliance of the extent of realization thereof to guarantee the sustainability and development of the Bank.
2. **Governance and Management Objectives:** An array of practices and activities emanating from the Bank's policies, and which are necessary for achieving the IT objectives.
3. **IT Objectives:** A group of primary and secondary objectives related to IT governance activities and required to achieve the corporate objectives.
4. **Corporate Objectives:** A set of objectives related to governance and corporate management which are required to realize the needs of stakeholders and the objectives of this Manual.
5. **Board:** The Board of Directors of the Bank.
6. **Executive Management:** It includes the Bank's General Manager, Deputy General Manager, Assistant General Manager, Chief Financial Officer, Operations Manager, Risk Manager, Treasury Manager and Compliance Manager.
7. **Stakeholders:** Any party with an interest in the Bank, such as shareholders, employees, creditors, customers, external suppliers or the concerned regulatory authorities.
8. **Auditor:** The (natural or legal) person or body competent to examine the Bank's IT-based operations in line with the requirements of the instructions applicable in this regard with whom the Bank's management contracts to achieve those requirements for a period of not less than three consecutive years and not more than six consecutive years.

III. Corporate governance structure

The corporate governance structure is described in detail in the Corporate Governance Manual.

IV. IT governance and management objectives

1. Fulfilling stakeholders' needs and realizing the bank's directions and objectives

This can be achieved by meeting the IT objectives in a manner ensuring:

1. Provision of high-quality information to be used as a foundation for supporting the Bank's decision-making mechanisms.
2. Prudent management of IT resources and projects to maximize the benefits from these resources and reduce wastage thereof.
3. Provision of exceptional and supportive technology infrastructure to enable the Bank to fulfill its objectives.
4. Upgrading of the various operations at the Bank through the deployment of an efficient and reliable technology system.
5. Prudent management of IT risks to ensure the necessary protection for the Bank's assets.
6. Assistance in the realization of compliance with the requirements of various laws, legislation and instructions, as well as compliance with internal business strategies, policies and procedures.
7. Improvement of the Bank's internal control and monitoring systems.
8. Maximization of the level of user satisfaction with IT by fulfilling business needs in an efficient and effective manner.
9. Management of the services of outsourced parties assigned with executing various processes, tasks, services and products.

2. Achieving comprehensive IT governance and management

This can be realized by availing not only the technology itself but also the following Seven Enablers to accompany and complement the IT services:

1. Principles, Policies and Frameworks.
2. Governance and Management Objectives.
3. Organizational Structures.
4. Information and Reports.
5. Services, Programs and Infrastructure for Information Technology.
6. Contacts, Skills and Experiences.
7. Values, Ethics and Behavior System with the needed provision with specific specifications and dimensions to meet and fulfill the IT requirements and objectives not only in the IT processes but also in all the Bank's IT-based operations.

3. Adopting practices work rules and regulation

These should be in line with the best international standards and used as a foundation for launching the governance and management of IT processes, projects and resources.

4. Separating processes and functions

This is to be realized by separating the Board's governance processes, functions and responsibilities from those falling within the jurisdiction of the Executive Management responsibility in respect of information and related technologies.

5. Enhancing self-control, independent oversight and compliance testing

Enhancing the mechanisms of self-control, independent oversight and compliance testing in the areas of IT governance and management, so as to contribute to the ongoing improvement and development of performance.

V. Overall objectives and governance and management objectives

1. The overall objectives and the governance and management objectives and their data are a minimum that the Bank's Senior Management must comply with and achieve consistently. The IT Steering Committee shall have the primary responsibility for ensuring compliance with achieving the requirements thereof. Both the IT Steering Committee and the Board shall have the ultimate responsibility in this regard. All departments of the Bank, particularly the IT Department, Information Security Department and Project Management Department, shall identify and restructure their processes to reflect and meet the requirements of all governance and management objectives.
2. The Board and the Risk Management Department shall be directly responsible for evaluations, direction and oversight.
3. The Board and the Risk Management Department shall be directly responsible for ensuring the "prudent management of IT risks" and the "risk management" process.

VI. Posting of the IT governance manual

The Bank shall post its IT Governance Manual on its website and/or through any other appropriate means for the public's review. The Bank shall also declare in its Annual Report the existence of the IT Governance Manual as well as information of interest to stakeholders and the extent of its compliance in implementing the contents thereof.

The application of the IT governance and management requirements is a first step and a starting point towards the continuous improvement and development of IT governance and management. Accordingly, the Bank's management must keep pace with future updates in the general framework.

VII. Duties and responsibilities

The scope of implementing the IT governance and management instructions encompasses all the Bank's IT based operations in various branches and departments. All stakeholders are deemed to be concerned with the implementation of the Manual, each according to their role and position. The following are the concerned parties and their main responsibilities:

1. Chairman, members of the board and external experts

   Undertake the direction responsibilities, approve functions, responsibilities and support, and provide the necessary funding.

2. Ceo and his deputies and assistants, operations managers and branch managers

   Undertake the responsibilities of nominating the appropriate persons with experience in the Bank's operations to represent them and describe their functions and responsibilities.

3. IT Steering Committee

   Undertake the responsibilities of managing, directing and supervising the implementation of the Manual, recommend the provision of the resources required for the conclusion thereof and ensure that all parties understand the requirements and objectives of the Manual correctly.

4. Internal Audit

   Assume the responsibilities entrusted thereto as mentioned in Clause 'Seventh' and to participate in executive matters as an independent consultant and controller.

5. Risk, Information Security, Compliance and Legal Departments

   Undertake the responsibilities of participating in the project/program that represents the function of such departments ensuring that the project/program is properly represented by all parties concerned.

6. Experts and Holders of Technical and Professional Certificates related to COBIT 5 Standard (e.g. COBIT 5 Assessor, COBIT5 Foundation, COBIT 5 Implementation and CGEIT COBIT 5 Foundation) from inside or outside the Bank.

   They shall assume supervisory roles to communicate knowledge of the standard and facilitate the implementation thereof.

VIII. Committees

IT governance committee

Committee formation:

- The Committee shall be formed by a decision of the Board of Directors.
- The Committee shall be constituted of at least three members of the Board of Directors. It is preferred to include in its membership persons with expertise and strategic knowledge in IT.
- The Committee shall elect one of its members as President.
- The Board shall determine the Committee's objectives and shall assign it with authorities in accordance with a Charter to that effect.

Committee's authorities:

- The Committee may, when necessary and at the Bank's expense and in coordination with the Chairman of the Board, seek the assistance of external experts in the field of IT governance and strategic knowledge to enhance objective opinions.
- The Committee may invite any of the Bank's executive officers to attend its meetings for their opinions, including those in internal audit and members of the Senior Executive Management (such as the Head of Risk Management and Compliance) or those concerned with external audit.

Committee meetings:

- The Committee shall work under the supervision of the Board. It shall submit its periodic reports and recommendations to the Board on the results of exercising its functions.
- The Committee shall meet by a call of its President at least quarterly, whenever needed, upon a decision of the Board or at the request of any of its members.
- The Committee's meeting is considered legal when attended by the majority of members, provided that the Committee's President is present personally. In the event of inability to attend personally, the Committee's member may attend the meeting by means of telephone conference or videoconference to discuss the meeting agenda with the Committee's President approval and shall have the right to vote and sign the minutes of meeting, provided that the Chairman and Secretary shall ratify the minutes of meeting and its quorum.
- Committee recommendations / decisions shall be taken by the majority of votes of those present. In the event of a tie, the President shall have the casting vote. The Committee shall maintain documented minutes of meetings.

Committee's secretary:

The CTO shall act as the Committee's Secretary.

Committee's functions and responsibilities:

The delegation of powers by the Board to the Committee or any other committee does not relieve the Board of its responsibilities in this regard. The Committee shall undertake the following functions:

1. Approve the IT strategic objectives and appropriate organizational structures, including the Steering Committees at the level of Senior Executive Management (particularly the IT Steering Committee). This is to be done in a manner that guarantees the realization and fulfillment of the Bank's strategic objectives and achievement of the best added value from the projects and investments in IT resources, and the utilization of the necessary tools and standards to monitor and confirm the achievement of same, such as the use of IT Balanced Scorecards, calculation of the return on investment, and measurement of the impact of contribution to increasing the financial and operating effectiveness.
2. Approve the general framework for the management and control of IT resources and projects, which simulates the best international standards in this regard, specifically COBIT. This should be done in a manner that ensures the achievement of the objectives and requirements of the IT governance instructions issued by the Central Bank through the sustainable fulfillment of the corporate objectives, IT matrix objectives, and IT governance processes.
3. Approve the corporate objectives matrix and IT objectives, while detailing the secondary objectives required for the fulfillment thereof.
4. Approve the responsibility assignment matrix (RACI Chart) for the main and sub-processes of IT governance as regards the Responsible, Accountable, Consulted and Informed entity, person or parties.

5. Ensure the existence of a general framework for IT risk management, which conforms and integrates with the Bank's risk management framework and takes into account and fulfills all governance and management objectives.
6. Approve the IT resources and projects budget in accordance with the Bank's strategic objectives.
7. General supervision and observance over IT work flow, resources and projects to ensure their adequacy and efficient contribution to fulfilling the Bank's requirements and business activities.
8. View IT audit reports and acting as necessary to rectify any deviation thereof.
9. Recommend to the Board of Directors the adoption of the necessary procedures for rectifying any deviations.
10. The IT Governance Committee shall undertake, in addition to its functions which are provided for under the instructions, the importance and priority of governance and management objectives and their relevance to the Enterprise Goals and Alignment Goals, in addition to the other six enablers and components. It shall do so by relying on a qualitative and/or quantitative study prepared for this purpose at least annually. The said study shall take into account the Design Factors mentioned in Design Guide - COBIT 2019.

IT steering committee

The IT Steering Committee has been formed to ensure IT strategic alignment, resource optimization, benefit realization and risk optimization to sustainably fulfill the Bank's strategic objectives.

Committee formation:

- The Committee shall be formed by a decision of the Senior Executive Management.
- The Committee shall be chaired by the General Manager and include in its membership members of the Executive Management, including the CTO, Risk Management Director and Information Security Director.
- The Board shall elect one of its members to act as a controller in addition to the Internal Audit Manager.

Committee's authorities:

The Committee may invite others to attend its meetings seeking the assistance of their opinions.

Committee meetings:

- The Committee shall meet at least once every three months or whenever the need arises.
- Committee decisions / recommendations shall be taken by the vote of the majority present. In case of a tie, the Committee's President shall have the casting vote. The Committee shall duly document the minutes of meetings thereof.

Quorum:

The meeting of the Committee shall be legal in the presence of at least 3 members of class (A) and 2 of class (B). The Committee shall consist of 15 members, where the General Manager, the Deputy General Manager, the CTO, and the Head of Risk Management shall be class (A), and the other members shall be class (B), and the Head of Internal Audit and a Board Member shall act as observer members.

Committee's secretary:

The CTO shall act as the Committee's Secretary.

Committee's functions and responsibilities:

The committee shall particularly undertake the following functions:

1. Set-up annual plans aimed at realizing the strategic objectives determined by the Board of Directors, supervising implementation thereof and continuously monitoring internal and external factors impacting such plans.
2. Link the corporate objectives matrix to the IT objectives matrix; approve and continuously review same in a manner that ensures the fulfillment of the Bank's strategic objectives and define, review and monitor a set of measurement standards and assign the concerned persons from the Executive Management to continuously monitor same and apprise the Committee thereof.
3. Recommend the allocation of necessary financial and non-financial resources for achieving the overall objectives and governance and management objectives; utilize qualified and suitable human resources in proper positions through organizational structures that cover all the processes necessary for supporting the objectives, observing separation between functions and avoid conflict of interest; adapting IT infrastructure and other related services to serve the desired objectives and supervising progress in the implementation of the governance and management projects and objectives.
4. Prioritize IT projects and programs.
5. Monitor the level of technical and technological services and act continuously towards the upgrading and improvement thereof.
6. Present the necessary recommendations to the IT Governance Committee in respect of the following:
   - Allocate the necessary resources and mechanisms capable of realizing the functions of the IT Governance Committee.
   - Any deviations that may adversely affect the fulfillment of strategic objectives.
   - Any unacceptable risks pertaining to IT security and protection.
   - Reports relating to performance and compliance with the requirements of the general framework for managing, controlling and monitoring IT resources and projects.
7. Provide the IT Governance Committee with the minutes of its meetings as soon as they are drafted and ensuring that they are duly reviewed.

IX. Internal and external audits

a. The Board shall allocate adequate budgets and designate the necessary tools and resources, including qualified personnel, through dedicated IT audit divisions. It shall also ensure that the Bank's Internal Audit Department and the external auditor are capable of reviewing and conducting the employment and management processes of the IT resources and projects and the Bank's IT-based operations. This shall be done through qualified and internationally certified professionals in the field who hold valid professional certifications, such as CISA, from internationally accredited institutions, as per the standards set by international certification organizations and/or other equivalent standards.

b. The Board's Audit Committee along with the external auditor shall furnish the CBJ with an annual internal audit report and another external audit report, respectively, containing the Executive Management's response and Board's review thereof and recommendations thereon, in accordance with the provisions stated in Item d/2 hereof and the approved audit report template. This shall be made during the first quarter of the year.

c. The Audit Committee shall include the responsibilities, authorities and scope of work of IT auditing within the Audit Charter as well as within the procedures agreed on with the external auditor.

d. The Board shall make sure, through its Audit Committee, that both the Bank's internal and external auditors shall comply with the following in the course of implementing the designated IT auditing:
   1. IT Audit Standards as per the latest update of ISACA-ITAF, including:
      - Implementing audit functions within an approved plan in that regard which takes into consideration the relative importance of operations, risk level and impact on the Bank's objectives and interests.
      - Provision and compliance with ongoing training and education by specialized staff.
      - Compliance with professional and administrative independence standards and ensuring no current or future conflict of interest.
      - Compliance with the standards of objectivity, using due professional diligence, maintaining competitive and professional level of the required contacts and skills with profound knowledge of the Bank's IT-based mechanisms, audit reports and other audits (financial, operational and legal), together with the ability to present evidence corresponding to the case and common sense in detecting unacceptable practices that violate the provisions of the laws, regulations and instructions.

2. Examination, assessment and review of operations pertaining to the utilization and management of IT resources and the Bank's operations based thereon and give a reasonable overall audit assurance in respect of the overall risk level related to IT Information within an audit scheme that comprises at least the areas indicated under the manual issued by the Central Bank; provided that the audit shall be repeated in respect of all areas or part thereof at least once every year should the risks be rated as either 4 or 5 on the risk rating scale, at least once every two years should the risks be rated 3, and at least once every three years should the risks be rated 1 or 2; subject to the ongoing change in the risk level and taking into account the fundamental changes occurring in the IT environment during the mentioned audit periods. The Central Bank of Jordan shall be furnished with the first audit reports regardless of the risk rating, provided that the assessment process of the said areas shall comprise the Bank's mechanisms in terms of strategic planning, drawing-up policies and principles, the written and approved operation procedures, methods of employing various resources including the IT resources and the human factor, monitoring, control, improvement and development mechanisms and tools. The outcomes of audits shall be duly documented and evaluated, based on the significance of weaknesses and shortcomings (observations) and activated controls, in addition to assessing the level of remaining risks pertaining to each of them using a systematic standard for measuring and analyzing risks. This shall include the agreed corrective measures intended for implementation by the Bank's Management, on specific dates set for correction, indicating within a special schedule the title of the person responsible at the Bank to whom the respective observation belongs.
3. Regular procedures for following up audit outcomes to ensure that the observations and shortcomings mentioned in the auditor's reports have been rectified on time and work towards gradually upgrading the level of importance and risks in case of no response by keeping the Board abreast thereof as required. .
4. The annual performance evaluation mechanisms of the IT auditing staff shall comprise objective measuring standards that take into consideration the provisions stated in Seventh/d, provided that the evaluation process is conducted by the Board through its Audit Committee and in accordance with the organizational hierarchy of audit departments.
5. The internal and external auditors' reports may be adopted by the IT Governance Committee, or the committee acting on its behalf provided that the Board is apprised of such reports.

e. The Bank may outsource the internal IT audit services of IT Information to a specialized external entity that is completely independent of the approved external auditor, provided that all the requirements of the Central Bank's instructions in that regard and any other relevant instructions are fulfilled. The Board of Directors and its Audit Committee shall maintain their roles relating to the examination of compliance and ensure meeting such requirements, as a minimum.

X. Principles, policies and frameworks

- The Board of Directors or the committees delegated by it, shall adopt the principles and policies system and the necessary frameworks required for realizing the general framework pertaining to the management, control and monitoring of IT resources and projects in a manner that ensures meeting the requirements of the overall objectives and governance and management objectives.
- The Board of Directors, or the committees delegated by it, shall approve the principles, policies and frameworks, particularly those related to the management of IT risks, information security and human resources, to fulfill the requirements of governance and management objectives.
- The Board of Directors, or the committees delegated by it, shall approve the policies system required to manage the governance and management resources and objectives, provided that each policy shall determine the owners, scope of implementation, review and updating frequency, access and distribution authorities, objectives, responsibilities, work procedures related thereto, penalties in case of non-compliance, and the examination mechanisms of compliance.
- All internal and external partners shall participate upon creating the policies adopting best international practices and update same as references for drafting such policies.

XI. Organizational structures

- The Board shall approve the hierarchical and committee organizational structures, especially those relating to the management of IT resources, processes and projects, IT risks, information security and human resources, to fulfill the requirements of governance and management objectives and achieve the Bank's objectives efficiently and effectively.
- It is important to ensure the separation of roles and meet bilateral control requirements, at minimum, as well as update and ensure the adequacy of job descriptions upon approving and modifying the Bank's organizational structures.

XII. Information and reports

- The Board and the Senior Executive Management must develop the necessary infrastructure and information systems to provide information and reports for the users thereof, as a foundation upon which the Bank's decision-making processes are based. Accordingly, information quality requirements must be met, including credibility and, confidentiality requirements as per the data classification policy, availability requirements and compliance with such information and reports, in addition to other requirements stipulated by COBIT 5 Enabling Information.
- The Board of Directors, or the committees delegated by it, must adopt the information and reporting system, subject to identifying the owners of such information and reports to be determined through them and delegate the authorities to access and use in accordance with work needs and concerned partners, provided that such information shall be continuously reviewed and developed to keep pace with the development of the Bank's objectives and operations which shall be consistent with the best acceptable international practices in this regard.

XIII. IT Services, tools, programs and infrastructure

- The Board, or the committees delegated by it, and Senior Executive Management must adopt the IT services, tools, programs and infrastructure that support and assist in realizing the objectives of governance and management and consequently the objectives of information and related technologies and ultimately the corporate objectives.
- The Board, or the committees delegated by it, and Senior Executive Management must approve the IT services, tools, programs and infrastructure, in order to be provided and developed continuously to keep pace with the Bank's objectives and operations in line with the best acceptable international practices in this regard.

XIV. Contacts, skills and experience

- The Board, or the committees delegated by it, must adopt the HR Competencies Matrix and the HR management policies required for fulfilling the requirements of governance and management objectives and the requirements of the CBJ's instructions in general, and also for ensuring the right positioning of employees.
- The Bank's Management must employ qualified and trained professionals with expertise in the management of IT resources, risks, information security and IT audit, based on valid academic, professional and practical experience certifications obtained from internationally acclaimed institutions, as per the standards set by international certification organizations and/or any other equivalent standards.
- The Bank's Executive Management must continue with enrolling its personnel in ongoing training and education schemes for maintaining a high level of knowledge and skills in a manner that fulfills and realizes governance and management objectives.
- The annual performance evaluation mechanisms of Bank's Executive Management shall comprise objective measuring standards that take into consideration participation through the job position in realizing the Bank's objectives.

XV. Values, ethics and behavior

- The Board, or the committees delegated by it, must adopt a corporate and professional ethics system that reflects internationally accepted professional conduct rules in respect of handling of information and related technologies which shall clearly define both desirable and undesirable behaviors and the implications thereof.
- The internal and external auditors must comply with the professional conduct and ethics system adopted by the Board whereby it shall comprise, at minimum, the professional ethics system contained in ITAF issued by ISACA and the updates thereof.
- The Board and the Senior Executive Management must employ various mechanisms for promoting the implementation of desirable behaviors and dissuading undesirable ones through following, for example, methods of rewards and penalties system.

XVI. Outsourcing

The Bank shall, upon concluding outsourcing agreements with external parties for the purpose of providing IT human resources, services, programs and infrastructure to manage the bank's operations, the bank shall make sure that such external parties comply with the implementation of the COBIT 5 instructions, whether totally or partially commensurate with the importance and nature of the Bank's operations, services, programs and infrastructure provided before and during the contract duration. The Board of Directors and Senior Executive Management shall not be relieved from the ultimate responsibility for fulfilling the requirements of all instructions, including the audit requirements.

Statement of compliance with COBIT manual

Bank al Etihad complies with the CBJ's instructions pertaining to IT governance.

Consolidated financial statements for the Year ended December 31, 2021



Independent Auditor Report

AM/ 010932

To the Board of Directors Chairman and Members

Bank Al Etihad

(A Public Shareholding Limited Company)

Amman – The Hashemite Kingdom of Jordan

Report on the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Bank Al Etihad (A Public Shareholding Limited Company) "The Bank" and its subsidiaries ("The Group"), which comprise the consolidated statement of financial position as of December 31, 2021, the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in owners' equity, consolidated statement of cash flows for the year, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Bank as of December 31, 2021, and its consolidated financial performance and its cash flows for the year in accordance with International Financial Reporting Standards (IFRSs) as adopted by the Central Bank of Jordan.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Jordan, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other matter

The accompanying consolidated financial statement are a translation of the original consolidated financial statements, which are in the Arabic language, to which reference should be made.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

For each matter below, our description of how our audit addressed the matter is provided in that context.

Key audit matters	Scope of audit to address the risks
1. Impairment of carrying value of the credit facilities and financing as per IFRS 9 The Bank's direct credit facilites and financing are stated space in the statement of financial position at around JD 3,35 billion as at December 31, 2021. The expected credit loss (ECL) allowance was around JD 141,5 million as at this date, which comprised an allowance of around JD 57,1 million against Stage 1 and 2 exposures and an allowance of around JD 84,4 million against exposures classified under Stage 3. The audit of the impairment of credit facilities and financing is a key area of focus because of their size (representing 53.5% of total assets) and due to the significance of the estimates and judgments used in classifying credit facilities and financing into various stages, and determining related allowance requirements and the complexity of the judgements, assumptions, and estimates used in the Expected Credit Loss models. Refer to Note (2) to the consolidated financial statements for the accounting policy, Note (4) for critical judgements and estimates used by management, and Note (44) for disclosures about credit risk.	We obtained a detailed understanding of the Bank's credit facilities and financing, investing assets business processes, and the accounting policies on the adoption of IFRS 9, including the critical accounting estimates and judgments used. We have involved our subject matter experts to assist us in auditing the IFRS 9 ECL models as at December 31, 2021. We tested the design, implementation, and operating effectiveness of the relevant controls which included testing: • System-based and manual controls over the timely recognition of impaired credit facilities and financing and investing assets and advances; • Controls over the ECL calculation models; • Controls over collateral valuation estimates; • Controls over governance and approval process related to impairment provisions and ECL Models, including continuous reassessment by the management.
The Group recognizes allowances for expected credit losses (ECLs) at an amount equal to 12-month ECL (Stage 1) or full lifetime ECL (Stage 2). A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. It is compared to the ECL amount calculated according to the instructions of the Central Bank of Jordan, and the higher of the two amounts is recorded after excluding credit exposures with/guaranteed by the Jordanian government, or any other special arrangements with the Central Bank of Jordan. ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Bank under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's effective profit rate. The Bank employs statistical models for ECL calculations, and the key variables used in these calculations are probability of default (PD), loss given default (LGD), and exposure at default (EAD), which are defined in Note (44) to the consolidated financial statements.	Understood and evaluated the theoretical soundness of the ECL model by involving our subject matter experts to ensure its compliance with the minimum requirements of the standard. We also tested the mathematical integrity of the ECL model by performing recalculations. It is compared to the ECL amount calculated according to the instructions of the Central Bank of Jordan, and the higher of the two amounts is recorded after excluding credit exposures with/guaranteed by the Jordanian government, or any other special arrangements with the Central Bank of Jordan. We assessed the consistency of various inputs and assumptions used by the Group's management to determine impairment. For allowances against exposures classified as Stage 1 and Stage 2, we obtained an understanding of the Bank's methodology to determine the allowance, assessed the reasonableness of the underlying assumptions and the sufficiency of the data used by the management. We assessed the appropriateness of the Bank's determination of significant increase in credit risk and the resultant basis for classification of exposures into various stages. For samples of exposures, we checked the appropriateness of the Bank's staging. For forward-looking assumptions used by the Bank's management in its ECL calculations, we held discussions with management and corroborated the assumptions using publicly available information.

Key audit matters	Scope of audit to address the risks
The Corporate portfolio of credit facilities and financing and Investing assets is assessed individually for the significant increase in credit risk (SICR) and measurement of ECL. This requires management to capture all qualitative and quantitative reasonable and supportable forward-looking information while assessing SICR, or while assessing credit-impaired criteria for the exposure. Management's judgement may also be involved in manual staging override as per the Group's policies. The measurement of ECL amounts for retail exposures classified as Stage 1 and Stage 2 are calculated using models with limited manual intervention. Retail exposures are classified as impaired as soon as there is doubt about the borrower's ability to meet payment obligations to the Bank in accordance with the original contractual terms. Impaired credit facilities and financing are measured on the basis of the present value of expected future cash flows including observable market price or fair value of the collateral. The impairment loss is calculated based on the shortfall in the credit facilities carrying value compared to the net present value of future cash flows using the original effective profit rate after comparing it with the ECL amount calculated according to the instructions of the Central Bank of Jordan and recording the higher of the two amounts, excluding credit exposures with/ guaranteed by the Jordanian government, and any other special arrangements with the Central Bank of Jordan. The factors considered when determining impairment losses on individually assessed accounts include the customer's aggregate borrowings, risk rating, value of the collateral, probability of successful repossession, and the costs involved to recover the debts.	We selected samples of credit facilities and financing and investing assets and assessed the accuracy of the Exposure at Default (EAD), appropriateness of the Probability of Default (PD) and calculations of the Loss Given Default (LGD) used by management in their ECL calculations. For exposures determined to be individually impaired, we tested samples of credit facilities and financing and investing assets, and examined management's estimate of future cash flows, assessed their reasonableness and assessed the resultant allowance calculations. Further, we challenged the estimates and assumptions used by management around the LGD calculation for individually impaired exposures by testing the enforceability and adequacy of valuation of underlying collaterals and estimated recovery on default. We also, assessed the accuracy of disclosures in the consolidated financial statements to determine if they were in compliance with the requirements of IFRSs. We obtained an understanding of the amendments made by the Bank to the expected credit losses impacted by the COVID-19 pandemic. We assessed those amendments by evaluating the model adjustments in relation to macroeconomic factors and forward-looking scenarios, which were incorporated into the impairment calculations, by utilizing our internal specialists to challenge the chosen scenarios and weights applied to capture non-linear losses. We determined if the amount recorded as the allowance for expected credit losses was determined in accordance with the instructions of the Central Bank of Jordan.
As disclosed in Note (51) the COVID-19 pandemic significantly impacted management's determination of the ECL and required the application of heightened judgment. To address the uncertainties inherent in the current and future environment and to reflect all relevant risk factors not captured in the Bank's modelled results, management applied quantitative and qualitative adjustments for the impacts of the unprecedented macroeconomic scenarios arising from the pandemic, the temporary effects of the bank and government led payment support programs, which may not completely mitigate future losses, and the impacts to particularly vulnerable sectors affected by COVID-19. The Bank made amendments to the expected credit loss calculation models (including management overlays) to take into consideration the potential impact of the COVID 19 pandemic to address the impact on certain sectors or specific customers based on relative cash flow forecasts.	We have tested, utilizing our internal IT specialists, the IT application used in the credit impairment process and have verified the integrity of data used as input to the models, including the transfer of data between source systems and the impairment models. We have evaluated system-based and manual controls over the recognition and measurement of the allowance for expected credit loss, including the consideration of the economic disruptions caused by COVID 19.

Key audit matters	Scope of audit to address the risks
2. IT systems and controls over financial reporting	
We identified IT systems and controls over the Bank's financial reporting as an area of focus due to the extensive volume and variety of transactions which are processed daily by the Bank and rely on the effective operation of automated and IT dependent manual controls. There is a risk that automated accounting procedures and related internal controls are not accurately designed and operating effectively. In particular, the incorporated relevant controls are essential to limit the potential for fraud and error as a result of change to an application or underlying data.	Our audit approach relies on automated controls, and therefore, the following procedures were designed to test access and control over IT systems. We tested IT general controls relevant to automated controls and computer-generated information covering access security, program changes, data center and network operations. We obtained an understanding of the applications relevant to financial reporting and the infrastructure supporting these applications. We examined computer-generated information used in financial reports from relevant applications and key controls over their report logics. We performed testing on the key automated controls on significant IT systems relevant to business processes.

Other information

Management is responsible for other information. The other information consists of information provided in the annual report other than the consolidated financial statements and the related auditor's report. We expect that the annual report will be provided to us after the date of our report. Our opinion on the consolidated financial statements does not include the other information, and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted by the Central Bank of Jordan, and for such internal control as management determines necessary to enable the preparation of the consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient and appropriate audit evidence regarding the consolidated financial information of the entities or business activities within the Group ("The Bank and its subsidiaries") to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and implementation of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

The Bank maintains proper books of accounts, which are in agreement with the consolidated financial statements. We recommend that the General Assembly of Shareholders approve these consolidated financial statements.

Amman – The Hashemite Kingdom of Jordan

February 21, 2022

Deloitte & Touche (M.E.) – Jordan

Deloitte & Touche (M.E.)
ديلويت اند توش (الشرق الأوسط)
010105

List (A)

	Note	December 31,	
		2021	2020
		JD	JD
Assets:			
Cash and balances at the Central Bank of Jordan	5	934,430,468	721,060,432
Balances at banks and financial institutions	6	541,476,707	397,084,528
Deposits at banks and financial institutions	7	8,770,685	4,448,457
Financial assets at fair value through statement of profit or loss	8	18,296,366	15,219,896
Direct credit facilities and financing - net	9	3,351,124,328	2,951,628,133
Financial assets at fair value through other comprehensive income	10	44,159,121	31,654,110
Financial assets at amortized cost	11	1,099,096,231	904,003,434
Investments in associates	12	343,708	349,507
Property and equipment - net	13	66,425,046	68,782,265
Deferred tax assets	21/b	27,747,673	25,590,727
Right of use assets	43	27,555,989	27,031,520
Intangible assets - net	14	27,451,684	27,046,436
Other assets	15	115,643,211	99,743,804
TOTAL ASSETS		6,262,521,217	5,273,643,249
LIABILITIES AND OWNERS' EQUITY:			
LIABILITIES:			
Banks' and financial institutions' deposits	16	316,782,838	280,688,045
Customers' deposits	17	4,910,374,102	4,003,010,992
Cash margins	18	244,827,786	251,302,459
Borrowed funds	19/a	108,566,531	90,152,003
Subordinated loans	19/b	21,300,000	21,300,000
Sundry provisions	20	858,903	1,333,898
Leasing liabilities	43	27,366,812	26,453,949
Income tax provision	21/a	21,931,794	24,618,987
Deferred tax liability	21/b	161,769	-
Other liabilities	22	80,883,165	68,379,574
TOTAL LIABILITIES		5,733,053,700	4,767,239,907
OWNERS' EQUITY:			
BANK'S SHAREHOLDERS' EQUITY:			
Authorized and paid-up capital	23	160,000,000	160,000,000
Share premium	23	80,213,173	80,213,173
Statutory reserve	24	68,169,340	61,004,473
Voluntary reserve	24	46,167,117	41,829,012
Fair value reserve	26	1,741,270	(2,609,036)
Retained earnings	27	71,721,054	67,518,099
TOTAL BANK'S SHAREHOLDERS' EQUITY		428,011,954	407,955,721
Non-controlling interests		101,455,563	98,447,621
TOTAL OWNERS' EQUITY		529,467,517	506,403,342
TOTAL LIABILITIES AND OWNERS' EQUITY		6,262,521,217	5,273,643,249

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (B)

	Note	For the Year Ended December 31,	
		2021	2020
		JD	JD
Interest income and returns	30	261,400,698	253,496,049
Interest and debit expenses	31	104,197,790	102,662,234
Net Interest Income and Returns		157,202,908	150,833,815
Net commission income	32	26,002,840	22,413,261
Net interest, returns and commission income		183,205,748	173,247,076
Gain from foreign currencies	33	6,840,488	6,750,040
Gain from financial assets at fair value through statement of profit or loss	34	2,141,994	2,334,837
Net gain from sale of financial assets at amortized costs		758,949	108,872
Dividends from financial assets at fair value through other comprehensive income	35	469,491	619,013
Other income	36	2,159,068	1,456,600
Total Income		195,575,738	184,516,438
Employees' expenses	37	48,751,704	44,157,399
Depreciation and amortization	13 & 14	14,591,384	14,163,978
Other expenses	38	31,643,398	33,433,775
Right-of-use assets depreciation	43	3,819,862	3,845,366
Rent expense	43	463,109	402,380
Financing costs	43	1,027,420	984,241
Allowance for expected credit loss	28	28,892,263	40,175,434
Provision (surplus) in impairment of seized assets	15	1,678,632	(18,297)
(Surplus) Sundry provisions expense	20	(474,995)	470,862
Total Expenses		130,392,777	137,615,138
Profit from operations		65,182,961	46,901,300
Bank's share from associates profits	12	451	5,485
Profit for the year before tax		65,183,412	46,906,785
Income tax expense	21/a	(23,758,117)	(16,862,741)
Profit for the Year		41,425,295	30,044,044
Attributable to:			
Bank's Shareholders		32,499,895	23,567,470
Non-Controlling Interests		8,925,400	6,476,574
		41,425,295	30,044,044
		JD/ FILS	JD/ FILS
Basic and diluted earnings per share for the period attributable to the Bank's Shareholders	39	203/-	147/-

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (C)

	For the year ended December 31,	
	2021	2020
	JOD	JOD
Profit for the year	41,425,295	30,044,044
Comprehensive income items		
Items not reclassifiable to profit or loss in the subsequent period		
Net change in fair value reserve after tax	4,350,306	(2,981,449)
Total comprehensive income for the year	45,775,601	27,062,595
Attributable to:		
Bank's shareholders	36,850,201	20,586,021
Non-controlling interests	8,925,400	6,476,574
	45,775,601	27,062,595

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (D)

	Notes	Authorized paid-up Capital	Share Premium	Reserves			Retained * Earnings	Total Shareholder's Equity	Non-Controlling Interests	Total Owners' Equity
				Statutory	Voluntary	Fair Value				
		JD	JD	JD	JD	JD	JD	JD	JD	JD
For the Year Ended December 31, 2021										
Beginning balance for the year		160,000,000	80,213,173	61,004,473	41,829,012	(2,609,036)	67,518,099	407,955,721	98,447,621	506,403,342
Total comprehensive income for the year		-	-	-	-	4,350,306	32,499,895	36,850,201	8,925,400	45,775,601
Transferred to reserve		-	-	7,164,867	4,338,105	-	(11,502,972)	-	-	-
Dividends		-	-	-	-	-	(16,000,000)	(16,000,000)	(3,727,785)	(19,727,785)
Net change in non-controlling interests as a result of the increase in shares of a subsidiary	2	-	-	-	-	-	(368,477)	(368,477)	(2,189,673)	(2,558,150)
Realized gain from sale financial assets at fair value through other comprehensive income		-	-	-	-	-	(425,491)	(425,491)	-	(425,491)
Ending Balance for the Year		160,000,000	80,213,173	68,169,340	46,167,117	1,741,270	71,721,054	428,011,954	101,455,563	529,467,517
For the Year Ended December 31, 2020										
Beginning balance for the year		160,000,000	80,213,173	56,257,522	38,833,125	372,413	51,596,833	387,273,066	91,971,047	479,244,113
Total comprehensive income for the year		-	-	-	-	(2,981,449)	23,567,470	20,586,021	6,476,574	27,062,595
Transferred to reserve		-	-	4,746,951	2,995,887	-	(7,742,838)	-	-	-
Realized gain from sale financial assets at fair value through other comprehensive income		-	-	-	-	-	96,634	96,634	-	96,634
Ending Balance for the Year		160,000,000	80,213,173	61,004,473	41,829,012	(2,609,036)	67,518,099	407,955,721	98,447,621	506,403,342

* A restricted balance from the retained earnings which amounted to JD 27,326,810 as of December 31, 2021 (JD 23,236,111 as of December 31, 2020), represents deferred tax asset and according to the Central Bank of Jordan, these amounts can't be used unless a prior approval is obtained.

* Retained earnings balance includes an amount of JD 3,106,174 which represents unrealized gain from revaluation of financial assets at fair value through profit or loss.

- It is forbidden to use the excess from the personal financial risk reserve balance and the amount of JD 108,397 transferred to retained earnings as of December 31, 2021 and 2020 that belongs to Safwa Islamic Bank without the Central Bank of Jordan's prior approval.

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (E)

Operating Activities	Note	For the Year Ended December 31, 2021	2020
		JD	JD
Profit before income tax		65,183,412	46,906,785
Adjustments for non-cash items			
Depreciation and amortization	14 & 13	14,591,384	14,163,978
Provision for expected credit loss	28	28,892,263	40,175,434
Right-of-use assets depreciation	43	3,819,862	3,845,366
Interest from leasing liabilities	43	1,027,420	984,241
(Gain) from sale financial assets amortized cost	11	(758,949)	(108,872)
Provision (surplus) for impairment in seized assets	15	1,678,632	(18,297)
Unrealized (gains) loss from financial assets	34	(851,352)	67,097
Loss from sale of property and equipment	38	24,934	202,170
(Gain) loss from the valuation of transferred loans		(9,553)	3,455
Sundry provisions - net	20	(474,995)	470,862
Bank's share from (gain) associate company	12	(451)	(5,485)
Losses from sale of seized assets against debts	38	73,659	26,280
Effect of exchange rate fluctuations on cash and cash equivalents	33	(1,796,735)	(3,079,791)
Profit before changes in assets and liabilities		111,399,531	103,633,223
CHANGES IN ASSETS AND LIABILITIES			
(Increase) in restricted cash balances		(2,447)	(688,554)
(Increase) decrease in financial assets at fair value through statement of profit or loss		(2,225,118)	1,248,625
(Increase) in banks and financial institutions' deposits with maturity exceeding 3 months		(4,322,868)	(1,449,068)
Increase (decrease) in deposits at banks and financial institutions with maturity exceeding 3 months		29,000,000	(20,983,000)
(Increase) in direct credit facilities and financing		(427,140,073)	(353,448,874)
(Increase) in other assets		(17,642,144)	(4,443,952)
Increase in customers' deposits		907,363,110	427,043,531
(Decrease) increase in cash margins		(6,474,673)	65,604,435
Increase (decrease) in other liabilities		11,876,176	(10,330,959)
Net Cash Flows from Operating Activities Before Tax and Provisions Paid		601,831,494	206,185,407
Income tax paid	21/a	(30,374,240)	(25,200,592)
Sundry provisions paid	20	-	(67,188)
Net Cash Flows from Operating Activities		571,457,254	180,917,627
Investing Activities			
(Purchase) of financial assets at fair value through other comprehensive income		(6,646,443)	(2,899,138)
Matured financial assets at amortized cost	11	203,587,969	122,138,008
(Purchase) of financial assets at amortized cost	11	(398,076,566)	(260,423,887)
(Purchase) of property and equipment and payments for purchase of property and equipment	13	(6,313,532)	(6,050,867)
Proceeds from sale of property and equipment	13	76,889	31,078
(Increase) in intangible assets	14	(6,427,704)	(7,626,586)
Cash dividends collected from an associate	12	6,250	10,000
Net Cash flows (used in) Investing Activities		(213,793,137)	(154,821,392)
Financing Activities			
Dividends distributed to shareholders		(19,822,937)	(29,513)
Increase in borrowings		18,414,528	24,982,098
increase in subordinated loans	19/b	-	21,300,000
Payments of lease liability	43	(4,160,929)	(4,036,550)
Repayment of part of lease liability interest	43	(297,959)	(304,256)
Net change in non-controlling interests as a result of the increase in the ownership of a subsidiary		(2,558,150)	-
Net Cash Flows (used in) from Financing Activities		(8,425,447)	41,911,779
Net increase in cash and cash equivalent		349,238,670	68,008,014
Effect of the change in exchange rates on cash and cash equivalents	33	1,796,735	3,079,791
Cash and cash equivalents - Beginning of the year		854,690,830	783,603,025
Cash and Cash Equivalents - End of the Year	40	1,205,726,235	854,690,830

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

1. General

- Bank Al Etihad is a public shareholding company incorporated in Jordan during 1978, in accordance with the Companies Law No (12) of (1964). Its main branch is located in Amman, and the Company was transformed into a bank during the year 1991.
- The Bank provides its financial and banking services through its main branch located in Amman and through its (57) branches and its subsidiaries in Jordan.
- The Bank's shares are listed and traded on Amman Stock Exchange - Jordan.
- The consolidated financial statements were approved by the Board of Directors on February 17, 2022 and are subject to approval by the General Assembly of Shareholders.

2. Summary of significant accounting policies

Basis of preparation of the consolidated financial statement

- The accompanying consolidated financial statement of the Bank and its subsidiaries have been prepared in accordance with the standards issued by the International Accounting Standards Board and interpretations of the International Financial Reporting Interpertation Committee arising from the International Accounting Standrads Committee, and in conformity with the local applicable laws and regulations and the regulations of the Central Bank of Jordan.

  The main differences between IFRSs as they should be applied and what has been approved by the Central Bank of Jordan are as follows:

a. Provisions for expected credit losses are calculated in accordance with IFRS 9, and according to the Central Bank of Jordan's instructions, whichever is tougher. The material differences are as follows:
   - Elimination of debt instruments issued or granted by the Jordanian Government, in addition to any credit exposures with / guaranteed by the Jordaninan Government, so that such credit exposures are handled without incurring any credit losses.
   - When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan's Instructions No. (47/2009) dated December 10, 2009 for each stage separately. The tougher results are adopted.
   - In some special cases, the Central Bank of Jordan agrees to special arrangements for calculating and recording an allowance for expected credit losses for clients of direct credit facilities over a specified period.
   - Facilities related to government project extracts (transfer of government dues) are excluded from the classification when calculating allocations.
   - Based on the two circulars of the central bank of jordan to banks operating in Jordan no .4375/3/10 and 14960/3/10 issued on March 15, 2020 and November 22, 2020, it is permissable for the bank to postpone the instalements due or due on some customers without concidering this as a structure, and without also effecting the customer's credit rating.

b. Interest and commissions on non-performing credit facilities granted to clients is suspended, in accordance with the instructions of the Central Bank of Jordan.

c. Assets seized by the Bank are shown in the consolidated statement of financial position, among other assets, at their current value when seized by the Bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the consolidated financial statements separately, and any decrease in value is recorded in the consolidated statement of profit or loss while any increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the statement of profit or loss to the extent of not exceeding the previously recorded value. A gradual provision has been taken according to the Central Bank of Jordan's Circular No. 10/3/13246 dated September 2, 2021. According to which the required provisions for the expropriated real estate in violation of the provisions of article (48) of Banking law no.28 for the year 2000 as of the year 2022, 5% annually of the total book values of those real estate, so that the required percentage of 50% of those real estate is reached, by the end of 2030.

- The consolidated financial statements are prepared under the historical cost convention, except for financial assets and liabilities at fair value through profit or loss, financial assets at fair value through other comprehensive income, and financial derivatives stated at fair value as of the date of the consolidated financial statements. Furthermore, hedged financial assets and financial liabilities are stated at fair value.
- The reporting currency of the consolidated financial statements is the Jordanian Dinar, which is the functional currency of the Bank.
- The accounting policies adopted in preparing the consolidated financial statements are consistent with those applied in the year ended December 31, 2020 except for the effect of what is stated in Note (3 – a & 3 – b):

Basis of consolidation

- The accompanying consolidated financial statements include the financial statements of the Bank and the subsidiary under its control. Moreover, control is achieved when the Bank has the ability to control the investee company, the company is exposed to variable returns or has rights to participate in the investee company, and the Bank is able to use its authority over the investee company, which affects its revenue.
- Transactions, balances, revenues and expenses are eliminated between the Bank and the subsidiary.
- The financial statements of the subsidiary are prepared for the same financial year, using the same accounting policies adopted by the Bank. If the accounting policies adopted by the company are different from those used by the Bank, the necessary adjustments to the financial statements of the subsidiary are made to comply with the accounting policies followed by the Bank.
- The results of the subsidiaries' operations are consolidated in the consolidated statement of profit or loss effective from their acquisition date, which is the date on which control over subsidiaries is effectively transferred to the Bank. Furthermore, the results of the disposed of subsidiaries are consolidated in the consolidated statement of profit or loss up to the date of their disposal, which is the date on which the Bank loses control over the subsidiaries.
- Non-controlling interests represent that part of the equity that is not owned by the Bank. Non-controlling interests in the net assets of the subsidiary are presented separately in the Bank's statement of equity.

The Bank owns the following subsidiaries as of December 31, 2021:

Company's Name	Ownership of the Bank	December 31, 2021		Nature of Operation	Date of Acquisition	Location	For the year ended December 31, 2021			
		Paid-up Capital	Investment amount				Total Assets	Total Liabilities	Total Revenues	Total Expenses
	%	JD	JD				JD	JD	JD	JD
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	12,161,447	794,693	677,899	(371,542)
Al-Etihad for Financial Leasing Company L.L.C	100	10,000,000	10,000,000	Finance leasing	2015	Jordan	27,088,634	14,955,670	2,315,753	(1,409,692)
Al-Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	114,197,423	29,427	3,742,215	(7,500)
Al-Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programing development and supplying programs	2019	Jordan	747,564	661,663	376,736	(414,104)
TOTAL		128,139,028	80,662,636							

The Bank owns the following subsidiaries as of December 31, 2020:

Company's Name	Ownership of the Bank	December 31, 2020		Nature of Operation	Date of Acquisition	Location	For the year ended December 31, 2020			
		Paid-up Capital	Investment amount				Total Assets	Total Liabilities	Total Revenues	Total Expenses
	%	JD	JD				JD	JD	JD	JD
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	11,698,977	638,580	1,078,424	(475,067)
Al-Etihad for Financial Leasing Company L.L.C	100	10,000,000	10,000,000	Finance leasing	2015	Jordan	20,195,456	8,968,553	1,549,435	(880,725)
Al-Etihad Islamic Investment Company L.L.C*	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	113,964,794	31,513	-	(30,050)
Al-Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programing development and supplying programs	2019	Jordan	133,173	9,904	1,024,541	(995,086)
TOTAL		128,139,028	80,662,636							

* Al-Etihad Islamic Investment Company owned a presntege of 62.4% in Safwa Islamic Bank where the total asset amounted to JD 2,336,135,319 and total liability amounted to JD 432,048,569 and total revenue amounted to JD 49,198,762 and total expenses amounted to JD 26,381,582.

- During the year 2021, Al-Etihad Bank directly purchased shares in Safwa Islamic Bank, amounting to around 1.36% of the total shares of Safwa Islamic Bank.

Control is achieved when the Bank:

- Has power over the investee.
- Is exposed, or has rights, to variable returns from its involvement with the investee; and
- Has the ability to use its power to affect the investee's returns.

The Bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control listed above.

When the Bank has less than the majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. In this regard, the Bank considers all relevant facts and circumstances in assessing whether or not the Bank's voting rights in an investee are sufficient to give it power, including:

- The size of the Company's holding of voting rights relative to the size and dispersion of other voting rights;
- Potential voting rights held by the Company, other vote holders or other parties;
- Rights arising from other contractual arrangements; and
- Any additional facts and circumstances that indicate that the Bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be taken, including voting patterns at previous shareholders' meetings.

When it loses control of a subsidiary, the Bank performs the following;

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary.
- Derecognizes the book value of any non-controlling interests.
- Derecognizes transfer differences restricted in Owners' Equity.
- Derecognizes the fair value to the next controlling party.
- Derecognizes the fair value of any investment retained.
- Derecognizes any gain or loss in the income statement.
- Reclassifies owners' equity already booked in other comprehensive income to the profit or loss statement as appropriate.

The subsidiaries' financial statements are prepared under the same accounting policies adopted by the Bank. If the subsidiaries apply different accounting policies than those used by the Bank, the necessary modifications shall be made to the subsidiaries' financial statements to make them comply with the accounting policies used by the Bank.

The non-controlling interests represent the portion not owned by the Bank relating to ownership of the subsidiaries.

Segment information

- Business sectors represent a group of assets and operations that jointly provide products or services subject to risks and returns different from those of other business sectors measured in accordance with the reports sent to the operations management and decision makers in the Bank.
- The geographical sector relates to providing products or services in a specific economic environment subject to risks and returns different from those of sectors functioning in other economic environments.

Net interest income

Interest income and expense for all financial instruments, except for those classified as held for trading, or those measured or designated as at fair value through the consolidated statement of profit or loss, are recognized in "Net interest income" as "Interest income" and "Interest Expense" in the statement of profit or loss using the effective interest method. Interest on financial instruments measured as at fair value through the statement of profit or loss is included within the fair value movement during the period.

The effective interest rate (EIR) is the rate that exactly discounts the estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated taking into account all the contractual terms of the instrument.

The interest income/ interest expense is calculated by applying the EIR to the gross carrying amount of non-credit impaired financial assets (i.e. at the amortized cost of the financial asset before adjusting for any expected credit loss allowance), or to the amortized cost of financial liabilities. For credit-impaired financial assets, interest income is calculated by applying the EIR to the amortized cost of the credit-impaired financial assets (i.e. the gross carrying amount less the allowance for expected credit losses (ECLs)). For financial assets originated or purchased credit-impaired (POCI), EIR reflects the ECLs in determining the future cash flows expected to be received from the financial asset.

Interest income and expense in the Banks's consolidated statement of profit or loss also includes the effective portion of the fair value changes of derivatives designated as hedging instruments in the cash flow hedges of interest rate risk. For fair value hedges of interest rate risk related to interest income and expense, the effective portion of the fair value changes of the designated derivatives, as well as the fair value changes of the designated risk of the hedged item, are also included in interest income and expense.

Net fee and commission income

Fee and commission income and expense include fees other than those that are an integral part of EIR. The fees included in this part of the Group's consolidated statement of profit or loss include, among other things, fees charged for servicing a loan, non-utilization fees relating to loan commitments when it is unlikely that these will result in a specific lending arrangement, and loan syndication fees.

Fee and commission expenses concerning services are accounted for as the services are received.

Part of the contracts with clients that result from the recognition of financial instruments could be related to IFRS (9) or (15). In this case, IFRS 9-related part of the commission is recognized, and the remaining part is recognized according to IFRS (15).

Net trading income

Net trading income includes all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading. The Bank has elected to present the full fair value movement of trading assets and liabilities in trading income, including any related interest income, expense, and dividends.

Net income from other financial instruments at fair value through the statement of profit or loss:

Net income from other financial instruments at fair value through the statement of profit or loss includes all gains and losses from changes in the fair value of financial assets and financial liabilities at fair value through the statement of profit or loss except those that are held for trading. The Bank has elected to present the full fair value movement of assets and liabilities at fair value through the statement of profit or loss in this line, including the related interest income, expense, and dividends.

The fair value movement on derivatives held for economic hedging where hedge accounting is not applied is presented in "Net income from other financial instruments at fair value through the statement of profit or loss". However, for designated and effective fair value hedge accounting relationships, the gains and losses on the hedging instrument are presented in the same line in the statement of profit or losses as a hedged item. For designated and effective cash flow and net investment hedge accounting relationships, the gains and losses of the hedging instrument, including any hedging ineffectiveness included in the statement of profit or loss, are presented in the same line as the hedged item that affects the statement of profit or loss.

Dividend income

Dividend income is recognized when the right to receive payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders approve the dividend for unlisted equity securities.

The presentation of dividend income in the consolidated statement of profit or loss depends on the classification and measurement of the equity investment, i.e.:

- For equity instruments which are held for trading, dividend income is presented as gain (loss) of financial assets at fair value through the statement of profit or loss, in the statement of profit or loss;
- For equity instruments designated at fair value through other comprehensive income, dividend income is presented in the statement of profit or loss as dividends revenue from financial assets at fair value through other comprehensive income; and
- For equity instruments not designated at fair value through other comprehensive income and not held for trading, dividend income is presented as net income from other instruments at fair value through the statement of profit or loss.

Financial instruments

Initial recognition and measurement:

Financial assets and financial liabilities are recognized in the Bank's consolidated statement of financial position when the Bank becomes a party to the contractual provisions of the instrument.

Recognized financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through the statement of income) are added to or deducted from the fair value of the financial assets or financial liabilities on initial recognition, as appropriate. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through the statement of profit or loss are recognized immediately in the statement of profit or loss.

If the transaction price differs from the fair value at initial recognition, the Bank will account for such difference as follows:

- If fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognized in the statement of profit or loss' initial recognition (i.e. day 1 profit or loss);
- In all other cases, fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability).

After initial recognition, the deferred gain or loss will be released to the statement of profit or loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability or when derecognizing the instrument.

Financial assets

Initial recognition

All financial assets are recognized on the trading date when the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned. They are initially measured at fair value plus transaction costs, except for those financial assets classified as at fair value through the statement of profit or loss. Transaction costs directly attributable to the acquisition of financial assets classified as at fair value through the statement of profit or loss are recognized immediately in the consolidated statement of profit or loss.

Subsequent measurement

All recognized financial assets that are within the scope of IFRS (9) are required to be subsequently measured at amortized cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Specifically:

- Debt instruments held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortized cost;
- Debt instruments held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income;
- All other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at fair value through the statement of profit or loss.

However, the Bank may irrevocably make the following selection / designation at initial recognition of a financial asset on an asset- by-asset basis:

- The Bank may irrevocably select to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognized by an acquirer in a business combination to which IFRS (3) applies, in other comprehensive income; and
- The Bank may irrevocably designate a debt instrument that meets the amortized cost or fair value through other comprehensive income criteria as measured at fair value through the statement of profit or loss if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

Debt instruments at amortized cost or at fair value through other comprehensive income

The Bank assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the Bank's business model for managing the asset.

For an asset to be classified and measured at amortized cost or at fair value through other comprehensive income, its contractual terms should give rise to cash flows that are solely payments of principal and interest on the principal outstanding (SPPI).

For the purpose of (SPPI) test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period, and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

Assessment of business models

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. The Bank determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Bank's business model does not depend on management's intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The Bank has more than one business model for managing its financial instruments that reflect how the Bank manages its financial assets in order to generate cash flows. The Bank's business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Bank considers all relevant information available when making the business model assessment. However, this assessment is not performed based on scenarios that the Bank does not reasonably expect to occur, such as so-called "worst case" or "stress case" scenarios. The Bank takes into account all relevant evidence available such as:

- The stated policies and objectives of the portfolio and application of those policies concerning if the management strategy focuses on obtaining contractual revenues, maintaining a specific profit rate, and matching the maturity period of financial assets with that of the financial liabilities that finance those assets.
- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way in which those risks are managed; and
- How the business managers are compensated (e.g. whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

At initial recognition of a financial asset, the Bank determines whether newly recognized financial assets are part of an existing business model or whether they reflect the commencement of a new business model. The Bank reassess its business models each reporting period to determine whether the business models have changed since the preceding period.

When a debt instrument measured at fair value through other comprehensive income is derecognized, the cumulative gain/loss previously recognized in other comprehensive income is reclassified from equity to the statement of income. In contrast, for an equity investment designated as measured at fair value through other comprehensive income, the cumulative gain/loss previously recognized in OCI is not subsequently reclassified to profit or loss but transferred within equity.

Debt instruments that are subsequently measured at amortized cost or at fair value through other comprehensive income are subject to impairment.



Financial assets at fair value through the statement of profit or loss

Financial assets at fair value through profit or loss are:

- Assets with contractual cash flows that are not SPPI; or/and
- Assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell; or
- Assets designated at fair value through profit or loss using the fair value option.

These assets are measured at fair value, with any gains/losses arising on re-measurement recognized in the consolidated statement of income or loss.

Reclassifications

If the business model under which the Bank holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model, which results in reclassifying the Bank's financial assets. During the current financial year and previous accounting period, there was no change in the business model under which the Bank holds financial assets, and therefore, no reclassifications were made. The changes in the contractual cash flows are considered under the accounting policy on the modification and de-recognition of financial assets described below.

Foreign exchange gains and losses

The carrying amount of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically:

- For financial assets measured at amortized cost that are not part of a designated hedging relationship, exchange differences are recognized in the statement of income; and
- For debt instruments measured at fair value through other comprehensive income that are not part of a designated hedging relationship, exchange differences on the amortized cost of the debt instrument are recognized in the statement of income. Other exchange differences are recognized in other comprehensive income in the investment's revaluation reserve; and
- For financial assets measured at fair value through the statement of profit or loss that are not part of a designated hedge accounting relationship, exchange differences are recognized in the statement of profit or loss either in 'net trading income', if the asset is held for trading, or in 'net income from other financial instruments at fair value through the statement of profit or loss if otherwise held at fair value through the statement of profit or loss; and
- For equity instruments measured at fair value through other comprehensive income, exchange differences are recognized in other comprehensive income in the investments revaluation reserve.

Fair value option

A financial instrument with a fair value that can be reliably measured at fair value through the statement of profit or loss (fair value option) may be classified at initial recognition even if the financial instruments are not acquired or incurred principally for the purpose of selling or repurchasing. The fair value option may be used for financial assets if it significantly eliminates or significantly reduces the measurement or recognition inconsistency that would otherwise have resulted in the measurement of the asset or liability or recognized the related gain or loss on a different basis ("accounting mismatch"). The fair value option for financial liabilities can be chosen in the following cases:

- If the selection leads to a significant cancellation or reduction of the accounting mismatch;
- If the financial liabilities are part of a portfolio managed on a fair value basis, in accordance with a documented risk management or investment strategy; or
- If a derivative is included in the underlying financial or non-financial contract and the derivative is not closely related to the underlying contract.

These instruments can not be reclassified from the fair value category through the statement of profit or loss while retained or issued. Financial assets at fair value through the income statement are recognized at fair value with any unrealized gain or loss arising from changes in fair value recognized in investment income.

Impairment

The Bank recognizes loss allowances for expected credit losses on the following financial instruments that are not measured at fair value through the statement of income:

- Balances and deposits at banks and financial institutions;
- Direct credit facilities (loans and advances to customers);
- Financial assets at amortized cost (debt investment securities);
- Financial assets at fair value through statement of other comprehensive income;
- Off-statement of financial position exposure subject to credit risk (financial guarantee contracts issued).

No impairment loss is recognized on equity investments.

With the exception of purchased or originated credit-impaired (POCI) financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- 12-month ECLs, i.e. lifetime ECL that result from those default events on the financial instrument that are possible within 12 months after the reporting date, (referred to as Stage 1); or
- Full lifetime ECLs, i.e. lifetime ECL that result from all possible default events over the life of the financial instrument, (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL.

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR.

For unutilized loan limits, the ECL is the difference between the present value of the difference between the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is utilized; and

For financial guarantee contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Group expects to receive from the holder, the client, or any other party.

The Bank measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic risk characteristics. The measurement of the loss allowance is based on the present value of the asset's expected cash flows using the asset's original EIR, regardless of whether it is measured on an individual basis or a collective basis.

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation.

Credit impaired financial assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- Significant financial difficulties facing the borrower or issuer;
- A breach of contract such as a default or past due event;
- The lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider;
- The disappearance of an active market for a security because of financial difficulties; or
- The purchase of a financial asset at a deep discount that reflects the incurred credit losses.

If it may not be possible to identify a single discrete event. Instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Bank assesses whether debt instruments that are financial assets measured at amortized cost or fair value through other comprehensive income are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Bank considers factors such as bond yields, credit ratings, and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly, and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit-impaired when there is observable evidence of credit-impairment, including meeting the definition of default. The definition of default includes unlikeliness to pay indicators and a back- stop if amounts are overdue for 90 days or more. However, cases where the assets impairment is not recognized after 90 days of their becoming due are supported by reasonable information.

Purchased or originated creditimpaired (POCI) financial assets

POCI financial assets are treated differently because the asset is credit-impaired at initial recognition. For these assets, the Bank recognizes all changes in lifetime ECL since initial recognition as a loss allowance with any changes recognized in the statement of profit or loss. A favorable change for such assets creates an impairment gain.

Definition of default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in determining whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in the credit risk below.

The Bank considers the following as constituting an event of default:

- The borrower is past due for more than 90 days on any material credit obligation to the Bank; or
- The borrower is unlikely to pay its credit obligations to the Bank in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. Overdrafts are considered as being past due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding.

When assessing if the borrower is unlikely to pay its credit obligation, the Bank takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset. For example, in corporate lending, a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty are key inputs in this analysis. The Bank uses a variety of sources of information to assess default that is either developed internally or obtained from external sources.

Significant increase in credit risk

The Bank monitors all financial assets, issued loan commitments and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the Bank measures the loss allowance based on lifetime rather than 12-month ECL.

The Bank's accounting policy is not to use the practical expedient that financial assets with 'low' credit risk at the reporting date are deemed not to have had a significant increase in credit risk. As a result, the Group monitors all financial assets, issued loan commitments, and financial guarantee contracts that are subject to impairment for significant increase in credit risk.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Bank compares the risk of a default occurring on the financial instrument at the reporting date based on the remaining maturity of the instrument with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognized. In making this assessment, the Bank considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the Bank's historical experience and expert credit assessment including forward-looking information.

Multiple economic scenarios form the basis of determining the probability of default at initial recognition and at subsequent reporting dates. Different economic scenarios will lead to a different probability of default. It is the weighting of these different scenarios that forms the basis of a weighted average probability of default that is used to determine whether credit risk has significantly increased.

For corporate lending, forward-looking information includes the future prospects of the industries in which the Bank's counterparties operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think tanks and other similar organizations, as well as consideration of various internal and external sources of actual and forecast economic information. For retail, lending forward-looking information includes the same economic forecasts as corporate lending with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behavior. The Bank allocates its counterparties to a relevant internal credit risk grade depending on their credit quality. The quantitative information is a primary indicator of a significant increase in credit risk and is based on the change in lifetime PD by comparing:

- The remaining lifetime PD at the reporting date; with
- The remaining lifetime PD for this point in time that was estimated based on facts and circumstances at the time of initial recognition of the exposure.

The PDs used are forward looking, and the Bank uses the same methodologies and data used to measure the loss allowance for ECL.

The qualitative factors that indicate significant increase in credit risk are reflected in PD models on a timely basis. However, the Bank still considers separately some qualitative factors to assess if credit risk has increased significantly. For corporate lending, there is particular focus on assets included in the 'watch list', as exposure is watch-listed once there is a concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending, the Bank considers the expectation of forbearance and payment holidays, credit scores and events such as unemployment, bankruptcy, divorce, or death.

Given that a significant increase in credit risk since initial recognition is a relative measure, a given change, in absolute terms, in the PD will be more significant for a financial instrument with a lower initial PD compared to a financial instrument with a higher PD.

As a back-stop when an asset becomes more than (45) days past due, the Bank considers that a significant increase in credit risk has occurred and the asset is in Stage 2 of the impairment model, i.e. the loss allowance is measured as the lifetime ECL.

Modification and derecognition of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date. In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The Bank renegotiates loans to customers in financial difficulty to maximize collection and minimize the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default, or default has already happened, and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants. The Bank has an established forbearance policy, which applies for corporate and retail lending.

When a financial asset is modified, the Bank assesses whether this modification results in derecognition. In accordance with the Bank's policy, a modification results in derecognition when it gives rise to substantially different terms.

- Qualitative factors, such as contractual cash flows after modification are no longer (SPPI), change in currency or change of counterparty, the extent of change in interest rates, maturity, and covenants. If these do not clearly indicate a substantial modification, then;
- A quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, both amounts discounted at the original effective interest.

In the case where the financial asset is derecognized, the loss allowance for ECL is re-measured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated- credit impaired. This applies only in the case where the fair value of the new loan is recognized at a significant discount to its revised par amount because there remains a high risk of default that has not been reduced by the modification. The Bank monitors the credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the Bank determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:

- The remaining lifetime PD estimated based on data at initial recognition and the original contractual terms; with
- The remaining lifetime PD at the reporting date based on the modified terms.

For financial assets modified as part of the Bank's forbearance policy, where modification did not result in derecognition, the estimate of PD reflects the Bank's ability to collect the modified cash flows taking into account the Bank's previous experience of similar forbearance action, as well as various behavioral indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance will continue to be measured at an amount equal to lifetime ECL. The loss allowance on forborne loans will generally only be measured based on 12-month ECL when there is evidence of the borrower's improved repayment behavior following modification leading to a reversal of the previous significant increase in credit risk.

Where a modification does not lead to derecognition, the Bank calculates the modification gain/loss, comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the Bank measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in the calculation of the expected cash shortfalls from the original asset.

The Bank derecognizes a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the Bank neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Bank recognizes its retained interest in the asset and an associated liability for the amounts it may have to pay. If the Bank retains substantially all the risks and rewards of ownership of a transferred financial asset, the Bank continues to recognize the financial asset and recognizes a collateralized borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognized in OCI and accumulated in equity is recognized in profit or loss, with the exception of equity investment designated as measured at fair value through other comprehensive income, where the cumulative gain/loss previously recognized in OCI is not subsequently reclassified to profit or loss.

Writeoff

Financial assets are written off when there is no reasonable expectation of recovery, eg the customer has not entered into a payment plan with the bank. The bank classifies the funds or amounts due to be written off after exhausting all possible payment methods. But if the financing or the receivable is written off, the bank continues with the enforcement activity to try to recover the outstanding receivable, which is recognized in the consolidated statement of profit or loss when redeemed.

Presentation of allowance for ecl in the consolidation statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- For financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;
- For debt instruments measured at fair value through other comprehensive income: no loss allowance is recognized in the statement of financial position as the carrying amount is at fair value. However, the loss allowance is included as part of the revaluation amount in the investments revaluation reserve.
- For loan commitments and financial guarantee contracts: as a provision; and
- Where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Financial liabilities and equity

Debt and equity instruments issued are classified either as financial liabilities or as equity in accordance with the substance of the contractual arrangement.

A financial liability is a contractual obligation to deliver cash or another financial asset or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Bank; or a contract that will or may be settled in the Bank's own equity instruments and is a non-derivative contract for which the Bank is or may be obliged to deliver a variable number of its own equity instruments; or a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the Banks own equity instruments.

Equity instruments

Paid-up capital

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Bank are recognized at the proceeds received, net of direct issue costs.

Treasury shares

Repurchase of the Bank's own equity instruments is recognized and deducted directly in equity. No gain or loss is recognized in the consolidated statement of profit or loss when purchasing, selling, issuing, or cancelling the Bank's own equity instruments.

Compound instruments

The component parts of compound instruments (e.g. convertible notes) issued by the Bank are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible instruments. In the case where there are non-closed related embedded derivatives, these are separated first with the remainder of the financial liability being recorded on an amortized cost basis, using the effective interest method until extinguished upon conversion, or at the instrument's maturity date.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through the statement of income' or 'other financial liabilities'.

Financial liabilities at fair value through the statement of profit or loss

Financial liabilities are classified as at fair value through the statement of profit or loss when the financial liability is (i) held for trading, or (ii) it is designated as at fair value through the statement of income. A financial liability is classified as held for trading if:

- It has been incurred principally for the purpose of repurchasing it in the near term; or
- On initial recognition, it is part of a portfolio of identified financial instruments that the Bank manages together and has a recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may be designated as at fair value through the statement of profit or loss upon initial recognition if:

- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- It forms part of a contract containing one or more embedded derivatives, and IFRS (9) permits the entire hybrid (combined) contract to be designated as at fair value through the statement of income.

Financial liabilities at fair value through the statement of profit or loss are stated at fair value, with any gains/losses arising on re-measurement recognized in the statement of profit or loss to the extent that they are not part of a designated hedging relationship. The net gain/loss recognized in profit or loss incorporates any interest paid on the financial liability and is included in the 'net income from other financial instruments at fair value through the statement of profit or loss.

However, for non-derivative financial liabilities designated as at fair value through the statement of income, the amount of change in the fair value of the financial liability attributable to changes in the credit risk of that liability is recognized in OCI, unless the recognition of the effects of changes in the liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognized in profit or loss. Changes in fair value attributable to a financial liability's credit risk that are recognized in OCI are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

For issued loan commitments and financial guarantee contracts designated as at fair value through the consolidated statement of profit or loss, all gains and losses are recognized in consolidated profit or loss.

In determining whether recognizing changes in the liability's credit risk in other comprehensive income will create or enlarge an accounting mismatch in profit or loss, the Bank assesses whether it expects that the effects of changes in the liability's credit risk will be offset in profit or loss by a change in the fair value of another financial instrument measured at fair value through the consolidated statement of profit or loss.

Other financial liabilities

Other financial liabilities, including deposits and borrowings, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortized cost using the effective interest method.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition. For details on EIR, see the "net interest income section" above.

Derecognition of financial liabilities

The Bank derecognizes financial liabilities when, and only when, the Bank's obligations are discharged, canceled or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in the statement of profit or loss.

When the Bank exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the Bank accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate, is at least (10) per cent different from the discounted present value of the remaining cash flows of the original financial liability.

Derivative financial instruments

The Bank enters into a variety of derivative financial instruments some of which are held for trading while others are held to manage the Bank's exposure to interest rate risk, credit risk, and foreign exchange rate risk. Derivatives held include foreign exchange forward contracts, interest rate swaps, cross currency interest rate swaps, and credit default swaps.

Derivatives are initially recognized at fair value at the date a derivative contract is entered into, and are subsequently re-measured to their fair value at each balance sheet date. The resulting gain/loss is recognized in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship. The Bank designates certain derivatives as hedges of the fair value of recognized assets or liabilities or firm commitments (fair value hedges), hedges of highly probable forecast transactions, hedges of foreign currency risk of firm commitments (cash flow hedges), or hedges of net investments in foreign operations (net investment hedges).

A derivative with a positive fair value is recognized as a financial asset whereas a derivative with a negative fair value is recognized as a financial liability. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than (12) months, and it is not expected to be realized or settled within (12) months. Other derivatives are presented as current assets or current liabilities.

Embedded derivatives

Derivatives embedded in financial liabilities or other non-financial asset host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts, and the host contracts are not measured at fair value through profit or loss.

An embedded derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the hybrid instrument to which the embedded derivative relates is more than 12 months and is not expected to be realized or settled within 12 months. Other embedded derivatives are presented as current assets or current liabilities.

Financial guarantee contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contracts issued by a group entity are initially measured at their fair values and, if not designated as at fair value through profit or loss and not arising from a transfer of a financial asset, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the Bank's revenue recognition policies.

Financial guarantee contracts not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any financial guarantee contracts as at fair value through profit or loss.

Commitments to provide a loan at a below-market interest rate

Commitments to provide a loan at a below-market interest rate are initially measured at their fair values and, if not designated as at fair value through profit or loss, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the Bank's revenue recognition policies.

Commitments to provide a loan below market rate not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The Bank has not designated any commitments to provide a loan below market rate designated at fair value through profit or loss.

Hedge accounting

The Bank designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. The Bank does not apply fair value hedge accounting of portfolio hedges of interest rate risk. In addition, the Bank does not use the exemption to continue using IAS (39) hedge accounting rules, i.e. the Bank applies IFRS (9) hedge accounting rules in full.

At the inception of the hedge relationship, the Bank documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Bank documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- There is an economic relationship between the hedged item and the hedging instrument;
- The effect of credit risk does not dominate the value changes that result from that economic relationship; and
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Bank actually hedges and the quantity of the hedging instrument that the Bank actually uses to hedge that quantity of the hedged item.

The Bank rebalances a hedging relationship in order to comply with the hedge ratio requirements, when necessary. In such cases, discontinuation may apply to only part of the hedging relationship. For example, the hedge ratio might be adjusted in such a way that some of the volume of the hedged item is no longer part of a hedging relationship; hence, hedge accounting is discontinued only for the volume of the hedged item that is no longer part of the hedging relationship.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio, but the risk management objective for that designated hedging relationship remains the same, the Bank adjusts the hedge ratio of the hedging relationship (i.e. rebalances the hedge) so that it meets the qualifying criteria again.

In some hedge relationships, the Bank designates only the intrinsic value of options. In this case, the fair value change of the time value component of the option contract is deferred in OCI, over the term of the hedge, to the extent that it relates to the hedged item and is reclassified from equity to profit or loss when the hedged item does not result in the recognition of a non-financial item. The Bank's risk management policy does not include hedges of items that result in the recognition of non-financial items, because the Bank's risk exposures relate to financial items only.

The hedged items designated by the Bank are time-period related hedged items, which means that the amount of the original time value of the option that relates to the hedged item is amortized from equity to profit or loss on a rational basis (e.g. straight- line) over the term of the hedging relationship.

In some hedge relationships, the Bank excludes from the designation the forward element of forward contracts or the currency basis spread of cross currency hedging instruments. In this case, a treatment is applied similar to the one applied for the time value of options. The treatment for the forward element of a forward and the currency basis element is optional, and the option is applied on a hedge-by-hedge basis, unlike the treatment for the time value of the options, which is mandatory. For hedge relationships with forwards or foreign currency derivatives such as cross currency interest rate swaps, where the forward element or the currency basis spread is excluded from the designation, the Bank generally recognizes the excluded element in OCI.

The fair values of the derivative instruments used for hedging purposes and movements in the hedging reserve are determined in equity.

Fair value hedges

The fair value change on qualifying hedging instruments is recognized in profit or loss except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income in which case it is recognized in OCI. The Bank has not designated fair value hedge relationships where the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at fair value through other comprehensive income, the carrying amount is not adjusted as it is already at fair value, but the part of the fair value gain or loss on the hedged item associated with the hedged risk is recognized in profit or loss instead of OCI. When the hedged item is an equity instrument designated at fair value through other comprehensive income, the hedging gain/loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains/losses are recognized in profit or loss, they are recognized in the same line as the hedged item.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of hedged items for which the EIR method is used (i.e. debt instruments measured at amortized cost or at fair value through other comprehensive income) arising from the hedged risk is amortized to profit or loss commencing no later than the date when hedge accounting is discontinued.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognized in the cash flow hedging reserve, a separate component of OCI, limited to the cumulative change in fair value of the hedged item from inception of the hedge less any amounts recycled to profit or loss.

Amounts previously recognized in OCI and accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognized hedged item. If the Bank no longer expects the transaction to occur, that amount is immediately reclassified to profit or loss.

The Bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised, or where the occurrence of the designated hedged forecast transaction is no longer considered to be highly probable. The discontinuation is accounted for prospectively. Any gain/loss recognized in OCI and accumulated in equity at that time remains in equity and is recognized when the forecast transaction is ultimately recognized in profit or loss. When a forecast transaction is no longer expected to occur, the gain/loss accumulated in equity is reclassified and recognized immediately in profit or loss.

Hedges of net investments in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain/loss on the hedging instrument relating to the effective portion of the hedge is recognized in OCI and accumulated in the foreign currency translation reserve.

Gains and losses on the hedging instrument relating to the effective portion of the hedge accumulated in the foreign currency translation reserve are reclassified to profit or loss in the same way as exchange differences relating to the foreign operation as described above.

Property and equipment

Property and equipment are measured at cost less accumulated depreciation and any impairment. Property and equipment (except land) are depreciated when ready for use using the straight-line method over their expected useful life.

The depreciation rates used are as follows:

	%
Buildings	2-4
Equipment, furniture and fixtures	7-15
Vehicles	15
Computer	20

- The carrying values of property and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. If such indication exists and where the carrying values exceed the estimated recoverable amounts, the assets are written down to their recoverable amount, and the impairment is charged to the consolidated statement of profit or loss.
- The useful life of property and equipment is reviewed at each year-end, and changes in the expected useful life are treated as changes in accounting estimates.
- An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal.

Fair value

Fair value is defined as the price at which an asset is to be sold or paid to convert any of the liabilities in a structured transaction between the market participants on the measurement date, irrespective of whether the price can be realized directly or whether it is estimated using another valuation technique. When estimating the fair value of an asset or liability, the Bank takes into consideration, when determining the price of any asset or liability, whether market participants are required to take these factors into account at the measurement date. Fair value for the purposes of measurement and / or disclosure in these financial statements is determined on the same basis, except for measurement procedures that are similar to the fair value procedures and are not fair value such as fair value as used in IAS (36).

In addition, fair value measurements are classified, for the purposes of financial reporting to level (1), (2) or (3), based on the extent to which the inputs are clear concerning the fair value measurements and the importance of inputs to the full fair value measurements. The details are as follows:

Level (1) Inputs: Inputs derived from quoted (unadjusted) prices of identical assets or liabilities in active markets that an enterprise can obtain on the measurement date;

Level (2) Inputs: Inputs derived from data other than quoted prices used at level 1 and observable for assets or liabilities, either directly or indirectly;

Level (3) Inputs: Inputs to assets or liabilities that are not based on observable market prices.

Provisions

Provisions are recognized when the Bank has an obligation at the date of the consolidated statement of financial position arising from a past event, and the costs to settle the obligation are both probable and can be reliably measured.

Income tax

- Tax expense comprises current tax and deferred taxes.
- Current tax is based on taxable profits, which may differ from accounting profits published in the financial statements. Accounting profits may include non-taxable profits or tax non- deductible expenses which may be exempted in the current or subsequent financial years, or accumulatted losses that are tax acceptable or items not subject to deduction for tax purposes.
- Tax is calculated based on tax rates and laws that are applicable in Jordan.
- Deferred tax is the tax expected to be paid or recovered due to temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets and liabilities are measured at the tax rates expected to be applied in the period when the asset is realized or the liability is settled, based on the laws enacted or substantially enacted at the date of the consolidated statement of financial position.
- The carrying values of deferred tax assets are reviewed at the date of the consolidated financial statement and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

Offsetting

Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statement of financial position, when there is a legally enforceable right to offset the recognized amounts and the Bank intends to either settle them on a net basis, or to realize the asset and settle the liability simultaneously.

Revenue and expense recognition

- Interest income is recorded using the effective interest rate method except for fees and interest on non-performing facilities and financing, on which interest is transferred to the interest in suspense account and not recognized in the consolidated statement of profit or loss.
- Expenses are recognized on an accrual basis.
- Commission income is recognized upon the rendering of services. Dividend income is recognized (when approved by the General Assembly).

Date of recognition of financial assets

Purchase or sale of financial assets is recognized on the trade date, (the date that the Bank commits to purchase or sell the asset).

Financial derivatives and hedge accounting

Derivatives for trading

The fair value of derivative financial instruments held for trading (such as future foreign exchange contracts, future interest contracts, swaps contracts, foreign exchange rate option rights) is recognized in the consolidated statement of financial position. Moreover, fair value is determined at the prevailing market prices. If these prices are not available, the assessment method should be mentioned, and the amount of changes in fair value should be recognized in the consolidated statement of profit or loss.

Repurchase and resale agreements

- Assets sold with a simultaneous commitment to repurchase them at a specified future date will continue to be recognized in the Bank's consolidated financial statements due to the Bank's control of these assets and the fact that continuing exposure to the risks and rewards of these assets remains with the Bank and continue to be evaluated in accordance with the applied accounting policies. The proceeds of the sale are recorded under loans and borrowings. The difference between the sale and the repurchase price is recognized as an interest expense over the agreement term using the effective interest rate method.
- Assets purchased with a corresponding commitment to resell at a specified future date are not recognized in the Bank's consolidated financial statements since the Bank is not able to control these assets or the associated risks and benefits. The related payments are recognized as part of deposits at banks and financial institutions or direct credit facilities as applicable, and the difference between purchase and resale price is recognized as interest income over the agreement term using the effective interest rate method.

Assets repossesed by the bank

Assets seized by the Bank are shown in the consolidated condensed statement of financial position, among other assets, at their current value when seized by the Bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the consolidated condensed financial statements, and any decrease in value is recorded as a loss in the consolidated condensed statement of profit or loss and comprehensive income and the increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the consolidated condensed statement of profit or loss and comprehensive income to the extent that it does not exceed the previously recorded impairment value. A decleartion was issued later for this circulation dated to September 2, 2021 No. 10/3/13246 to postponed the activiation of this cirucaltion for a year, in order to complete the deduction of the required provisions against the assets seized in violation of Article No.(48) of the Banking Law No. 28 for the year 2000 by (5%) of the total book values of these assets as of the year 2022 to reach the required percentage of (50%) of these assets by the end of the year 2030.

Intangible assets

- Intangible assets are measured on initial recognition at cost.
- Intangible assets are classified as indefinite or with definite useful life. Intangible assets with finite lives are amortized over the useful economic life, and amortization is recorded in the consolidated statement of profit or loss, using the straight-line metthod during a period not exceeding 5 years from the date of the purchase transaction. Meanwhile, intangible assets with indefinite useful lives are assessed for impairment at each reporting date, and impairment losses are recorded in the consolidated statement of profit or loss.
- Internally generated intangible assets are not capitalized and are expensed in the consolidated statement of profit or loss.
- Intangible assets include computer software, programs, Safwa Islamic Bank's license and customers' deposits. The Bank's management estimates the useful life for each intangible asset, where the assets are amortized using the straight- line method from 3 to 7 years. As for Safwa Bank's license, its useful life is indefinite and it is not amortized.

Impairment of non-financial asset

- The carrying amount of the bank's non-financial asset is reviewed at the end of each fiscal year except for the deferred tax assets, to determine if there is an indication of impairment, and if there is an indication of impairment, the amount recoverable from these assets will be estimated.
- If the carrying amount of the assets exceeds the recoverable amount from those assets, the impairment loss is recorded in these assets.
- The recoverable amount is the fair value of the asset – less cost of sales – or the value of its use, whichever is greater.
- All impairment losses are recognized in the consolidated statement of profit or loss and other comprehensive income.
- The impairment loss for goodwill is not reversed, for other assets, the impairment loss is reversed only if the value of the carrying amount of the assets does not exceed the book value that was determined after the depreciation or amortization has been reduced if the impairment loss is not recognized in value.

Business combinations and goodwill

- A business combination is registered using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition date fair value and the amount of any non-controlling interests in the acquiree.
- For each business combination, the Bank elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses in the consolidated profit or loss statement.
- Goodwill is measured at cost, which represents the excess of the amounts granted in addition to the amount of non-controlling interests over the net fair value of the assets and liabilities owned after deducting the impairment amount.
- When the Bank acquires a business, it reviews the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances, and pertinent conditions as at the acquisition date.

Investment in associates

- Associates are those companies in which the Bank exerts an effective influence on their financial and operational policy decisions, and that are not retained for trading. In this regard, investments in associates are stated according to the equity method.
- Investments in associates are stated at cost within the statement of financial position, in addition to the Bank's share of changes in the associate's net assets. The goodwell resulting from investing in associates is recorded as part of the investment account of the associate and is not amortized. Moreover, the Bank's share of the associates' profits is recorded in the consolidated statement of profit or loss . In the event of changes in the owners' equity of the associates, these changes, if any, are reflected in the Bank's statement of changes in owners' equity. Profits and losses resulting from transactions between the Bank and the associates are elimintated to the extent of the Bank's share in the associates.

Foreign currencies

For the purpose of the consolidated financial statements, the results and financial position of each entity of the Group are presented in the functional currency unit of the Bank and the presentation currency of the consolidated financial statements.

The standalone financial statements of the Bank's subsidiaries are prepared. Moreover, the standalone financial statements of each entity of the Group are presented in the functional currency in which it operates. Transactions in currencies other than the functional currency of the Bank are recorded at the rates of exchange prevailing at the dates of those transactions. At the balance sheet date, financial assets and liabilities denominated in foreign currencies are translated at the rates of exchange prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the exchange rates at the date when the fair value is determined. Non-monetary items measured at historical cost in a foreign currency are not reclassified.

Exchange differences are recognized in the consolidated statement of profit or loss in the period in which they arise except for:

- Foreign exchange differences on transactions made in order to hedge foreign exchange risk.
- Foreign exchange differences on monetary items required to / from a foreign operation that are not planned to be settled, are unlikely to be settled in the near future (and therefore, these differences form part of the net investment in the foreign operation), and are initially recognized in the comprehensive income statement and reclassified from equity to the income statement when selling or partially disposing of the net investment.

In order to present the consolidated financial statements, the assets and liabilities of the Bank's foreign operations are translated at the rates of exchange prevailing at the statement of financial position date. Income is also translated at the average exchange rates for the period, unless exchange rates change significantly during that period, in which case the exchange rates are used on the date of the transactions. Exchange differences arising, if any, are recognized in other consolidated statement of comprehensive income under a separate line item of equity.

When foreign operations are disposed of (i.e. disposal of the entire share of the Bank from foreign operations, or resulting from loss of control of a subsidiary in foreign operations, or partial exclusion by its share in a joint arrangement, or an associate company of a foreign nature in which the share held is a financial asset), all foreign exchange differences accumulated in a separate item under equity in respect of that transaction attributable to the Bank's owners are reclassified to the consolidated statement of profit or loss.

In respect of the partial disposal of a subsidiary involving foreign operations that do not result in the Bank losing control of the subsidiary, its share of the accumulated exchange differences is credited to net comprehensive income at a rate that is derecognized and not recognized in the consolidated statement of income. For all other partial liquidation (such as partial liquidation of associates or joint ventures that do not result in the Bank losing significant influence or joint control), the share of accumulated exchange differences is reclassified to the consolidated statement of profit or loss.

Leases

The bank as a lessee

The Bank assesses whether the contract contains lease when starting the contract. Moreover, the Bank recognizes the right-of-use assets and the corresponding lease obligations in relation to all lease arrangements to which the lessee is a party, except for short-term lease contracts (defined as leases of 12 months or less) and low-value asset leases. For these contracts, the Bank recognizes the lease payments as an operating expense on a straight-line basis over the period of the lease, unless another regular basis is more representative of the time pattern in which the economic benefits from the leased assets are utilized.

The lease obligation is initially measured at the present value of the lease payments that were not paid on the start date of the lease, and is discounted by using the price implicit in the lease. If this rate cannot be easily determined, the Bank uses its expected incremental borrowing rate.

The lease payments included in the rental obligation measurement include:

- Fixed rental payments (essentially including fixed payments), minus rental incentives receivable;
- Variable rental payments that depend on an index or a rate, initially measured using the index or the rate at the date the contract begins.
- The amount expected to be paid by the lessee under the residual value guarantees.
- The price of the exercise of purchase options, if the lessee is reasonably certain of the exercise of the options; and
- Payment of the contract termination fines, if the lease reflects the exercise of the lease termination option.

Rental obligations are presented as a separate note to the consolidated statement of financial position.

Subsecuently, lease obligations are subsequently measured by increasing the book value to reflect the interest in the rental obligations (using the effective interest method) and by reducing the book value to reflect the rental payments paid.

The lease obligations (and a similar adjustment to the related right-of-use assets) are re-measured whenever:

- The lease term has changed or there is an event or important change in the conditions that lead to a change in the exercise of the purchase option assessment, in which case the lease obligations are re-measured by deducting the adjusted lease payment using the adjusted discount rate.
- Lease payments change due to changes in an index, rate, or change in expected payments under the guaranteed residual value, in which cases the lease obligation is re-measured by deducting the modified rental payments using a non-variable discount rate (unless the rental payments change due to a change in the floating interest rate, in this case the adjusted discount rate is used.
- The lease contract is adjusted, and the lease amendment is not accounted for as a separate lease, in which case the lease obligation is re-measured based on the duration of the adjusted lease contract by deducting the adjusted rental payments using the adjusted discount rate at the actual price at the date of the amendment.

The Bank has not made any of these adjustments during the periods presented.

The right-of-use assets are depreciated over the life of the lease or the useful life of the asset (whichever is shorter). If the lease contract transfers the ownership of the underlying asset or the cost of the right to use, which reflects that the company expects to exercise the purchase option, then the relevant value of the right to use is depreciated over the useful life of the asset. Depreciation begins on the lease commencement date.

The right-of-use assets are presented as a separate note in the consolidated statement of financial position.

The Bank applies International Accounting Standard (36) to determine whether the value of the right to use has decreased, and calculates any impairment losses as described in the policy of “property and equipment”.

Variable rents that are not dependent on an index or rate are not included in the measurement of lease obligations and right-of-use assets. Related payments are recognized as an expense in the period in which the event or condition that leads to these payments occurs, and are included in “Other Expenditures” in the statement of profit or loss.

The bank as a lessor

The Bank enters into lease contracts as a lessor regarding some investment properties.

Leases in which the Bank is the lessor are classified as operating or finance leases. In the event that the terms of the lease contract transfer all risks and rewards of ownership to the lessee, the contract is classified as a finance lease, and all other leases are classified as operating leases.

When the Bank is an intermediary lessor, it represents the main lease and sub-contract as two separate contracts. The sublease contract is classified as finance or operating lease by reference to the original right of use arising from the main lease.

Rental income from operating leases is recognized on a straight-line basis over the period of the relevant lease. The primary direct costs incurred in negotiating and arranging an operating lease are added to the book value of the leased asset and are recognized on a straight-line basis over the lease term.

The amounts due from the lessee under finance leases are recognized as receivables with the amount of the company's net investment in the rental contracts. Finance lease income is allocated to the accounting periods to reflect a constant periodic rate of return on the Bank's existing net investment with respect to lease contracts.

When the contract includes leasing components and components other than leasing, the Bank applies IFRS 15 to distribute the amounts received or to be received under the contract for each component.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash balances with central banks and balances with banks and financial institutions that mature within three months, less banks' and financial institutions' deposits that mature within three months and restricted balances.

3. Adoption of new and revised standards

a. New and amended IFRS standards that are effective for the current year

The following new and revised IFRSs, which became effective for annual periods beginning on or after January 1, 2021, have been adopted in these consolidated financial statements. The application of these revised IFRSs has not had any material impact on the amounts reported for the current and prior years but may affect the accounting for future transactions or arrangements.

Interest Rate Benchmark Reform

In the prior year, the Group adopted the Phase 1 amendments Interest Rate Benchmark Reform—Amendments to IFRS 9/IAS 39 and IFRS 7. These amendments modify specific hedge accounting requirements to allow hedge accounting to continue for affected hedges during the period of uncertainty before the hedged items or hedging instruments are amended as a result of the interest rate benchmark reform.

In the current year, the Group adopted the Phase 2 amendments Interest Rate Benchmark Reform—Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16. Adopting these amendments enables the Group to reflect the effects of transitioning from interbank offered rates (IBOR) to alternative benchmark interest rates (also referred to as 'risk free rates' or RFRs) without giving rise to accounting impacts that would not provide useful information to users of financial statements.

The amendments also introduce new disclosure requirements to IFRS 7 for hedging relationships that are subject to the exceptions introduced by the amendments to IFRS 9.

Moving from LIBOR to risk-free interest rates

Based on the changes imposed by the market on the use of the LIBOR index, and in keeping with global economic developments, the bank started, during the year, the stages of adopting the proposed RFR, by reviewing all facilities and investments, and studying the impact of the base rate change on them. From preparing the banking and accounting systems for the purposes of a successful transition to other alternative indicators.

The value of contracts for which the reference interest rate is expected to be modified in the future, as of December 31, 2021, amounted to JD 13,205,664. The impact of the expected adjustments on the reference prices was studied, and there was no material impact on the amounts and disclosures contained in the consolidated financial statements for any of the first and second stage adjustments, as the group's financial instruments are not linked to the interbank borrowing rate (IBOR).

COVID-19-Related Rent Concessions beyond June 30, 2021 - Amendment to IFRS 16

In the prior year, the Group early adopted Covid-19-Related Rent Concessions (Amendment to IFRS 16) that provided practical relief to lessees in accounting for rent concessions occurring as a direct consequence of COVID-19, by introducing a practical expedient to IFRS 16. This practical expedient was available to rent concessions for which any reduction in lease payments affected payments originally due on or before June 30, 2021.

In March 2021, the Board issued Covid-19-Related Rent Concessions beyond June 30, 2021 (Amendment to IFRS 16) that extends the practical expedient to apply to reduction in lease payments originally due on or before June 30, 2022.

The practical expedient permits a lessee to elect not to assess whether a COVID-19-related rent concession is a lease modification. A lessee that makes this election shall account for any change in lease payments resulting from the COVID-19-related rent concession applying IFRS 16 as if the change were not a lease modification.

The practical expedient applies only to rent concessions occurring as a direct consequence of COVID-19 and only if all of the following conditions are met:

- The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change
- Any reduction in lease payments affects only payments originally due on or before 30 June 2022 (a rent concession meets this condition if it results in reduced lease payments on or before 30 June 2022 and increased lease payments that extend beyond 30 June 2022)
- There is no substantive change to other terms and conditions of the lease

The adoption has not had any material impact on the disclosures or on the amounts reported in these consolidated financial statements as the Group did not have any leases impacted by the amendment.

b. New and Revised Standards in issue but not yet effective

At the date of authorization of these consolidated financial statements, the Group has not applied the following new and revised IFRS Standards that have been issued but are not yet effective:

New and revised IFRSs	Effective date
IFRS 17 Insurance Contracts (including the June 2020 amendments to IFRS 17) IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts and supersedes IFRS 4 Insurance Contracts. IFRS 17 outlines a general model, which is modified for insurance contracts with direct participation features, described as the variable fee approach. The general model is simplified if certain criteria are met by measuring the liability for remaining coverage using the premium allocation approach. The general model uses current assumptions to estimate the amount, timing and uncertainty of future cash flows and it explicitly measures the cost of that uncertainty. It takes into account market interest rates and the impact of policyholders' options and guarantees. In June 2020, the Board issued Amendments to IFRS 17 to address concerns and implementation challenges that were identified after IFRS 17 was published. The amendments defer the date of initial application of IFRS 17 (incorporating the amendments) to annual reporting periods beginning on or after January 1, 2023. At the same time, the Board issued Extension of the Temporary Exemption from Applying IFRS 9 (Amendments to IFRS 4) that extends the fixed expiry date of the temporary exemption from applying IFRS 9 in IFRS 4 to annual reporting periods beginning on or after January 1, 2023. For the purpose of the transition requirements, the date of initial application is the start of the annual reporting period in which the entity first applies the Standard, and the transition date is the beginning of the period immediately preceding the date of initial application.	The amendments are applied retrospectively for annual periods beginning on or after January 1, 2023, unless impracticable, in which case the modified retrospective approach or the fair value approach is applied.
Amendments to IFRS 10 and IAS 28 - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture. The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture.	The effective date is yet to be set. Earlier application is permitted.

New and revised IFRSs	Effective date
Amendments to IAS 1 Presentation of Financial Statements – Classification of Liabilities as Current or Non-current The amendments to IAS 1 affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items. The amendments clarify that the classification of liabilities as current or noncurrent is based on rights that are in existence at the end of the reporting period, specify that classification is unaffected by expectations about whether an entity will exercise its right to defer settlement of a liability, explain that rights are in existence if covenants are complied with at the end of the reporting period, and introduce a definition of 'settlement' to make clear that settlement refers to the transfer to the counterparty of cash, equity instruments, other assets or services to the opposite party.	The amendments are applied retrospectively for annual periods beginning on or after January 1, 2023, with early application permitted.
Amendments to IFRS 3 Business Combinations – Reference to the Conceptual Framework The amendments update IFRS 3 so that it refers to the 2018 Conceptual Framework instead of the 1989 Framework. They also add to IFRS 3 a requirement that, for obligations within the scope of IAS 37, an acquirer applies IAS 37 to determine whether at the acquisition date a present obligation exists as a result of past events. For a levy that would be within the scope of IFRIC 21 Levies, the acquirer applies IFRIC 21 to determine whether the obligating event that gives rise to a liability to pay the levy has occurred by the acquisition date. Finally, the amendments add an explicit statement that an acquirer does not recognise contingent assets acquired in a business combination.	The amendments are effective for business combinations for which the date of acquisition is on or after the beginning of the first annual period beginning on or after January 1, 2022. Early application is permitted if an entity also applies all other updated references.
Amendments to IAS 16 – Property, Plant and Equipment—Proceeds before Intended Use The amendments prohibit deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced before that asset is available for use, i.e. proceeds while bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Consequently, an entity recognises such sales proceeds and related costs in profit or loss. The entity measures the cost of those items in accordance with IAS 2 "Inventories". The amendments also clarify the meaning of "testing" whether an asset is functioning properly". IAS 16 now specifies this as assessing whether the technical and physical performance of the asset is such that it is capable of being used in the production or supply of goods or services, for rental to others, or for administrative purposes. If not presented separately in the statement of comprehensive income, the financial statements shall disclose the amounts of proceeds and cost included in profit or loss that relate to items produced that are not an output of the entity's ordinary activities, and which line item(s) in the statement of comprehensive income include(s) such proceeds and cost. The amendments are applied retrospectively, but only to items of property, plant and equipment that are brought to the location and condition necessary for them to be capable of operating in the manner intended by management on or after the beginning of the earliest period presented in the financial statements in which the entity first applies the amendments. The entity shall recognise the cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at the beginning of that earliest period presented.	January 1, 2022, with early application permitted.

New and revised IFRSs	Effective date
Amendments to IAS 37 – Onerous Contracts—Cost of Fulfilling a Contract The amendments specify that the "cost of fulfilling" a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract consist of both the incremental costs of fulfilling that contract (examples would be direct labour or materials) and an allocation of other costs that relate directly to fulfilling contracts (an example would be the allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract). The amendments apply to contracts for which the entity has not yet fulfilled all its obligations at the beginning of the annual reporting period in which the entity first applies the amendments. Comparatives are not restated. Instead, the entity shall recognise the cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings or other component of equity, as appropriate, at the date of initial application.	January 1, 2022, with early application permitted.
Annual Improvements to IFRS Standards 2018-2020	
Amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards The amendment provides additional relief to a subsidiary which becomes a first-time adopter later than its parent in respect of accounting for cumulative translation differences. As a result of the amendment, a subsidiary that uses the exemption in IFRS 1:D16 (a) can now also elect to measure cumulative translation differences for all foreign operations at the carrying amount that would be included in the parent's consolidated financial statements, based on the parent's date of transition to IFRS Standards, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. A similar election is available to an associate or joint venture that uses the exemption in IFRS 1:D16 (a).	January 1, 2022, with early application permitted.
IFRS 9 Financial Instruments The amendment clarifies that in applying the "10 percent" test to assess whether to derecognise a financial liability, an entity includes only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other's behalf. The amendment is applied prospectively to modifications and exchanges that occur on or after the date the entity first applies the amendment.	January 1, 2022, with early application permitted.
IFRS 16 Leases The amendment removes the illustration of the reimbursement of leasehold improvements.	No effective date is stated.
IAS 41 Agriculture The amendment removes the requirement in IAS 41 for entities to exclude cash flows for taxation when measuring fair value. This aligns the fair value measurement in IAS 41 with the requirements of IFRS 13 Fair Value Measurement to use internally consistent cash flows and discount rates and enables preparers to determine whether to use pretax or post-tax cash flows and discount rates for the most appropriate fair value measurement. The amendment is applied prospectively, i.e. for fair value measurements on or after the date an entity initially applies the amendment.	January 1, 2022, with early application permitted.

New and revised IFRSs	Effective date
Amendments to IAS 1 Presentation of Financial Statements and IFRS Practice Statement 2 Making Materiality Judgements - Disclosure of Accounting Policies The amendments change the requirements in IAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term "significant accounting policies" with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements. The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material. The Board has also developed guidance and examples to explain and demonstrate the application of the "four-step materiality process" described in IFRS Practice Statement 2.	January 1, 2023, with earlier application permitted and are applied prospectively. The amendments to IFRS Practice Statement 2 do not contain an effective date or transition requirements.
Amendments to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted. However, the Board retained the concept of changes in accounting estimates in the Standard with the following clarifications: A change in accounting estimate that results from new information or new developments is not the correction of an error The effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors The Board added two examples (4-5) to the Guidance on implementing IAS 8, which accompanies the Standard. The Board has deleted one example (Example 3) as it could cause confusion in light of the amendments.	January 1, 2023, with earlier application permitted

New and revised IFRSs	Effective date
Amendments to IAS 12 Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction The amendments introduce a further exception from the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting nor taxable profit. For example, this may arise upon recognition of a lease liability and the corresponding right-of-use asset applying IFRS 16 at the commencement date of a lease. Following the amendments to IAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12. The Board also adds an illustrative example to IAS 12 that explains how the amendments are applied. The amendments apply to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, at the beginning of the earliest comparative period an entity recognises: A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised) and a deferred tax liability for all deductible and taxable temporary differences associated with: Right-of-use assets and lease liabilities Decommissioning, restoration and similar liabilities and the corresponding amounts recognised as part of the cost of the related asset The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at that date.	January 1, 2023, with earlier application permitted

Management expects to apply these new standards, interpretations, and amendments to the bank's consolidated financial statements when they are applicable. Moreover, the adoption of these new standards, interpretations, and amendments may have no material impact on the bank's consolidated financial statements in the initial application.

4. Significant accounting judgments and key sources of uncertainty estimates

Preparation of the consolidated financial statements and application of accounting policies require management to make judgments, estimates, and assumptions that affect the amounts of financial assets and financial liabilities, and to disclose potential liabilities. Moreover, these estimates and judgments affect revenues, expenses, and provisions, in general; as well as expected credit losses and changes in fair value that appear in the consolidated statement of comprehensive income and within shareholders' equity. In particular, the Bank's management requires judgments to be made to estimate the amounts and timing of future cash flows. These estimates are necessarily based on multiple hypotheses and factors with varying degrees of estimation and uncertainty. Meanwhile, the actual results may differ from estimates due to the changes arising from the conditions and circumstances of those estimates in the future.

Judgments, estimates, and assumptions are reviewed periodically. Moreover, the effect of the change in estimates is recognized in the financial period in which the change occurs if the change affects only the financial period. On the other hand, the effect of the change in estimates is recognized in the financial period in which the change occurs and in future periods if the change affects the financial period and future financial periods.

We believes that its estimates in the consolidated financial statements are reasonable. The details are as follows:

Impairment of property acquired

Impairment in the value of properties acquired is recognized based on recent real estate valuations by qualified independent evaluators for calculating the asset impairment, which is reviewed periodically. Any decrease in its value is recorded as a loss in the consolidated statement of profit or loss and comprehensive income, and the increase is not recorded as revenue.

According to the Central Bank of Jordan's Circular No. 10/3/13246 dated September 2, 2021 at a rate of (5%) of the total book value of these properties (regardless of the violation period) from the year 2021 until the required percentage is reached (50%) of these properties by the end of the year 2030.

Productive lifespan of tangible assets and intangible assets

The Bank's management periodically recalculates the useful lives of tangible assets and intangible assets for calculating annual depreciation and amortization based on the general condition of those assets and estimated future useful lives. The impairment loss is recognized in the consolidated statement of profit or loss for the year.

Income tax

The fiscal year is charged with income tax expense in accordance with accounting regulations, laws, and standards. Moreover, deferred tax assets, liabilities, and provision are recognized.

Provision for lawsuits

A provision for lawsuits is taken to meet any legal obligations that might arise based on the legal study prepared by the Bank's legal advisor. The study identifies risks that might occur in the future, and is reviewed periodically.

Provision for end- of- service indemnity

The provision for end- of- service indemnity, representing the Bank's obligations to employees, is calculated in accordance with the Bank's internal regulations.

Assets and liabilities at cost

Management reviews the assets and liabilities at cost for estimating any impairment in value, which is recognized in the consolidated statement of profit or loss for the year.

Provision for expected credit losses

Management is required to use significant judgments and estimates to estimate the amounts and timing of future cash flows and assess the risks of a significant increase in credit risk for financial assets after initial recognition and future measurement information for the expected credit losses. The most important policies and estimates used by the Bank's management are detailed in Note (44).

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central Bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation.

Evaluation of business model

The classification and measurement of financial assets depends on the results of the principal and interest payments test on the principal outstanding and the business model test. The Bank defines a business model at a level that reflects how the groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment that reflects all relevant evidence, including how to assess the performance of the assets and measure their performance, and the risks that affect the performance of assets, how they are managed, and how asset managers are compensated. The Bank monitors financial assets measured at amortized cost or fair value through other comprehensive income and derecognized before maturity to understand the reason for derecognition and whether the reasons are consistent with the objective of the business held. In this respect, control is part of the Group's continuous assessment of whether the business model under which the remaining financial assets are retained is appropriate, and whether it is not appropriate if there is a change in the business model, and therefore, a future change is made in the classification of those assets.

Significant increase in credit risk

The expected credit loss is measured as an allowance equivalent to the expected credit loss of (12) months for the assets of

the first stage, or the credit loss over the life of the assets of the second or third stage. The asset moves to the second stage if credit risk increases significantly since initial recognition. IFRS (9) does not specify what constitutes a significant increase in credit risk. In assessing whether the credit risk of any asset has increased significantly, the Bank takes into account reasonable and reliable quantitative and qualitative information. The estimates and uses by the Bank's management relating to the significant change in credit risk that result in a change in classification within the three stages (1, 2 and 3) are shown in details in Note (44).

Establishment of groups of assets with similar credit risk characteristics

When the expected credit losses are measured on a collective basis, the financial instruments are grouped on the basis of common risk characteristics (e.g. instrument type, credit risk, collateral type, initial recognition date, remaining maturity period, industry, borrower's geographic location, etc.). The Bank monitors the appropriateness of credit risk characteristics on an ongoing basis to assess whether they are still similar. This is required to ensure that, in the event of a change in the credit risk characteristics, the asset is properly reallocated. This may result in the creation of new portfolios or the transfer of assets to an existing portfolio that better reflects the credit risk characteristics of that group of assets.

Re-division of portfolios and movements between portfolios

The re-division of portfolios and movements between portfolios is more common when credit risk increases significantly (or when such a large increase is reflected). Therefore, assets are transferred from expected credit losses of between (12) months to another portfolio or vice versa. However, this may happen within the portfolios that continue to be measured on the same basis as expected credit losses for a period of (12) months or a lifetime, but the amount of credit loss changes are expected due to the varying credit risk of portfolios.

Models and assumptions used

The Bank uses various models and assumptions in measuring the fair value of financial assets as well as in assessing the expected credit loss described in Note (44). The judgment is applied when determining the best models for each type of asset as well as for the assumptions used in those models, which include assumptions regarding the main drivers of credit risk.

a. Classification and measurement of financial assets and liabilities

The Bank classifies financial instruments or components of financial assets at initial recognition either as a financial asset or a financial liability, or as a title in accordance with the substance of the contractual agreements and the definition of the instrument. The reclassification of a financial instrument is subject to the substance of the consolidated financial statements and not to its legal form.

The Bank shall determine the classification at initial recognition as well as a reassessment of such determination, if possible and appropriate, at each date of the consolidated statement of financial position.

When measuring financial assets and liabilities, some of the Bank's assets and liabilities are re-measured at fair value for financial reporting purposes. In assessing the fair value of any assets or liabilities, the Bank uses available observable market data. In the absence of Tier 1 inputs, the Bank conducts evaluations, using professionally qualified independent evaluators. Moreover, the Bank works closely with qualified external evaluators to develop appropriate valuation and data valuation techniques.

b. Fair value measurement

If the fair values of financial assets and financial liabilities included in the consolidated statement of financial position cannot be obtained from active markets, these fair values are determined using a range of valuation techniques involving the use of accounting models. If possible, the data entered from those models will be obtained from market data. In the absence of such market data, fair values are determined by making judgments. These provisions include liquidity considerations and model data such as derivative volatility, longer-term discount rates, pre-payment ratios and default rates on asset-backed securities. Management believes that the valuation techniques used are appropriate to determine the fair value of financial instruments.

c. Derivative financial instruments

The fair values of derivative financial instruments measured at fair value are generally obtained by reference to quoted market prices, discounted cash flow models and, where appropriate, recognized pricing models. In the absence of prices, fair values are determined using valuation techniques that reflect observable market data. These techniques include comparison with similar instruments at observable market prices, discounted cash flow analysis, pricing option models, and other valuation techniques commonly used by market participants. The main factors that the Administration takes into consideration when applying the model are:

- The expected timing and probability of future cash flows on the instrument where such cash flows are generally subject to the terms of the instrument, although the management judgment may be required where the counterparty's ability to repay the instrument in accordance with the contractual terms is doubtful; and
- An appropriate discount rate for the instrument. Management determines the instrument discount rare at a rate higher than the non-risk rate. In assessing the instrument by reference to comparative instruments, management considers the maturity, structure and degree of classification of the instrument based on the system in which the existing position is compared. When evaluating tools on a model basis using the fair value of the main components, management also considers the need to make adjustments for a number of factors, such as bid differences, credit status, portfolio service costs, and uncertainty about the model.

Lease extension and termination options

Extension and termination options are included in a number of leases. These conditions are used to increase operational flexibility in terms of contract management. Most of the held extension and termination options are renewable by both the Bank and the lessor.

Determination the lease term

When determining the term of a lease, management considers all facts and circumstances that create an economic incentive for the option to extend, or the option not to terminate, the lease. The extension options (or periods following the termination options) are only included in the term of the lease if it is reasonably certain that that the lease will be extended (or not terminated). The evaluation is reviewed in the case of an important event or a significant change in the circumstances that affect this evaluation and that are under the control of the lessee.

Key sources of uncertainty estimates

The main principal estimates used by management in applying the Bank's accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are as follows:

Determining the number and relative weight of scenarios of the outlook for each type of product / market and the identification of future information relevant to each scenario

When measuring the expected credit loss, the Bank uses reasonable and supported future information based on the assumptions of the future movement of the various economic engines and how these affect each other.

Probability of default

The potential for default is a key input in measuring the expected credit loss. The probability of default is an estimate of the probability of default over a given period of time, which includes the calculation of historical data, assumptions and expectations relating to future circumstances.

Loss given default

Loss on the assumption of default is an estimate of the loss arising from default. It is based on the difference between the contractual cash flows due and those that the financer expects to collect, taking into account cash flows from collateral and integrated credit adjustments.

Fair value measurement and valuation procedures

When estimating the fair value of financial assets and financial liabilities, the Bank uses available observable market data. In the absence of level (1) inputs, the Bank conducts evaluations using appropriate valuation models to determine the fair value of financial instruments.

Discounting rental payments

Lease payments are discounted using the Bank's incremental borrowing rate ("IBR"). Management applied the judgments and estimates to determine the incremental borrowing rate at the start of the lease.

5. Cash and balances at the Central Bank of Jordan

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Cash in treasury	125,176,533	101,051,657
Balances at central banks:		
Current accounts and demand deposits	265,155,626	269,306,430
Term and notice deposits	315,000,000	165,000,000
Statutory cash reserve	229,098,309	185,702,345
Total balances at the central bank of Jordan	809,253,935	620,008,775
Total	934,430,468	721,060,432

- Except for the statutory cash reserve, there are no restricted balances as of December 31, 2021 and December 31, 2020.
- There are no accrued amounts during a period exceeding three months as of December 31, 2021 and December 31, 2020.
- All balances at the Central Bank of Jordan are classified within stage 1 based on the requirements of IFRS (9). There are also no transfers between Stages (1,2,3) or written-off balances during the year ended December 31, 2021.

- Disclosure on the movements of the Central Bank of Jordan's balances:

	December 31	
	2021	2020
	JOD	JOD
Balance - beginning of the year	620,008,775	503,730,148
New balances during the year	354,245,160	202,978,627
Paid balances	(165,000,000)	(86,700,000)
Balance - end of the year	809,253,935	620,008,775

6. Balances at banks and financial institutions

The details of this item are as follows:

Description	Local Banks and Financial Institutions December 31,		Foreign Banks and Financial Institutions December 31,		Total December 31,	
	2021	2020	2021	2020	2021	2020
	JD	JD	JD	JD	JD	JD
Current accounts and demand deposits	443,162	623,596	239,619,091	162,452,001	240,062,253	163,075,597
Deposits maturing within 3 months or less	10,000,000	20,000,000	291,974,566	214,198,613	301,974,566	234,198,613
Total	10,443,162	20,623,596	531,593,657	376,650,614	542,036,819	397,274,210
Provision for expected credit loss	-	-	(560,112)	(189,682)	(560,112)	(189,682)
Balance at Bank and financial institutions	10,443,162	20,623,596	531,033,545	376,460,932	541,476,707	397,084,528

- Non-interest bearing balances at banks and financial institutions amounted to JD 55,348,360 as of December 31, 2021 (JD 46,289,804 as of December 31, 2020).
- Restricted balances at banks and financial institutions amounted to JD 7,548,214 as of December 31, 2021 and (JD 7,545,767 as of December 31, 2020).

- The movement on balances at banks and financial institutions is as follows:

2021	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	397,274,210	-	-	397,274,210
New balances during the year	422,775,611	-	-	422,775,611
Paid balances during the year	(276,450,530)	-	-	(276,450,530)
Changes resulted from adjustments	(1,562,472)	-	-	(1,562,472)
Balance - End of the Year	542,036,819	-	-	542,036,819

2020	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	331,017,085	-	-	331,017,085
New balances during the year	336,335,033	-	-	336,335,033
Paid balances during the year	(270,077,908)	-	-	(270,077,908)
Balance - End of the Year	397,274,210	-	-	397,274,210

- The following represents the movement on the provision for impairment loss:

December 31, 2021	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year 2021	189,682	-	-	189,682
Impairment on the new balances during the year	560,111	-	-	560,111
Recovered from impairment on the paid balances	(189,681)	-	-	(189,681)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision during the year due to the change in the Classifications between stages				
Changes resulted from adjustments	-	-	-	-
Written off balances and deposits	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-
Total Balance at the End of the Year	560,112	-	-	560,112

December 31, 2020	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year 2020	211,356	-	-	211,356
Impairment on the new balances during the year	189,682	-	-	189,682
Recovered from impairment on the paid balances	(211,356)	-	-	(211,356)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on the impairment loss during the year due to the change in the Classifications between stages				
Changes resulted from adjustments	-	-	-	-
Written off balances and deposits	-	-	-	-
Adjustments due to change in the exchange rates	-	-	-	-
Total Balance at the End of the Year	189,682	-	-	189,682

7. Deposits at banks and financial institutions

The details of this item are as follows:

Deposits maturing during the period:	Local Banks and Financial Institutions December 31,		Foreign Banks and Financial Institutions December 31,		Total December 31,	
	2021	2020	2021	2020	2021	2020
	JOD	JOD	JOD	JOD	JOD	JOD
More than 3 months to 6 months	-	-	2,771,936	1,449,068	2,771,936	1,449,068
More than 6 months to 9 months	6,000,000	3,000,000	-	-	6,000,000	3,000,000
Total Balances	6,000,000	3,000,000	2,771,936	1,449,068	8,771,936	4,449,068
Provision for expected credit losses	-	-	(1,251)	(611)	(1,251)	(611)
Net Deposits at bank and financial institutions	6,000,000	3,000,000	2,770,685	1,448,457	8,770,685	4,448,457

- The movement on deposits at banks and financial institutions:

2021	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	4,449,068	-	-	4,449,068
New balances during the year	8,771,936	-	-	8,771,936
Paid balances during the year	(4,449,068)	-	-	(4,449,068)
Balance - End of the Year	8,771,936	-	-	8,771,936

2020	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JD	JD	JD	JD
Balance - beginning of the year	3,000,000	-	-	3,000,000
New balances during the year	4,449,068	-	-	4,449,068
Paid balances during the year	(3,000,000)	-	-	(3,000,000)
Balance - End of the Year	4,449,068	-	-	4,449,068

- The following represents the movement on the provision for impairment loss:

December 31, 2021	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year 2021	611	-	-	611
Impairment of the new balances during the year	1,251	-	-	1,251
Recovered from impairment on the paid balances	(611)	-	-	(611)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision -at the end of the year- due to	-			-
The change in classification between stages	-	-	-	-
Changes resulted from adjustments	-	-	-	-
Written off balances and deposits	-	-	-	-
Adjustments due to change in the exchange rates	-	-	-	-
Balance – End of the Year	1,251	-	-	1,251

December 31, 2020	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year 2020	-	-	-	-
Impairment of the new balances during the year	611	-	-	611
Recovered from impairment on the paid balances	-	-	-	-
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on provision -at the end of the year - due to	-			-
The change in classification between stages		-	-	
Changes resulted from adjustments	-	-	-	-
Written off balances and deposits	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-
Balance – End of the Year	611	-	-	611

8. Financial assets at fair value through profit or loss

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Government bonds listed in financial markets	143,948	78,294
Corporate bonds listed in financial markets	1,512,207	1,463,324
Corporate shares listed in financial markets	3,275,739	5,667,508
Investment funds	13,364,472	8,010,770
Total	18,296,366	15,219,896

9. Direct credit and financing facilities - net

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Individuals (retail):		
Overdraft accounts	1,794,970	2,481,742
Loans and promissory notes*	821,425,508	691,793,785
Credit cards	17,807,394	14,494,456
Real estate loans	897,926,656	783,136,250
Large Companies		
Overdraft accounts	66,202,150	81,996,125
Loans and promissory notes *	1,046,668,567	1,100,136,150
Small and Medium		
Overdraft accounts	24,662,480	25,149,124
Loans and promissory notes *	201,854,139	176,403,540
Government and public sector	431,243,828	212,514,816
Total	3,509,585,692	3,088,105,988
Less: Interest revenue in suspense	16,920,366	16,995,241
Less: Provision of expected credit losses	141,540,998	119,482,614
Net Direct Credit and Financing Facilities	3,351,124,328	2,951,628,133

* Net after deducting interest and commission received in advance of JD 5,395,416 as of December 31, 2021 (JD 5,057,807 as of December 31, 2020).

- Direct credit and financing facilities included in stage (3) amounted to JD 130,919,534 which is equivalent to 3.73% of total direct credit and financing facilities as of December 31, 2021 (JD 118,245,398 which is equivalent to 3.83% of total direct credit and financing facilities as of December 31, 2020).
- Direct credit and financing facilities included in stage (3) amounted to JD 113,999,168 which is equivalent to 3.26 % of total direct credit facilities balance after deducting interest and revenue in suspense as of December 31, 2021 (JD 101,250,157, which is equivalent to 3.30% of total credit facilities balance after deducting interest and revenue in suspense as of December 31, 2020).
- Direct credit facilities granted to and guaranteed by the Government of the Hashemite Kingdom of Jordan amounted to JD 323,740,585 which is equivalent to 9.22% of total direct credit facilities as of December 31, 2021 (JD 305,008,749 which is equivalent to 9.88% as of December 31, 2020).
- The facilities according to the Islamic Share'a related to Safwa Islamic Bank amounted to JD 1,635,040,078 which is equivalent to 46.59% of total direct credit facilities as of December 31, 2021 (JD 1,193,020,390 which is equivalent to 38.63% as of December 31, 2020).

The movement on the credit and financing facilities on a collective basis as of the year end:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988
New exposures during the year	750,278,160	236,184,831	76,916,417	11,684,408	5,589,877	1,080,653,693
Exposures paid during the year	(302,786,525)	(43,112,125)	(53,793,088)	(2,796,948)	(14,706,179)	(417,194,865)
Transferred to stage (1)	59,840,822	786,149	(56,175,283)	(786,102)	(3,665,586)	-
Transferred to stage (2)	(136,611,567)	(32,188,318)	140,087,906	32,796,228	(4,084,249)	-
Transferred to stage (3)	(6,554,449)	(4,952,724)	(25,374,658)	(1,692,361)	38,574,192	-
Effect on the volume of exposures due to changes in the classifications between stages	(17,996,645)	(266,360)	(12,736,601)	(2,953,445)	584,624	(33,368,427)
Change resulted from adjustments	(133,333,419)	(57,433,758)	(6,477,291)	(1,747,686)	(1,219,260)	(200,211,414)
Written-off credit facilities or transferred as off balance sheet items	-	-	-	-	(8,399,283)	(8,399,283)
Balance - end of the year	2,236,721,529	671,650,120	405,064,033	65,230,476	130,919,534	3,509,585,692

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	1,873,654,487	442,937,612	285,111,909	31,396,579	116,450,626	2,749,551,213
New exposures during the year	462,236,817	177,653,092	60,697,305	9,149,588	8,154,253	717,891,055
Exposures paid during the year	(211,071,360)	(25,168,082)	(36,057,970)	(1,845,521)	(5,471,781)	(279,614,714)
Transferred to stage (1)	61,109,447	11,524,200	(60,143,204)	(11,487,602)	(1,002,841)	-
Transferred to stage (2)	(121,613,716)	(2,934,877)	122,689,573	3,991,464	(2,132,444)	-
Transferred to stage (3)	(10,947,692)	(1,033,392)	(11,245,382)	(1,066,122)	24,292,588	-
Effect on the volume of exposures due to changes in the classifications between stages	88,053	(1,083,003)	(12,539,614)	(230,859)	(221,511)	(13,986,934)
Change resulted from adjustments	(29,570,884)	(29,263,125)	(5,895,986)	818,855	(4,109,527)	(68,020,667)
Written-off credit facilities or transferred as off balance sheet items	-	-	-	-	(17,713,965)	(17,713,965)
Balance - end of the year	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988

- During the year ended December 31, 2021, an amount of JD 7,679,135 was transferred to off-statement of financial position items (JD 14,822,171 as of December 31, 2020), and direct credit facilities of JD 720,148 were written off according to the Board of Directors' decision regarding this matter (JD 2,891,794 as of December 31, 2020).

The movement on the expected credit loss for credit and financing facilities was as follows:

For the Year ended December 31, 2021	Individual	Real Estate Loans	Corporations		Governmental and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	25,401,230	14,336,802	67,069,526	12,675,056	-	119,482,614
Impairment on new Credit facilities during the year	4,294,530	2,592,837	13,173,332	2,691,006	-	22,751,705
Recovered from Impairment on paid credit facilities	(3,544,806)	(2,813,721)	(9,924,727)	(1,584,591)	-	(17,867,845)
Transferred to stage (1)	1,838,768	816,969	(108,871)	(78,919)	-	2,467,947
Transferred to stage (2)	570,129	(568,155)	(5,067,934)	(13,859)	-	(5,079,819)
Transferred to stage (3)	(2,408,897)	(248,814)	5,176,805	92,778	-	2,611,872
Effect on the impairment losses due to changes in the classifications between stages	4,790,917	84,891	7,449,335	1,021,510	-	13,346,653
Effect due to adjustments	652,814	(1,133,266)	10,339,158	(445,341)	-	9,413,365
Written-off credit facilities or transferred	(2,114,745)	(363,585)	(2,594,479)	(512,685)	-	(5,585,494)
Balance at the End of the Year	29,479,940	12,703,958	85,512,145	13,844,955	-	141,540,998
Redistribution:						
Provision on an Individual basis	27,004,054	12,703,784	85,512,145	13,167,915	-	138,387,898
Provision on a collective basis	2,475,886	174	-	677,040	-	3,153,100
	29,479,940	12,703,958	85,512,145	13,844,955	-	141,540,998

For the Year ended December 31, 2020	Individual	Real Estate Loans	Corporations		Governmental and Public Sector	Total
			Large Corporate	SME's		
	JD	JD	JD	JD	JD	JD
Balance at the beginning of the year	16,806,351	8,438,426	61,873,990	9,708,250	189,784	97,016,801
Impairment on new credit facilities during the year	3,345,252	449,582	4,871,545	1,403,202	-	10,069,581
Recovered from impairment on paid credit facilities	(1,323,682)	(273,618)	(3,355,349)	(576,193)	-	(5,528,842)
Transferred to stage (1)	590,181	156,753	346,280	22,126	-	1,115,340
Transferred to stage (2)	252,780	(16,189)	(1,161,016)	11,264	-	(913,161)
Transferred to stage (3)	(842,961)	(140,564)	814,736	(33,390)	-	(202,179)
Effect on the impairment losses due to changes in the classifications between stages	4,922,881	2,963,848	3,327,599	2,008,715	-	13,223,043
Changes resulted from adjustments	1,675,930	2,774,879	13,503,004	2,188,585	(189,784)	19,952,614
Written-off credit facilities or transferred	(25,502)	(16,315)	(13,151,263)	(2,057,503)	-	(15,250,583)
Balance at the End of the Year	25,401,230	14,336,802	67,069,526	12,675,056	-	119,482,614
Redistribution:						
Provision on an Individual basis	24,527,804	14,336,750	67,069,526	12,502,541	-	118,436,621
Provision on a collective basis	873,426	52	-	172,515	-	1,045,993
	25,401,230	14,336,802	67,069,526	12,675,056	-	119,482,614

- The value of the provisions that were no longer needed as a result of debt settlements and transferred to other debts amounted to JD 17,867,845 as of December 31, 2021 (JD 5,528,842 as of December 31, 2020).

Interest and revenue in suspense

The following is the movement on interest and revenue in suspense:

For the Year ended December 31, 2021	Individual	Real estate loans	Corporate Entities		Government and Public Sector	Total
			Corporate	SMEs		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	4,120,410	2,935,998	7,655,932	2,282,901	-	16,995,241
Add: Interest and returns suspended during the year	1,935,720	427,845	1,342,528	752,560	-	4,458,653
Less: Interest and returns transferred to revenues	(672,700)	(455,395)	(508,584)	(83,060)	-	(1,719,739)
Written-off suspended interest	(1,280,833)	(437,295)	(782,166)	(313,495)	-	(2,813,789)
Balance at the End of the Year	4,102,597	2,471,153	7,707,710	2,638,906	-	16,920,366

For the Year ended December 31, 2020	Individual	Real estate loans	Corporate Entities		Government and Public Sector	Total
			Corporate	SMEs		
	JD	JD	JD	JD	JD	JD
Balance - beginning of the year	3,240,079	2,423,484	9,312,423	1,707,055	-	16,683,041
Add: Interest and returns suspended during the year	1,621,969	646,343	1,280,781	836,422	-	4,385,515
Less: Interest and returns transferred to revenues	(708,029)	(108,749)	(738,822)	(54,334)	-	(1,609,934)
Written-off suspended interest	(33,609)	(25,080)	(2,198,450)	(206,243)	-	(2,463,381)
Balance at the End of the Year	4,120,410	2,935,998	7,655,932	2,282,901	-	16,995,241

The following are the exposures according to IFRS (9):

As of December 31, 2021

	According to IFRS (9) as adopted by Central bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Individual	779,565,332	4,016,954	-	30,940,041	2,990,363	-	30,522,499	22,472,623	4,102,597	841,027,872	29,479,940	4,102,597
Real estate loans	748,559,244	1,237,043	-	132,472,608	5,508,400	-	16,894,804	5,958,515	2,471,153	897,926,656	12,703,958	2,471,153
Corporate entities	799,254,383	10,950,904	-	251,230,166	28,714,382	-	62,386,168	45,846,859	7,707,710	1,112,870,717	85,512,145	7,707,710
SME's	149,748,862	1,145,780	-	55,651,694	2,549,592	-	21,116,063	10,149,583	2,638,906	226,516,619	13,844,955	2,638,906
Governmental and Public Sector	431,243,828	-	-	-	-	-	-	-	-	431,243,828	-	-
	2,908,371,649	17,350,681	-	470,294,509	39,762,737	-	130,919,534	84,427,580	16,920,366	3,509,585,692	141,540,998	16,920,366

As of december 31, 2020

	According to IFRS (9) as adopted by Central bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Expected Credit Loss	Interest in Suspense
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Individual	658,357,568	3,753,181	-	22,088,956	1,534,974	-	28,323,459	20,113,075	4,120,410	708,769,983	25,401,230	4,120,410
Real estate loans	658,216,737	1,114,516	-	106,458,733	7,276,536	-	18,460,780	5,945,750	2,935,998	783,136,250	14,336,802	2,935,998
Corporate entities	933,059,189	11,535,717	-	195,780,692	18,790,244	-	53,292,394	36,743,565	7,655,932	1,182,132,275	67,069,526	7,655,932
SME's	134,369,267	2,354,413	-	49,014,632	1,359,772	-	18,168,765	8,960,871	2,282,901	201,552,664	12,675,056	2,282,901
Governmental and Public Sector	212,514,816	-	-	-	-	-	-	-	-	212,514,816	-	-
	2,596,517,577	18,757,827	-	373,343,013	28,961,526	-	118,245,398	71,763,261	16,995,241	3,088,105,988	119,482,614	16,995,241

The movement on the credit and financing facilities on a collective basis as of the year-end:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988
New exposures during the year	750,278,160	236,184,831	76,916,417	11,684,408	5,589,877	1,080,653,693
Exposures paid during the year	(302,786,525)	(43,112,125)	(53,793,088)	(2,796,948)	(14,706,179)	(417,194,865)
Transferred to stage (1)	59,840,822	786,149	(56,175,283)	(786,102)	(3,665,586)	-
Transferred to stage (2)	(136,611,567)	(32,188,318)	140,087,906	32,796,228	(4,084,249)	-
Transferred to stage (3)	(6,554,449)	(4,952,724)	(25,374,658)	(1,692,361)	38,574,192	-
The total impact on the volume of exposures as a result of changing the classification between stages	(17,996,645)	(266,360)	(12,736,601)	(2,953,445)	584,624	(33,368,427)
Changes resulted from adjustments	(133,333,419)	(57,433,758)	(6,477,291)	(1,747,686)	(1,219,260)	(200,211,414)
Written off debts or transferred	-	-	-	-	(8,399,283)	(8,399,283)
Total balance at the end of the year	2,236,721,529	671,650,120	405,064,033	65,230,476	130,919,534	3,509,585,692

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	1,873,654,487	442,937,612	285,111,909	31,396,579	116,450,626	2,749,551,213
New exposures during the year	462,236,817	177,653,092	60,697,305	9,149,588	8,154,253	717,891,055
Exposures paid during the year	(211,071,360)	(25,168,082)	(36,057,970)	(1,845,521)	(5,471,781)	(279,614,714)
Transferred to stage (1)	61,109,447	11,524,200	(60,143,204)	(11,487,602)	(1,002,841)	-
Transferred to stage (2)	(121,613,716)	(2,934,877)	122,689,573	3,991,464	(2,132,444)	-
Transferred to stage (3)	(10,947,692)	(1,033,392)	(11,245,382)	(1,066,122)	24,292,588	-
The total impact on the volume of exposures as a result of changing the classification between stages	88,053	(1,083,003)	(12,539,614)	(230,859)	(221,511)	(13,986,934)
Changes resulted from adjustments	(29,570,884)	(29,263,125)	(5,895,986)	818,855	(4,109,527)	(68,020,667)
Written off debts or transferred	-	-	-	-	(17,713,965)	(17,713,965)
Total balance at the end of the year	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988

The movement of the provision for expected credit losses as for the year-end:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	17,865,958	891,869	28,807,402	154,124	71,763,261	119,482,614
Impairment losses on the new exposures during the year	5,282,840	637,405	7,893,105	260,432	8,677,923	22,751,705
Recovered from impairment of the paid exposures during the year	(4,452,639)	(77,533)	(3,815,132)	(3,324)	(9,519,217)	(17,867,845)
Transferred to stage (1)	4,218,979	1,040	(2,664,820)	(994)	(1,554,205)	-
Transferred to stage (2)	(1,617,553)	(44,479)	3,058,678	416,966	(1,813,612)	-
Transferred to stage (3)	(62,463)	(27,577)	(5,879,244)	(10,405)	5,979,689	-
The total impact on the volume of exposures as a result of changing the classification between stages	(3,679,207)	(862)	1,662,786	850,535	14,513,401	13,346,653
Effect on the provision resulting from adjustment	(1,413,913)	(171,184)	8,755,541	277,087	1,965,834	9,413,365
Impairment loss on the written-off exposures or transferred	-	-	-	-	(5,585,494)	(5,585,494)
Total ECL balance at the end of the year	16,142,002	1,208,679	37,818,316	1,944,421	84,427,580	141,540,998

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	12,061,543	288,324	10,513,762	311,412	73,841,760	97,016,801
Impairment losses on the new exposures during the year	819,149	460,707	4,809,191	23,766	3,956,768	10,069,581
Recovered from impairment of the paid exposures during the year	(1,403,753)	(22,902)	(1,957,837)	(5,693)	(2,138,657)	(5,528,842)
Transferred to stage (1)	1,529,902	150,096	(931,618)	(138,482)	(609,898)	-
Transferred to stage (2)	(479,895)	(4,309)	896,460	373,869	(786,125)	-
Transferred to stage (3)	(74,000)	(6,454)	(1,045,503)	(67,887)	1,193,844	-
Effect on the impairment loss due to changes in the classifications between stages	(707,128)	(141,221)	5,049,217	(290,102)	9,312,277	13,223,043
Effect on the provision resulting from adjustment	6,120,140	167,628	11,473,730	(52,759)	2,243,875	19,952,614
Impairment loss on the written-off exposures or transferred	-	-	-	-	(15,250,583)	(15,250,583)
Total ECL balance at the end of the year	17,865,958	891,869	28,807,402	154,124	71,763,261	119,482,614

The distribution of total credit and financing facilities by the internal credit rating for Individuals is as follows:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	168,320	-	-	-	-	168,320	805,977
2	873,341	-	-	-	-	873,341	928,263
3	3,995,545	-	305,360	-	-	4,300,905	3,552,051
4	7,979,874	-	139,568	-	-	8,119,442	5,279,016
5	3,948,851	-	138,999	-	-	4,087,850	4,527,185
6	2,592,535	-	16,429	-	-	2,608,964	2,120,357
7	924,006	-	157,484	-	-	1,081,490	401,706
8	-	-	-	-	1,483,270	1,483,270	1,530,094
Not rated	480,666,828	278,416,032	13,505,626	16,676,575	29,039,229	818,304,290	689,625,334
Total	501,149,300	278,416,032	14,263,466	16,676,575	30,522,499	841,027,872	708,769,983

The movement on credit and financing facilities for Individuals is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	431,648,647	226,708,921	18,486,881	3,602,075	28,323,459	708,769,983
New exposures during the year	148,664,693	125,350,364	1,039,363	1,268,194	2,781,619	279,104,233
Settled exposures during the year	(56,697,313)	(20,884,918)	(1,830,905)	(316,884)	(2,798,188)	(82,528,208)
Transferred to stage (1)	12,557,032	43,892	(10,473,167)	(43,845)	(2,083,912)	-
Transferred to stage (2)	(9,500,051)	(14,567,611)	11,048,488	14,929,211	(1,910,037)	-
Transferred to stage (3)	(3,613,556)	(3,471,017)	(2,039,401)	(789,648)	9,913,622	-
Effect on the volume of exposures due to the changes between stages	(1,687,996)	(27,250)	(1,741,085)	(1,641,595)	(83,480)	(5,181,406)
Changes resulted from adjustments	(20,222,156)	(34,736,349)	(226,708)	(330,933)	(225,006)	(55,741,152)
Written off debts or transferred	-	-	-	-	(3,395,578)	(3,395,578)
Balance - End of the Year	501,149,300	278,416,032	14,263,466	16,676,575	30,522,499	841,027,872

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	358,783,320	166,724,067	13,646,473	6,889,181	20,328,578	566,371,619
New exposures during the year	125,881,462	90,556,310	1,767,991	57,690	2,689,190	220,952,643
Settled exposures during the year	(35,134,266)	(11,937,851)	(951,957)	(357,495)	(1,924,211)	(50,305,780)
Transferred to stage (1)	6,733,506	2,802,432	(6,197,702)	(2,781,317)	(556,919)	-
Transferred to stage (2)	(13,185,590)	(434,214)	13,535,216	983,786	(899,198)	-
Transferred to stage (3)	(4,123,729)	(461,560)	(2,868,952)	(737,189)	8,191,430	-
Effect on the volume of exposures due to the changes between stages	(107,366)	(369,951)	(391,420)	(119,213)	198,028	(789,922)
Changes resulted from adjustments	(7,198,690)	(20,170,312)	(52,768)	(333,368)	355,672	(27,399,466)
Written off debts or transferred	-	-	-	-	(59,111)	(59,111)
Balance - End of the Year	431,648,647	226,708,921	18,486,881	3,602,075	28,323,459	708,769,983

The movement on the provision for credit loss for Individuals credit facilities is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	2,919,780	833,401	1,494,949	40,025	20,113,075	25,401,230
Impairment losses on the new exposures during the year	926,434	627,258	147,025	215,521	2,378,292	4,294,530
Recovered from impairment of the paid exposures during the year	(1,269,641)	(68,273)	(152,793)	(2,489)	(2,051,610)	(3,544,806)
Transferred to stage (1)	1,973,002	726	(722,752)	(680)	(1,250,296)	-
Transferred to stage (2)	(65,749)	(34,652)	1,078,593	381,479	(1,359,671)	-
Transferred to stage (3)	(22,192)	(12,367)	(156,904)	(9,607)	201,070	-
Effect on impairment losses due to the changes in the classifications between stages	(1,837,914)	(618)	(157,675)	628,928	6,158,196	4,790,917
Effect on the provision resulting from adjustment	212,466	(164,707)	164,802	41,941	398,312	652,814
Impairment loss on written-off exposures or transferred	-	-	-	-	(2,114,745)	(2,114,745)
Total ECL balance at the end of the year	2,836,186	1,180,768	1,695,245	1,295,118	22,472,623	29,479,940

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,063,761	260,802	415,907	279,014	14,786,867	16,806,351
Impairment losses on the new exposures during the year	1,490,205	432,037	180,372	1,285	1,241,353	3,345,252
Recovered from impairment of the paid exposures during the year	(104,684)	(18,592)	(44,559)	(3,634)	(1,152,213)	(1,323,682)
Transferred to stage (1)	530,346	129,873	(117,566)	(119,420)	(423,233)	-
Transferred to stage (2)	(44,008)	(2,022)	297,445	355,813	(607,228)	-
Transferred to stage (3)	(21,649)	(2,359)	(98,495)	(64,997)	187,500	-
Effect on impairment losses due to the changes in the classifications between stages	(453,666)	(123,674)	786,943	(348,133)	5,061,411	4,922,881
Effect on the provision resulting from adjustment	459,475	157,336	74,902	(59,903)	1,044,120	1,675,930
Impairment loss on written-off exposures or transferred	-	-	-	-	(25,502)	(25,502)
Total ECL balance at the end of the year	2,919,780	833,401	1,494,949	40,025	20,113,075	25,401,230

The distribution of total credit and financing facilities by internal credit rating for Real Estate Loans is as follows:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	287,650	-	-	-	-	287,650	411,436
2	6,439,643	-	-	-	-	6,439,643	3,758,447
3	36,565,400	-	77,269	-	-	36,642,669	28,845,155
4	27,222,327	-	3,313,419	-	-	30,535,746	23,832,011
5	62,172,415	-	40,492,786	-	-	102,665,201	64,677,398
6	14,493,185	-	16,906,940	-	-	31,400,125	64,495,394
7	2,746,138	-	26,447,894	-	-	29,194,032	17,783,660
8	-	-	-	-	7,045,137	7,045,137	5,523,181
Not rated	226,458,077	372,174,409	18,170,750	27,063,550	9,849,667	653,716,453	573,809,568
Total	376,384,835	372,174,409	105,409,058	27,063,550	16,894,804	897,926,656	783,136,250

The movement on credit and financing facilities for Real Estate is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	337,527,166	320,689,571	92,292,819	14,165,914	18,460,780	783,136,250
New exposures during the year	104,625,938	105,664,812	12,084,766	3,259,471	692,890	226,327,877
Settled exposures during the year	(27,641,671)	(19,079,003)	(10,757,621)	(1,715,735)	(3,997,469)	(63,191,499)
Transferred to stage (1)	13,945,976	160,202	(12,385,669)	(160,202)	(1,560,307)	-
Transferred to stage (2)	(32,255,022)	(12,848,545)	33,578,112	12,983,266	(1,457,811)	-
Transferred to stage (3)	(420,589)	(822,513)	(3,293,935)	(766,803)	5,303,840	-
Effect on the volume of exposures due to the changes between stages	(1,143,427)	(47,284)	(2,120,729)	(698,193)	536,541	(3,473,092)
Changes resulted from adjustments	(18,253,536)	(21,542,831)	(3,988,685)	(4,168)	(282,780)	(44,072,000)
Written off debts or transferred	-	-	-	-	(800,880)	(800,880)
Balance - End of the Year	376,384,835	372,174,409	105,409,058	27,063,550	16,894,804	897,926,656

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	344,297,009	261,730,344	89,903,810	18,933,371	17,042,952	731,907,486
New exposures during the year	39,026,135	71,555,318	6,080,129	355,634	46,042	117,063,258
Settled exposures during the year	(20,348,350)	(9,967,212)	(8,478,467)	(873,402)	(1,442,216)	(41,109,647)
Transferred to stage (1)	22,155,878	6,161,571	(21,821,389)	(6,161,571)	(334,489)	-
Transferred to stage (2)	(34,554,861)	(196,334)	34,877,589	645,176	(771,570)	-
Transferred to stage (3)	(2,134,156)	(109,600)	(4,051,426)	(97,993)	6,393,175	-
Effect on the volume of exposures due to the changes between stages	5,322,176	50,081	(954,859)	53,193	301,356	4,771,947
Changes resulted from adjustments	(16,236,665)	(8,534,597)	(3,262,568)	1,311,506	(2,733,075)	(29,455,399)
Written off debts or transferred	-	-	-	-	(41,395)	(41,395)
Balance - End of the Year	337,527,166	320,689,571	92,292,819	14,165,914	18,460,780	783,136,250

The movement on the provision for credit loss for Real Estate credit facilities is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,114,464	52	7,276,536	-	5,945,750	14,336,802
Impairment losses on the new exposures during the year	77,801	148	1,656,757	-	858,131	2,592,837
Recovered from impairment on the paid exposures during the year	(80,387)	-	(1,497,133)	-	(1,236,201)	(2,813,721)
Transferred to stage (1)	914,185	-	(622,762)	-	(291,423)	-
Transferred to stage (2)	(95,806)	-	428,181	-	(332,375)	-
Transferred to stage (3)	(1,410)	-	(373,574)	-	374,984	-
Effect on impairment losses due to the changes in the classifications between stages	(840,255)	-	22,263	-	902,883	84,891
Effect on the provision resulting from adjustment	148,277	(26)	(1,381,868)	-	100,351	(1,133,266)
Impairment loss on written-off exposures or transferred	-	-	-	-	(363,585)	(363,585)
Total ECL balance at the end of the year	1,236,869	174	5,508,400	-	5,958,515	12,703,958

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	134,470	28	3,169,824	92	5,134,012	8,438,426
Impairment losses on the new exposures during the year	58,617	16	383,754	-	7,195	449,582
Recovered from impairment on the paid exposures during the year	(6,792)	-	(12,926)	-	(253,900)	(273,618)
Transferred to stage (1)	173,931	92	(77,162)	(92)	(96,769)	-
Transferred to stage (2)	(15,148)	-	79,888	-	(64,740)	-
Transferred to stage (3)	(2,122)	-	(18,823)	-	20,945	-
Effect on impairment losses due to the changes in the classifications between stages	58,027	(69)	1,472,943	-	1,432,947	2,963,848
Effect on the provision resulting from adjustment	713,481	(15)	2,279,038	-	(217,625)	2,774,879
Impairment loss on written-off exposures or transferred	-	-	-	-	(16,315)	(16,315)
Total ECL balance at the end of the year	1,114,464	52	7,276,536	-	5,945,750	14,336,802

The distribution of total credit and financing facilities by internal credit rating for corporates is as follows:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	-	-	-	-	-	-	-
2	15,761,678	-	7	-	-	15,761,685	108,019,183
3	126,960,944	-	687,528	-	-	127,648,472	85,730,072
4	89,402,919	-	603,334	-	-	90,006,253	276,769,489
5	228,202,693	-	21,074,290	-	-	249,276,983	272,746,401
6	257,160,986	-	52,931,828	-	-	310,092,814	213,687,262
7	80,387,886	-	172,956,269	-	-	253,344,155	150,580,002
8	-	-	-	-	50,099,052	50,099,052	34,449,656
Not rated	1,377,277	-	2,976,910	-	12,287,116	16,641,303	40,150,210
Total	799,254,383	-	251,230,166	-	62,386,168	1,112,870,717	1,182,132,275

The movement on credit and financing facilities for corporates is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	933,059,189	-	195,780,692	-	53,292,394	1,182,132,275
New exposures during the year	203,851,260	-	57,203,598	-	1,037,268	262,092,126
Settled exposures during the year	(192,645,752)	-	(36,896,170)	-	(6,099,272)	(235,641,194)
Transferred to stage (1)	25,045,462	-	(25,045,462)	-	-	-
Transferred to stage (2)	(85,072,272)	-	85,610,219	-	(537,947)	-
Transferred to stage (3)	(2,031,290)	-	(16,590,049)	-	18,621,339	-
Effect on the volume of exposures due to the changes between stages	(14,353,746)	-	(8,260,081)	-	(52,729)	(22,666,556)
Changes resulted from adjustments	(68,598,468)	-	(572,581)	-	(498,240)	(69,669,289)
Written off debts or transferred	-	-	-	-	(3,376,645)	(3,376,645)
Balance - End of the Year	799,254,383	-	251,230,166	-	62,386,168	1,112,870,717

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	958,011,738	-	164,345,616	-	61,610,235	1,183,967,589
New exposures during the year	127,195,225	-	40,336,904	-	4,761,492	172,293,621
Settled exposures during the year	(128,645,367)	-	(23,585,185)	-	(1,391,172)	(153,621,724)
Transferred to stage (1)	29,251,640	-	(29,251,640)	-	-	-
Transferred to stage (2)	(59,926,094)	-	59,926,248	-	(154)	-
Transferred to stage (3)	(4,601,180)	-	(1,368,446)	-	5,969,626	-
Effect on the volume of exposures due to the changes between stages	(4,781,229)	-	(11,784,603)	-	(824,047)	(17,389,879)
Changes resulted from adjustments	16,554,456	-	(2,838,202)	-	(1,483,872)	12,232,382
Written off debts or transferred	-	-	-	-	(15,349,714)	(15,349,714)
Balance - End of the Year	933,059,189	-	195,780,692	-	53,292,394	1,182,132,275

The movement on the provision for credit facilities for corporates is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	11,535,717	-	18,790,244	-	36,743,565	67,069,526
Impairment losses on the new exposures during the year	3,980,003	-	5,018,498	-	4,174,831	13,173,332
Recovered from impairment of the paid exposures during the year	(2,755,618)	-	(1,967,294)	-	(5,201,815)	(9,924,727)
Transferred to stage (1)	1,175,983	-	(1,175,983)	-	-	-
Transferred to stage (2)	(1,257,517)	-	1,319,448	-	(61,931)	-
Transferred to stage (3)	(27,337)	-	(5,211,399)	-	5,238,736	-
Effect on impairment losses due to the changes in the classifications between stages	(879,373)	-	1,813,598	-	6,515,110	7,449,335
Effect on the provision resulted from adjustment	(820,954)	-	10,127,270	-	1,032,842	10,339,158
Impairment loss on written-off exposures or transferred	-	-	-	-	(2,594,479)	(2,594,479)
Total ECL balance at the end of the year	10,950,904	-	28,714,382	-	45,846,859	85,512,145

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	9,917,876	-	6,496,920	-	45,459,194	61,873,990
Impairment losses on the new exposures during the year	(1,383,329)	-	3,943,123	-	2,311,751	4,871,545
Recovered from impairment of the paid exposures during the year	(1,179,770)	-	(1,815,860)	-	(359,719)	(3,355,349)
Transferred to stage (1)	712,784	-	(712,784)	-	-	-
Transferred to stage (2)	(316,673)	-	316,761	-	(88)	-
Transferred to stage (3)	(49,831)	-	(764,993)	-	814,824	-
Effect on impairment losses due to the changes in the classifications between stages	(287,416)	-	2,374,303	-	1,240,712	3,327,599
Effect on the provision resulted from adjustment	4,122,076	-	8,952,774	-	428,154	13,503,004
Impairment loss on written-off exposures or transferred	-	-	-	-	(13,151,263)	(13,151,263)
Total ECL balance at the end of the year	11,535,717	-	18,790,244	-	36,743,565	67,069,526

The distribution of total credit and financing facilities by internal credit rating for (SME's) is as follows:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	6,690	-	-	-	-	6,690	65,238
3	28,779,832	-	148,347	-	-	28,928,179	23,803,040
4	30,600,027	-	1,422,360	-	-	32,022,387	26,875,143
5	26,278,787	-	1,271,240	-	-	27,550,027	30,490,732
6	33,761,430	-	4,479,782	-	-	38,241,212	28,807,301
7	9,240,021	-	25,270,065	-	-	34,510,086	26,836,688
8	-	-	-	-	16,101,227	16,101,227	13,729,883
Not rated	22,396	21,059,679	1,569,549	21,490,351	5,014,836	49,156,811	50,944,639
Total	128,689,183	21,059,679	34,161,343	21,490,351	21,116,063	226,516,619	201,552,664

The movement on credit and financing facilities for SME's is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	109,135,334	25,233,933	36,056,239	12,958,393	18,168,765	201,552,664
New exposures during the year	44,004,579	5,169,655	6,588,690	7,156,743	1,078,100	63,997,767
Settled exposures during the year	(14,446,956)	(3,148,204)	(4,308,392)	(764,329)	(1,811,250)	(24,479,131)
Transferred to stage (1)	8,292,352	582,055	(8,270,985)	(582,055)	(21,367)	-
Transferred to stage (2)	(9,784,222)	(4,772,162)	9,851,087	4,883,751	(178,454)	-
Transferred to stage (3)	(489,014)	(659,194)	(3,451,273)	(135,910)	4,735,391	-
Effect on impairment losses due to the changes in the classifications between stages	(811,476)	(191,826)	(614,706)	(613,657)	184,292	(2,047,373)
Changes resulted from adjustments	(7,211,414)	(1,154,578)	(1,689,317)	(1,412,585)	(213,234)	(11,681,128)
Written off debts or transferred	-	-	-	-	(826,180)	(826,180)
Balance - End of the Year	128,689,183	21,059,679	34,161,343	21,490,351	21,116,063	226,516,619

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	105,672,192	14,483,201	17,216,010	5,574,027	17,468,861	160,414,291
New exposure during the year	42,661,541	15,541,464	12,512,281	8,736,264	657,529	80,109,079
Settled exposures during the year	(19,572,793)	(3,263,019)	(3,042,361)	(614,624)	(714,182)	(27,206,979)
Transferred to stage (1)	2,968,423	2,560,197	(2,872,473)	(2,544,714)	(111,433)	-
Transferred to stage (2)	(13,947,171)	(2,304,329)	14,350,520	2,362,502	(461,522)	-
Transferred to stage (3)	(88,627)	(462,232)	(2,956,558)	(230,940)	3,738,357	-
Effect on the volume of exposures due to the changes between stages	(345,528)	(763,133)	591,268	(164,839)	103,152	(579,080)
Changes resulted from adjustments	(8,212,703)	(558,216)	257,552	(159,283)	(248,252)	(8,920,902)
Written off debts or transferred	-	-	-	-	(2,263,745)	(2,263,745)
Balance - End of the Year	109,135,334	25,233,933	36,056,239	12,958,393	18,168,765	201,552,664

The movement on the provision for credit loss for (SME's) credit facilities is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	2,295,997	58,416	1,245,673	114,099	8,960,871	12,675,056
Impairment losses on the new exposures during the year	298,602	9,999	1,070,825	44,911	1,266,669	2,691,006
Recovered from impairment of the paid exposures during the year	(346,993)	(9,260)	(197,912)	(835)	(1,029,591)	(1,584,591)
Transferred to stage (1)	155,809	314	(143,323)	(314)	(12,486)	-
Transferred to stage (2)	(198,481)	(9,827)	232,456	35,487	(59,635)	-
Transferred to stage (3)	(11,524)	(15,210)	(137,367)	(798)	164,899	-
Effect on impairment losses due to the changes in the classifications between stages	(121,665)	(244)	(15,400)	221,607	937,212	1,021,510
Effect on the provision resulted from adjustment	(953,702)	(6,451)	(154,663)	235,146	434,329	(445,341)
Impairment loss on written-off exposures or transferred	-	-	-	-	(512,685)	(512,685)
Total ECL balance at the end of the year	1,118,043	27,737	1,900,289	649,303	10,149,583	13,844,955

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	755,652	27,494	431,111	32,306	8,461,687	9,708,250
Impairment losses on the new exposures during the year	653,656	28,654	301,942	22,481	396,469	1,403,202
Recovered from impairment of the paid exposures during the year	(112,507)	(4,310)	(84,492)	(2,059)	(372,825)	(576,193)
Transferred to stage (1)	112,841	20,131	(24,106)	(18,970)	(89,896)	-
Transferred to stage (2)	(104,066)	(2,287)	202,366	18,056	(114,069)	-
Transferred to stage (3)	(398)	(4,095)	(163,192)	(2,890)	170,575	-
Effect on impairment losses due to the changes in the classifications between stages	(24,073)	(17,478)	415,028	58,031	1,577,207	2,008,715
Effect on the provision resulted from adjustment	1,014,892	10,307	167,016	7,144	989,226	2,188,585
Impairment loss on written-off exposures or transferred	-	-	-	-	(2,057,503)	(2,057,503)
Total ECL balance at the end of the year	2,295,997	58,416	1,245,673	114,099	8,960,871	12,675,056

The distribution of total credit and financing facilities by internal credit rating for Government and Public Sector is as follows:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the Bank's internal system:							
1	328,504,301	-	-	-	-	328,504,301	138,117,687
2	415,294	-	-	-	-	415,294	21,081
3	17,914,960	-	-	-	-	17,914,960	12,996,017
4	17,660,765	-	-	-	-	17,660,765	17,660,857
5	39,332,166	-	-	-	-	39,332,166	40,504,057
6	2,416,341	-	-	-	-	2,416,341	3,215,117
7	-	-	-	-	-	-	-
8	-	-	-	-	-	-	-
Not rated	25,000,001	-	-	-	-	25,000,001	-
Total	431,243,828	-	-	-	-	431,243,828	212,514,816

The movement on credit and financing facilities for the Government and Public Sector is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	212,514,816	-	-	-	-	212,514,816
New exposures during the year	249,131,690	-	-	-	-	249,131,690
Settled exposures during the year	(11,354,833)	-	-	-	-	(11,354,833)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the volume of exposures due to the changes between stages	-	-	-	-	-	-
Changes resulted from adjustments	(19,047,845)	-	-	-	-	(19,047,845)
Written-off credit facilities	-	-	-	-	-	-
Balance - End of the Year	431,243,828	-	-	-	-	431,243,828

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	106,890,228	-	-	-	-	106,890,228
New exposures during the year	127,472,454	-	-	-	-	127,472,454
Settled exposures during the year	(7,370,584)	-	-	-	-	(7,370,584)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the volume of exposures due to the changes between stages	-	-	-	-	-	-
Changes resulted from adjustments	(14,477,282)	-	-	-	-	(14,477,282)
Written-off credit facilities	-	-	-	-	-	-
Balance - End of the Year	212,514,816	-	-	-	-	212,514,816

The movement on the provision for credit loss for the Government and Public Sector credit facilities is as follows:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	-	-	-	-	-	-
Impairment losses on the new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the paid exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
"Effect on impairment losses due to the changes in the classifications between stages"	-	-	-	-	-	-
Effect on the provision resulted from adjustments	-	-	-	-	-	-
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance at the end of the year	-	-	-	-	-	-

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	189,784	-	-	-	-	189,784
Impairment losses on the new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the paid exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
"Effect on impairment losses due to the changes in the classifications between stages"	-	-	-	-	-	-
Effect on the provision on resulted from adjustments	(189,784)	-	-	-	-	(189,784)
Impairment loss on written-off exposures or transferred	-	-	-	-	-	-
Total ECL balance at the end of the year	-	-	-	-	-	-

10. Financial assets at fair value through other comprehensive income

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Quoted shares in active markets	23,863,120	20,184,837
Unquoted shares in active markets	12,115,197	9,736,478
Investment funds	8,180,804	1,732,795
	44,159,121	31,654,110

- Transferred losses as a result of selling financial assets at fair value through the statement of other comprehensive income amounted to JD 425,491 as of December 31, 2021 (JD 96,634 gain as of December 31, 2020).
- Cash dividends on the above-mentioned financial assets amounted to JD 469,491 for the year ended December 31, 2021 (JD 619,013 for the year ended December 31, 2020).

11. Financial assets at amortized cost - net

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Quoted Financial Assets:		
Foreign treasury bonds	31,996,765	32,058,762
Corporate bonds and debentures	129,212,530	98,343,786
Unquoted Financial Assets:		
Governmental treasury bonds	40,577,646	35,091,483
Governmental guaranteed bonds	865,755,929	720,801,293
Corporate bonds and debentures	32,452,000	18,452,000
	1,099,994,870	904,747,324
Less: Provision for expected credit loss related to financial assets within stage (1)	648,639	451,976
Provision for expected credit loss related to financial assets within stage (2)	-	41,914
Provision for expected credit loss related to financial assets within stage (3)	250,000	250,000
	1,099,096,231	904,003,434
Bonds and Bills Analysis		
With Fixed rate	1,099,192,171	897,958,770
With Floating rate	802,699	6,788,554
Total	1,099,994,870	904,747,324
Bonds Analysis IFRS 9:		
stage (1)	1,099,744,870	903,067,980
stage (2)	-	1,429,344
stage (3)	250,000	250,000
Total	1,099,994,870	904,747,324

- The following is the movement on financial assets at amortized cost:

For the year ended December 31, 2021	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	903,067,980	1,429,344	250,000	904,747,324
New investments during the year	372,932,659	-	-	372,932,659
Accrued investment	(201,399,676)	(1,429,344)	-	(202,829,020)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	
Effect on the volume of exposures due to the changes between stages	-	-	-	-
Change result from adjustments	25,143,907	-	-	25,143,907
Written-off investments	-	-	-	-
Balance - End of the Year	1,099,744,870	-	250,000	1,099,994,870

For the year ended December 31, 2020	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	766,102,573	-	250,000	766,352,573
New investments during the year	260,423,887	-	-	260,423,887
Accrued investment	(117,911,929)	-	-	(117,911,929)
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	(1,425,515)	1,425,515	-	-
Transferred to Stage (3)	-	-	-	-
Effect on the volume of exposures due to the changes between stages	-	3,829	-	3,829
Change result from adjustments	(4,121,036)	-	-	(4,121,036)
Written-off investments	-	-	-	-
Balance - End of the Year	903,067,980	1,429,344	250,000	904,747,324

- The following is the movement on the provision for expected credit losses for financial assets at amortized cost:

	2021				2020
	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	451,976	41,914	250,000	743,890	778,640
Expected credit losses on new investments during the year	217,565	-	-	217,565	213,800
Recovered from impairment losses on accrued investments	(136,866)	(41,914)	-	(178,780)	(226,357)
Transferred to Stage (1)	-	-	-	-	-
Transferred to Stage (2)	-	-	-	-	-
Transferred to Stage (3)	-	-	-	-	-
Impact on the provision - for the year ended- due to reclassifications between the three stages during the year	-	-	-	-	(5,958)
Change resulted from adjustments	115,964	-	-	115,964	(16,235)
Written-off investments	-	-	-	-	-
Adjustments due to change in exchange rates	-	-	-	-	-
Deducted during the period from the revenues	-	-	-	-	-
Balance - End of the Year	648,639	-	250,000	898,639	743,890

- During the year 2021, financial assets at amortized cost were sold with a nominal value amounting to JD 42,307,163 (JD 62,113,365 during the year 2020), and the transaction resulted in a profit of JD 758,949 during the year 2021 (JD 108,872 during the year 2020). The main reason for the sale process is to avoid the large fluctuation in its prices after the US Federal Reserve meeting on June 16, 2021, in which it was announced that it would start raising prices of interests on the US dollar during a shorter period of time than was expected by the financial market and investors.

12. Investments in associates

The details of this item are as follows:

Company Name	Country of Residence	Ownership %	Nature of Activity	December 31,	
				2021	2020
				JOD	JOD
Jordan Blending & Packing of Fertilizers Co.	Jordan	25%	Industrial	343,708	349,507

	2021	2020
	JOD	JOD
Balance beginning of the year	349,507	354,022
Group's share from profit of the year - net	451	5,485
Collected cash dividends	(6,250)	(10,000)
Balance End of the Year	343,708	349,507

The details of the associate's assets and liabilities are as follows:

	2021	2020
	JOD	JOD
Total Assets	1,671,117	1,716,423
Total Liabilities	(296,285)	(318,397)
Net Assets	1,374,832	1,398,026

13. Property and equipment - net

The details of this item are as follows:

For the year ended December 31, 2021	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cost:						
Balance - beginning of the year	22,628,397	22,211,369	59,555,949	1,353,399	18,313,111	124,062,225
Additions	-	2,660,606	1,129,836	132,341	1,194,780	5,117,563
Disposals	-	(105,919)	(339,746)	(94,900)	(492,328)	(1,032,893)
Balance - End of the Year	22,628,397	24,766,056	60,346,039	1,390,840	19,015,563	128,146,895
Accumulated Depreciation:						
Balance - beginning of the year	-	7,762,267	35,800,212	649,595	12,720,368	56,932,442
Annual depreciation	-	612,628	5,518,308	177,326	2,260,666	8,568,928
Disposals	-	(105,881)	(256,654)	(92,313)	(476,222)	(931,070)
Balance - End of the Year	-	8,269,014	41,061,866	734,608	14,504,812	64,570,300
Net book value of property and equipment	22,628,397	16,497,042	19,284,173	656,232	4,510,751	63,576,595
Payments on purchased property and equipment	-	824,785	1,619,226	-	404,440	2,848,451
Net Book Value – End of the Year	22,628,397	17,321,827	20,903,399	656,232	4,915,191	66,425,046

For the year ended December 31, 2020	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cost:						
Balance - beginning of the year	22,628,778	22,422,863	56,290,434	1,387,399	16,397,840	119,127,314
Additions	-	-	5,173,960	106,000	2,519,058	7,799,018
Disposals	(381)	(211,494)	(1,908,445)	(140,000)	(603,787)	(2,864,107)
Balance - End of the Year	22,628,397	22,211,369	59,555,949	1,353,399	18,313,111	124,062,225
Accumulated Depreciation:						
Balance - beginning of the year	-	7,544,031	31,449,949	594,507	10,800,868	50,389,355
Annual depreciation	-	420,642	6,065,114	195,086	2,493,104	9,173,946
Disposals	-	(202,406)	(1,714,851)	(139,998)	(573,604)	(2,630,859)
Balance - End of the Year	-	7,762,267	35,800,212	649,595	12,720,368	56,932,442
Net book value of property and equipment	22,628,397	14,449,102	23,755,737	703,804	5,592,743	67,129,783
Payments on purchased property and equipment	-	648,778	928,629	-	75,075	1,652,482
Net Book Value – End of the Year	22,628,397	15,097,880	24,684,366	703,804	5,667,818	68,782,265
Annual depreciation rate	-	2 - 4	7 - 15	15	20	

- Property and equipment include fully depreciated assets of JD 26,301,862 as of December 31, 2021 (JD 20,174,267 as of December 31, 2020), which are still used by the Bank.

14. Intangible assets

The details of this item are as follows:

For the year ended December 31, 2021	Computer Software	bank's License (Fair Value)	Customers Deposits	Goodwill	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	14,488,256	9,928,000	1,249,668	1,380,512	27,046,436
Additions	6,427,704	-	-	-	6,427,704
Amortization for the year	(5,397,623)	-	(624,833)	-	(6,022,456)
Balance - End of the Year	15,518,337	9,928,000	624,835	1,380,512	27,451,684

For the year ended December 31, 2020	Computer Software	bank's License (Fair Value)	Customers Deposits	Goodwill	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	11,226,869	9,928,000	1,874,501	1,380,512	24,409,882
Additions	7,626,586	-	-	-	7,626,586
Amortization for the year	(4,365,199)	-	(624,833)	-	(4,990,032)
Balance - End of the Year	14,488,256	9,928,000	1,249,668	1,380,512	27,046,436

15. Other assets

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Accrued interest and revenue	14,733,131	14,389,293
Prepaid expenses	4,896,046	4,399,768
Assets seized by Bank in repayment of debts *	51,302,874	49,408,223
Clearing cheques	37,765	100,397
Transfers and cheques under collection	179,570	59,178
Paid guaranteed insurance	2,982,731	3,780,704
Discounted commercial papers	28,236,148	16,449,582
Convertible loans to shares	176,988	699,185
Other	13,097,958	10,457,474
Total	115,643,211	99,743,804

* The regulations of the Central Bank of Jordan require to dispose the assets seized by Bank in repayment of debts during a maximum period of two years from the acquisition date. However, in some exceptional cases, the Central Bank of Jordan has the right to extend the period for a maximum of two subsequent years.

- Since the beginning of the year 2015, a gradual provision has been taken for real estate acquired in exchange for debts that have expired over a period of more than 4 years, according to the Central Bank of Jordan's Circular No 15/1/4076 dated March 27, 2014 and Circular No. 10/1/2510 dated February 14, 2017. Noted that a declaration was issued later for this circulation dated to September 2, 2021 No. 10/3/13246, in order to complete the deduction of the required provisions against the assets seized in violation of Article No.(48) of the Banking Law No. 28 for the year 2000 by (5%) of the total book values of these assets as of the year 2022 to reach the required percentage of (50%) of these assets by the end of the year 2030.

- The following is a summary of the movement on the assets seized by Bank in repayment of debts:

	2021	2020
	JOD	JOD
Balance - beginning of the year	49,408,223	42,371,291
Additions	9,800,110	7,993,952
Disposals	(6,226,827)	(975,317)
(Provision) impairment surplus	(1,678,632)	18,297
Balance - End of the Year	51,302,874	49,408,223
Below is a summary of the movement on the provision for the assets seized by Bank in repayment of debts:		
Balance beginning of year	3,496,864	3,515,161
Additions / Release during the year	1,678,632	(18,297)
Balance - end of the year	5,175,496	3,496,864

- The impairment provision against the assets seized by the Bank amounted to JD 1,792,742 as of December 31, 2021 (JD 1,025,228 as of December 31, 2020). Also, the provision for the assets seized by the Bank for a period of more than (4) years amounted to JD 3,382,754 as of December 31, 2021 (JD 2,471,636 as of December 31, 2020).

16. Banks' and financial institutions deposits

The details of this item are as follows:

	2021			2020		
	Inside Jordan	Outside Jordan	Total	Inside Jordan	Outside Jordan	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	41,465,412	92,582,106	134,047,518	38,402,093	79,722,685	118,124,778
Time deposits	7,418,000	175,317,320	182,735,320	13,635,000	148,928,267	162,563,267
Total	48,883,412	267,899,426	316,782,838	52,037,093	228,650,952	280,688,045

17. Customers' deposits

The details of this item are as follows:

December 31, 2021	Individual	Corporate	SMEs	Government and Public Sector	Total
	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	442,030,552	357,945,726	307,652,101	17,204,152	1,124,832,531
Saving deposits	845,840,833	39,406,551	28,043,366	2,239,391	915,530,141
Time and notice deposits	1,480,697,923	609,689,896	151,319,249	270,288,299	2,511,995,367
Certificates of deposit	319,227,063	6,098,000	13,691,000	19,000,000	358,016,063
Total	3,087,796,371	1,013,140,173	500,705,716	308,731,842	4,910,374,102

December 31, 2020	Individual	Corporate	SMEs	Government and Public Sector	Total
	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	386,066,271	261,064,150	172,628,170	3,772,792	823,531,383
Saving deposits	731,001,250	25,149,857	12,542,607	2,841,840	771,535,554
Time and notice deposits	1,259,509,770	516,540,272	114,941,614	171,839,766	2,062,831,422
Certificates of deposit	308,840,633	6,209,000	13,963,000	16,100,000	345,112,633
Total	2,685,417,924	808,963,279	314,075,391	194,554,398	4,003,010,992

- The Jordanian government and public sector's deposits inside the kingdom reached JD 308,731,842 representing 6.29% of total deposits as of December 31, 2021 (JD 194,554,398 representing 4.86% of total deposits as of December 31, 2020).
- Deposits with no interest bearing reached JD 1,093,277,884 representing 22.26% of total deposits as of December 31, 2021 (JD 790,046,786 representing 19.74% of total deposits as of December 31, 2020).
- Restricted deposits amounted to JD 3,951,130 representing 0.08% of total deposits as of December 31, 2021 (JD 3,101,815 representing 0.08% of total deposits as of December 31, 2020).
- Dormant deposits reached JD 41,491,499 representing 0.84% of total deposits as of December 31, 2021 (JD 63,229,721 representing 1.58% of total deposits as of December 31, 2020).
- Customers' deposits include an amount of JD 1,665,485,522 which represents the shared customers' investments related to Safwa Islamic Bank as of December 31, 2021 (1,285,977,704 as of December 31, 2020).

18. Cash margins

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Margins against direct credit facilities	159,176,772	178,961,552
Margins against indirect credit facilities	74,624,636	61,746,166
Margin dealings	4,493,180	4,138,038
Other margins	6,533,198	6,456,703
Total	244,827,786	251,302,459

19. Borrowed funds and subordinated loans

a. Borrowed funds

The details of this item are as follows:

December 31, 2021	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Central Bank of Jordan borrowing *	30,485,626	9,348	6,088	Monthly	Bank Promissory	0.50% - 1.75%
Central Bank of Jordan borrowing *	1,283,180	70	42	Quarterly	Bank Promissory	1.00%
Central Bank of Jordan borrowing *	3,538,044	37	28	semi-annual	Bank Promissory	0.50% - 1.00%
Central Bank of Jordan borrowing *	781,433	22	7	Annual	Bank Promissory	0.50% - 1.00%
Central Bank of Jordan borrowing *	41,227,479	22,552	18,109	Monthly	Bank Promissory	-
International Bank for Reconstruction and Development **	3,600,000	20	12	Semi-annual starting from September 15, 2018	Bank Promissory	1.99%
Arab Fund for Economic and Social Development ***	1,110,000	15	6	semi-annual	Bank Promissory	2.50%
Arab Fund for Economic and Social Development ***	1,589,016	34	34	semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	1,576,749	34	34	semi-annual	Bank Promissory	3.00%
Arab Fund for Economic and Social Development ***	1,200,000	34	34	semi-annual	Bank Promissory	3.00%
Jordan Mortgage Refinance Company	10,000,000	1	1	one instalment	Bank Promissory	4.40%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.60%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.70%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.70%
Jordan Mortgage Refinance Company (related to subsidiary)	2,500,000	1	1	one instalment	-	4.60%
Local Banks (related to a subsidiary)	2,880,000	48	48	Quarterly	-	3.75%
Local Banks (related to a subsidiary)	795,004	48	36	Monthly	-	5.90%
	108,566,531					

December 31, 2020	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Central bank of Jordan borrowing *	29,143,705	7,595	4,602	Monthly	Bank Promissory	1.00% - 1.75%
Central bank of Jordan borrowing *	635,978	40	15	Quarterly	Bank Promissory	1.00%
Central bank of Jordan borrowing *	2,753,865	35	27	semi-annual	Bank Promissory	0.50% - 1.00%
Central bank of Jordan borrowing *	376,245	6	4	Annual	Bank Promissory	0.50% - 1.00%
Central bank of Jordan borrowing *	29,736,445	14,311	13,686	Monthly	Bank Promissory	-
International bank for Reconstruction and Development **	4,200,000	20	14	Semi-annual starting from September 15, 2018	Bank Promissory	3.87%
Arab Fund for Economic and Social Development ***	1,530,000	15	8	semi-annual	Bank Promissory	2.5%
Arab Fund for Economic and Social Development ***	1,589,016	34	34	semi-annual	Bank Promissory	3%
Arab Fund for Economic and Social Development ***	1,576,749	34	34	semi-annual	Bank Promissory	3%
Arab Fund for Economic and Social Development ***	1,200,000	34	34	semi-annual	Bank Promissory	3.00%
Jordan Mortgage Refinance Company	10,000,000	1	1	one instalment	Bank Promissory	4.40%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.60%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.70%
Local Banks (related to a subsidiary)	3,000,000	72	72	Quarterly	-	3.75%
Local Banks (related to a subsidiary)	410,000	24	24	Monthly	-	5.90%
	90,152,003					

- All borrowed amounts have fixed payments.

* Funds have been reborrowed from the Central Bank of Jordan to corporates and SMEs sectors at an interest rate ranging from 0% - 8.75%.

** Funds have been reborrowed from the International Bank for Reconstruction and Development to corporates and SMEs sectors at an interest rate ranging from 6% - 10%.

*** Funds have been reborrowed from the Arab Fund for Economic and Social Development to corporates and SMEs sectors at an interest rate ranging from 5.5% - 9%.

b. Subordinated loans

The details of this item are as follows:

2021	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
The European bank for Reconstruction and Development	21,300,000	1	1	one instalment dated April 8, 2027	-	6.50%

2020	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
The European Bank for Reconstruction and Development	21,300,000	1	1	one instalment dated April 8, 2027	-	6.50%

20. Sundry provisions

The details of this item are as follows:

For the Year Ended December 31, 2021	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JOD	JOD	JOD	JOD	JOD
Provision for end-of-service indemnity	41,877	39,602	-	-	81,479
Provision for lawsuits and contingent liabilities	531,021	158,403	-	12,000	677,424
Other provisions	761,000	-	-	661,000	100,000
Total	1,333,898	198,005	-	673,000	858,903

For the Year Ended December 31, 2020	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JOD	JOD	JOD	JOD	JOD
Provision for end-of-service indemnity	34,065	7,812	-	-	41,877
Provision for lawsuits and contingent liabilities	535,159	210,500	67,188	147,450	531,021
Other provisions	361,000	400,000	-	-	761,000
Total	930,224	618,312	67,188	147,450	1,333,898

21. Income tax

a. Income tax provision

The movement on the income tax provision during the year is as follows:

	2021	2020
	JOD	JOD
Balance - beginning of the year	24,618,987	20,634,229
Income tax paid	(30,374,240)	(25,200,592)
Accrued income tax	27,665,660	28,629,610
Provision for prior years income tax	21,387	660,980
Net settlement provision years for a subsidiary	-	(105,240)
Balance - End of the Year	21,931,794	24,618,987

Income tax appearing in the consolidated statement of profit or loss represents the following:

	2021	2020
	JOD	JOD
Income tax accrued for the current year profit	27,665,660	28,629,610
Income tax for prior years	21,387	660,980
Amortization of deferred tax assets	(4,090,699)	(12,025,301)
Deferred tax liability for the year	161,769	-
Settlement of prior years tax provision for a subsidiary	-	(402,548)
	23,758,117	16,862,741

b. Deferred income tax assets

The details of this item are as follows:

Deferred Tax Assets	2021					2020
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JOD	JOD	JOD	JOD	JOD	JOD
Financial assets at fair value through other comprehensive income	(4,963,652)	256,299	6,577,386	1,357,435	420,863	2,354,616
Financial assets at fair value through profit or loss	60,287	60,287	-	-	-	351,203
Provision seized assets	3,395,173	-	1,678,632	5,073,805	1,928,046	1,290,166
Provision for bonuses	2,592,380	2,592,380	4,310,120	4,310,120	1,637,846	985,104
Advertising expenses	225,000	75,000	-	150,000	57,000	85,500
Provision for lawsuits against the Bank	531,021	-	146,403	677,424	257,421	201,788
Unaccepted provision for credit financing and facilities stage 3	5,209,603	1,939,603	-	3,270,000	1,242,600	1,979,649
General provision	40,786	-	59,989	100,775	28,217	11,420
Provision for contingent liabilities	761,000	661,000	-	100,000	38,000	289,180
Differences due to the application IFRS 16	499,298	-	137,464	636,762	241,970	189,733
Provision for expected credit losses stage 1 or 2	46,922,418	-	10,596,064	57,518,482	21,857,023	17,830,519
Provision for end-of-service indemnity	41,877	-	39,602	81,479	30,962	15,913
Provision for finance lease awards	21,200	-	6,389	27,589	7,725	5,936
Total	55,336,391	5,584,569	23,552,049	73,303,871	27,747,673	25,590,727

Deferred tax liabilities	2021					2020
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JD	JD	JD	JD	JD	JD
Financial assets at fair value through profit or loss	-	-	2,248,553	2,248,553	161,769	-
Total	-	-	2,248,553	2,248,553	161,769	-

- The movement on the deferred income tax assets is as follows:

	Assets		Liabilities	
	December 31,		December 31,	
	2021	2020	2021	2020
	JD	JD	JD	JD
Balance - beginning of the year	25,590,727	12,891,744	-	-
Additions	6,523,174	14,715,376	161,769	-
Disposals	(4,366,228)	(2,016,393)	-	-
Balance - End of the Year	27,747,673	25,590,727	161,769	-

c. Reconciliation of the accounting profit with taxable profit

	2021	2020
	JOD	JOD
Accounting profit	65,183,412	46,906,785
Non-taxable income	(15,070,804)	(5,466,857)
Non-deductible expenses for tax purposes	24,726,668	37,512,748
Taxable Profit	74,839,276	78,952,676
Effective income tax rate	36.45%	35.95%

- The legal income tax rate for the Bank was 35% in addition to the national contribution of 3%, the legal income tax rate for Al Etihad Leasing Company and AL Etihad Financial Brokerage companies has reached to 24% in addition to the national contribution of 4% and the income tax rate for Al Etihad Financial Technology has reached to 20% in addition to the national contribution of 1%.
- The Bank submitted the tax return until the year 2020 and a final settlement was reached with the Income Tax Department on the results of the Bank's business until the end of 2018 while the Income and Sales Tax Department did not review the records for the years of 2019 and 2020.
- The clearance with Safwa Islamic Bank has been reached with the Income and Sales Tax Department up to the end of the year 2018. The tax assessment statements for the years 2019 and 2020 have been submitted within the legal period and have not been audited by the Income and Sales Tax Department until the date of preparing the consolidated financial statements.
- A tax clearance was obtained from the Income and Sales Tax Department on the results of Misk Financial Brokerage Company (a subsidiary of Safwa Islamic Bank) until the end of 2018, the company submitted tax statements for the years 2019 and 2020, and they have not yet been reviewed by the Income and Sales Tax Department. During the year of 2021 a litigation was raised by the company against the Income and Sales Tax Department, which is at the beginning stage now, to claim the cancellation of imposing tax on the company for the years 2011, 2012 and 2013, and according to the legal advisor letter the provision for this litigation as of December 31, 2021 is sufficient.
- A final settlement with the Income Tax Department for Al Etihad for Financial Brokerage Co. has been reached up to the year 2020.
- A final settlement with the Income Tax Department for Al Etihad for Financial Leasing Co. has been reached up to the year 2019, and the tax statement for the year 2020 was submitted. The Income and Sales Tax Department has not reviewed the accounting records until the date of preparing the consolidated financial statements.
- The percentage of deferred tax was 38% and 13% and in the Bank's management opinion these deferred taxes will be realized in the future.

22. Other liabilities

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Accrued interest expenses	28,652,911	24,649,651
Revenue received in advance	1,524,079	1,607,396
Accounts payable	553,459	383,688
Accrued expenses	11,159,682	10,561,947
Incoming transfers	78,733	125,568
Postdated cheques	11,268,610	10,685,079
Provision for expected credit losses for the off-balance sheet items	5,615,184	4,892,618
Dividends payable	560,849	656,001
Other liabilities	21,469,658	14,817,626
Total	80,883,165	68,379,574

Below is the movement of the indirect facilities on a collective basis during the year:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	976,015,097	-	49,946,146	-	1,785,217	1,027,746,460
New exposure during the year	619,612,346	-	69,064,506	-	46,585	688,723,437
Accrued exposure	(546,516,571)	-	(26,829,484)	-	(247,977)	(573,594,032)
Transferred to stage (1)	3,293,843	-	(3,202,438)	-	(91,405)	-
Transferred to stage (2)	(9,409,189)	-	9,409,189	-	-	-
Transferred to stage (3)	(1,171,288)	-	(272,970)	-	1,444,258	-
Effect on the exposure results change classification	7,678,458	-	154,954	-	(39,448)	7,793,964
Changes resulted from adjustments	(34,343,684)	-	(1,692,189)	-	(199,100)	(36,234,973)
Written-off Facilities	-	-	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-	-	-
Balance at the End of the Year	1,015,159,012	-	96,577,714	-	2,698,130	1,114,434,856

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	914,965,174	-	59,032,995	-	1,211,776	975,209,945
New exposure during the year	557,044,479	-	27,265,723	-	279,695	584,589,897
Accrued exposure	(517,081,806)	-	(19,303,767)	-	(263,549)	(536,649,122)
Transferred to stage (1)	9,274,743	-	(9,168,928)	-	(105,815)	-
Transferred to stage (2)	(5,432,757)	-	5,432,757	-	-	-
Transferred to stage (3)	(395,498)	-	(1,659,796)	-	2,055,294	-
Effect on the exposure results change classification	(1,538,776)	-	(1,816,571)	-	(1,408,424)	(4,763,771)
Changes resulted from adjustments	19,179,538	-	(9,836,267)	-	16,240	9,359,511
Written-off Facilities	-	-	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-	-	-
Balance at the End of the Year	976,015,097	-	49,946,146	-	1,785,217	1,027,746,460

Below is the movement on the expected credit loss for indirect facilities on a collective bases during the year:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Adjusted balance as of January 1, 2021	4,114,834	-	629,452	-	148,332	4,892,618
Impairment loss on new exposures during the year	2,839,843	-	292,025	-	34,640	3,166,508
Recovered from the impairment loss of the accrued exposures	(2,039,116)	-	(336,155)	-	(8,325)	(2,383,596)
Transferred to stage (1)	77,716	-	(77,716)	-	-	-
Transferred to stage (2)	(39,008)	-	39,008	-	-	-
Transferred to stage (3)	(9)	-	(1,068)	-	1,077	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	47,730	-	100,000	-	20,023	167,753
Changes resulted from adjustments	(183,951)	-	(44,148)	-	-	(228,099)
Balance at the End of the Year	4,818,039	-	601,398	-	195,747	5,615,184

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Adjusted balance as of January 1, 2020	2,041,990	-	272,606	-	63,171	2,377,767
Impairment loss on new exposures during the year	2,217,812	-	418,798	-	52,909	2,689,519
Recovered from the impairment loss of the accrued exposures	(1,148,997)	-	(158,146)	-	(6,522)	(1,313,665)
Transferred to stage (1)	6,775	-	(6,775)	-	-	-
Transferred to stage (2)	(23,072)	-	23,072	-	-	-
Transferred to stage (3)	(255)	-	(36,105)	-	36,360	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	41,134	-	60,368	-	(2,583)	98,919
Changes resulted from adjustments	979,447	-	55,634	-	4,997	1,040,078
Balance at the End of the Year	4,114,834	-	629,452	-	148,332	4,892,618

The distribution of the total indirect facilities (guarantees) according to the Bank's internal credit ratings:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	8,000	-	-	-	-	8,000	13,000
2	25,579,063	-	-	-	-	25,579,063	29,028,899
3	34,736,116	-	19,856	-	-	34,755,972	21,229,561
4	30,610,911	-	179,463	-	-	30,790,374	30,101,742
5	35,667,594	-	100,000	-	-	35,767,594	45,891,833
6	27,789,221	-	995,386	-	-	28,784,607	26,585,719
7	9,675,655	-	7,579,330	-	-	17,254,985	16,702,205
8	-	-	-	-	2,404,125	2,404,125	1,399,862
Not rated	17,633,814	-	13,343,778	-	294,005	31,271,597	36,228,997
Total	181,700,374	-	22,217,813	-	2,698,130	206,616,317	207,181,818

Below is the movement on the indirect facilities (guarantees):

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	182,577,859	-	22,818,742	-	1,785,217	207,181,818
New exposure during the year	55,448,391	-	4,815,042	-	46,585	60,310,018
Accrued exposure	(46,912,481)	-	(5,966,164)	-	(247,977)	(53,126,622)
Transferred to stage (1)	382,891	-	(291,486)	-	(91,405)	-
Transferred to stage (2)	(2,760,251)	-	2,760,251	-	-	-
Transferred to stage (3)	(1,171,288)	-	(272,970)	-	1,444,258	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	215,748	-	(266,561)	-	(39,448)	(90,261)
Changes resulted from adjustments	(6,080,495)	-	(1,379,041)	-	(199,100)	(7,658,636)
Balance at the End of the Year	181,700,374	-	22,217,813	-	2,698,130	206,616,317

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	186,726,715	-	25,313,564	-	1,211,776	213,252,055
New exposure during the year	43,360,618	-	8,995,475	-	279,695	52,635,788
Accrued exposure	(53,661,548)	-	(2,169,433)	-	(263,549)	(56,094,530)
Transferred to stage (1)	8,011,574	-	(7,905,759)	-	(105,815)	-
Transferred to stage (2)	(581,483)	-	581,483	-	-	-
Transferred to stage (3)	(395,498)	-	(1,659,796)	-	2,055,294	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	(1,163,104)	-	-	-	(1,408,424)	(2,571,528)
Changes resulted from adjustments	280,585	-	(336,792)	-	16,240	(39,967)
Balance at the End of the Year	182,577,859	-	22,818,742	-	1,785,217	207,181,818

Below is the movement on the expected credit loss for the indirect facilities - guarantees:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year 2021	523,285	-	202,465	-	148,332	874,082
Impairment loss on new exposures during the year	94,744	-	38,162	-	34,640	167,546
Recovered from the impairment loss of the accrued exposures	(78,494)	-	(18,646)	-	(8,325)	(105,465)
Transferred to stage (1)	890	-	(890)	-	-	-
Transferred to stage (2)	(10,909)	-	10,909	-	-	-
Transferred to stage (3)	(9)	-	(1,068)	-	1,077	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	1,080	-	6,572	-	20,023	27,675
Changes resulted from adjustments	(113,206)	-	(27,901)	-	-	(141,107)
Balance at the End of the Year	417,381	-	209,603	-	195,747	822,731

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year 2020	285,113	-	91,012	-	63,171	439,296
Impairment loss on new exposures during the year	81,383	-	115,580	-	52,909	249,872
Recovered from the impairment loss of the accrued exposures	(26,026)	-	(11,309)	-	(6,522)	(43,857)
Transferred to stage (1)	783	-	(783)	-	-	-
Transferred to stage (2)	(567)	-	567	-	-	-
Transferred to stage (3)	(255)	-	(36,105)	-	36,360	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	42,282	-	892	-	(2,583)	40,591
Changes resulted from adjustments	140,572	-	42,611	-	4,997	188,180
Balance at the End of the Year	523,285	-	202,465	-	148,332	874,082

The distribution of the total indirect facilities (unutilized limits) according to the Bank's internal credit ratings:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	1,057,389	-	-	-	-	1,057,389	929,060
2	21,247,382	-	-	-	-	21,247,382	23,242,501
3	129,905,626	-	-	-	-	129,905,626	72,644,823
4	130,380,392	-	-	-	-	130,380,392	206,750,905
5	109,233,178	-	-	-	-	109,233,178	134,218,353
6	58,919,797	-	1,375,678	-	-	60,295,475	39,661,621
7	16,009,328	-	29,583,002	-	-	45,592,330	13,265,595
8	-	-	-	-	-	-	-
Not rated	55,575,716	-	15,249,134	-	-	70,824,850	43,487,868
Total	522,328,808	-	46,207,814	-	-	568,536,622	534,200,726

Below is the movement on the indirect facilities - unutilized limits

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	522,657,669	-	11,543,057	-	-	534,200,726
New exposure during the year	314,730,428	-	37,694,359	-	-	352,424,787
Accrued exposure	(314,063,382)	-	(7,565,144)	-	-	(321,628,526)
Transferred to stage (1)	2,910,952	-	(2,910,952)	-	-	-
Transferred to stage (2)	(5,950,573)	-	5,950,573	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	7,462,710		421,515	-	-	7,884,225
Changes resulted from adjustments	(5,418,996)	-	1,074,406	-	-	(4,344,590)
Balance at the End of the Year	522,328,808	-	46,207,814	-	-	568,536,622

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	435,466,509	-	15,906,784	-	-	451,373,293
New exposure during the year	312,069,259	-	5,863,590	-	-	317,932,849
Accrued exposure	(241,211,847)	-	(12,563,392)	-	-	(253,775,239)
Transferred to stage (1)	1,263,169	-	(1,263,169)	-	-	-
Transferred to stage (2)	(4,851,274)	-	4,851,274	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	(375,672)		(1,816,571)	-	-	(2,192,243)
Changes resulted from adjustments	20,297,525	-	564,541	-	-	20,862,066
Balance at the End of the Year	522,657,669	-	11,543,057	-	-	534,200,726

Below is the movement on the expected credit loss for the indirect facilities - unutilized ceilings:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year 2021	3,257,281	-	393,477	-	-	3,650,758
Impairment loss on new exposures during the year	2,509,730	-	204,454	-	-	2,714,184
Recovered from the impairment loss of the accrued exposures	(1,733,407)	-	(298,683)	-	-	(2,032,090)
Transferred to stage (1)	76,826	-	(76,826)	-	-	-
Transferred to stage (2)	(26,978)	-	26,978	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	46,650	-	92,533	-	-	139,183
Changes resulted from adjustments	(36,475)	-	(4,159)	-	-	(40,634)
Balance at the End of the Year	4,093,627	-	337,774	-	-	4,431,401

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year 2020	1,370,441	-	150,754	-	-	1,521,195
Impairment loss on new exposures during the year	1,849,987	-	285,823	-	-	2,135,810
Recovered from the impairment loss of the accrued exposures	(798,598)	-	(138,606)	-	-	(937,204)
Transferred to stage (1)	5,992	-	(5,992)	-	-	-
Transferred to stage (2)	(22,505)	-	22,505	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	(1,148)	-	59,476	-	-	58,328
Changes resulted from adjustments	853,112	-	19,517	-	-	872,629
Balance at the End of the Year	3,257,281	-	393,477	-	-	3,650,758

The distribution of the total indirect facilities (letter of credits) according to the bank's internal credit ratings:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	40,943,040
2	10,297,466	-	-	-	-	10,297,466	10,763,506
3	57,727,912	-	-	-	-	57,727,912	60,943,881
4	116,769,443	-	4,833,253	-	-	121,602,696	15,711,356
5	10,948,809	-	-	-	-	10,948,809	12,563,514
6	16,410,766	-	73,396	-	-	16,484,162	4,605,079
7	17,190,158	-	9,189,506	-	-	26,379,664	-
8	-	-	-	-	-	-	-
Not rated	32,573,274	-	4,600,336	-	-	37,173,610	45,348,773
Total	261,917,828	-	18,696,491	-	-	280,614,319	190,879,149

Below is the movement on the indirect facilities - letters of credit:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	176,881,706	-	13,997,443	-	-	190,879,149
New exposure during the year	215,782,388	-	17,099,510	-	-	232,881,898
Accrued exposure	(104,443,362)	-	(11,711,273)	-	-	(116,154,635)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(698,365)	-	698,365	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	(25,604,539)	-	(1,387,554)	-	-	(26,992,093)
Balance at the End of the Year	261,917,828	-	18,696,491	-	-	280,614,319

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	192,075,979	-	16,705,028	-	-	208,781,007
New exposure during the year	115,363,080	-	10,819,755	-	-	126,182,835
Accrued exposure	(132,447,577)	-	(3,463,324)	-	-	(135,910,901)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	1,890,224	-	(10,064,016)	-	-	(8,173,792)
Balance at the End of the Year	176,881,706	-	13,997,443	-	-	190,879,149

Below is the movement on the indirect facilities provision - letter of credit:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year - 2021	190,508	-	30,963	-	-	221,471
Impairment loss on new exposures during the year	213,717	-	24,636	-	-	238,353
Recovered from the impairment loss of the accrued exposures	(106,768)	-	(16,279)	-	-	(123,047)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	(1,121)	-	1,121	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	-	-	895	-	-	895
Changes resulted from adjustments	(44,435)	-	(12,088)	-	-	(56,523)
Balance at the End of the Year	251,901	-	29,248	-	-	281,149

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year - 2020	239,975	-	29,297	-	-	269,272
Impairment loss on new exposures during the year	143,675	-	14,848	-	-	158,523
Recovered from the impairment loss of the accrued exposures	(181,258)	-	(6,688)	-	-	(187,946)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	(11,884)	-	(6,494)	-	-	(18,378)
Balance at the End of the Year	190,508	-	30,963	-	-	221,471

The distribution of the total indirect facilities (acceptances) according to the Bank's internal credit ratings:

	2021						2020
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective			
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	39,628	-	-	-	-	39,628	4,932,036
3	11,507,384	-	-	-	-	11,507,384	6,736,745
4	7,903,859	-	-	-	-	7,903,859	12,750,094
5	2,618,016	-	-	-	-	2,618,016	48,048,392
6	640,639	-	-	-	-	640,639	9,827,804
7	236,336	-	8,990,027	-	-	9,226,363	814,763
8	-	-	-	-	-	-	-
Not rated	26,266,141	-	465,568	-	-	26,731,709	12,374,933
Total	49,212,003	-	9,455,595	-	-	58,667,598	95,484,767

Below is the movement on the indirect facilities acceptances:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	93,897,864	-	1,586,903	-	-	95,484,767
New exposure during the year	33,753,629	-	9,455,595	-	-	43,209,224
Accrued exposure	(81,199,836)	-	(1,586,903)	-	-	(82,786,739)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	2,760,346	-	-	-	-	2,760,346
Balance at the End of the Year	49,212,003	-	9,455,595	-	-	58,667,598

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	100,695,972	-	1,107,618	-	-	101,803,590
New exposure during the year	86,251,522	-	1,586,903	-	-	87,838,425
Accrued exposure	(89,760,834)	-	(1,107,618)	-	-	(90,868,452)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on exposure as of the end of the year due to the reclassifications between stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	(3,288,796)	-	-	-	-	(3,288,796)
Balance at the End of the Year	93,897,864	-	1,586,903	-	-	95,484,767

Below is the movement on the indirect facilities provision - Acceptance:

2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year -2021	143,760	-	2,547	-	-	146,307
Impairment loss on new exposures during the year	21,651	-	24,774	-	-	46,425
Recovered from the impairment loss of the accrued exposures	(120,447)	-	(2,547)	-	-	(122,994)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	10,165	-	-	-	-	10,165
Balance at the End of the Year	55,129	-	24,774	-	-	79,903

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year -2020	146,460	-	1,544	-	-	148,004
Impairment loss on new exposures during the year	142,768	-	2,546	-	-	145,314
Recovered from the impairment loss of the accrued exposures	(143,115)	-	(1,543)	-	-	(144,658)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the provision as of the end of the year due to the reclassifications between the stages during the year	-	-	-	-	-	-
Changes resulted from adjustments	(2,353)	-	-	-	-	(2,353)
Balance at the End of the Year	143,760	-	2,547	-	-	146,307

23. Paid-up capital and share premium

Capital:

The authorized and paid-in capital amounted to JD 160 million, divided into 160 million shares at a par value of JD 1 per share as of December 31, 2021 and December 31, 2020.

Share premium:

Share premium amounted to JD 80,213,173 as of December 31, 2021 and December 31, 2020.

Dividends paid:

The dividends distributed to shareholders amounted to JD 16,000,000 for the year 2020.

There are no dividends for 2019 in accordance with the circulated noted of the Central Bank of Jordan to banks operating in Jordan no. 1/1/4693 on April 9, 2020, and to hedge against the negative effects of the Corona pandemic, it was decided to postpone the distribution of dividends to shareholders by Jordanian banks for the year 2019).

24. Reserves

The details of the reserves as of December 31, 2021 and December 31, 2020 are as follows:

a. Statutory reserve

This reserve represents amounts transferred from income before tax at a rate of 10% during the year and the prior years, and according to the Banking low the statutory reserve is not available for distribution to shareholders.

b. Voluntary reserve

This reserve represents amounts transferred from the pre-tax profits at a rate not exceeding 20%. During the year and the prior years the voluntary reserve shall be utilized for the purposes determined by the Board of Directors. The General Assembly shall have the right to distribute it in whole or in part as dividends to the shareholders.

The restricted reserves are as follows:

Reserve	December 31,		Regulation
	2021	2020	
	JOD	JOD	
Statutory reserve	68,169,340	61,004,473	According to the bank regulatory authoroties' regulations
Fair value reserve	1,741,270	(2,609,036)	According to the regulations of the Central bank of Jordan and Jordan Securities Commission

25. Proposed dividends

The Board of Directors proposed in its meeting that was held on February 17, 2022, recommended the General assembly of shareholders to approve the distribution of cash dividends at 10% of paid-in capital, equivalent to JD 16,000,000. This recommendation is subject to the approval of the Central Bank of Jordan and the General Assembly of Shareholders.

26. Fair value reserve - net

The details are as follows:

	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Balance at the beginning of the year	(2,609,036)	372,413
Unrealized gains (losses)	5,858,568	(3,558,496)
Deferred tax assets	(1,933,753)	673,681
Loss (gains) from sale of financial assets at fair value through other comprehensive income	425,491	(96,634)
Balance at the End of the Year	1,741,270	(2,609,036)

27. Retained earnings

The movement on retained earnings is as follows:

	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Balance – beginning of the year	67,518,099	51,596,833
Income for the year	32,499,895	23,567,470
(Loss) gains from sale of financial assets through other comprehensive income	(425,491)	96,634
Transferred to reserves	(11,502,972)	(7,742,838)
Dividends distributed	(16,000,000)	-
Shares in subsidiaries	(368,477)	-
Balance – End of the Year	71,721,054	67,518,099

- Retained earnings includes an amount of JD 3,106,174 which represents gains from the differences on the revaluation of the financial assets at fair value through the statement of profit or loss.
- Retained earnings includes a restricted amount of JD 27,326,810 as of December 31, 2021 (JD 23,236,111 as of December 31, 2020), which represents deferred tax assets. According to the Central Bank of Jordan's instructions, this amount should not be used unless prior approval is obtained from the Central Bank of Jordan.

28. Provision for expected credit losses on financial assets

	2021	2020
	JOD	JOD
Balances at banks and financial institutions	370,430	(21,674)
Deposits with banks and banking institutions	640	611
Financial assets at amortized costs	154,749	(34,750)
Direct credit facilities and financing	27,643,878	37,716,396
Contingent liabilities	722,566	2,514,851
	28,892,263	40,175,434

29. Subsidiaries with material non-controlling interests

First: Percentage owned by non-controlling interests

As of December 31, 2021

Company's Name	Country of residence	Ownership Percentage	Activity Nature	Distributions JOD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	62.47%	"Provides all financial, banking and investment services according to Islamic Sharia"	6,000,000
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	"The Company's purposes are to acquire companies' stocks, bonds and shares"	3,500,000

As of December 31, 2020

Company's Name	Country of residence	Ownership Percentage	Activity Nature	Distributions JOD
Safwa Islamic Bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	63.83%	"Provides all financial, banking and investment services according to Islamic Sharia"	-
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	"The Company's purposes are to acquire companies' stocks, bonds and shares"	-

Second: The following is selected financial information for subsidiaries with material non-controlling interests

a. Condensed statement of financial position before the elimination of inter-company transactions and after reclassification for some items:

	Safwa Islamic bank (Al Etihad Islamic for Investment Company) December 31, 2021 JOD	Safwa Islamic bank (Al Etihad Islamic for Investment Company) December 31, 2020 JOD
Financial assets	2,280,958,707	1,770,129,339
Other assets	44,101,163	41,043,887
Total assets	2,325,059,870	1,811,173,226
Financial Liabilities	2,104,048,898	1,606,895,828
Other Liabilities	58,333,245	49,659,991
Total Liabilities	2,162,382,143	1,656,555,819
Equity	162,677,727	154,617,407
Total Liabilities and Equity	2,325,059,870	1,811,173,226
Equity attributed to non-controlling interests	100,988,449	98,137,365
Non-Controlling Interest Share at Al Etihad Islamic for Investment Company	467,114	310,256
Total non-controlling interests	101,455,563	98,447,621

b. Condensed statement of income before the elimination of inter-company transactions:

	Safwa Islamic bank (Al Etihad Islamic for Investment Company)	Safwa Islamic bank (Al Etihad Islamic for Investment Company)
	December 31, 2020	December 31, 2020
	JOD	JOD
Gross Income	59,991,991	53,696,910
Profit for the year	14,060,320	10,167,139
Total Comprehensive Income	14,060,320	10,167,139
Attributable to non-controlling interests	8,928,550	6,489,195
Non-controlling interests share in profits (losses) of Al Etihad Islamic for Investment Company	(3,150)	(12,621)
Non-Controlling Interests	8,925,400	6,476,574

30. Interest income and returns

The details of this item are as follows:

	2021	2020
	JOD	JOD
Direct Credit Facilities and Financing		
Individual retail customer		
Overdraft accounts	116,230	200,992
Loans and discounted bills	60,022,096	53,999,841
Credit cards	1,417,247	1,601,515
Real estate Loans	59,118,362	56,768,376
Large corporates		
Overdraft	5,583,573	7,134,604
Loans and discounted bills	61,299,053	69,732,767
SME's		
Overdraft	1,728,237	2,391,669
Loans and discounted bills	9,925,389	10,072,554
Government and Public Sector	16,924,103	9,213,147
Balances at the Central Bank	3,266,082	1,780,439
Balances and deposits at banks and financial institutions	1,133,212	2,557,937
Financial assets at fair value through statement of profit or loss	4,604	4,077
Financial assets at amortized cost	40,078,406	37,268,791
Others	784,104	769,340
Total	261,400,698	253,496,049

31. Interest and depit expenses

The details of this item are as follows:

	2021	2020
	JOD	JOD
Banks and financial institutions deposits	3,133,273	2,294,983
Customers' deposits:		
Current accounts and demand deposits	1,240,318	2,801,852
Saving deposits	4,751,746	4,280,324
Time and notice deposits	69,567,309	66,773,689
Certificates of deposit	12,644,782	15,468,725
Cash margins	3,779,283	2,700,546
Borrowed funds	1,455,659	1,379,415
Subordinated loans	1,403,729	1,447,956
Deposits Insurance Corporation's fees	6,221,691	5,514,744
	104,197,790	102,662,234

32. Net commission income

The details of this item are as follows:

	2021	2020
	JOD	JOD
Direct credit facilities and financing commissions	5,443,475	6,370,590
Indirect credit facilities and financing commissions	9,359,937	8,302,892
Other	12,571,850	8,880,237
Less: Commission expense	(1,372,422)	(1,140,458)
Net Commission Income	26,002,840	22,413,261

33. Gains from foreign currencies

The details of this item are as follows:

	2021	2020
	JOD	JOD
Resulting from dealings / tradings	5,043,753	3,670,249
Resulting from valuations	1,796,735	3,079,791
	6,840,488	6,750,040

34. Gains from financial assets at fair value through profit or loss

The details of this item are as follows:

2021	Gains (Losses) Realized	(Losses) Gains Unrealized	Dividends income Received	Total
	JOD	JOD	JOD	JOD
Treasury bills and bonds	88,150	685	-	88,835
Corporate shares	1,050,936	(413,243)	88,427	726,120
Financial derivatives	(47,108)	-	-	(47,108)
Investment funds	108,679	1,263,910	1,558	1,374,147
	1,200,657	851,352	89,985	2,141,994

2020	Gains (Losses) Realized	(Losses) Gains Unrealized	Dividends income Received	Total
	JOD	JOD	JOD	JOD
Treasury bills and bonds	206,487	46,621	-	253,108
Corporate shares	1,853,075	(498,142)	116,956	1,471,889
Financial derivatives	225,416	-	-	225,416
Investment funds	-	384,424	-	384,424
	2,284,978	(67,097)	116,956	2,334,837

35. Dividends from Financial Assets at Fair Value through other Comprehensive Income

The details of this item are as follows:

	2021	2020
	JOD	JOD
Dividends distributed on corporate shares	469,491	619,013

36. Other income

The details of this item are as follows:

	2021	2020
	JOD	JOD
Safety deposits boxes rental income	230,762	181,006
Dormant accounts	114,742	101,648
Bonded revenue	231,188	245,811
Net income from recovered bad debts	1,119,763	276,506
Income from reconciling accounts	-	390,630
Other income	462,613	260,999
Total	2,159,068	1,456,600

37. Employee expenses

The details of this item are as follows:

	2021	2020
	JOD	JOD
Salaries, benefits and allowances	38,396,757	35,714,401
Bank's contribution to social security	4,001,503	3,872,851
Bank's contribution to saving fund	-	375,531
Medical expenses	1,944,492	1,721,758
Per diems	215,740	168,348
Training expenses	413,784	407,814
Uniforms	6,389	26,984
Advertising and marketing incentives	3,588,089	1,696,262
Employees' life insurance expense	178,750	173,450
Others	6,200	-
	48,751,704	44,157,399

38. Other expenses

The details of this item are as follows:

	2021	2020
	JOD	JOD
Postage, telephone telex and reutters	3,063,435	2,842,157
Stationery and printing	1,224,161	1,134,930
Water, electricity and fuel expense	790,264	1,133,457
Maintenance of machines and equipment	12,026,841	10,423,813
Insurance expenses on the Bank's assets and activities	1,495,116	1,130,235
Consultation and professional fees	2,042,409	3,849,258
Licenses and governmental fees	1,334,525	1,234,883
Loss from disposal of property and equipment	24,934	202,170
Board of Directors' transportations and allowances	1,502,738	1,234,268
Advertising	4,477,052	4,664,899
Donations and subscriptions *	1,902,770	3,497,083
Board of Directors' remuneration	106,000	128,750
Loss from disposal of owned assets	80,567	26,280
Others	1,572,586	1,931,592
	31,643,398	33,433,775

* During the year 2020, an amount of JD 2 Million was donated to the Himmat Watan Fund against the spread of Covid - 19 virus.

39. Basic diluted earrings per share for the period attributable to the bank's shareholders

The details of this item are as follows:

2020	2021	2020
	JOD	JOD
Profit for the year	32,499,895	23,567,470
Weighted average number of shares (share)	160,000,000	160,000,000
Earnings per share attributable to the Bank's shareholders:		
Basic and diluted	0.203	0.147

40. Cash and cash equivalents

the details of this item are as follows:

	2021	2020
	JOD	JOD
Cash and balances with CBJ maturing within 3 months	934,430,468	721,060,432
Add: Balances with banks and financial institutions maturing within 3 months	542,036,819	397,274,210
Less: Banks and financial institutions deposits maturing within 3 months	263,192,838	256,098,045
Less: Restricted balances	7,548,214	7,545,767
	1,205,726,235	854,690,830

41. Financial derivative instruments

The following table shows the positive and negative fair value for the financial derivatives along with the distribution of their nominal value based on their maturities.

2021	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Customers' purchased forward agreements	733	42,175	2,529,570	1,515,798	1,013,772	-	-
Interest rates swap contracts	-	-	-	-	-	-	-
Banks' purchased forward agreements	61,685	62,140	50,448,317	49,466,287	982,030	-	-
	62,418	104,315	52,977,887	50,982,085	1,995,802	-	-

2020	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Customers' purchased forward agreements	335,537	24,254	19,706,792	19,483,145	223,647	-	-
Interest rates swap contracts	-	-	-	-	-	-	-
Banks' purchased forward agreements	168,414	409,694	128,014,656	127,781,385	233,271	-	-
	503,951	433,949	147,721,448	147,264,530	456,918	-	-

Nominal value represents the value of transactions outstanding at year-end and does not refer to market risks or credit risks.

42. Related party transactions

The accompanying consolidated financial statements include the financial statements of the Bank and the following subsidiaries:

Company's Name	Ownership	The Company's Capital	
		2021	2020
	%	JOD	JOD
Al Etihad Islamic for Investment Company LLC.	58	113,039,028	113,039,028
Safwa Islamic Bank	37.53	100,000,000	100,000,000
Al- Etihad for Financial Brokerage Co. Ltd	100	5,000,000	5,000,000
Al- Etihad for Financial Leasing Co. Ltd	100	10,000,000	10,000,000
Al- Etihad for Financial Technology	100	100,000	100,000

The balances and transactions between the Bank and its subsidiaries have been eliminated.

The Bank entered into transactions with major shareholders, directors, senior management in the ordinary course of business at commercial interest and commission rates. All the credit facilities granted to related parties are performing, and no provisions have been taken except for what is shown below:

The details of this item are as follows:

	Related Party				Total	
	Board of Directors	Executive management members and Major Shareholders	Subsidiaries	Others (Executive Management of the Bank and Related Parties)	December 31, 2021	December 31, 2020
	JOD	JOD	JOD	JOD	JOD	JOD
On- Consolidated Statement of Financial Position Items:						
Direct credit facilities and financing	1,015,910	3,621,553	1,846,224	68,620,827	75,104,514	71,172,428
Deposits	86,567,098	3,859,362	25,193,420	17,983,755	133,603,635	111,030,732
Deposits at banks and financial institutions	-	-	348,802	-	348,802	257,597
Off- Consolidated Statement of Financial Position Items:						
Letter of credits	-	-	34,163	3,154,570	3,188,733	3,166,260
Acceptance	-	-	-	-	-	2,702,096
Letter of guarantee	5,000	-	916,000	9,586,756	10,507,756	6,616,017

	For the Year Ended December 31	
	2021	2020
	JOD	JOD
Consolidated Statement of Profit or Loss Items		
Interest, returns and commissions income	7,381,742	4,785,500
Interest and commissions expense	2,072,677	2,756,071
Additional Information		
Credit and financing facilities under monitoring	-	-
Impairment loss of direct credit and financing facilities under monitoring provision	-	-

- The interest income rates on credit facilities range from 2% to 17%, and interest expense rates on customers' deposits range from 0.5% to 3.75%.

Below is a summary of the remunerations for the Bank's executive management:

	2021	2020
	JOD	JOD
Salaries and bonuses of the Executive Management	5,633,181	5,842,810
Board of Directors' transportation and allowances	1,549,433	1,302,270
Total	7,182,614	7,145,080

43. Right-of-use assets/ leasing liabilities

This items includes the following:

1. Right-of-use assets

The Bank leases many assets including land and buildings, and the average lease term is 9 years.

Below is the movement on the right-of-use assets during the year:

	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Beginning balance	27,031,520	26,517,873
Add: Additions during the year	4,491,057	4,669,894
less: Disposal during the year	(146,726)	(310,881)
Less: Depreciation for the year	(3,819,862)	(3,845,366)
Balance at the end of the year	27,555,989	27,031,520

Restricted balances in the statement of profit or loss

	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Depreciation for the year	(3,819,862)	(3,845,366)
Interest during the year	(1,027,420)	(984,241)
Lease expense during the year	(463,109)	(402,380)

2. Lease liabilities

	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Beginning balance	26,453,949	25,451,501
Add: Additions during the year	4,344,331	4,669,894
Interest during the year	1,027,420	984,241
Less: Disposal during the year	(146,726)	(310,881)
Less: Paid during the year *	(4,312,162)	(4,340,806)
Balance at the end of the year	27,366,812	26,453,949

*including interest of JOD 297,595.

Analysis of the accrual of lease liabilities:	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Less than one year	2,133,756	1,936,802
From 1 year to 5 years	9,924,805	8,641,534
More than 5 years	15,308,251	15,875,613
	27,366,812	26,453,949

The undiscounted lease liabilities amounted to JD 32,800,307 as of December 31, 2021 (JD 32,069,195 as of December 31, 2020).

The following is the analysis of the maturity:

Analysis of the accrual of lease liabilities:	For the Year Ended December 31,	
	2021	2020
	JOD	JOD
Less than one year	2,810,979	2,601,631
From 1 year to 5 years	11,939,333	10,644,642
More than 5 years	18,049,995	18,822,922
	32,800,307	32,069,195

44. Risk management:

The Bank continuously develops the risk management structure to ensure effective management of all of its operations, the efficiency of the risk management process, and proper application of the regulatory controls across all of the Bank's operations. The risk management responsibility is allocated across various levels as summarized below:

1. Business units:

The Business units comprise of employees who, through thier nature of work, manage the various risks associated with the Bank's operations in line with the acceptable risk appetite as determined by the Bank and specified in its policies.

To ensure efficient risk management, the Bank fully separates the functions of the business units from those of risk management. For example, credit underwriting and credit administration function is completely independent from Customer Relations Management (CRM) within the business units. This ensures the integrity of credit decisions, and higher efficiency. In addition, the Middle Office operates under the umbrella of market risk, independent from the treasury and treasury operations.

2. Risk management

This department operates independently from all business units. It reports to the Board through the Risk Management Committee to ensure its independence and ability to detect, measure, govern, and monitor risks within acceptable risk appetite as determined by the Bank; as well as submit periodic reports to the Board in this regard.

3. Internal audit:

The Internal Audit Department is fully independent and directly reports to the Board Audit Committee. The Department functions as the last line of defense through implementing an audit plan that includes periodic audits of all the Bank's activities to ensure the detection of any violations of systems and noncompliance with the Banks' policies and procedures or the supervisors' regulations.

4. Risk management committee:

The Board of Directors endorsed the Risk Management Committee as stipulated in it's charter, which has been drafted in accordance with best risk management practices and CBJ requirements. The Committee comprises of Board members and the Chief Risk Officer. All reports prepared by the Risk Management Department are submitted to the Committee periodically to ensure that the Committee's members are well informed of all risks in a timely manner. This enables the committee members to make decisions, and take measures to mitigate risks that are not in line with the established risk appetite, and submit reports to the Board in this regard.

5. Board of directors:

The Board of Directors has the following responsibilities with regard to risk management:

- Determining the acceptable risk levels for the group's various activities.
- Reviewing and approving the various risk policies.
- Monitoring risks and ensuring that necessary controls are in place through the Risk Management Committee.
- Delegating authority related to the approval, amendment, and renewal of credit to the credit committees while reviewing their performance and the validity of their decisions, a matter which would reflect on the quality of the credit portfolio.
- Approving the investments policies and decisions and approving investment transactions and dealing limits.

6. Assets and liabilities management committee:

The Assets and Liabilities Management Committee comprises of the Chairman as President and the CEO, CCO, CFO, Treasurer and CRO as members. The Committee reviews the statement of financial position and recommends any amendments thereto, in addition to approving the liquidity and market risk management principles. Moreover, the Committee reviews the policies related to these risks, recommends their approval by the Board, and studies the various risk reports in order to take any necessary decisions related to amending the acceptable risks levels by the Bank.

The Committee also recommends to the Board the allocation of capital for the various activities of the Bank in a manner that ensures that the use of capital is optimized.

a. Credit risks:

Credit risks are controlled within acceptable risk levels by the Bank through the following:

1. Credit Policy: This policy accurately determines the general guidelines for credit underwriting, levels of acceptable credit risks, and basis used for establishing credit risk pricing and acceptable collateral. In addition, the policy outlines the monitoring activities over creditand ensure early detection of credit quality deterioration of the portfolio.
2. Training and Development: The continuous training and development of all credit staff and managers ensures better understanding of the client's business activity and needs, the fostering of expertise in credit analysis, and a better understanding of risks when taking credit decisions ; as well as ensuring the effective management of portfolios.
3. Authority to Grant Credit: Credit applications are approved by specialized credit committees which are appointed and granted authorities by the Board of Directors.
4. Credit Risk Measurement: The Bank put in place, a credit rating system for corporate and medium-size companies. In addition, the Bank implements a scorecards framework for retail customers as a basis for underwriting and cross-selling of retail products.
5. Internal Valuation for Capital Adequacy: The Bank developed a model to measure capital adequacy based on a 5-year data forecast to calculate the potential capital requirements and the effect of stress testing on the Bank's capital adequacy, profitability, and liquidity.
6. Credit Risk Monitoring:

   A specialized unit within the Risk Managment Department monitors the credit portfolio and prepares the relevant reports.

   Through the early credit risk warning system, the Risk Management Department examines any indicators that may signal the deterioration of the risk profile of a customer. Such indicators include customer's transactions, financial performance, and the risk of their economic sectors, in addition to indicators related to the performance of the client's account at the Bank. This system allows the bank to detect, early on, any deterioration in the performance of the account and enables to the bank to take necessary measures to reduce any possible losses that may result from that and to ensure the adequacy of the allocations allocated to these accounts.

7. Credit Portfolio Management:

All departments concerned with credit continuously review the credit portfolio to maintain a good level of credit exposure quality.

In managing the portfolio, efforts are made to ensure that the portfolio is diversified to avoid any concentration that could lead to an increase in the risk level of the portfolio. In this regard, the sectoral and the geographical distribution of the portfolio are monitored, in addition single borrower and related parties exposures are monitered and reported in addition to avoiding large credit exposures for a single customer except in exceptional cases and for discerning clients.

8. Credit risk mitigation:

As a basic step to hedge credit risk, cash flows of financed projects are taken into account when determining the structure of facilities and payment schedules for any facilities granted to clients and the necessary controls to control these cash flows for use for repayment, as well as obtaining collaterals as stipulated in the credit policy, taking into account the quality and liquidity collaterals, in addition to the efficient application of procedures that ensure proper control of these guarantees and control their value and the ease of monetization where necessary.

b. Operational risks:

Operational risk is defined as the risk of loss resulting from failure or inadequacy of internal processes, people or systems, or from an external source (event). This definition includes legal risks and risks related to regulatory authorities.

The Operational Risk Policy covers the role of Operational Risk Management in risk identification, risk assessment, ongoing monitoring and controlling operational risk, and comply with all relevant regulatory requirements, to reduce some or all of the negative effects resulting from these risks. It covers more than one methodology to manage these risks, the first of which is the Control and Risk Self Assessment mehtodology (CRSA), through identifying the inherent risks related to each department and/or unit and evaluating the controls to identify weaknesses and measure the level of effectiveness of the existing controls, where these controls are examined periodically and are reported to the senior management in order to evaluate the effectiveness and efficiency of them and to mitigate any residual risks through adding new controls or enhancing the existing ones. The Operational Risk Department is also defining key risk indicators that will enhance the risk monitoring as it is considered an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

In addition, the Bank creates a data loss register resulting from operational risks in order to assess the Bank's exposure to operational risks and the effectiveness of internal controls.The aim of operational risk is not to prevent every risk materializing but to mitigate the risk to the acceptable limit in alignemnet with the risk appetite of the Bank.

c. Information security:

Information security risk management adopts the latest techniques, solutions, and the international best practices to ensure the protection of information, and to prevent it from being accessed by unauthorized people, to maintain the confidentiality and integrity of information, and to ensure its availability and continuity of supporting systems.

For this purpose, Bank al Etihad has retained qualified staff along with the required resources to protect the bank and it's customers information from cyber and information security breaches in accordance with the international best practices and standards. The Bank has maintained an effective business continuity plan which defines how the bank will manage the incidents in case of a disaster and other disruptive cases, to ensure the continuity of the Bank's operations.

Stress testing

The objectives of stress testing are to determine the negative stress events that could face the bank and its business, and measure their impact on the bank's solvency, liquidity and reputation.

Also, stress testing will idetify the areas of weaknesses that the bank could face as a result of these negative stress events and allow the board of directors and executive management, to develop a strategic plan to reduce its impact And confronting them when they occur or avoid them. The stress test process aims to improve and enhance the sound management of the bank's risks, in addition to complying with the instructions of the regulatory authorities issued in this regard, and international best practices.

Choosing the stress testing scenarios

Stress scenarios that cover all possible risks encountered by the Bank are selected. The impact of stressful scenarios are assessed on different bank portfolios, and on Profit and Loss, Capital Adequacy Ratio and other regulatory limits, as follows:

1. Measuring the effect of stress scenarios on the Bank's credit portfolio concerning the increase in the percentage of non-performing loans due to many factors, including concentration in granting credits, deterioration of the economic sectors due to financial crises, quality of the credit portfolio, decrease in the value of collaterals, and other factors. The impact of these stress scenarios on income statement, Balance sheet, and capital adequacy ratios.
2. Measuring the effect of stress situations on the Bank's investments in terms of liquidity and change in the market prices such as Interest Rates, Foreign Exhchange rate etc. The impact of these risk scenarios is assessed on the income statement, statement of financial position, and capital adequacy ratios.
3. Measuring the effect of stress scenarios on the Bank's assets and liabilities in the event of depreciation or apperciation of local currency against foreign currencies.
4. Measuring the effect of stress scenarios on the Bank's liquidity due to several factors, including loss of deposits,concentration of the clients' deposits and Banks' deposits and extensive deposit withdrawals. The effect of these risk scenarios is factored into the calculation of the legal liquidity ratio,Liquidity Coverage Ratio and other liquidity ratios.
5. Measuring the effect of stress on the Bank's operational risks. The impact of this risk scenario is assessed on the capital adequacy ratio and Profit and loss.

Based on the results of these tests, contingency and recovery plans are established to face financial and economic crises should they arise. Furthermore, risk mitigation tools are implemented, such as hedging and risk transfer strategies and minimum accepted collaterals limits, and what corresponds to the results of stress tests.

Governance of the application of stress-testing situations:

Responsibility of the board of directors:

1. Reviewing the results of the stress tests of the bank on a semi-annual basis (every six months), in order to direct the bank to take measures and/or enforce controls accordingly.
2. Ensuring that the executive management complies by the plans and policies prepared to face any stress scenarios as it arises.
3. Verifying that the Risk Management Department is performing stress tests periodically and that the Board has a major role in approving the underlying assumptions and scenarios, test results analysis, and approving the contingency and recovery plans.

Executive management's responsibility

1. Making the right recommendations, based on the stress-testing results, and reporting them to the Board of Directors.
2. Implementing the decisions of the Board of Directors related to the Bank's stress testing results, in addition to informing the Board about these results.
3. Implementing and controlling stress testing, in compliance with the methodology approved by the Board of Directors.
4. Taking the stress testing results into consideration when planning capital with the aim of reaching the capital that matches the Bank's strategy and risk structure, in addition to taking the results into consideration while performing (ICAAP).
5. Ensuring full cooperation among the Bank's different departments through coordianting with the Risk Management Department to come up with the closest real world stress testing results that the Bank might be prone to as a result of the local and international financial and economic circumstances.

The bank's definition for applying default and the mechanism for processing default:

The group is committed to the instructions of the regulatory authorities and best practices in the banking sector with regard to the application of default and the mechanism for dealing with bad debts.

Non-performing facilities are defined as those facilities that carry high levels of risk or needs supervision, and the following is a brief description of these statuses:

- **Watch list:**

Borrower with no assured profits and extremely unstable operational revenues. The obligors' assets are witnessing a decrease in their value, coupled with an increase in doubtful debts without sufficient collaterals. Meanwhile, his exposure is constantly increasing and is greater than the accepted standards in his sector. In addition, the management and controls are weak. Debts classified as watch list will remain as such for a period of time under this rating to be monitored, so that their credit rating is improved in case the data that led to their classification under watch list will change or their credit rating downgraded.

- **Substandard:**

Borrower is considered non-performing. Where Recovering the granted credit facilities based on the client's operational revenues is questionable, and their assets are not protected at an acceptable degree by net equity. In addition, the borrower's ability to commit to financial obligations or provide additional collaterals is weak. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

- **Doubtful:**

The Bank's chances of recovering the debts granted to the borrower is doubtful, and part of the principal is likely to be lost under the given circumstances that demonstrate the borrower's inability to fulfill their obligations towards the Bank. The facilities classified under this level of risks require a special provision according to the instructions of the Central Bank of Jordan.

- **Loss:**

It is probable that part of the granted amount will be recovered in the future, and the Bank is still not fully convinced that recovery is unlikely. This matter does not encourage the Bank to irrevocably write off the debt, or cease the recovery process. The facilities classified as "Loss" require special provision according to the instructions of the Central Bank of Jordan.

General guildlines for dealing with default

- Proposed rescheduling arangements are based on the client's ability to commit to it's financial obligations, as the Bank's aim is not only to improve the credit portfolio classification, but to also recover the loan amount granted to the client.
- While rescheduling debt repayment, a study of the borrower's cash flows must be conducted, especially if the borrower has liabilities towards creditors other than the Bank. This entails studying the borrower's cash flows, current guarantees, and any other extra assets that can be liquidated as an extra source for the repayment, or as an additional guarantee to mitigate the client's credit risk. Other aspects of the client are also studied, including the client's ability to manage the facilities, and validity of the legal documents and contracts in the Bank's possession, to ensure that they maintain the Bank's rights in case legal actions are taken against the borrower.
- In case the client commits to their repayment schedule for a period of not less than 3 months, the account classification is upgraded to a performing status.

Internal credit classification system

The Bank adopts an internal risk rating system to calculate the Risk Rating of Corporate and SMEs clients. The aim of this system is to asses credit risks at client and facility level . For each borrower a risk grade from 1-10 is calculated, where risk grade (1) is the least risky, The calculation of Obligor and facility risk rating is the responsibility if the credit department.

Internal Risk classification of Obligors ensures:

- The ability to maintain a high asset quality, monitor the portfolio's quality, and identify effective plans and future strategies for managing credit risks.
- Implement a Risk Based Pricing framework.
- Determining the authority level for granting and/or renewing the credit limits.

The following table shows the building blocks of the Risk Grade:

Indicator	Indicator's nature
Financial items	Quantitative
Management	Qualitative
Corporate	Qualitative
Economic sector	Qualitative

In order to calculate the Risk Rating, financial statements for 3 years and information about the economic sectors performance should be submitted, accordingly obligors are classified as follows:

Risk level	Risk rank
Excellent	1
Strong	2+ - 2-
Good	3+ - 3-
Satisfactory	4+ - 4-
Adequate	5+ - 5-
Marginal	6+ - 6-
Watch List	7+ - 7-
Non-performing	8-10

Mechanism Used to Calculate the Expected Credit Losses on the Financial Instruments for Each Item Separately

Expected credit losses are calculated on an individual basis on the system that is implemented by the Bank based on parameterized models and methodologies adopted by the Board of Directors and approved by the external auditor in the preparation of interim and year-end financial statements.

a. Probability of default (PD)

The probability of default is measured for the purpose of calculating the expected credit losses in accordance with IFRS9 through using statistical models based on historical default data, credit exposure classification, and stressed and forecasted macroeconomic trends for corporates and SME's portfolio. As for the retail facilities portfolio, statistical models have been adopted based on the product characteristics and the client's credit behavior.

Under IFRS (9) all credit exposures and debt instruments that are listed under stage (1), are assigned a 12 month Probability of default. As for the credit exposures under Stage 2, the probability of default on a credit exposures is taken into consideration over the lifetime of the exposure.

b. Loss given default (LGD) (guarantees/risk mitigators)

When calculating the loss given default (LGD), the collaterals pledged against granting the credit exposure are evaluated. Moreover, only collaterals classified as risk mitigants are taken into account (legally documented within credit contracts, while nothing precludes the Bank from reaching the collateral) for the purpose of calculating the repayable amount of the credit exposure after applying haircuts as stipulated in CBJ Debt Classification Instructions No. (47/2009). In addition, LGDs are applied on the uncovered portion of the credit exposure. The LGD estimates are based on historical data related to recoveries upon liquidation as a result of execution on the guarantee due to default, taking into account the time dimension.

c. Exposure at default (EAD)

When calculating Exposure at Default (EAD), the outstanding amount and type of debt instrument will be taken into consideration when arriving to the EAD. EAD coefficients are applied to outstanding exposures and is defined as the expected decrease in current outstanding exposure (of non-revolving loans) between the observation date (reporting date) and time of default (within the next 12 months). It is estimated by analyzing the historical nonperforming accounts' exposure against their exposure 12 months prior to default.

Furthermore, indirect credit exposures (non-financed) are considered on-balance credit exposures on which expected credit loss is calculated. Their probability of default is calculated as well based on historical default.

d. Time value of money

The expected credit loss is calculated by using the time value and Effective interest rate (EIR) as a discounting factor.

Governance of applying the requirements of the International Financial Reporting Standard, including the responsibilities of management and executive management, to ensure compliance with the regulatory requirements and applying the international standard.

The Board of Directors:

The Board of Directors ("BOD") plays an oversight role in the IFRS9 Policy and Process. The BOD is responsible for overseeing the establishment, approval, implementation and annual review of the IFRS9 Policy. To fulfil their responsibilities, the board instruct senior management to develop and maintain appropriate processes, which should be systematic and consistently applied, to determine appropriate provision. The board should also require senior management to report periodically the results of the credit risk assessment and measurement processes, including estimates of its ECL allowances.

Risk Committee

The Risk Committee also plays a supervisory role in the IFRS9 Process. The Risk Committee will continue to supervise the inherit risks of the loan and investment portfolio. The risk committee shall insure that:

- The business pricing strategy is commensurate with the costs of impairment from IFRS9.
- Provisioning sufficiently covers the expected credit losses.
- Capital is maintained above the threshold levels and remediation plans are in place

Audit committee

The provision calculation results according to the international standard are submitted to the Audit Committee, which verifies the adequacy of the Bank's coverage of the expected credit loss in all of the Bank's financial statements.

Executive management

Senior management should be able to demonstrate an understanding of the inherent risks when pricing exposures and managing Client Relationships. Pricing should to a certain extent reflect the inherent risk in transactions and compensate for booked ECL.

Senior management is is also responsible for implementing the credit risk strategy approved by the board and developing the aforementioned policies and processes.

Furthermore, Executive Management is responsible for implementing the reliable credit risk strategies approved by the Board of Directors and for developing the policies and procedures stated above.

Risk management department

The Risk Management Department ensures that the provisions adequately cover credit exposures. Ensure that the process and outputs of the system are fairly presented. The results are presented to the Board of Directors, the Risk Committee and Executive Management.

Rescheduled loans

These represent loans previously classified under within Stage (3) in accordance with rescheduling principles. These loans amounted to JD 32,015,189 as of December 31, 2021 (JD 64,407,911 as of December 31, 2020).

Restructured loans

Restructuring is the rearranging credit obligations in terms of adjusting installments, extending the tenor of the facility, postponing installments, or extending the grace period. These loans amounted to JD 441,353,859 during the year 2021 (JD 427,941,610 during the year 2020).

Debt securities and treasury bills:

The Schedule below shows the distribution of bonds according to the rating agencies classification:

Rating grade	Rating Institution	Within financial assets at fair value through P&L 2021	Within financial assets amortized cost 2021	Total 2021	Total 2020
		JOD	JOD	JOD	JOD
AAA	S&P	-	21,220,499	21,220,499	-
AA+	S&P	-	-	-	21,208,246
AA	S&P	-	3,598,933	3,598,933	5,211,915
AA-	S&P	-	4,175,768	4,175,768	2,435,866
A+	S&P	-	8,267,579	8,267,579	7,055,917
A	S&P	-	47,277,189	47,277,189	27,590,520
A-	S&P	-	802,398	802,398	4,181,356
BBB+	S&P	-	4,316,994	4,316,994	4,540,053
BBB	S&P	-	20,626,529	20,626,529	7,905,575
BBB-	S&P	-	2,558,608	2,558,608	13,179,971
BB+	S&P	16,726	12,945,627	12,962,353	5,653,921
BB	S&P	-	-	-	-
BB-	S&P	-	15,016,283	15,016,283	3,943,196
B+	S&P	1,639,429	4,613,358	6,252,787	7,406,586
B	S&P	-	677,123	677,123	2,697,758
B-	S&P	-	-	-	-
Not rated	S&P	-	46,665,768	46,665,768	36,641,396
Governmental	S&P	-	906,333,575	906,333,575	755,892,776
Total		1,656,155	1,099,096,231	1,100,752,386	905,545,052

All the above bonds are classified under stage 1, excluding a bond of JD 250,000, which has a risk rating not rated bond and is classified under stage 3

Market risk

Market risk is defined as the risk arising from changes in interest rates, exchange rates, securities prices, and any other instrument held by the bank, such as minerals, in which the price fluctuations leads the bank to bear losses as a result of any consolidated financial positions inside or outside the consolidated statements of financial position.

The Bank adopts a conservative policy in managing these risks where these risks are controlled through the adoption of clear policies regarding them and the adoption of exposure ceiling for each type of these risks. Our policy aims to reduce these risks to the lowest levels.

The Bank adopts a conservative policy in managing these risks where limits for the exposure for each of these risks are defined taking into account the prevailing volatility of each risk.

Interest rate risk

Interest rate risks represent losses arising from fluctuations in interest rates in the markets or from changes in product prices arising from the change in interest rates that has a negative impact on the bank's revenues and its equity.

These risks may also arise from the mismatch in the re-pricing dates of assets and liabilities in a manner that may result in a decrease in the group's revenues as a result of the timing difference in re-pricing.

Interest rate risk lies in debt instruments and derivatives whose value is linked to market prices.

In general, the value of long-term instruments is more sensitive to interest rate risk than the value of short-term instruments

Interest rate risks are managed by the Risk Management department. The asset liability management provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

The following is the sensitivity analysis of the impact on the provision for expected credit losses as a result of the change in the economic indicators used in calculating the provision for credit losses by 5% for the year 2021:

Companies:	Corporate credit facilities	Credit facilities for the government and the public sector	Credit Facilities Real Estate Loans	Credit facilities (SMEs)	Indirect credit facilities (commitments and contingencies)	Other credit facilities
	JD	JD	JD	JD	JD	JD
Cash 2M						
5%	(497,268,87)	-	(16,267,04)	-	-	(182,860,27)
5%-	546,245,62	-	18,013,49	-	-	202,049,19
Consumer Price Index						
5%	(114,756,47)	-	(3,757,00)	-	-	(42,169,49)
5%-	107,026,31	-	3,533,99	-	-	39,602,66
Loans granted to the private sector						
5%	(2,131,283,33)	-	(68,637,13)	-	-	(778,961,94)
5%-	3,936,495,46	-	131,163,16	-	-	1,477,608,79
Small and Medium Enterprises (SME)						
Cash						
5%	-	-	(1,162,34)	(14,865,42)	-	(7,114,34)
5%-	-	-	1,146,64	14,666,20	-	7,025,01
Consumer Price Index						
5%	-	-	(4,983,30)	(63,725,45)	-	(30,456,74)
5%-	-	-	4,709,91	60,252,75	-	28,899,77
Bank lending rate						
5%	-	-	3,936,59	50,350,64	-	24,141,93
5%-	-	-	(4,124,39)	(52,734,60)	-	(25,210,05)
Retail:						
Interbank lending rate						
5%	356,80	-	85,883,53	31,70	595,352,94	2,515,42
5%-	390,27	-	93,189,03	60,29	662,455,87	2,748,73
Producer Price Index		-				
5%	402,73	-	95,911,61	71,14	687,535,37	2,835,66
5%-	344,97		83,320,55	21,48	571,648,12	2,433,01

1. Credit exposures distributions

For the year ended December 31, 2021

Internal Rating for the bank Performing exposures	Category Classification According to (47/2009)	Total Exposure Value	Expected Credit Loss	Probability of Default	Exposure when Default (in Millions)	Average Loss on Default
		JOD	JOD	%	JOD	%
1	Performing	330,025,660	29,381	0.76% - 1.72%	124	0.3%
2	Performing	80,660,192	71,897	0.40% - 71.87%	270	47.0%
3	Performing	445,430,233	1,632,054	0.76% - 78.09%	315	47.8%
4	Performing	449,627,040	7,096,631	0.76% - 78.09%	455	51.1%
5	Performing	580,880,341	8,065,098	0.76% - 78.09%	367	51.4%
6	Performing	489,019,557	10,087,319	0.76% - 78.09%	262	48.2%
7	Performing	412,950,697	25,488,695	1.17% - 78.09%	294	46.7%
Unclassified	Performing	4,185,754,516	11,271,782	0.15% - 78.09%	2,349	56.2%
Total		6,974,348,236	63,742,857		4,436	
Non-performing exposures						
8	Non - performing	77,132,811	48,697,490	100%	60	79.7%
Unclassified	Non - performing	56,734,853	36,175,837	100%	44	77.5%
Total		133,867,664	84,873,327		104	
Grand Total		7,108,215,900	148,616,184		4,540	

2. Credit risk according to economic sectors:

a. Total exposure distribution according to financial instruments:

	Financial	Industrial	Trading	Real Estate	Agriculture	Shares	Individuals	Government and Public	Other	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash at central banks	809,253,935	-	-	-	-	-	-	-	-	809,253,935
Balances at banks and financial institutions	541,476,707	-	-	-	-	-	-	-	-	541,476,707
Deposits at banks and financial institutions	8,770,685	-	-	-	-	-	-	-	-	8,770,685
Direct credit facilities and financing	12,119,996	345,490,123	427,429,911	882,751,545	57,370,202	181,841,466	646,150,985	431,243,828	366,726,272	3,351,124,328
Treasury, bills and Bonds and as follows:	133,414,262	13,154,829	18,631,335	-	-	-	-	929,099,275	6,452,685	1,100,752,386
Within: Financial assets at fair value through statement of profit and loss	1,495,481	-	-	-	-	-	-	160,674	-	1,656,155
Within: Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	131,918,781	13,154,829	18,631,335	-	-	-	-	928,938,601	6,452,685	1,099,096,231
Other Assets	2,493,433	1,829,667	9,930,858	425,787	14,762,517	5,632	599,101	8,555,504	22,600,574	61,203,073
Total	1,507,529,018	360,474,619	455,992,104	883,177,332	72,132,719	181,847,098	646,750,086	1,368,898,607	395,779,531	5,872,581,114
Letter of guarantees	23,664,534	25,404,114	44,134,404	5,239,068	243,184	1,727,146	14,024,294	-	91,356,842	205,793,586
Letter of credit	10,895,503	60,474,865	79,177,059	330,933	21,523,215	249,335	31,256,635	-	37,704,189	241,611,734
Acceptances	8,638,892	1,954,511	11,952,391	-	13,290,528	-	2,240,348	-	20,511,025	58,587,695
Other Liabilities	2,044,124	98,560,153	146,570,848	2,639,749	33,593,376	6,079,600	28,522,505	9,586,572	236,508,294	564,105,221
Total 2021	1,552,772,071	546,868,262	737,826,806	891,387,082	140,783,022	189,903,179	722,793,868	1,378,485,179	781,859,881	6,942,679,350
Total 2020	1,193,782,013	523,554,537	813,443,828	777,776,074	111,436,656	132,819,860	680,688,804	1,009,729,083	674,099,901	5,917,330,756

b. Distribution of exposure according to staging (IFRS 9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Financial	1,543,431,928	-	9,340,143	-	-	1,552,772,071
Industrial	484,906,520	3,510,523	52,057,062	2,009,520	4,384,637	546,868,262
Trading	660,918,289	11,568,892	48,515,243	11,684,768	5,139,614	737,826,806
Real Estates	371,067,779	372,184,917	112,650,908	27,063,550	8,419,928	891,387,082
Agriculture	66,908,763	-	73,821,769	-	52,490	140,783,022
Shares	29,826,054	155,004,129	676,370	3,573,400	823,226	189,903,179
Individual	562,595,488	123,327,273	21,481,550	12,278,047	3,111,510	722,793,868
Government and public sector	1,378,466,666	-	18,513	-	-	1,378,485,179
Other	619,152,759	4,845,707	141,042,079	6,676,770	10,142,566	781,859,881
Total 2021	5,717,274,246	670,441,441	459,603,637	63,286,055	32,073,971	6,942,679,350
Total 2020	4,919,370,818	571,740,556	364,513,353	30,572,258	31,123,781	5,917,320,756

3. Exposure according to geographical distribution

a. Total exposure distribution according to the geographical regions - net:

December 31,2021	Inside Jordan	Other Middle East Countries	Europe	Asia *	Africa	America	Other Countries	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at CBJ	809,253,935	-	-	-	-	-	-	809,253,935
Balances at banks and financial institutions	5,862,279	148,317,105	238,958,699	35,817,845	-	111,187,739	1,333,040	541,476,707
Deposits at banks and financial institutions	6,000,000	-	2,770,685	-	-	-	-	8,770,685
Direct credit facilities and financing	3,351,124,328	-	-	-	-	-	-	3,351,124,328
Treasury Bills and Bonds are as follows:	957,081,996	72,060,998	25,265,647	12,562,900	-	33,780,845	-	1,100,752,386
Within: Financial assets at fair value through statement of profit and loss	-	1,495,481	-	-	-	160,674	-	1,656,155
Within: Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	957,081,996	70,565,517	25,265,647	12,562,900	-	33,620,171	-	1,099,096,231
Other Assets	61,203,073	-	-	-	-	-	-	61,203,073
Total	5,190,525,611	220,378,103	266,995,031	48,380,745	-	144,968,584	1,333,040	5,872,581,114
Letter of guarantees	205,783,614	9,972	-	-	-	-	-	205,793,586
Letter of credit	232,220,362	9,391,372	-	-	-	-	-	241,611,734
Acceptances	50,382,580	8,205,115	-	-	-	-	-	58,587,695
Other Liabilities	564,105,221	-	-	-	-	-	-	564,105,221
Total 2021	6,243,017,388	237,984,562	266,995,031	48,380,745	-	144,968,584	1,333,040	6,942,679,350
Total 2020	5,405,433,685	180,178,987	174,588,332	54,963,925	-	99,416,200	2,749,627	5,917,330,756

* Except middle east countries

b. Exposure distribution according to staging (IFRS 9)

December 31,2021	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Inside Jordan	5,017,612,284	670,441,441	459,603,637	63,286,055	32,073,971	6,243,017,388
Other Middle East countries	237,984,562	-	-	-	-	237,984,562
Europe	266,995,031	-	-	-	-	266,995,031
Asia	48,380,745	-	-	-	-	48,380,745
Africa	-	-	-	-	-	-
America	144,968,584	-	-	-	-	144,968,584
Other Countries	1,333,040	-	-	-	-	1,333,040
Total 2021	5,717,274,246	670,441,441	459,603,637	63,286,055	32,073,971	6,942,679,350
Total 2020	4,919,380,810	571,740,556	364,513,353	30,572,258	31,123,779	5,917,330,756

4. Credit exposures that have been reclassified

a. Total credit exposures that have been classified

December 31, 2021	Stage (2)		Stage (3)		Total Exposure that have been Reclassified	Percentage of Exposure that have been Reclassified
	Total Exposure Amount	Exposure that have been Reclassified	Total Exposure Amount	Exposure that have been Reclassified		
	JOD	JOD	JOD	JOD	JOD	%
Cash and balances at central banks	-	-	-	-	-	0.00%
Balances at banks and financial institutions	-	-	-	-	-	0.00%
Deposits at banks and financial institutions	-	-	-	-	-	0.00%
Direct credit facilities and financing	470,294,509	172,884,134	130,919,534	38,574,192	211,458,326	6.05%
Treasury Bills and Bonds are as follows:	-	-	250,000	-	-	0.00%
Within: Financial assets at fair value through statement of profit and loss	-	-	-	-	-	0.00%
Within: Financial assets at fair value through statement of other comprehensive income	-	-	250,000	-	-	0.00%
Within: Financial assets at amortized cost	-	-	-	-	-	0.00%
Derivatives	-	-	-	-	-	0.00%
Mortgaged financial assets (debt instruments)	-	-	-	-	-	0.00%
Other Assets	-	-	-	-	-	0.00%
Total	470,294,509	172,884,134	131,169,534	38,574,192	211,458,326	6.05%
Letter of guarantees	22,217,813	2,583,265	2,698,130	1,444,258	4,027,523	1.96%
Letter of credit	18,696,491	698,365	-	-	698,365	0.23%
Acceptances	27,516,620	-	-	-	-	0.00%
Other Liabilities	46,207,815	6,127,559	-	-	6,127,559	1.09%
Grand Total	584,933,248	182,293,323	133,867,664	40,018,450	222,311,773	4.87%

b. Expected credit loss for exposures that have been reclassified

December 31, 2021	Exposures that have been reclassified			Expected credit loss due to reclassified exposures				
	Exposure Reclassified from Stage (2)	Exposure Reclassified from Stage (3)	Total Exposures Reclassified	Stage (2) - Individual	Stage (2) - Collective	Stage (3) - Individual	Stage (3) - Collective	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-
Direct credit facilities and financing	172,884,134	38,574,192	211,458,326	(273,886)	405,567	9,407,417	(334,551)	9,204,547
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through statement of profit and loss	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	-	-	-	-	-	-	-	-
Derivatives	-	-	-	-	-	-	-	-
Mortgaged financial assets (debt instruments)	-	-	-	-	-	-	-	-
Other assets	-	-	-	-	-	-	-	-
Total	172,884,134	38,574,192	211,458,326	(273,886)	405,567	9,407,417	(334,551)	9,204,547
Letter of guarantees	2,583,265	1,444,258	4,027,523	10,909	-	1,077	-	11,986
Letter of credit	698,365	-	698,365	1,121	-	-	-	1,121
Acceptances	-	-	-	-	-	-	-	-
Other Liabilities	6,127,559	-	6,127,559	26,978	-	-	-	26,978
Grand Total	182,293,323	40,018,450	222,311,773	(234,878)	405,567	9,408,494	(334,551)	9,244,632

5. Credit Risk Exposures (after provision for impairment, outstanding interest and returns, and before collateral and other risk mitigators:

	December 31,	
	2021	2020
	JOD	JOD
Items inside Consolidated Financial Position		
Balances at central bank	809,253,935	620,008,775
Balances at banks and financial institutions	541,476,707	397,084,528
Deposits at banks and financial institutions	8,770,685	4,448,457
Direct Credit Facilities and Financing - Net:		
Individual	807,445,335	679,248,343
Real estate mortgages	882,751,545	765,863,450
Corporates:		
Large corporates	1,019,650,862	1,107,406,817
SME's	210,032,758	186,594,707
Government and Public Sector	431,243,828	212,514,816
Total	3,351,124,328	2,951,628,133
Treasury Bills and Bonds:		
Within financial assets at fair value through statement of profit and loss	1,656,155	1,541,618
Within financial assets at amortized cost	1,099,096,231	904,003,434
Other assets	61,203,073	48,302,218
Total in the Consolidated Financial Position Items	5,872,581,114	4,927,017,163
Off- Consolidated Financial Position Items		
Letters of guarantees	205,793,586	206,307,736
Letters of credits	241,611,734	158,117,430
Acceptances	58,587,695	95,338,459
Un-utilized limits of credit facilities and financing	564,105,221	530,549,968
Total Off-Consolidated Financial Position Items	1,070,098,236	990,313,595
Total On- and Off - Consolidated Financial Position Items	6,942,679,350	5,917,330,756

- The above table represents the Bank's maximum credit exposure as of December 31, 2021 and 2020 without taking into account collaterals or other credit risk mitigators.

6. Expected credit losses as of December 31, 2021:

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	560,112	-	-	-	-	560,112
Deposits at bank and financial institutions	1,251	-	-	-	-	1,251
Direct credit facilities and financing	16,142,002	1,208,679	37,818,316	1,944,421	84,427,580	141,540,998
Debt instruments within portfolio of the financial assets at amortized costs	648,639	-	-	-	250,000	898,639
Debt instruments within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-
Letters of guarantees	417,381	-	209,603	-	195,747	822,731
Un-utilized limits	4,093,627	-	337,774	-	-	4,431,401
Letters of credit	251,901	-	29,248	-	-	281,149
Acceptances	55,129	-	24,774	-	-	79,903

Expected credit losses as of December 31, 2020

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	189,682	-	-	-	-	189,682
Deposits at bank and financial institutions	611	-	-	-	-	611
Direct credit facilities and financing	17,865,958	891,869	28,807,402	154,124	71,763,261	119,482,614
Debt instruments within portfolio of the financial assets at amortized costs	451,976	-	41,914	-	250,000	743,890
Debt instruments within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-
Letters of guarantees	523,285	-	202,467	-	148,332	874,084
Un-utilized limits	3,257,282	-	393,476	-	-	3,650,758
Letters of credit and acceptances	334,267	-	33,509	-	-	367,776

45. Sectoral analysis

a. Bank activities information:

For management purposes, the Bank is organized into the following major business segments based on the reports used by the general manager and decision maker:

- Individual accounts: This item includes following up on individual customer's deposits and granting them credit facilities, credit cards and other services.
- Small and Medium Enterprises Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the granted deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Large Companies' Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the deposits and facilities according to the Bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Treasury: This item includes providing treasury and trading services and managing the Bank's funds and long- term investments at amortized costs, which are maintained to collect the contractual cash flows.
- Investments and Foreign Currencies Management: This item includes the Bank's local and foreign investments which are recorded at fair value, in addition to the foreign currencies trading/ services.
- Others: This sector includes all the accounts not listed within the sectors mentioned above, such as shareholder's rights, investments in associates, property and equipment, general management, support management, and the treasury.

The following table represents information on the Bank's sectors according to activities:

Description	Individual	Corporates	Treasury	Other	Total For the Year Ended December 31,	
					2021	2020
	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	115,855,786	121,477,277	62,822,876	990,011	301,145,950	288,319,130
(Provision) for direct customers' credit facilities and financing loss	(6,232,133)	(21,948,181)	(711,949)	-	(28,892,263)	(40,175,434)
Segments' results	51,090,055	58,993,046	56,253,727	346,647	166,683,475	144,341,004
Unallocated expenses					(101,500,514)	(97,439,704)
Operating income before tax					65,182,961	46,901,300
Bank's share of profit from investments in associates					451	5,485
Income before tax					65,183,412	46,906,785
Income tax					(23,758,117)	(16,862,741)
Income for the Year					41,425,295	30,044,044
Capital Expenditures					12,741,236	13,677,453
Depreciation and Amortization					14,591,384	14,163,978

Other Information					December 31,	
					2021	2020
					JOD	JOD
Segment Assets	1,431,220,998	1,766,040,719	2,429,407,498	-	5,626,669,215	4,663,605,610
Undistributed assets	-	-	-	635,852,002	635,852,002	610,037,639
Total Assets	1,431,220,998	1,766,040,719	2,429,407,498	635,852,002	6,262,521,217	5,273,643,249
Segment Liabilities	3,434,607,593	1,706,943,563	448,698,048	-	5,590,249,204	4,640,560,095
Undistributed liabilities	-	-	-	142,804,496	142,804,496	126,679,812
Total Liabilities	3,434,607,593	1,706,943,563	448,698,048	142,804,496	5,733,053,700	4,767,239,907

b. Geographical information

This sector represents the geographical distribution of the Banks' operations. The Bank performs its operations mainly inside the Kingdom, and these operations represent the local operations.

The following table shows the distribution of the Bank's operating income and capital expenditure by geographical segment:

	Inside Jordan		Outside Jordan		Total	
	2021	2020	2021	2020	2021	2020
	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	297,099,608	280,967,575	4,046,342	7,351,555	301,145,950	288,319,130
Capital Expenditure	12,741,236	13,677,453	-	-	12,741,236	13,677,453

	Inside Jordan		Outside Jordan		Total	
	December 31,		December 31,		December 31,	
	2021	2020	2021	2020	2021	2020
	JOD	JOD	JOD	JOD	JOD	JOD
Total Assets	5,580,465,714	4,776,192,257	682,055,503	497,450,992	6,262,521,217	5,273,643,249

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2021										
Balances at central banks	809,253,935	-	-	-	-	-	-	-	809,253,935	-
Balances at banks and financial institutions	542,036,819	-	-	-	-	-	-	-	542,036,819	560,112
Deposits at banks and financial institutions	8,771,936	-	-	-	-	-	3,000,000	3,000,000	5,771,936	1,251
Credit and Financing Facilities :	-	-	-	-	-	-	-	-	-	-
Individual	841,027,872	31,101,059	1,433,010	-	21,520,004	185,508,661	90,957	239,653,691	601,374,181	29,479,940
Real estate mortgages	897,926,656	17,234,999	241,800	-	698,019,847	33,070,566	409,230	748,976,442	148,950,214	12,703,958
Large corporates	1,112,870,717	26,927,573	14,605,335	-	228,995,981	12,036,746	74,750,481	357,316,116	755,554,602	85,512,145
SME's	226,516,619	16,018,486	1,027,949	435,663	64,869,309	7,163,839	71,141,559	160,656,805	65,859,814	13,844,955
Government and Public Sector	431,243,828	-	-	-	-	-	-	-	431,243,828	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	1,656,155	-	-	-	-	-	-	-	1,656,155	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	1,099,994,870	-	-	-	-	-	-	-	1,099,994,870	898,639
Other assets	61,203,073	-	-	-	-	-	-	-	61,203,073	-
Total	6,032,502,480	91,282,117	17,308,094	435,663	1,013,405,141	237,779,812	149,392,227	1,509,603,054	4,522,899,427	143,001,000
Financial guarantees	206,616,317	31,817,968	78,810	280,000	19,637,441	128,889	6,257,339	58,200,447	148,415,870	822,731
Letter of credit	241,892,883	39,785,261	-	-	3,626,088	-	9,956,244	53,367,593	188,525,290	281,149
Acceptances	58,667,598	1,589,941	-	-	-	-	-	1,589,941	57,077,657	79,903
Other liabilities	568,536,622	-	-	-	636,000	-	-	636,000	567,900,622	4,431,401
Grand Total	7,108,215,900	164,475,287	17,386,904	715,663	1,037,304,670	237,908,701	165,605,810	1,623,397,035	5,484,818,866	148,616,184

- The bank maintains collateral or other credit enhancements to mitigate credit risk associated with financial assets. The Group maintains financial instruments amounting to JD 2,098,058,128 as of December 31, 2021 (compared to JD 1,743,384,772 as of December 2020) with a loss allowance for it due to guarantees at the end of the reporting period.
- The estimated value of collateral, which is not recognized, held at the end of the reporting period is JD 1,135,362,349 as of December 31, 2021 (compared to JD 1,198,294,406 as of December 31, 2020. The value of collateral is not considered except to the extent that mitigates credit risk. There was no change in the bank's collateral policy during the current year. The following are the main types of collateral and associated asset types.

Financial Assets	Related collaterals
Real estate loans	Real estate guarantees, advance trusts and personal guarantees
Personal loans	The portfolio consists of personal loans and credit cards and is linked to guarantees such as salary transfer, personal guarantees, cash insurance, cars
Corporate Loans	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
SME's	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
Government and public sector	-
Deposits with banks and banking institutions	Margin accounts
guarantees	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Documentary credits and acceptances	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Other Liabilities	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2020										
Balances at central banks	620,008,775	-	-	-	-	-	-	-	620,008,775	-
Balances at banks and financial institutions	397,274,210	-	-	-	-	-	-	-	397,274,210	189,682
Deposits at banks and financial institutions	4,449,068	-	-	-	-	-	3,000,000	3,000,000	1,449,068	611
Credit and Financing Facilities:	-	-	-	-	-	-	-	-	-	-
Individual	708,769,983	22,305,200	907,062	-	23,881,649	168,411,728	189,392	215,695,031	493,074,952	25,401,230
Real estate mortgages	783,136,250	10,226,617	-	-	547,525,659	49,794,059	2,044,190	609,590,525	173,545,725	14,336,802
Large corporates	1,182,132,275	66,630,885	12,406,137	280,000	223,269,806	10,198,348	113,806,245	426,591,421	755,540,854	67,069,526
SME's	201,552,664	16,353,219	737,501	435,663	77,229,122	4,437,199	55,132,560	154,325,264	47,227,400	12,675,056
Government and Public Sector	212,514,816	-	-	-	-	-	-	-	212,514,816	-
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	1,541,618	-	-	-	-	-	-	-	1,541,618	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	904,747,324	-	-	-	-	-	-	-	904,747,324	743,890
Other assets	48,302,218	-	-	-	-	-	-	-	48,302,218	-
Total	5,064,429,201	115,515,921	14,050,700	715,663	871,906,236	232,841,334	174,172,387	1,409,202,241	3,655,226,960	120,416,797
Letters of guarantees	207,181,818	27,700,699	53,726	8,114	18,509,555	3,234,450	15,519,541	65,026,085	142,155,733	874,082
Letters of credit	158,338,902	34,819,847	-	-	4,142,771	-	3,616,387	42,579,005	115,759,897	221,471
Acceptances	95,484,767	5,551,231		-	-	-	-	5,551,231	89,933,536	146,307
Other liabilities	534,200,726	384,000	-	-	993,275	-	10,955,000	12,332,275	521,868,451	3,650,758
Grand Total	6,059,635,414	183,971,698	14,104,426	723,777	895,551,837	236,075,784	204,263,315	1,534,690,837	4,524,944,577	125,309,415

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2021										
Balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing										
Individual	30,522,499	3,802	-	-	2,205,283	6,910,878	46,944	9,166,907	21,355,592	22,472,623
Real estate mortgages	16,894,804	-	-	-	12,571,198	-	110,000	12,681,198	4,213,606	5,958,515
Large corporates	62,386,168	31,297	-	-	13,079,790	2,607,550	5,472,224	21,190,861	41,195,307	45,846,859
SME's	21,116,063	544,586	-	-	6,711,486	904,101	5,148,874	13,309,047	7,807,016	10,149,583
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	250,000	-	-	-	-	-	-	-	250,000	250,000
Other assets	-	-	-	-	-	-	-	-	-	-
Total	131,169,534	579,685	-	-	34,567,757	10,422,529	10,778,042	56,348,013	74,821,521	84,677,580
Letter of guarantees	2,698,130	304,103	-	-	75,000	-	87,840	466,943	2,231,187	195,747
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	133,867,664	883,788	-	-	34,642,757	10,422,529	10,865,882	56,814,956	77,052,708	84,873,327

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2020										
Balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct credit facilities and financing										
Individual	28,323,459	47,406	-	-	2,560,801	5,453,686	46,944	8,108,837	20,214,622	20,113,075
Real estate mortgages	18,460,780	-	-	-	11,155,108	172,190	556,850	11,884,148	6,576,632	5,945,750
Large corporates	53,292,394	3,000	-	-	12,092,026	2,615,407	7,367,565	22,077,998	31,214,396	36,743,565
SME's	18,168,765	458,724	-	-	6,101,236	616,990	5,342,292	12,519,242	5,649,523	8,960,871
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:										
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	250,000	-	-	-	-	-	-	-	250,000	250,000
Other assets	-	-	-	-	-	-	-	-	-	-
Total	118,495,398	509,130	-	-	31,909,171	8,858,273	13,313,651	54,590,225	63,905,173	72,013,261
Letters of guarantees	1,785,217	304,103	-	-	75,000	-	87,840	466,943	1,318,274	148,332
Letters of credit	-	-	-	-	-	-	-	-	-	-
Acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	120,280,615	813,233	-	-	31,984,171	8,858,273	13,401,491	55,057,168	65,223,447	72,161,593

B. Market risks

Market risks are defined as those risks resulting from price fluctuations in a way that affects the Bank's profit or owners' equity. This definition includes the change in the currencies exchange rates, stocks prices, and interest rates.

The Bank uses a conservative policy to manage market risk. Moreover, these risks are controlled through the adoption of clear policies in this regard and establishing risk limits for each risk type. Our policy aims to reduce minimize these risks.

1. Interest rate risks:

A conservative policy is adopted to manage interest rate risks, whereby most of the Bank's assets and liabilities are re-priced in the short term. This limits the effect of interest rate fluctuations on the Bank's profitability and the price of its assets and investments.

Interest rate risks are managed by the assets and liabilities committee in which they are provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

For the Year 2021			
Currency	Increase in Interest Rate	Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
		JOD	JOD
Jordanian Dinar	1%	7,132	7,132
US Dollar	1%	3,285	3,285
Euro	1%	456	456
GBP	1%	44	44
Japanese Yen	1%	377	377
Other Currencies	1%	(183)	(183)

For the Year 2020			
Currency	Increase in Interest Rate	Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
		JOD	JOD
Jordanian Dinar	1%	5,963	5,963
US Dollar	1%	2,337	2,337
Euro	1%	198	198
GBP	1%	39	39
Japanese Yen	1%	729	729
Other Currencies	1%	(179)	(179)

In case of a negative change in the interest rate, then the effect will be the same as the change in the above-mentioned table with an opposite sign.

2. Currency risks:

The Bank's policy is to fully hedge the currency risk by limiting open positions in foreign currencies only within the limits set and according to a clear policy which reduces the sensitivity of the Bank's profitability to currency price changes. limits are placed for open positions for each currency and total currencies, and daily evaluations of these positions are made to reduce the risks of currency exchange rates to the minimum.

Currency	change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year 2021		JOD	JOD
US Dollar	1%	436,072	33,560
Euro	1%	(107,846)	-
GBP	1%	23,465	-
Japanese Yen	1%	(463)	-
Other Currencies	1%	(21,530)	-
For the Year 2020			
US Dollar	1%	34,091	18,737
Euro	1%	(18,055)	-
GBP	1%	(2,905)	-
Japanese Yen	1%	224,651	-
Other Currencies	1%	(7,523)	-

In case of a 1% decrease in the currency exchange rate, the effect will be the same as the financial effect mentioned in the tables above with an opposite sign.

3. Change in stock price risks:

Trading portfolio risk management depends on a policy that is based on diversification of investments, where investments are distributed on a sectoral basis, within the most stable sectors, and across several financial markets to reduce risks to acceptable levels. Regular monitoring of risks is also conducted through:

- Determining the different investments limits
- Determining limits to stop losses per investment coupled with daily monitoring
- Regularly assessing the investment portfolio by an independent body (intermediary office)
- Performing sensitivity analysis to measure the extent to which these investments may be impacted in case the markets invested in drop, so as to maintain risks within levels acceptable to the Bank. These risks are managed by the Risks Management Department in cooperation with the Treasury Department.

Moreover, their recommendations are submitted to the Assets and Liabilities Management Committee.

Market	Change in Market Index	Effect on profits and losses	Effect on Equity
For the Year 2021:		JOD	JOD
Amman Stock Exchange	5%	160,296	401,734
Al-Quds Stock Exchange (Palestine)	5%	-	791,422
Foreign market	5%	3,491	-
NEW YORK STOCK EXCHANGE	5%	-	-
Borsa Italian	5%	-	-
Swiss Market index (SMI)	5%	-	-
For the Year 2020:			
Amman Stock Exchange	5%	261,755	352,361
Al-Quds Stock Exchange (Palestine)	5%	-	655,802
FTSE 100	5%	9,893	-
Hang Seng Index	5%	-	1,079
Borsa Italian	5%	-	-
Swiss Market index (SMI)	5%	11,728	-

c. Liquidity risks

The bank has a liquidity strategy to manage liquidity risk in accordance with the risk tolerance and to ensure that the bank maintains sufficient liquidity all times and in times of stress. The Bank continuously expands its depositors' base and diversifies the sources of its funds with the aim of maintaining its stability. In this respect, the Bank maintains its liquidity level within risk appetite limits.

Bank's liquidity risk management policy ensures that the bank maintains liquidity limits at the corresponding banks to ensure easy access to high quality liquid assets at can be liquidated at reasonable cost and time in case of an unexpected demand.

To measure the Bank's liquidity levels, a schedule is prepared periodically to verify that liquidity is within the acceptable levels. In addition, the Legal liquidity ratio is calculated on daily basis to ensure compliance with the regulatory requirements and internal policies. Various stress scenarios' identified and measured to ensure the Bank's ability to withstand any changes that might take place in the financial markets.

The Treasury Department manages funds in line with the Bank's liquidity policy endorsed by the Assets and Liabilities Management Committee and submits regular reports to the Committee. Moreover, the Risk Management Department monitors the liquidity levels and ensures adherence to the Bank's internal policies.

(44/c) Liquidity risks:

First: The following table illustrates the distribution of the liabilities (un-discounted) on the basis of the remaining period from the date of the consolidated financial statements until the date of contractual maturity.

As of December 31, 2021:	Less than a Month	1-3 Months	3-6 Months	6 Months - 1 Year	1-3 Years	More than 3 Years	Without Maturity	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Liabilities:								
Banks and financial institution deposits	211,915,575	41,515,535	1,000,000	6,688,083	11,500,000	-	44,781,806	317,400,999
Customers' deposits	1,583,763,249	975,745,378	753,947,543	1,195,113,270	433,228,713	-	-	4,941,798,153
Margin accounts	61,217,531	14,883,124	18,750,240	19,805,937	29,083,854	106,499,260	-	250,239,946
Borrowed Funds	331,192	312,432	597,135	10,325,064	56,726,629	42,542,679	-	110,835,131
Subordinated loans	-	-	-	-	-	25,337,955	-	25,337,955
Sundry provisions	-	-	-	-	-	-	858,903	858,903
Income tax provisions	-	-	-	-	-	-	21,931,794	21,931,794
Leasing liabilities	593,959	304,148	707,965	1,204,908	7,585,434	22,403,893	-	32,800,307
Deferred tax liability	-	-	-	-	-	-	161,769	161,769
Other liabilities	-	-	-	-	-	-	80,883,165	80,883,165
Total	1,857,821,506	1,032,760,617	775,002,883	1,233,137,262	538,124,630	196,783,787	148,617,437	5,782,248,122
Total assets (according to expected maturities)	1,636,530,838	366,828,245	275,200,847	395,210,225	1,122,228,756	2,166,386,007	300,136,299	6,262,521,217
As of December 31, 2020:								
Liabilities:								
Banks and financial institution deposits	240,771,673	30,213,393	-	3,049,042	7,090,000	-	-	281,124,108
Customers' deposits	1,339,621,088	782,982,818	649,293,913	966,397,456	316,134,445	-	-	4,054,429,720
Margin accounts	37,825,666	20,270,957	21,427,391	17,030,912	34,471,735	126,037,767	-	257,064,428
Borrowed Funds	-	160,227	394,746	5,507,610	49,725,381	37,228,274	-	93,016,238
Subordinated loans	-	-	-	-	-	25,465,405	-	25,465,405
Sundry provisions	-	-	-	-	-	-	1,333,898	1,333,898
Income tax liabilities	-	-	-	-	-	-	24,680,734	24,680,734
Leasing liabilities	639,886	235,494	572,401	1,072,850	5,388,810	24,078,754	-	31,988,195
Deferred tax liabilities	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	68,379,574	68,379,574
Total	1,618,858,313	833,862,889	671,688,451	993,057,870	412,810,371	212,810,200	94,394,206	4,837,482,300
Total assets (according to expected maturities)	1,260,252,236	298,068,393	365,040,111	327,798,123	991,993,077	1,758,624,406	271,866,902	5,273,643,249

Interest Rate Re-Pricing Gap:

Classification is based on interest re-pricing or maturing, whichever is closer.

Interests rates sensitivity is as follows:

As of December 31, 2021	Less than a Month	1-3 Months	3-6 Months	6 Months - 1 Year	1-3 Years	More than 3 Years	Non- interest Bearing	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Assets								
Balances at central banks	315,000,000	-	-	-	-	-	619,430,468	934,430,468
Balances at banks and financial institutions	447,098,459	-	590,000	11,500,000	27,500,000	-	54,788,248	541,476,707
Deposits at banks and financial institutions	-	-	2,771,936	6,000,000	-	-	(1,251)	8,770,685
Financial assets at fair value through statement of profit and loss	-	-	-	-	-	1,656,155	16,640,211	18,296,366
Direct credit facilities and financing - net	52,424,097	141,553,193	1,872,321,697	151,798,324	426,712,942	733,855,905	(27,541,830)	3,351,124,328
"Financial assets at fair value through statement other comprehensive income"	-	-	-	-	-	-	44,159,121	44,159,121
Financial assets at amortized cost	5,178,538	79,051,426	59,345,635	85,605,203	380,258,525	490,555,543	(898,639)	1,099,096,231
Investments in associates	-	-	-	-	-	-	343,709	343,709
Right of use assets	-	-	-	-	-	-	27,555,989	27,555,989
Property and equipment	-	-	-	-	-	-	66,425,046	66,425,046
Intangible assets	-	-	-	-	-	-	27,451,684	27,451,684
Deferred tax assets	-	-	-	-	-	-	27,747,673	27,747,673
Other assets	4,470,202	10,571,616	6,951,890	2,315,507	125,601	-	91,208,394	115,643,210
Total Assets	824,171,296	231,176,235	1,941,981,158	257,219,034	834,597,068	1,226,067,603	947,308,823	6,262,521,217
Liabilities								
Banks and financial institution deposits	122,252,835	41,392,485	1,000,000	6,590,000	11,500,000	-	134,047,518	316,782,838
Customers' deposits	1,442,304,716	717,521,682	541,134,972	1,018,103,354	98,031,494	-	1,093,277,884	4,910,374,102
Margin accounts	133,445,833	2,398,481	2,182,612	6,314,897	-	-	100,485,963	244,827,786
Borrowed Funds	331,048	311,896	594,853	6,471,174	30,747,063	28,883,018	41,227,479	108,566,531
Subordinated Loans	-	-	-	-	-	21,300,000	-	21,300,000
Sundry provisions	-	-	-	-	-	-	858,903	858,903
Income tax provision	-	-	-	-	-	-	21,931,794	21,931,794
Leasing liabilities	-	-	-	-	-	-	27,366,812	27,366,812
Deferred tax liability	-	-	-	-	-	-	161,769	161,769
Other liabilities	-	-	-	-	-	-	80,883,165	80,883,165
Total Liabilities	1,698,334,432	761,624,544	544,912,437	1,037,479,425	140,278,557	50,183,018	1,500,241,287	5,733,053,700
Interest Rate Re- Pricing Gap	(874,163,136)	(530,448,309)	1,397,068,721	(780,260,391)	694,318,511	1,175,884,585	(552,932,464)	529,467,517
As of December 31, 2020								
Total Assets	539,761,420	186,172,678	1,957,526,175	212,752,193	640,075,927	884,729,429	852,625,427	5,273,643,249
Total Liabilities	1,532,309,810	632,441,470	496,930,570	806,123,861	87,738,824	50,059,232	1,161,636,140	4,767,239,907
Interest Rate Re- Pricing Gap	(992,548,390)	(446,268,792)	1,460,595,605	(593,371,668)	552,337,103	834,670,197	(309,010,712)	506,403,342

Concentration in currency risk:

As of December 31, 2021	USD	Euro	GBP	Japanese Yen	Other	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Assets						
Cash and balances at central Bank of Jordan	112,201,975	9,404,903	962,354	-	18,349,158	140,918,390
Balances at banks and financial institutions	426,420,261	79,621,313	9,731,071	1,119,683	15,144,031	532,036,359
Deposits at banks and financial institutions	-	-	2,771,936	-	-	2,771,936
Financial assets at fair value through statement of profit and loss	10,112,437	4,978,003	-	-	-	15,090,440
Direct credit and financing facilities- net	288,157,217	42,386	52,484	45,940,401	-	334,192,488
Financial assets at fair value through other comprehensive income	19,051,304	-	-	-	-	19,051,304
Financial assets at amortized cost	278,782,477	28,511,309	6,034,894	-	530,487	313,859,167
Convertible Loans	176,988	-	-	-	-	176,988
Other assets	33,169,593	2,675,403	101,423	5,813	22,322	35,974,554
Total Assets	1,168,072,252	125,233,317	19,654,162	47,065,897	34,045,998	1,394,071,626
Liabilities						
Banks and financial institution deposits	77,353,332	10,518,118	4,035	46,259,404	6,400,824	140,535,713
Customers' deposits	988,699,546	110,713,088	17,130,173	840,696	28,356,323	1,145,739,826
Margin accounts	56,954,575	11,668,946	146,472	-	1,420,632	70,190,625
Other liabilities	1,457,571	3,117,773	27,016	12,047	21,208	4,635,615
Total Liabilities	1,124,465,024	136,017,925	17,307,696	47,112,147	36,198,987	1,361,101,779
Net concentration in the Consolidated Statement of Financial Position	43,607,228	(10,784,608)	2,346,466	(46,250)	(2,152,989)	32,969,847
Contingent Liabilities Off - Consolidated Statement of Financial Position	514,731,301	60,859,503	2,743,161	8,809,194	31,786,820	618,929,979
As of December 31, 2020						
Total Assets	977,433,123	80,610,639	15,867,259	89,069,729	31,398,921	1,194,379,671
Total Liabilities	974,023,994	82,416,187	16,157,771	66,604,594	32,151,264	1,171,353,810
Net concentration in the Consolidated Statement of Financial Position	3,409,129	(1,805,548)	(290,512)	22,465,135	(752,343)	23,025,861
Contingent Liabilities Off - Consolidated Statement of Financial Position	448,040,815	52,774,209	6,864,780	41,419,805	52,968,982	602,068,591

Secondly: Off- Consolidated of Financial Position Items:

As of December 31, 2021	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JOD	JOD	JOD	JOD
Letters of credit	275,356,989	5,183,934	73,396	280,614,319
Acceptances	58,667,598	-	-	58,667,598
Un-utilized limits	568,536,622	-	-	568,536,622
Letters of guarantees	193,273,171	13,282,341	60,805	206,616,317
Total	1,095,834,380	18,466,275	134,201	1,114,434,856

As of December 31, 2020	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JOD	JOD	JOD	JOD
Letters of credit	178,559,373	12,319,776	-	190,879,149
Acceptances	95,484,767	-	-	95,484,767
Un-utilized limits	534,200,726	-	-	534,200,726
Letters of guarantees	188,373,141	18,784,377	24,300	207,181,818
Total	996,618,007	31,104,153	24,300	1,027,746,460

46. Capital management

a. The capital adequacy ratio was calculated as of December 31, 2021 and 2020 based on the decisions of the Basel III Committee, where the bank's regulatory capital consists of the basic capital of ordinary shares (CET1), the additional capital and the second tranche of Tier 2.

b. The requirements of the regulatory authorities regarding the capital of ordinary shares

the instructions of the Central Bank of Jordan require that the minimum regulatory capital be equivalent to (12.5%) of the assets and off-balance sheet items weighted with risks, as well as market risks and operational risks. Exceed the minimum by an appropriate margin and also in accordance with the requirements of the Basel III Committee.

c. How to achieve the objectives of capital management

capital management is represented in the optimal use of sources of funds in order to achieve the highest possible return on capital and within the system of acceptable risk limits approved by the Board of Directors, while maintaining the minimum required according to laws and regulations. The bank follows a policy based on striving to reduce the cost of funds Fund to the minimum possible by finding low-cost sources of funds and working to increase the customer base and optimal employment of these sources in acceptable risk investments to achieve the highest possible return on capital.

d. Capital adequacy

In addition to subscribed capital, capital includes the statutory reserve, voluntary reserve, share premium, retained earnings, cumulative change in fair value, general banking risk reserve and treasury stocks.

The Bank is committed to applying the requirements set forth by regulators concerning capital, as follows:

1. The Central Bank of Jordan's instructions that capital adequacy ratio should not go below 12.5%.
2. Compliance with the minimum limit set for the paid capital of Jordanian Banks, which is JD 100 million.
3. The Bank's investments in stocks and shares should not exceed 50% of subscribed capital.
4. The ratio of credit limits (credit concentration) to regulatory capital.
5. Banks and Companies' laws related to the deduction of the legal reserve at a rate of 10% of the Bank's profit before tax.

	December 31,	
	2021	2020
	JOD	JOD
Common Equity Shareholders Rights		
Authorized and paid-up capital	160,000,000	160,000,000
Retained earnings after deduction of the expected distributions	55,721,054	51,518,099
The cumulative change in fair value	1,741,270	(2,609,036)
Share premium	80,213,173	80,213,173
Statuary reserve	68,169,340	61,004,473
Voluntary reserve	46,167,117	41,829,012
Recognizable non controlling shareholders	44,971,234	40,043,180
Interim profit (losses) after tax and deduction of the expected distributions	-	-
Total Equity capital for common stock	**456,983,188**	**431,998,901**
Regulatory Adjustments (deductions from Capital)		
Goodwill and intangible assets	(27,451,684)	(27,046,436)
(10%) Deferred tax assets resulting from investments within Tier 1	(27,747,673)	(25,652,474)
Net Equity of common stockholders	**401,783,831**	**379,299,991**
Additional capital		
Recognizable minority rights	7,936,100	7,066,444
Total Capital (Tier 1 capital)	**409,719,931**	**386,366,435**
Tier 2 Capital		
Provision for debts tools listed in Tier 1	16,856,320	18,083,875
Recognizable non-controlling shareholders	10,581,467	9,421,925
Financial tools issued by the Bank that bear supporting capital	21,300,000	21,300,000
Total Supporting Capital	48,737,787	48,805,800
Total Regulatory Capital	**458,457,718**	**435,172,235**
Total Risk Weighted Assets	**3,163,350,502**	**3,005,394,577**
(%) Capital Adequacy Ratio	14.49%	14.48%
(%) Primary Capital Ratio	12.70%	12.62%
(%) Supporting Capital Ratio	1.54%	1.62%

	2021	2020
	JOD	JOD
Financial leverage rate		
Tier 1 Capital	409,719,931	386,366,435
Total assets in and out of the financial positions after removing deductible items from Tier 1	6,779,248,072	5,837,745,385
Financial leverage rate	6.05%	6.62%

Capital adequacy was calculated as of December 31, 2021 and December 31, 2020 based on the instruction of Basel Committee III.

Liquidity Coverage Ratio (LCR):	December 31,	
	2021	2020
	JOD	JOD
Total high quality liquid assets	1,641,503,678	1,403,137,127
Total high-quality liquid assets after deduction and minus cap adjustments	1,621,038,339	1,387,822,565
For both Level 2 (A) and (B) assets		
Net cash outflow	852,210,704	669,360,083
Liquidity Coverage Ratio (LCR)	190.20%	207.30%
The liquidity coverage ratio is according to the average end of each month	182.77%	184.30%

47. Analysis of the maturities of assets and liabilities

The following table illustrates the assets and liabilities according to the expected maturity periods:

December 31, 2021	Up to 1 Year	Over 1 Year	Total
	JOD	JOD	JOD
Assets			
Cash and balances at CBJ	934,430,468	-	934,430,468
Balances at banks and financial institutions	541,476,707	-	541,476,707
Deposits at banks and financial institutions	8,770,685	-	8,770,685
Direct credit facilities and financing - net	939,276,775	2,411,847,553	3,351,124,328
Financial assets at fair value through statement of profit or loss	18,296,366	-	18,296,366
Financial assets at fair value through statement of other comprehensive income	-	44,159,121	44,159,121
Financial assets at amortized cost	201,741,802	897,354,429	1,099,096,231
Right of use assets	2,547,802	25,008,187	27,555,989
Investments in associates	343,709	-	343,709
Property and equipment	-	66,425,046	66,425,046
Intangible assets	-	27,451,684	27,451,684
Deferred tax assets	27,747,673	-	27,747,673
Other assets	115,616,617	26,593	115,643,210
Total Assets	2,790,248,604	3,472,272,613	6,262,521,217
Liabilities:			
Banks and financial institutions deposits	316,782,838	-	316,782,838
Customers' deposits	4,833,328,646	77,045,456	4,910,374,102
Margin accounts	102,684,334	142,143,452	244,827,786
Borrowed funds	3,178,979	105,387,552	108,566,531
Subordinated loan	-	21,300,000	21,300,000
Sundry provisions	858,903	-	858,903
Income tax provision	21,931,794	-	21,931,794
Leasing liabilities	2,133,757	25,233,055	27,366,812
Deferred tax liability	161,769	-	161,769
Other liabilities	78,339,613	2,543,552	80,883,165
Total Liabilities	**5,359,400,633**	**373,653,067**	**5,733,053,700**
Net	**(2,569,152,029)**	**3,098,619,546**	**529,467,517**

December 31, 2020	Up to 1 Year	Over 1 Year	Total
	JOD	JOD	JOD
Assets			
Cash and balances at CBJ	721,060,432	-	721,060,432
Balances at banks and financial institutions	397,084,528	-	397,084,528
Deposits at banks and financial institutions	4,448,457	-	4,448,457
Direct credit facilities and financing - net	938,446,727	2,013,181,406	2,951,628,133
Financial assets at fair value through statement of profit or loss	15,219,896	-	15,219,896
Financial assets at fair value through statement of other comprehensive income	-	31,654,110	31,654,110
Financial assets at amortized cost	184,665,492	719,337,942	904,003,434
Right of use assets	2,339,774	24,691,746	27,031,520
Investments in associates	349,507	-	349,507
Property and equipment	-	68,782,265	68,782,265
Intangible assets	-	27,046,436	27,046,436
Deferred tax assets	25,590,727	-	25,590,727
Other assets	99,626,821	116,983	99,743,804
Total Assets	2,388,832,361	2,884,810,888	5,273,643,249
Liabilities:			
Banks and financial institutions deposits	280,688,045	-	280,688,045
Customers' deposits	3,925,943,711	77,067,281	4,003,010,992
Margin accounts	91,152,443	160,150,016	251,302,459
Borrowed funds	5,487,509	84,664,494	90,152,003
Subordinated loan	-	21,300,000	21,300,000
Sundry provisions	1,333,898	-	1,333,898
Income tax provision	24,618,987	-	24,618,987
Leasing liabilities	1,936,804	24,517,145	26,453,949
Other liabilities	65,836,022	2,543,552	68,379,574
Total Liabilities	**4,396,997,419**	**370,242,488**	**4,767,239,907**
Net	**(2,008,165,058)**	**2,514,568,400**	**506,403,342**

48. Contingent liabilites and commitments

a. Credit liabilities and commitments:

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Letters of credit	280,614,319	190,879,149
Acceptances	58,667,598	95,484,767
Letters of guarantee:		
- Payments	57,290,790	55,636,201
- Performance	78,362,876	75,015,534
- Other	70,962,651	76,530,083
Futures contracts	52,977,887	147,721,448
Un-utilized Limits of Credit Facilities and Financing Limits	568,536,622	534,200,726
Total	1,167,412,743	1,175,467,908

b. Contractual obligations:

The details of this item are as follows:

	December 31,	
	2021	2020
	JOD	JOD
Property and equipment purchase contracts	1,038,000	729,786
Intangible assets purchase contracts	4,997,683	1,646,644

49. Lawsuits against the bank

Lawsuits against the Bank amounted to JD 1,902,950 as of December 31, 2021 (JD 1,202,731 as of December 31, 2020), and the provisions prepared against it amounted to JD 677,424 as of December 31, 2021 (JD 531,021 as of December 31, 2020). In the opinion of the Bank's management and its legal counsel, the provisions are adequate.

50. Compartive figures

Some Comparative Figures for the year 2020 have been reclassified to match the year 2021 figures, and have had no impact on the consolidated statement of profit or loss and equity for 2020, as follows:

a. Statement of cash flows

The comparative figures for the year 2020 have been modified as follows:

	December 31, 2020	
	After reclassification	Before reclassification
	JOD	JOD
Deferred tax assets	25,590,727	25,652,474
Income tax provision	24,618,987	24,680,734

51. Impact of covid - 19

The coronavirus ("COVID – 19") pandemic has spread across various geographies globally, causing disruption to business and economic activities. COVID – 19 has brought about uncertainties in the global economic environment.

The Bank is closely monitoring the situation and has activated its business continuity planning and other risk management practices to manage the potential business disruption the COVID – 19 outbreaks may have on its operations and financial performance.

The Bank has performed an assessment of the COVID – 19 pandemic which has resulted in the following changes to the expected credit loss methodology and valuation estimates and judgments as at and for the year ended December 31, 2021:

a. Expected credit losses

The uncertainties caused by COVID – 19, have required the Bank to update the inputs and assumptions used for the determination of ECLs as of December 31, 2021. ECLs were estimated based on a range of forecast economic conditions at that date and considering that the situation is fast evolving, the Bank has considered the impact of higher volatility in the forward-looking macro-economic factors when determining the severity and likelihood of economic scenarios for ECL determination.

This volatility has been reflected through adjustment in the methods of scenario construction and the underlying weights assigned to these scenarios. The forward-looking factor (Credit Index or CI) used is determined from the observed historical credit index. The credit index is used to forecast expected probability of defaults for the credit portfolio of the Bank.

In addition to the assumptions outlined above, the Bank has given specific consideration to the relevant impact of COVID – 19 on the qualitative and quantitative factors when determining the significant increase in credit risk and assessing the indicators of impairment for the exposures in potentially affected sectors and reflecting the Bank's management Overlay in evaluating the impact on certain sectors or specific customers based on studying each sector or customers separately.

b. Valuation estimates and judgements

The Bank has also considered potential impacts of the current economic volatility in determination of the reported amounts of the Bank's financial and non-financial assets and these are considered to represent management's best assessment based on available or observable information.

c. Deferred installments and customer credit ratings

Based on the Central Bank of Jordan Circular number 10/3/4375 and 10/3/14960 issued on March 15, 2020 and November 22, 2020 to the banks operating in Jordan, during 2021 the group has postponed the installments due or that would be due on some customers without considering it as restructuring and without affecting the customer credit rating, the postponed installments amounted to around JD 215 million during the year 2021.

52. Fair value hierarchy

a. The fair value of financial assets and financial liabilities of the Bank specified at fair value on an ongoing basis:

Some financial assets and liabilities of the Bank are evaluated at fair value at the end of each financial period. The following table shows the information about how to determine the fair value of these financial assets and liabilities (evaluation methods and inputs used):

Financial Assets	Fair Value, December 31		The Level of Fair Value	Evaluation Method and Inputs used	Important Intangible Inputs	Relation between the Fair Value and the Important Intangible Inputs
	2021	2020				
	JOD	JOD				
Financial Assets at Fair Value						
Financial Assets at Fair Value through statement of Profit or Loss:						
Government bonds listed on financial markets	143,948	78,294	Level 1	"Quoted prices in financial markets"	N/A	N/A
Companies bonds listed on financial markets	1,512,207	1,463,324	Level 1	"Quoted prices in financial markets"	N/A	N/A
Companies shares listed on financial market	3,275,739	5,667,508	Level 1	"Quoted prices in financial markets"	N/A	N/A
Investments Funds	13,364,472	8,010,770	Level 2	"The treasury manager evaluation of fair value"	N/A	N/A
Total	18,296,366	15,219,896				
Financial Assets at Fair Value through Other Comprehensive Income:						
Quoted Shares in active markets	23,863,120	20,184,837	Level 1	"Quoted prices in financial markets"	N/A	N/A
investment fund	8,180,804	1,732,795	level 2	"The treasury manager evaluation of fair value"	N/A	N/A
Unquoted Shares in active markets	12,115,197	9,736,478	Level 3	"Through using equity method and based on the latest available financial information"	N/A	N/A
Total	**44,159,121**	**31,654,110**				
Total Financial Assets at Fair Value	**62,455,487**	**46,874,006**				

There were no transfers between level 1 and level 2 during the year ended December 31, 2021 and 2020.

The movement financial assets classification fair value through (level 3):

	For the year ended, December 31	
	2021	2020
	JOD	JOD
Beginning balance	9,736,478	9,383,418
Additional	1,151,692	1,122,336
Disposal	-	(85,004)
Change in fair value	1,227,027	(684,272)
Total	12,115,197	9,736,478

b. The fair value of the financial assets and financial liabilities of the Bank non-specific fair value on an ongoing basis:

Except for what is set out in the table below, we believe that the carrying amount of financial assets and liabilities shown in the consolidated financial statements of the Bank approximates their fair value:

	December 31, 2021		December 31, 2020		The level of Fair Value
	Book value	Fair value	Book value	Fair value	
	JOD	JOD	JOD	JOD	
Financial Assets of Non-specified Fair Value					
Term deposits, call accounts and certificate of deposits at the Central Bank	315,000,000	315,034,521	165,000,000	165,009,041	Level 2
Current accounts, and deposits at Banks and Financial Institutions	550,247,392	550,340,958	401,532,985	401,646,486	Level 2
Direct credit facilities at amortized costs	3,351,124,328	3,354,401,231	2,951,628,133	2,955,472,848	Level 2
Other financial assets at amortized costs	1,099,096,231	1,110,233,119	904,003,434	914,246,887	Level 2
Total Financial Assets of Non-specified Fair Value	5,315,467,951	5,330,009,829	4,422,164,552	4,436,375,262	
Financial Liabilities of Non-specified Fair Value					
Banks' and Financial Institutions' deposits	316,782,838	317,366,600	280,688,045	281,019,540	Level 2
Customers' deposits	4,910,374,102	4,937,737,864	4,003,010,992	4,026,685,059	Level 2
Cash margin	244,827,786	245,002,277	251,302,459	251,414,818	Level 2
Borrowed funds	108,566,531	108,724,381	90,152,003	90,356,837	Level 2
Subordinated loans	21,300,000	21,311,538	21,300,000	21,626,896	
Total Financial Liabilities of Non-specified Fair Value	5,601,851,257	5,630,142,660	4,646,453,499	4,671,103,150	

The fair value of the financial assets and liabilities for level 2 was determined in accordance with agreed pricing models, which reflect the credit risk of the parties dealt with.

Network of branches, subsidiaries and exchange offices in the Hashemite Kingdom of Jordan

Amman branches:

Shmeisani

Abdel-Rahim Al Wakid St.

Jabal amman

Ibn Khaldoun St. (Al-Khalidi)

Dabuq

Jumaa Shibli St., Building 6

Gardens

Wasf Al-Tall St., Al-Baraka Commercial Complex

Sweifieh

Ali Nasouh Al Taher St., Adel Hajarat Complex

Mecca street

Mecca Street, Nassim Dada Complex

Jubaiha

Yajouz St., Al Manhal Trafc Light

City mall

City Mall, King Abdullah II Street

Dahiyat al yasmin

Badia St., Asmaa Complex

Marj al-hamam

Al Nahar Complex, Dallah Circle

Wasat al-balad

Rida St.

Wihdat

Abbad bin Bishr St., Abu Abdo Commercial Complex

Marka al-shamaliyeh

King Abdullah I St., Tayyara Circle

Taj mall

Taj Mall, Saad Abdo Shammout St.

Abdoun

Salman Al Gdah, opposite Crumz

North abdoun

Ali Sido Al Kurdi, Al Fayez Commercial Complex

Um uthaina

Samatra St., Karam Imseeh Complex

JoPark

Princess Tagreed St., Sweifeyyeh

Jabal al hussein

Jamal Eddin al Afaghani St., opposite C-Town

Rainbow street

Jabal Amman, Rainbow St.

Bayader

Jamal Qaitouqa, Al Amani Complex

Rabieh

Siqilieh st.

Khalda

Wasfi Al Tal St., Nicola Jreisat Complex

Sahab

Industrial City, Sahab

Tabarbour

Thumana bin Al Yamani St., near Carrefour

Al-hashimi al-shamali

Bathaa St., near Tuffaha Bakery

Dahiyat al-rasheed

Akef Al Fayiz St., near Umaima Housing

Sweileh

Princess Raya Bint Al Hussein St., MaJODalani Complex

Abdali mall

New Abdali Mall

Moqabalein
Radio and Television Street, opposite wholesale markets

Highway mall
Highway Mall, Zarqa Autostrad

Abu-Alanda
Al Hezam St., Al-Nahar Market

King hussein business park
King Hussein Business Park

Sports city
Al-Shaheed St., near Total Gas Station

Shafa badran
Amman, next to Lijam Hotel, near Applied Science University

Sweifieh village mall
Sweifieh, Sweifieh Village Mall

Dabuq new branch - hilda complex
Dabuq, intersection of Al-Ekram Street and Saleh Al-Nuaimat Street

Mobile office of shmeisani branch
Shmeisani - Abdel-Rahim Al Wakid St.

Al weibdeh
Paris Circle

Mecca mall
Mecca St.

Dahiyat al-nakheel
Marj al hamam

Branches in other governorates:

Madaba
Yarmouk St.

Zarqa
Saadeh St.

New zarqa
Makka Mukarrama St., Kurdi Plaza

Zarqa free zone
Main entrance to the Zarqa Free Zone

Ramtha
Khatt Al Sham St.

Irbid
Al Husn St.

Huson
King Talal St.

Jerash
Amman Gate, near the second traffic light

Aqaba
Alssada St.

Mahes
Municipality St., Hussein Sheyab Building

Amman center/irbid
New Amman Center St., Al Saydawi Building

Mafreq
Jerash St., opposite Khairat Al Shamal Poultry and Feeds Company

Salt
Salt, Salt Gate, Dababneh Complex

Karak
Karak, Karak Governorate Gate, Al-Thaniyyah, Madanat Complex

Irbid - yarmouk university st.
Irbid, Yarmouk University St. opposite Faculty of Economics and Administrative Sciences gate, Nmeir Badr Complex

Souq bab al Madinah zarqa
Jeish St.

Jabal al shamali – Russaifa
Yajooz St.

Exchange unit:

Central exchange unit

1 - Shmeisani/ Amman/ Abdel-Rahim Al Wakid St.
2- Jabal Al Weibdeh
3- Abdali Boulevard

Bonded: bonded warehouses

Amman Industrial City, Sahab

Subsidiaries:

Etihad financial brokerage company

Housing bank Complex

Islamic investment company

Abdel-Rahim Al Wakid St.

Etihad leasing company

Mecca St., Al Ghaith Complex

Etihad financial technology company

King Hussein Business Park

Head Office

Tel.: +962 6 560 7011 | Fax: +962 6 562 2573 | P.O. Box: 35104 Amman – 11180 Jordan

www.bankaletihad.com | info@bankaletihad.com